SET 1 · Money, Banking, and Financial Institutions

Banks, credit unions, and what they do

MAIN skill: Explain what banks and credit unions do with deposits and loans

Outcome FL.BANK.01 · National topic: Saving · NJSLS 9.1.12: FI

Learning target: Financial institutions: role of banks and credit unions; insured deposit accounts

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

B1 · Concept review: Deposits, withdrawals, and loans (5 questions)

Why: The MAIN questions describe what institutions do with deposits and loans; students who mix up these three words cannot follow them.

After 5 of 5 correct, Go Deeper unlocks (a chain):

Go Deeper 1: Online banks, apps, and partner banks (5 questions)

Go Deeper 2: Comparing financial institutions (5 questions)

Practical skills beyond the standards: Fintech apps and partner banks

Content status: time-sensitive

Source: FDIC — Deposit insurance covers up to $250,000 per depositor, per insured bank, for each account ownership category. (This page supports the insurance limit only, not membership or other claims about how banks operate.) https://www.fdic.gov/resources/deposit-insurance

Source: NCUA — Credit union share insurance covers up to $250,000 per member, per insured credit union, for each ownership category. https://ncua.gov/consumers/share-insurance-coverage

Answer key for this set: M-Q1 A, M-Q2 A, M-Q3 D, M-Q4 A, M-Q5 D, B1-Q1 D, B1-Q2 A, B1-Q3 A, B1-Q4 D, B1-Q5 A, F1-Q1 D, F1-Q2 A, F1-Q3 D, F1-Q4 D, F1-Q5 A, F2-Q1 D, F2-Q2 D, F2-Q3 C, F2-Q4 A, F2-Q5 A

MAIN — Explain what banks and credit unions do with deposits and loans · Question 1 of 5

Learn: A bank is a business that accepts deposits (money people put in accounts) and makes loans (money it lends and expects to be paid back with interest). Banks keep only part of their deposits as cash and lend much of the rest. The interest borrowers pay helps the bank pay its costs, earn a profit, and pay interest to savers.

Maya deposits $500 of her summer earnings at a bank. What does the bank usually do with much of the money while it sits in her account?

A. Lends part of it to other customers, such as car buyers or businesses
B. Keeps her exact bills in a locked box with her name on it
C. Sends it to the government until she withdraws it
D. Invests all of it in the stock market on Maya's behalf, and she keeps any gains

CORRECT ANSWER

A. Lends part of it to other customers, such as car buyers or businesses

Feedback (shown after answering)

Banks pool deposits and lend much of the money to borrowers. Maya can still withdraw her $500; the bank keeps enough cash and reserves on hand to meet withdrawals.

Why each other choice is wrong (misconception it represents)

B: Thinks a bank stores each customer's own cash separately
C: Confuses a bank deposit with a tax payment
D: Confuses a bank deposit with an investment account

Type: instruction

MAIN — Explain what banks and credit unions do with deposits and loans · Question 2 of 5

Learn: A credit union offers many of the same services as a bank: checking and savings accounts, debit cards, and loans. The difference is ownership. A credit union is a not-for-profit cooperative owned by its members, who are its account holders. To join, you must meet its membership rules, such as living in an area, working for an employer, or belonging to a group.

Which statement best describes a credit union?

A. A not-for-profit financial cooperative owned by its members
B. A government office that issues credit cards
C. A company that only sells stocks and bonds
D. A bank owned by outside investors who buy its stock and are not its customers

CORRECT ANSWER

A. A not-for-profit financial cooperative owned by its members

Feedback (shown after answering)

Credit unions are member-owned, not-for-profit cooperatives. Profits are returned to members through lower fees, lower loan rates, or higher savings rates.

Why each other choice is wrong (misconception it represents)

B: Thinks "credit" in the name means the government provides credit
C: Confuses a credit union with a brokerage firm
D: Describes a stock-owned bank, not a credit union

Type: instruction

MAIN — Explain what banks and credit unions do with deposits and loans · Question 3 of 5

Learn: Every credit union has a "field of membership": the group of people it is allowed to serve. It might be employees of certain companies, people who live or work in a county, or members of an organization. Family members of members can often join too. Check the rules before applying.

Riverside Teachers Credit Union serves employees of local schools and their family members. Jordan is not a school employee and has no family member who works at a school. What should Jordan conclude?

A. Credit unions do not offer checking accounts
B. Jordan must buy stock in the credit union on a stock exchange
C. Credit unions only accept customers who already have a credit card
D. Jordan does not meet this credit union's membership rules

CORRECT ANSWER

D. Jordan does not meet this credit union's membership rules

Feedback (shown after answering)

Jordan is outside this field of membership, so Jordan should look for a credit union whose field includes Jordan.

Why each other choice is wrong (misconception it represents)

A: Thinks credit unions offer only loans
B: Confuses member ownership with buying publicly traded shares
C: Thinks a credit card is required to open an account

Type: instruction · practical how-to

MAIN — Explain what banks and credit unions do with deposits and loans · Question 4 of 5

Learn: Banks come in different types. National and regional banks are large and have many branches. Community banks are smaller and local. Online banks have no branches; customers use an app, a website, ATMs, and mobile deposit. Deposits at federally insured banks are protected by the FDIC, and deposits at federally insured credit unions by the NCUA, up to legal limits.

A city has a large national bank, a local community bank, a credit union, and an online-only bank. Which feature is TRUE of all four kinds of institutions?

A. They can offer federally insured deposit accounts
B. They are all owned by the customers who keep accounts there
C. They all have branches where you can deposit cash in person
D. They all guarantee a profit on money you invest with them

CORRECT ANSWER

A. They can offer federally insured deposit accounts

Feedback (shown after answering)

Federally insured banks (FDIC) and credit unions (NCUA) can all offer insured deposit accounts. Ownership, branches, and fees differ from one institution to another.

Why each other choice is wrong (misconception it represents)

B: Credit union ownership applied to every institution
C: Assumes online-only banks have branches
D: Confuses insured deposits with guaranteed investment returns

Type: instruction

MAIN — Explain what banks and credit unions do with deposits and loans · Question 5 of 5

Priya keeps $1,200 in cash in a shoebox. Which risk would a federally insured bank account reduce?

A. The money buying less in the future because prices rise
B. Having to pay sales tax when she spends the money
C. Spending the money on things she does not need
D. Losing the money to a fire or theft at home

CORRECT ANSWER

D. Losing the money to a fire or theft at home

Feedback (shown after answering)

Insured deposits are protected from loss at home and from bank failure up to legal limits. An account does not stop prices from rising and does not decide how she spends.

Why each other choice is wrong (misconception it represents)

A: Thinks a bank account removes the effect of inflation
B: Confuses where money is kept with taxes on purchases
C: Thinks an account controls spending habits by itself

Type: knowledge check

BACKWARD B1 · concept review — Deposits, withdrawals, and loans · Question 1 of 5

Learn: A deposit is money you put into an account. A withdrawal is money you take out. A loan is money a lender gives you that you must pay back, usually with interest.

Aiden puts $40 into his savings account. What is this called?

A. A withdrawal
B. A loan
C. A fee
D. A deposit

CORRECT ANSWER

D. A deposit

Feedback (shown after answering)

Putting money into an account is a deposit. Taking money out is a withdrawal.

Why each other choice is wrong (misconception it represents)

A: Reverses deposit and withdrawal
B: Thinks putting money in is borrowing
C: Confuses adding money with a charge

Type: instruction

BACKWARD B1 · concept review — Deposits, withdrawals, and loans · Question 2 of 5

Learn: When you take money out of your own account, by cash at an ATM, a debit card purchase, or a check, it is a withdrawal. The money was already yours.

Sofia takes $60 in cash out of her checking account at an ATM. What is this called?

A. A withdrawal
B. A deposit
C. A loan from the ATM company
D. Interest

CORRECT ANSWER

A. A withdrawal

Feedback (shown after answering)

Taking your own money out of your account is a withdrawal; you do not owe it back.

Why each other choice is wrong (misconception it represents)

B: Reverses deposit and withdrawal
C: Thinks ATM cash is borrowed
D: Confuses money taken out with money earned

Type: instruction

BACKWARD B1 · concept review — Deposits, withdrawals, and loans · Question 3 of 5

Learn: A loan is borrowed money. The borrower promises to repay the amount borrowed, called the principal, plus interest, which is the price of borrowing.

A bank gives Luis $8,000 to buy a used car, and Luis agrees to pay it back over four years with interest. What did Luis receive?

A. A loan
B. A deposit
C. A gift from the bank
D. A withdrawal from his savings

CORRECT ANSWER

A. A loan

Feedback (shown after answering)

Money that must be repaid with interest is a loan. Luis owes the $8,000 principal plus interest.

Why each other choice is wrong (misconception it represents)

B: Thinks money received from a bank is a deposit
C: Ignores the duty to repay
D: Confuses borrowed money with his own savings

Type: instruction

BACKWARD B1 · concept review — Deposits, withdrawals, and loans · Question 4 of 5

Learn: Interest works in two directions. A borrower pays interest to a lender for using the lender's money. A saver earns interest from a bank, because the bank uses the saver's deposits to make loans.

Which choice describes interest from a SAVER'S point of view?

A. Money you pay the bank each month to keep your savings account open
B. The amount you first deposited
C. A tax on savings accounts
D. Money the bank pays you for keeping your money in an account

CORRECT ANSWER

D. Money the bank pays you for keeping your money in an account

Feedback (shown after answering)

Savers earn interest; borrowers pay interest. The first amount deposited is the principal.

Why each other choice is wrong (misconception it represents)

A: Confuses interest with a monthly fee
B: Confuses interest with principal
C: Confuses interest with a tax

Type: instruction

BACKWARD B1 · concept review — Deposits, withdrawals, and loans · Question 5 of 5

Why can a bank afford to pay interest to savers?

A. It charges borrowers a higher interest rate than it pays savers
B. The federal government pays the interest on every insured savings account
C. It charges savers a fee equal to the interest
D. It prints new money to pay interest

CORRECT ANSWER

A. It charges borrowers a higher interest rate than it pays savers

Feedback (shown after answering)

A bank earns more interest from loans than it pays on deposits. The difference helps cover costs and profit.

Why each other choice is wrong (misconception it represents)

B: Thinks deposit insurance pays interest
C: Thinks interest is cancelled by a fee
D: Confuses a bank with the central bank

Type: knowledge check

GO DEEPER 1 — Online banks, apps, and partner banks · Question 1 of 5

Learn: Many apps that hold money are not banks. They are financial technology ("fintech") companies that partner with a bank. Money may be FDIC insured only if it is actually deposited at the partner bank in the customer's name and the records are kept properly. If the fintech company itself fails, getting access to money can take time.

A payment app advertises "bank-level" accounts. Its fine print says, "We are a financial technology company, not a bank. Banking services are provided by Harbor Bank, Member FDIC." What does this mean?

A. The app company is itself an FDIC-insured bank, so it is fully protected
B. No money in the app can ever be insured
C. Harbor Bank guarantees the app company's profits
D. Harbor Bank holds the deposits; the app company itself is not a bank

CORRECT ANSWER

D. Harbor Bank holds the deposits; the app company itself is not a bank

Feedback (shown after answering)

The fine print says the deposits are at Harbor Bank. FDIC insurance protects against Harbor Bank failing, not against the app company failing.

Why each other choice is wrong (misconception it represents)

A: Takes the advertising at face value
B: Ignores insurance through a partner bank
C: Misreads what a partner bank does

Type: instruction

GO DEEPER 1 — Online banks, apps, and partner banks · Question 2 of 5

Learn: Deposit insurance covers money in deposit accounts at insured banks. A balance kept in a payment app may not be a bank deposit at all, depending on how the app holds it. The app's terms explain where the money is held.

Which question is MOST useful to ask before keeping a large balance in a payment app?

A. Is my balance held at an FDIC-insured bank in my name?
B. How many millions of people already use and trust the app?
C. Does the app have a nice design?
D. Can I send money to friends instantly?

CORRECT ANSWER

A. Is my balance held at an FDIC-insured bank in my name?

Feedback (shown after answering)

Whether the balance is a deposit at an insured bank, in your name, decides whether deposit insurance can apply.

Why each other choice is wrong (misconception it represents)

B: Treats popularity as protection
C: Treats design as safety
D: Focuses on features rather than protection

Type: instruction · practical how-to

GO DEEPER 1 — Online banks, apps, and partner banks · Question 3 of 5

Learn: Online banks often pay higher savings rates and charge fewer fees because they have no branches to run. The trade-off is access: depositing cash can be hard or impossible, and help is by phone or chat. The best choice depends on how you use your money.

An online bank pays 4.0% on savings and charges no monthly fee, but it has no branches. A local bank pays 0.5% and has a branch near Ana's job. Ana is paid in cash tips each night. Which drawback of the online bank matters MOST for Ana?

A. The online bank's savings rate is too high
B. Online banks are not allowed to give customers debit cards
C. Online banks are never insured
D. Depositing cash may be difficult without a branch

CORRECT ANSWER

D. Depositing cash may be difficult without a branch

Feedback (shown after answering)

Ana deposits cash every night, so a way to deposit cash matters more to her than a higher rate. She might use both kinds of bank.

Why each other choice is wrong (misconception it represents)

A: Thinks a higher savings rate is a drawback
B: Assumes online banks lack debit cards
C: Assumes no online bank is insured

Type: instruction

GO DEEPER 1 — Online banks, apps, and partner banks · Question 4 of 5

A bank's website shows the FDIC logo. What does this tell a customer?

A. The bank's stock price is guaranteed
B. Every product the bank sells is insured, including investments
C. The bank charges no fees
D. Its deposits are insured up to the legal limit

CORRECT ANSWER

D. Its deposits are insured up to the legal limit

Feedback (shown after answering)

The FDIC sign means deposits are insured up to $250,000 per depositor, per insured bank, per ownership category. Investments sold at a bank are not deposits and are not FDIC insured.

Why each other choice is wrong (misconception it represents)

A: Thinks FDIC insures a bank's stock
B: Extends deposit insurance to investments
C: Confuses insurance with fees

Type: knowledge check

GO DEEPER 1 — Online banks, apps, and partner banks · Question 5 of 5

Which situation shows the main risk of keeping money with a non-bank app?

A. The app company fails and customers wait months to reach their money
B. The partner bank pays interest into each customer's account every month
C. The app sends a monthly statement
D. The customer uses the app's debit card at a store

CORRECT ANSWER

A. The app company fails and customers wait months to reach their money

Feedback (shown after answering)

When a fintech company fails, its records of who owns what must be sorted out before customers can get their money, even if a partner bank is insured.

Why each other choice is wrong (misconception it represents)

B: Describes an advantage, not a risk
C: Describes a normal feature
D: Describes normal use

Type: knowledge check

GO DEEPER 2 — Comparing financial institutions · Question 1 of 5

Learn: Fees add up. A monthly fee costs 12 times that amount in a year. Many banks waive a monthly fee if you meet a condition, such as a minimum balance or a direct deposit. If you will not meet the condition, plan to pay the fee.

Two banks are similar except: Bank A charges a $12 monthly fee unless the balance stays above $1,500; Bank B charges no monthly fee. Kai's checking balance stays around $400, below $1,500, every month of the year. How much more would Bank A cost Kai per year?

A. $0
B. $12
C. $48
D. $144

CORRECT ANSWER

D. $144

Feedback (shown after answering)

Kai's balance is below $1,500 every month, so the fee applies all 12 months: $12 × 12 = $144.

Recomputed independently by the build: 144

Why each other choice is wrong (misconception it represents)

A: Assumes Kai meets the $1,500 minimum
B: Uses one month instead of a year
C: Multiplies by 4 instead of 12

Type: instruction

GO DEEPER 2 — Comparing financial institutions · Question 2 of 5

Learn: When comparing institutions, start with how you will use the account: fees, ATM access, branch or app access, minimum balances, and the savings rate. A feature that matters to one person may not matter to another.

Which comparison is MOST important for a student who will make frequent ATM withdrawals?

A. Whether the bank sponsors a local sports team or event
B. The color of the debit card
C. The bank's auto loan rate
D. How many fee-free ATMs are near home and school

CORRECT ANSWER

D. How many fee-free ATMs are near home and school

Feedback (shown after answering)

Frequent ATM users can pay fees each time they use an out-of-network ATM, so fee-free ATM access is the key comparison.

Why each other choice is wrong (misconception it represents)

A: Uses advertising as a reason
B: Uses appearance as a reason
C: Compares a product the student will not use now

Type: instruction · practical how-to

GO DEEPER 2 — Comparing financial institutions · Question 3 of 5

Learn: To compare savings rates, find the interest each account pays. For one year, interest ≈ balance × rate (with the rate written as a decimal). Then subtract.

A credit union and a bank both offer free checking. The credit union pays 2.5% on savings; the bank pays 0.1%. On a $2,000 savings balance for one year (simple interest), how much more would the credit union pay?

A. $2
B. $4.80
C. $48
D. $50

CORRECT ANSWER

C. $48

Feedback (shown after answering)

Credit union: $2,000 × 0.025 = $50. Bank: $2,000 × 0.001 = $2. Difference: $48.

Recomputed independently by the build: 48

Why each other choice is wrong (misconception it represents)

A: Uses only the bank's interest
B: Misplaces the decimal point
D: Uses only the credit union's interest

Type: instruction

GO DEEPER 2 — Comparing financial institutions · Question 4 of 5

Which document lists every fee an account can charge, such as overdraft, wire, and paper statement fees?

A. The account's fee schedule
B. The bank's home page advertisement
C. A monthly statement from last year
D. The debit card itself

CORRECT ANSWER

A. The account's fee schedule

Feedback (shown after answering)

Banks give a fee schedule (often part of the account agreement). Ads show the highlights; the fee schedule shows every charge.

Why each other choice is wrong (misconception it represents)

B: Thinks ads list every fee
C: Thinks a statement lists every possible fee
D: Thinks fees are printed on the card

Type: knowledge check · practical how-to

GO DEEPER 2 — Comparing financial institutions · Question 5 of 5

Leo picks a bank only because it gave him a $200 bonus for opening an account. Six months later he notices $15 monthly fees. What step did he skip?

A. Reading the fee conditions before choosing
B. Asking the bank for a larger bonus before opening
C. Opening the account online
D. Getting a credit card from the same bank first

CORRECT ANSWER

A. Reading the fee conditions before choosing

Feedback (shown after answering)

Six months of $15 fees is $90, and the fees continue every month. Bonuses often require conditions; the fee rules decide the long-run cost.

Why each other choice is wrong (misconception it represents)

B: Treats the bonus as the main decision
C: Thinks the method of opening caused the fees
D: Thinks a credit card prevents account fees

Type: knowledge check

SET 2 · Money, Banking, and Financial Institutions

Checking accounts and debit cards

MAIN skill: Use a checking account and debit card and track the available balance

Outcome FL.BANK.02 · National topic: Spending · NJSLS 9.1.12: FI, PB

Learning target: Payment methods: compare debit cards, credit cards, and other payment methods

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Debit versus credit (5 questions)
  Why: The MAIN skill assumes students know that a debit card spends their own money and a credit card borrows; this is the most common confusion.
- B2 · Math link → G6-S17-M (Grade 6 6.NS.B.3): Subtract multi-digit decimals
  Why: Every balance question subtracts amounts in dollars and cents.
- B3 · Math link → G6-S16-M (Grade 6 6.NS.B.3): Add multi-digit decimals
  Why: Deposits are added to the balance in dollars and cents.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: ATM networks and fees (5 questions)
- Go Deeper 2: Pending transactions, available balance, and posting (5 questions)

Practical skills beyond the standards: Holds, pending transactions, available balance

Content status: time-sensitive

Source: CFPB (Regulation E, 12 CFR 1005.6) — Consumer liability for unauthorized electronic transfers: up to $50 if the institution is told within 2 business days after learning of a lost or stolen card; up to $500 if told later; transfers after the 60-day statement window that would have been prevented by timely notice can be unlimited (earlier protected amounts are not removed). https://www.consumerfinance.gov/rules-policy/regulations/1005/6/

Source: CFPB (Regulation CC threshold adjustments) — For most check deposits, banks must make the first $275 available by the next business day (amount effective July 1, 2025); the rest generally follows the regular hold schedule, with exceptions such as new accounts and large deposits. https://www.consumerfinance.gov/rules-policy/final-rules/availability-funds-and-collection-checks-regulation-cc-threshold-adjustments/

Answer key for this set: M-Q1 D, M-Q2 A, M-Q3 A, M-Q4 D, M-Q5 D, B1-Q1 A, B1-Q2 A, B1-Q3 D, B1-Q4 A, B1-Q5 D, F1-Q1 D, F1-Q2 C, F1-Q3 A, F1-Q4 B, F1-Q5 D, F2-Q1 B, F2-Q2 D, F2-Q3 B, F2-Q4 A, F2-Q5 A

MAIN — Use a checking account and debit card and track the available balance · Question 1 of 5

Learn: A checking account is a bank or credit union account for everyday money: receiving pay, paying bills, buying things with a debit card, and writing checks. Checking accounts usually pay little or no interest. Money you are setting aside for later usually goes in a savings account.

Tia's paycheck is deposited into her checking account. Which use is a checking account designed for?

A. Earning high interest on long-term savings
B. Buying shares of stock
C. Borrowing money for a car
D. Paying rent, bills, and everyday purchases

CORRECT ANSWER

D. Paying rent, bills, and everyday purchases

Feedback (shown after answering)

Checking accounts are transaction accounts for everyday spending and bills. Long-term savings and investments belong in other accounts.

Why each other choice is wrong (misconception it represents)

A: Confuses checking with high-yield savings
B: Confuses checking with a brokerage account
C: Confuses an account with a loan

Type: instruction

MAIN — Use a checking account and debit card and track the available balance · Question 2 of 5

Learn: A debit card is linked to your checking account. When you pay with it, the money comes out of your account, usually within a day or two. A credit card is different: the card company lends you the money, and you pay it back later.

Noah buys groceries for $46.30 with his debit card. Where does the money come from?

A. Directly from Noah's checking account
B. From a loan that Noah repays next month
C. From the store's bank account
D. From Noah's savings account automatically, every time

CORRECT ANSWER

A. Directly from Noah's checking account

Feedback (shown after answering)

A debit card spends money already in the linked checking account. It is not a loan.

Why each other choice is wrong (misconception it represents)

B: Confuses a debit card with a credit card
C: Reverses who pays
D: Thinks debit cards draw from savings

Type: instruction

MAIN — Use a checking account and debit card and track the available balance · Question 3 of 5

Learn: Your balance is the money in your account. Each withdrawal, debit card purchase, or bill payment is subtracted; each deposit is added. Keeping a running balance helps you avoid spending money you do not have.

Ella's checking balance is $312.40. She pays a $95.25 phone bill and makes a $40.00 ATM withdrawal. What is her new balance?

A. $177.15
B. $217.15
C. $272.40
D. $447.65

CORRECT ANSWER

A. $177.15

Feedback (shown after answering)

$312.40 − $95.25 − $40.00 = $177.15.

Recomputed independently by the build: 177.15

Why each other choice is wrong (misconception it represents)

B: Subtracts only the phone bill
C: Subtracts only the ATM withdrawal
D: Adds the payments instead of subtracting

Type: instruction

MAIN — Use a checking account and debit card and track the available balance · Question 4 of 5

Learn: Some merchants, such as gas stations, hotels, and car rentals, place a temporary "hold" on a debit card before they know the final amount. The hold lowers your AVAILABLE balance (what you can spend now) until the final charge posts and the extra is released, often within a few days.

At a gas pump, Sam's debit card is approved, and the bank places a $100 hold, even though Sam pumps only $38 of gas. What is the effect until the hold is released?

A. Sam is charged $100 permanently
B. Sam's account balance goes up by $62
C. Nothing changes, because holds only apply to credit cards
D. Sam's available balance is $100 lower for a short time

CORRECT ANSWER

D. Sam's available balance is $100 lower for a short time

Feedback (shown after answering)

The hold temporarily reduces the available balance by $100. When the $38 charge posts, the extra $62 is released.

Why each other choice is wrong (misconception it represents)

A: Thinks a hold is the final charge
B: Thinks the difference is added
C: Thinks holds only apply to credit cards

Type: instruction

MAIN — Use a checking account and debit card and track the available balance · Question 5 of 5

Learn: Federal law limits what you owe when a card is used without permission. For credit cards, the most you can owe for unauthorized charges is $50. For debit cards, the limit depends on how quickly you report the loss: $50, $500, or more if you wait over 60 days after your statement. Debit card fraud also removes your own money until the bank investigates.

A thief steals Ava's wallet and uses both her debit card and her credit card. Which card generally gives her stronger legal protection against the thief's charges?

A. The debit card, because it spends her own money
B. The debit card, because banks must refund theft the same day
C. Both cards always have identical protection
D. The credit card

CORRECT ANSWER

D. The credit card

Feedback (shown after answering)

Federal law caps credit card liability for unauthorized charges at $50. Debit card liability depends on how quickly you report the loss: up to $50, up to $500, or more after 60 days. Meanwhile, a thief has spent your own money.

Why each other choice is wrong (misconception it represents)

A: Assumes spending your own money gives more protection
B: Thinks refunds are always instant
C: Ignores the different federal rules

Type: instruction

BACKWARD B1 · concept review — Debit versus credit · Question 1 of 5

Learn: A debit card takes money from your checking account; when there is no overdraft, it spends money you already have. A credit card is a way to borrow: the card company pays the store, and you owe the card company.

Which card spends money that is ALREADY in your bank account?

A. A debit card
B. A credit card
C. A store gift card from a friend
D. A library card

CORRECT ANSWER

A. A debit card

Feedback (shown after answering)

A debit card draws on money already in your checking account.

Why each other choice is wrong (misconception it represents)

B: Thinks a credit card spends your own money
C: Confuses a prepaid gift card with a bank account card
D: Not a payment card

Type: instruction

BACKWARD B1 · concept review — Debit versus credit · Question 2 of 5

Learn: With a credit card, the card company pays the merchant for you. The amount is added to your card balance, which is a debt you must pay back. If you do not pay the full balance by the due date, you may owe interest.

Owen pays for a $25 meal with a credit card. Who pays the restaurant first?

A. The credit card company, and Owen owes it $25
B. Owen's checking account, immediately
C. The restaurant pays itself
D. Nobody pays the restaurant until Owen gets his monthly bill

CORRECT ANSWER

A. The credit card company, and Owen owes it $25

Feedback (shown after answering)

The card company pays the restaurant; Owen now owes the card company $25.

Why each other choice is wrong (misconception it represents)

B: Confuses credit with debit
C: Misunderstands who pays
D: Thinks the store waits to be paid

Type: instruction

BACKWARD B1 · concept review — Debit versus credit · Question 3 of 5

Learn: A debit card can only spend the money in your account. If a purchase is larger than your balance, the bank may decline it. If you opted in to overdraft coverage, the bank may pay it and charge an overdraft fee.

What happens if you try to spend more with a debit card than your account holds?

A. The extra amount becomes a free gift
B. The store lowers the price to your balance
C. Your credit card is charged automatically, every time
D. It is declined, or covered for an overdraft fee

CORRECT ANSWER

D. It is declined, or covered for an overdraft fee

Feedback (shown after answering)

Spending past your balance leads to a declined purchase or an overdraft with a fee.

Why each other choice is wrong (misconception it represents)

A: Thinks the bank absorbs the shortfall for free
B: Thinks the store adjusts the price
C: Thinks a credit card always backs a debit card

Type: instruction

BACKWARD B1 · concept review — Debit versus credit · Question 4 of 5

Learn: A credit card purchase is borrowing. A debit card purchase spends deposits you already have. If overdraft coverage is on, though, a debit purchase can overdraw the account and leave you owing the bank.

Which statement is TRUE when the debit card has no overdraft coverage and purchases above the balance are declined?

A. A credit card purchase creates a debt; the debit purchase does not
B. A debit card purchase creates a debt; a credit card purchase does not
C. Both cards always create a debt
D. Neither card is ever connected to money you owe

CORRECT ANSWER

A. A credit card purchase creates a debt; the debit purchase does not

Feedback (shown after answering)

Credit card purchases are borrowing. With overdrafts turned off, debit purchases spend only your own money.

Why each other choice is wrong (misconception it represents)

B: Reverses debit and credit
C: Thinks every card is borrowing
D: Ignores credit card debt

Type: instruction

BACKWARD B1 · concept review — Debit versus credit · Question 5 of 5

Learn: If you do not opt in to overdraft coverage, a bank generally cannot charge you an overdraft fee for an ATM withdrawal or a one-time debit card purchase, and it usually declines the purchase instead. A credit card lets you borrow up to a credit limit, which is not your money.

Mia wants a card that will stop her from spending more than she has. Which card fits that goal better?

A. A credit card with a high limit
B. A credit card that she uses only for large purchases
C. A debit card with overdraft coverage turned on
D. A debit card with overdraft coverage turned off

CORRECT ANSWER

D. A debit card with overdraft coverage turned off

Feedback (shown after answering)

With overdraft coverage off, one-time debit card purchases above the available balance are usually declined, so Mia cannot spend money she does not have.

Why each other choice is wrong (misconception it represents)

A: Thinks a credit limit is her own money
B: Thinks purchase size changes how credit works
C: Overdraft coverage lets purchases go past the balance

Type: instruction

GO DEEPER 1 — ATM networks and fees · Question 1 of 5

Learn: An ATM network is a group of machines your bank lets you use without a fee. At an "out-of-network" ATM you can be charged twice: once by your own bank and once by the ATM's owner (a "surcharge").

Rosa uses an out-of-network ATM. Her bank charges $2.50 and the ATM owner charges $3.00. She withdraws $40. How much leaves her account in total?

A. $40.00
B. $42.50
C. $43.00
D. $45.50

CORRECT ANSWER

D. $45.50

Feedback (shown after answering)

$40 + $2.50 + $3.00 = $45.50.

Recomputed independently by the build: 45.5

Why each other choice is wrong (misconception it represents)

A: Ignores the fees
B: Includes only her bank's fee
C: Includes only the ATM owner's fee

Type: instruction

GO DEEPER 1 — ATM networks and fees · Question 2 of 5

Learn: Small fees repeated often add up. Multiply the fee per use by the number of uses in a year.

Each out-of-network withdrawal costs Rosa $5.50 in fees: $2.50 from her bank and $3.00 from the ATM owner. She makes two such withdrawals a week. About how much does she pay in ATM fees in a year (52 weeks)?

A. $5.50
B. $286
C. $572
D. $4,732

CORRECT ANSWER

C. $572

Feedback (shown after answering)

Withdrawals per year: 2 × 52 = 104. Fees: $5.50 × 104 = $572.

Recomputed independently by the build: 572

Why each other choice is wrong (misconception it represents)

A: Gives the fees for one withdrawal
B: Counts one withdrawal per week
D: Includes the $40 cash withdrawn each time

Type: instruction

GO DEEPER 1 — ATM networks and fees · Question 3 of 5

Rosa pays $5.50 in fees each time she withdraws cash at an out-of-network ATM. Which choice would cut her ATM fees the MOST?

A. Use in-network ATMs or get cash back at stores
B. Withdraw $20 each time instead of $40
C. Use a different out-of-network ATM each time she needs cash
D. Check her balance at the ATM before each withdrawal

CORRECT ANSWER

A. Use in-network ATMs or get cash back at stores

Feedback (shown after answering)

In-network ATMs and cash back at stores usually have no fees. Smaller, more frequent withdrawals raise the total fees.

Why each other choice is wrong (misconception it represents)

B: Smaller withdrawals mean more fees, not fewer
C: Thinks a different machine avoids fees
D: Balance checks can add fees

Type: knowledge check · practical how-to

GO DEEPER 1 — ATM networks and fees · Question 4 of 5

Learn: Some accounts refund ATM fees up to a monthly limit. The refund lowers what you pay, but only up to that limit.

A bank refunds up to $10 of other banks' ATM fees each month. Rosa pays $22 in out-of-network fees this month. How much does she pay after the refund?

A. $10
B. $12
C. $22
D. $32

CORRECT ANSWER

B. $12

Feedback (shown after answering)

$22 − $10 = $12.

Recomputed independently by the build: 12

Why each other choice is wrong (misconception it represents)

A: Gives the refund instead of what she pays
C: Ignores the refund
D: Adds the refund

Type: instruction

GO DEEPER 1 — ATM networks and fees · Question 5 of 5

Which statement about an ATM "balance inquiry" at an out-of-network machine is MOST accurate?

A. It is always free, because no money leaves the account
B. It moves money to savings
C. It counts as a deposit
D. It can carry a fee even though no money is withdrawn

CORRECT ANSWER

D. It can carry a fee even though no money is withdrawn

Feedback (shown after answering)

Out-of-network ATMs may charge for balance checks. Checking the balance in your bank's app is usually free.

Why each other choice is wrong (misconception it represents)

A: Assumes balance checks are free at any ATM
B: Confuses an inquiry with a transfer
C: Confuses an inquiry with a deposit

Type: knowledge check

GO DEEPER 2 — Pending transactions, available balance, and posting · Question 1 of 5

Learn: A transaction is "pending" when the bank knows about it but has not finished processing it ("posting" it). Your available balance is the money you can spend now: roughly your posted balance minus pending charges and holds. Spending based on the larger number can cause overdrafts.

Kim's app shows: current balance $250; pending transactions −$80. What is her available balance?

A. $80
B. $170
C. $250
D. $330

CORRECT ANSWER

B. $170

Feedback (shown after answering)

$250 − $80 = $170 available.

Recomputed independently by the build: 170

Why each other choice is wrong (misconception it represents)

A: Gives the pending amount
C: Ignores pending transactions
D: Adds the pending amount

Type: instruction

GO DEEPER 2 — Pending transactions, available balance, and posting · Question 2 of 5

Learn: Bank apps show what the bank knows. A check you wrote that the payee has not cashed yet does not appear at all. Your own record of payments, called a register, catches those.

Which balance should Kim use to decide whether she can afford a $150 purchase today?

A. The highest balance she had this month
B. Her balance from last month's statement
C. Her current balance, without counting pending items
D. Her available balance minus uncleared checks

CORRECT ANSWER

D. Her available balance minus uncleared checks

Feedback (shown after answering)

Her real spending power is the available balance minus payments the bank has not seen yet.

Why each other choice is wrong (misconception it represents)

A: Uses a past balance
B: Uses an old statement
C: Ignores money already committed

Type: instruction

GO DEEPER 2 — Pending transactions, available balance, and posting · Question 3 of 5

Learn: When you deposit a check, the bank may hold part of it until it clears. Federal rules set the longest normal holds: for most checks, the first $275 is available the next business day and the rest by the second business day. Exceptions, such as new accounts or very large deposits, allow longer holds, and the bank must tell you when money will be available.

Ben deposits an ordinary $600 check in person on Monday before the cutoff, into an account he has had for years. The bank follows the standard federal schedule: $275 on Tuesday and the rest on Wednesday. How much can he safely spend from this deposit on Tuesday?

A. $0
B. $275
C. $325
D. $600

CORRECT ANSWER

B. $275

Feedback (shown after answering)

$275 is available Tuesday; the remaining $325 on Wednesday.

Recomputed independently by the build: 275

Why each other choice is wrong (misconception it represents)

A: Thinks none of a check is available early
C: Gives the amount held until Wednesday
D: Assumes the whole deposit is available at once

Type: instruction · rule as of Regulation CC amounts effective July 1, 2025

GO DEEPER 2 — Pending transactions, available balance, and posting · Question 4 of 5

If a deposited check "bounces" (is returned unpaid) after you spent the money, what usually happens?

A. The bank takes the amount back from your account, possibly with a fee
B. The bank keeps the money in your account because it was already available
C. The person who wrote the check pays your fee
D. Nothing, because the deposit was already posted

CORRECT ANSWER

A. The bank takes the amount back from your account, possibly with a fee

Feedback (shown after answering)

A returned check is reversed out of your account. If you already spent the money, your balance can go negative, and fees may apply. This is how fake-check scams harm victims.

Why each other choice is wrong (misconception it represents)

B: Thinks available funds are final
C: Assumes fees are always passed on
D: Thinks a posted deposit cannot be reversed

Type: knowledge check

GO DEEPER 2 — Pending transactions, available balance, and posting · Question 5 of 5

Which habit best prevents spending based on the wrong balance?

A. Recording each purchase as you make it
B. Checking the balance once a month
C. Using only the current balance on the bank app
D. Keeping your PIN on the card

CORRECT ANSWER

A. Recording each purchase as you make it

Feedback (shown after answering)

Recording each transaction as it happens keeps your own balance current, including items the bank has not seen yet.

Why each other choice is wrong (misconception it represents)

B: Checks too rarely
C: Ignores pending items and uncleared checks
D: Unrelated and unsafe

Type: knowledge check · practical how-to

SET 3 · Money, Banking, and Financial Institutions

Opening a checking account

MAIN skill: Compare checking accounts and complete the steps to open one

Outcome FL.BANK.03 · National topic: Spending · NJSLS 9.1.12: FI, PB

Learning target: Financial institutions and payment methods: choosing and opening a deposit account

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Account fees and fee waivers (5 questions)
  Why: Choosing and opening an account depends on understanding what a monthly fee and a waiver condition are.
- B2 · Math link → G5-S22-M (Grade 5 5.NBT.B.7): Solve real-world problems with decimal operations
  Why: Comparing accounts means multiplying monthly fees by months and comparing dollar totals.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Reading account disclosures and fee schedules (5 questions)
- Go Deeper 2: Account screening and second-chance accounts (5 questions)

Practical skills beyond the standards: Step-by-step account opening; Direct deposit setup; ChexSystems and second-chance accounts

Content status: time-sensitive

Source: FinCEN / federal banking agencies (Customer Identification Program rule, 31 CFR 1020.220) — Banks must collect at least name, date of birth, address, and an identification number before opening an account.
https://www.ecfr.gov/current/title-31/subtitle-B/chapter-X/part-1020/subpart-B/section-1020.220

Source: CFPB — Checking account screening companies (such as ChexSystems) report past account problems; consumers can get a free copy of their report every 12 months.
https://www.consumerfinance.gov/ask-cfpb/what-is-a-checking-account-screening-company-en-1083/

Answer key for this set: M-Q1 D, M-Q2 D, M-Q3 A, M-Q4 D, M-Q5 C, B1-Q1 A, B1-Q2 A, B1-Q3 C, B1-Q4 A, B1-Q5 D, F1-Q1 D, F1-Q2 A, F1-Q3 D, F1-Q4 A, F1-Q5 D, F2-Q1 A, F2-Q2 D, F2-Q3 A, F2-Q4 D, F2-Q5 D

MAIN — Compare checking accounts and complete the steps to open one · Question 1 of 5

Learn: Banks and credit unions usually require an adult (18 or older) to open an account alone, because a minor generally cannot be held to a contract. Many offer teen or student checking accounts that a minor opens jointly with a parent or guardian. The adult co-owner can see the account and shares responsibility for it.

Jordan is 17 and wants a first checking account. Which plan matches how most banks handle an applicant under 18?

A. Open an individual account online using only a student ID card
B. Wait until age 21, the legal minimum age for any bank account
C. Deposit paychecks into a friend's account until Jordan turns 18
D. Open a joint teen account with a parent or guardian

CORRECT ANSWER

D. Open a joint teen account with a parent or guardian

Feedback (shown after answering)

Most institutions let a minor open a checking account only as a joint or teen account with an adult co-owner.

Why each other choice is wrong (misconception it represents)

A: Thinks a school ID meets the identity requirements
B: Invents a minimum age for every account
C: Thinks sharing someone else's account is safe or allowed

Type: instruction · practical how-to

MAIN — Compare checking accounts and complete the steps to open one · Question 2 of 5

Learn: Federal rules require banks to verify who opens an account. Before opening one, a bank collects at least your name, date of birth, address, and an identification number: a Social Security number for U.S. citizens, or another number, such as an ITIN or passport number, for others. Most banks also ask for a government-issued photo ID.

Which information will a bank most likely require to open a checking account?

A. Your report card, a teacher's reference, and your school's address
B. Your credit card number and its PIN, to link the two accounts
C. Only a signature, because banks do not verify who customers are
D. Name, birth date, address, and an ID number such as an SSN

CORRECT ANSWER

D. Name, birth date, address, and an ID number such as an SSN

Feedback (shown after answering)

The Customer Identification Program rule requires name, date of birth, address, and an ID number; banks usually also check a photo ID.

Why each other choice is wrong (misconception it represents)

A: Thinks banks check school records
B: Thinks sharing a PIN is part of opening an account
C: Thinks identity is not verified

Type: instruction · practical how-to

MAIN — Compare checking accounts and complete the steps to open one · Question 3 of 5

Learn: Many checking accounts charge a monthly maintenance fee that is waived if you meet a condition: a minimum balance, a minimum direct deposit, or being a student. Compare accounts by the fees YOU would actually pay, based on how you will use the account.

Tess will receive about $800 a month by direct deposit and usually keeps about $300 in checking.
Account X: $10 monthly fee, waived with a direct deposit of $500 or more each month.
Account Y: $5 monthly fee, waived if the balance stays at $1,000 or more.
What would each account cost Tess in monthly fees over a year?

A. Account X: $0; Account Y: $60
B. Account X: $120; Account Y: $60
C. Account X: $0; Account Y: $0
D. Account X: $120; Account Y: $0

CORRECT ANSWER

A. Account X: $0; Account Y: $60

Feedback (shown after answering)

Tess's $800 direct deposit meets Account X's $500 condition, so X costs $0. Her $300 balance is below Y's $1,000, so Y costs $5 × 12 = $60.

Why each other choice is wrong (misconception it represents)

B: Ignores Account X's direct deposit waiver
C: Assumes Tess meets Account Y's $1,000 balance rule
D: Reverses which waiver Tess meets

Type: instruction · practical how-to

MAIN — Compare checking accounts and complete the steps to open one · Question 4 of 5

Learn: Direct deposit sends pay electronically into your account. Your employer needs two numbers: the routing number, a 9-digit number that identifies your bank, and your account number, which identifies your account at that bank. Both appear on checks and in the bank's app. Never share a PIN or password to set up a deposit.

Tess wants her paycheck deposited directly into her new account. What does her employer need from her?

A. Her debit card number and its PIN
B. Her online banking username and password
C. Only the name of her bank and the branch's street address
D. Her bank's routing number and her account number

CORRECT ANSWER

D. Her bank's routing number and her account number

Feedback (shown after answering)

Routing number plus account number tells the payroll system exactly where to send the money. PINs and passwords are never needed.

Why each other choice is wrong (misconception it represents)

A: Confuses a debit card with the account itself; unsafe
B: Thinks an employer needs login credentials; unsafe
C: Thinks a bank name identifies a specific account

Type: instruction · practical how-to

MAIN — Compare checking accounts and complete the steps to open one · Question 5 of 5

Ahmed's new account requires a $25 opening deposit and has a $6 monthly fee that is waived only when the balance stays at $300 or more. Ahmed's balance stays below $300 (around $150) every month. Assuming no other fees, how much will the account charge him in fees over 6 months?

A. $0
B. $6
C. $36
D. $61

CORRECT ANSWER

C. $36

Feedback (shown after answering)

The fee applies each of the 6 months because the balance never reaches $300: $6 × 6 = $36. The $25 opening deposit is Ahmed's own money in the account, not a fee.

Recomputed independently by the build: 36

Why each other choice is wrong (misconception it represents)

A: Assumes the waiver applies
B: Counts one month only
D: Adds the opening deposit as if it were a fee

Type: knowledge check

BACKWARD B1 · concept review — Account fees and fee waivers · Question 1 of 5

Learn: A fee is a charge the bank takes from your account. A "monthly maintenance fee" (also called a service fee) is charged every month just for having the account, unless you meet a waiver condition.

A checking account has a "$12 monthly maintenance fee." What does this mean?

A. The bank takes $12 each month unless a waiver applies
B. The bank pays you $12 each month for keeping the account
C. You must deposit $12 every month to keep the account open
D. You pay $12 one time, when you first open the account

CORRECT ANSWER

A. The bank takes $12 each month unless a waiver applies

Feedback (shown after answering)

A monthly maintenance fee is taken from your account each month unless you qualify for a waiver.

Why each other choice is wrong (misconception it represents)

B: Confuses a fee with interest
C: Confuses a fee with a deposit requirement
D: Thinks a monthly fee is charged once

Type: instruction

BACKWARD B1 · concept review — Account fees and fee waivers · Question 2 of 5

Learn: A waiver condition is a rule that, if you meet it, cancels a fee. A "minimum daily balance" rule means your balance must stay at or above the amount every day of the statement period.

An account waives its $8 monthly fee "with a minimum daily balance of $500." In March, Lena's balance stays above $600 every day. What fee does she pay for March?

A. $0
B. $4
C. $8
D. $500

CORRECT ANSWER

A. $0

Feedback (shown after answering)

Lena's balance never dropped below $500, so the fee is waived: $0.

Recomputed independently by the build: 0

Why each other choice is wrong (misconception it represents)

B: Halves the fee
C: Ignores the waiver
D: Confuses the balance requirement with a fee

Type: instruction

BACKWARD B1 · concept review — Account fees and fee waivers · Question 3 of 5

Learn: With a minimum daily balance rule, one day below the minimum is enough to lose the waiver for that month, even if the balance is high on other days.

An account waives its $8 monthly fee "with a minimum daily balance of $500." In April, Lena's balance drops to $450 for one day, then goes back above $600. What fee does she pay for April?

A. $0
B. $4
C. $8
D. $50

CORRECT ANSWER

C. $8

Feedback (shown after answering)

One day at $450 is below $500, so the $8 fee applies for April.

Recomputed independently by the build: 8

Why each other choice is wrong (misconception it represents)

A: Uses the average or ending balance instead of the daily minimum
B: Prorates the fee
D: Charges the shortfall below $500

Type: instruction

BACKWARD B1 · concept review — Account fees and fee waivers · Question 4 of 5

Which statement about a minimum opening deposit is TRUE?

A. It is your own money, deposited into your new account
B. It is a fee the bank keeps to open the account
C. It is a loan the bank gives you to start the account
D. It must be paid again every month you keep the account

CORRECT ANSWER

A. It is your own money, deposited into your new account

Feedback (shown after answering)

An opening deposit is the first money you put into the account. It stays yours.

Why each other choice is wrong (misconception it represents)

B: Confuses a deposit with a fee
C: Confuses a deposit with a loan
D: Confuses an opening deposit with a monthly fee

Type: knowledge check

BACKWARD B1 · concept review — Account fees and fee waivers · Question 5 of 5

Two accounts are identical except for fees. Which would cost a student nothing?

A. One with a $3 fee, because the fee is small
B. One with a $15 fee waived at a $5,000 balance, for a student with $200
C. One with a fee charged only every other month, at $6
D. One whose fee is waived for students, if the student qualifies

CORRECT ANSWER

D. One whose fee is waived for students, if the student qualifies

Feedback (shown after answering)

Only an account whose fee the student can actually avoid costs nothing.

Why each other choice is wrong (misconception it represents)

A: Thinks a small fee is the same as no fee
B: Ignores whether the student can meet the waiver
C: Overlooks that $6 every other month still adds up

Type: knowledge check

GO DEEPER 1 — Reading account disclosures and fee schedules · Question 1 of 5

Learn: When you open an account, the bank gives you disclosures: documents that list the account's interest rate, fees, and rules. Federal law (the Truth in Savings Act) requires banks to disclose this information. Small optional fees, like paper statement fees, are easy to miss.

A disclosure says: "Paper statement fee: $2 per month. Free with e-statements." Rafael wants paper statements. Over two years, how much will this choice cost?

A. $2
B. $4
C. $24
D. $48

CORRECT ANSWER

D. $48

Feedback (shown after answering)

$2 per month × 24 months = $48.

Recomputed independently by the build: 48

Why each other choice is wrong (misconception it represents)

A: Counts one month only
B: Counts one charge per year
C: Counts one year only

Type: instruction

GO DEEPER 1 — Reading account disclosures and fee schedules · Question 2 of 5

Learn: A fee schedule is a list of every fee the account can charge: monthly fees, overdraft and returned item fees, wire transfer fees, stop payment fees, out-of-network ATM fees, and fees for extras like paper statements or cashier's checks.

Which item would you expect to find in an account's fee schedule?

A. The charge for an incoming or outgoing wire transfer
B. The bank's current interest rate on 30-year home mortgages
C. The FDIC insurance limit for your account
D. The interest rate on your credit card

CORRECT ANSWER

A. The charge for an incoming or outgoing wire transfer

Feedback (shown after answering)

Wire transfer fees are account fees listed in a fee schedule.

Why each other choice is wrong (misconception it represents)

B: Confuses a fee schedule with a loan rate sheet
C: Confuses insurance rules with fees
D: Confuses a deposit fee schedule with a card agreement

Type: instruction

GO DEEPER 1 — Reading account disclosures and fee schedules · Question 3 of 5

An account advertises "No monthly fee!" Its fee schedule lists a $35 overdraft fee, a $3 out-of-network ATM fee, and a $30 wire fee. Which conclusion is correct?

A. The account has no fees of any kind
B. The account will cost exactly $68 every month, since all three fees apply
C. Every one of those fees is illegal for a free account
D. The account can still be costly, depending on how it is used

CORRECT ANSWER

D. The account can still be costly, depending on how it is used

Feedback (shown after answering)

"No monthly fee" covers only the maintenance fee. Other fees apply when you use certain services or overdraw.

Why each other choice is wrong (misconception it represents)

A: Treats the ad as the whole story
B: Adds possible fees as if all are charged monthly
C: Thinks a free account cannot have any fees

Type: knowledge check

GO DEEPER 1 — Reading account disclosures and fee schedules · Question 4 of 5

Learn: Banks can change account terms. They must tell existing customers in advance about changes that could hurt them, such as a higher fee. That notice gives you time to compare and decide.

A bank sends a notice that a fee will change in 30 days. What is a reasonable response?

A. Compare the new terms with other accounts
B. Ignore it, because fees cannot change after an account is opened
C. Close the account the same day without checking alternatives
D. Pay the new fee now to lock in the old rate

CORRECT ANSWER

A. Compare the new terms with other accounts

Feedback (shown after answering)

Advance notice lets you compare and, if needed, move your money before the change takes effect.

Why each other choice is wrong (misconception it represents)

B: Thinks account terms are fixed forever
C: Acts before comparing
D: Invents a way to lock in fees

Type: instruction · practical how-to

GO DEEPER 1 — Reading account disclosures and fee schedules · Question 5 of 5

Which question is MOST useful when comparing two accounts' disclosures?

A. Which bank has the larger headquarters building?
B. Which disclosure document is longer?
C. Which bank's advertising do I see most often on social media?
D. Which fees will I realistically pay, given how I bank?

CORRECT ANSWER

D. Which fees will I realistically pay, given how I bank?

Feedback (shown after answering)

Your real cost depends on your habits: balance, deposits, ATM use, and overdraft risk.

Why each other choice is wrong (misconception it represents)

A: Uses size as a measure of cost
B: Uses document length as a measure of cost
C: Uses advertising as a measure of cost

Type: knowledge check · practical how-to

GO DEEPER 2 — Account screening and second-chance accounts · Question 1 of 5

Learn: Before opening an account, many banks check a consumer report from a checking account screening company, such as ChexSystems or Early Warning Services. These reports list problems with past accounts, such as unpaid overdrafts, accounts closed by a bank, or suspected fraud. Negative information can stay on these reports for years.

Devon's application for a checking account is denied because of a report from a checking account screening company. What kind of history does such a report usually show?

A. Unpaid overdrafts or fraud at past banks
B. Grades and attendance from high school
C. Devon's medical history and doctor visits
D. Every purchase Devon has made with cash

CORRECT ANSWER

A. Unpaid overdrafts or fraud at past banks

Feedback (shown after answering)

Screening reports focus on past deposit-account problems, such as unpaid negative balances or fraud.

Why each other choice is wrong (misconception it represents)

B: Thinks banks screen school records
C: Thinks banks screen medical records
D: Thinks cash purchases are reported

Type: instruction

GO DEEPER 2 — Account screening and second-chance accounts · Question 2 of 5

Learn: Checking account screening companies are consumer reporting agencies. Under federal law you can get a free copy of your report every 12 months and dispute information you believe is wrong; the company must investigate.

Devon was denied a checking account because of a checking account screening report that he believes contains a mistake. What can he do?

A. Nothing, because screening reports cannot be corrected
B. Pay the screening company to delete it
C. Open new accounts under a friend's name instead of his own
D. Request a free copy of the report and dispute the error

CORRECT ANSWER

D. Request a free copy of the report and dispute the error

Feedback (shown after answering)

Like credit reports, screening reports can be requested for free each year and disputed when wrong.

Why each other choice is wrong (misconception it represents)

A: Thinks reports cannot be disputed
B: Thinks deletion can be bought
C: Suggests a fraudulent workaround

Type: instruction · practical how-to

GO DEEPER 2 — Account screening and second-chance accounts · Question 3 of 5

Devon's checking account screening report correctly shows a $90 negative balance he left at an old bank. Which step would most likely help him open an account in the future?

A. Pay off the $90 and ask the old bank to update the report
B. Wait one week, because reports clear automatically
C. Open many applications at once to find one bank that says yes
D. Avoid banks and keep all of his money in cash

CORRECT ANSWER

A. Pay off the $90 and ask the old bank to update the report

Feedback (shown after answering)

Paying what is owed and having the record updated to "paid" improves his chances. Keeping cash at home adds theft and loss risks.

Why each other choice is wrong (misconception it represents)

B: Thinks negative records vanish quickly
C: Thinks more applications improve approval
D: Gives up the protection of an insured account

Type: knowledge check · practical how-to

GO DEEPER 2 — Account screening and second-chance accounts · Question 4 of 5

Learn: Some banks and credit unions offer second-chance accounts to people who were denied regular accounts. They may have a monthly fee, no overdraft feature, or lower limits. After a period of good use, some can be changed to a regular account.

What is a "second-chance" checking account?

A. A second account that the bank opens automatically for every customer
B. A loan that pays off your old bank's balance
C. A savings account that pays double interest
D. An account for people with past account problems, often with limits

CORRECT ANSWER

D. An account for people with past account problems, often with limits

Feedback (shown after answering)

Second-chance accounts help people rebuild banking history, often with limits or fees.

Why each other choice is wrong (misconception it represents)

A: Misreads "second" as a duplicate account
B: Confuses an account with a loan
C: Invents a feature

Type: instruction

GO DEEPER 2 — Account screening and second-chance accounts · Question 5 of 5

Devon cannot open a regular account, but a credit union offers him a second-chance checking account (an account for people with past account problems, often with a small fee). Why might it be better than using check-cashing stores for every paycheck?

A. Check-cashing stores are always free
B. Second-chance accounts pay much higher interest than savings accounts
C. A bank account means Devon can never overdraw again
D. Check-cashing fees on every paycheck can cost far more over a year

CORRECT ANSWER

D. Check-cashing fees on every paycheck can cost far more over a year

Feedback (shown after answering)

For example, 2% of a $900 paycheck every two weeks is $18 per check, about $468 a year, which is usually much more than an account's fees.

Why each other choice is wrong (misconception it represents)

A: Assumes check cashing has no fees
B: Invents a high interest rate
C: Thinks an account prevents all overdrafts

Type: knowledge check

SET 4 · Money, Banking, and Financial Institutions

Account registers and bank statements

MAIN skill: Track a running balance and read a bank statement

Outcome FL.BANK.04 · National topic: Spending · NJSLS 9.1.12: FI, PB

Learning target: Managing a checking account: record transactions and reconcile statements

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Money in and money out (5 questions)
  - Why: Running-balance and statement problems require knowing which transactions add and which subtract.
- B2 · Math link → G6-S16-M (Grade 6 6.NS.B.3): Add multi-digit decimals
  - Why: Deposits are added in dollars and cents.
- B3 · Math link → G6-S17-M (Grade 6 6.NS.B.3): Subtract multi-digit decimals
  - Why: Purchases and payments are subtracted in dollars and cents.
- B4 · Math link → G7-S15-M (Grade 7 7.NS.A.1.b): Interpret sums of rational numbers in real-world situations
  - Why: An overdrawn account has a negative balance; students must read and compute with negative amounts.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Reconciling a statement (5 questions)
- Go Deeper 2: Spotting errors and unauthorized charges (5 questions)

Practical skills beyond the standards: Reconciling a bank statement

Content status: time-sensitive

Source: CFPB (Regulation E, 12 CFR 1005.6) — Report unauthorized electronic transfers within 60 days after the statement showing them is sent; after that, liability can be unlimited for later transfers that timely notice would have prevented. https://www.consumerfinance.gov/rules-policy/regulations/1005/6/

Answer key for this set: M-Q1 C, M-Q2 B, M-Q3 C, M-Q4 A, M-Q5 A, B1-Q1 A, B1-Q2 D, B1-Q3 A, B1-Q4 D, B1-Q5 A, F1-Q1 C, F1-Q2 D, F1-Q3 A, F1-Q4 D, F1-Q5 A, F2-Q1 D, F2-Q2 A, F2-Q3 D, F2-Q4 A, F2-Q5 D

MAIN — Track a running balance and read a bank statement · Question 1 of 5

Learn: An account register (or a budgeting app) records every transaction and keeps a running balance. Add each deposit (money in). Subtract each withdrawal, payment, or purchase (money out). Recording each item as it happens shows what you truly have.

Nina starts with $215.60 in checking. She deposits $84.25, buys shoes for $59.99, and pays a $42.00 bill. What is her balance?

A. $113.61
B. $155.86
C. $197.86
D. $316.84

CORRECT ANSWER

C. $197.86

Feedback (shown after answering)

$215.60 + $84.25 − $59.99 − $42.00 = $197.86.

Recomputed independently by the build: 197.86

Why each other choice is wrong (misconception it represents)

A: Subtracts the deposit instead of adding
B: Leaves out the deposit
D: Adds the purchases instead of subtracting

Type: instruction

MAIN — Track a running balance and read a bank statement · Question 2 of 5

Learn: A bank statement summarizes one period, usually a month: the balance at the start, every deposit and withdrawal, any fees or interest, and the balance at the end. Ending balance = beginning balance + deposits − withdrawals.

A bank statement shows: beginning balance $640.00; total deposits $1,120.00; total withdrawals $1,395.50. What is the ending balance?

A. $275.50
B. $364.50
C. $915.50
D. $1,914.50

CORRECT ANSWER

B. $364.50

Feedback (shown after answering)

$640.00 + $1,120.00 − $1,395.50 = $364.50.

Recomputed independently by the build: 364.5

Why each other choice is wrong (misconception it represents)

A: Subtracts withdrawals from deposits but leaves out the beginning balance
C: Adds the beginning balance to withdrawals and subtracts deposits
D: Adds the withdrawals instead of subtracting

Type: instruction

MAIN — Track a running balance and read a bank statement · Question 3 of 5

Learn: The statement equation (beginning + deposits − withdrawals = ending) can be used to find any missing amount. Substitute what you know and solve for the unknown.

A statement shows a beginning balance of $410.00, withdrawals of $760.00, and an ending balance of $300.00. What were the total deposits?

A. $110.00
B. $350.00
C. $650.00
D. $1,470.00

CORRECT ANSWER

C. $650.00

Feedback (shown after answering)

410 + D − 760 = 300, so D = 300 + 760 − 410 = $650.00.

Recomputed independently by the build: 650

Why each other choice is wrong (misconception it represents)

A: Uses only the two balances
B: Subtracts instead of solving for the missing amount
D: Adds all three amounts

Type: instruction

MAIN — Track a running balance and read a bank statement · Question 4 of 5

Learn: If more money leaves an account than it holds, the balance becomes negative: the account is "overdrawn." A negative balance is money owed to the bank, often with a fee added. It must be repaid by depositing money.

Carlos's balance is $42.10. A $55.00 automatic payment goes through anyway. What does his account show afterward?

A. −$12.90
B. $0.00
C. $12.90
D. $97.10

CORRECT ANSWER

A. −$12.90

Feedback (shown after answering)

$42.10 − $55.00 = −$12.90. Carlos owes the bank $12.90, plus any overdraft fee.

Recomputed independently by the build: -12.9

Why each other choice is wrong (misconception it represents)

B: Thinks a balance cannot go below zero
C: Ignores the sign; thinks the account still has money
D: Adds the payment

Type: instruction

MAIN — Track a running balance and read a bank statement · Question 5 of 5

Learn: A check you write is paid only when the person you paid deposits or cashes it, which can take days or weeks. Until then, the money is still in your account, but it is already promised.

Ivy wrote a $75 check to her landlord on May 30. Her May 31 bank statement does not show it. Why?

A. The landlord had not yet deposited the check when the statement closed
B. The bank forgot to charge the check, so Ivy gets to keep the $75
C. Checks never appear on bank statements
D. The check was paid from Ivy's savings account automatically

CORRECT ANSWER

A. The landlord had not yet deposited the check when the statement closed

Feedback (shown after answering)

An "outstanding" check has been written but not yet cashed. It will appear later, so Ivy's register must still subtract it.

Why each other choice is wrong (misconception it represents)

B: Thinks a missing item means the payment is cancelled
C: Thinks checks are not recorded
D: Invents an automatic transfer

Type: instruction

BACKWARD B1 · concept review — Money in and money out · Question 1 of 5

Learn: Money coming into an account (deposits, direct deposits, transfers in, interest) is a credit and increases the balance. Money going out (purchases, withdrawals, bill payments, fees) is a debit and decreases it.

Which transaction INCREASES a checking account balance?

A. A paycheck deposited by direct deposit
B. A debit card purchase at a store
C. An ATM cash withdrawal
D. An automatic payment for this month's phone bill

CORRECT ANSWER

A. A paycheck deposited by direct deposit

Feedback (shown after answering)

A deposit is money in; the other three are money out.

Why each other choice is wrong (misconception it represents)

B: Thinks a purchase adds money
C: Thinks taking cash adds money
D: Thinks a payment adds money

Type: instruction

BACKWARD B1 · concept review — Money in and money out · Question 2 of 5

Learn: On a bank statement, "debit" means money taken out of the account, and "credit" means money added. Fees are debits; interest earned and refunds are credits.

On a bank statement, which item is a debit?

A. $0.42 of interest earned
B. A $200 transfer in from savings
C. A $50 refund from a store
D. A $3.00 ATM fee

CORRECT ANSWER

D. A $3.00 ATM fee

Feedback (shown after answering)

The fee is taken from the account, so it is a debit.

Why each other choice is wrong (misconception it represents)

A: Thinks interest earned is subtracted
B: Thinks a transfer in is money out
C: Thinks a refund is money out

Type: instruction

BACKWARD B1 · concept review — Money in and money out · Question 3 of 5

Learn: Each purchase with a debit card lowers your balance by the purchase amount.

Zoe's balance is $120. She buys a $30 jacket. What happens to her balance?

A. It goes down to $90
B. It goes up to $150
C. It stays at $120 until the end of the month
D. It goes down to $30

CORRECT ANSWER

A. It goes down to $90

Feedback (shown after answering)

$120 − $30 = $90.

Recomputed independently by the build: 90

Why each other choice is wrong (misconception it represents)

B: Adds a purchase
C: Thinks purchases wait until month end
D: Confuses the price with the new balance

Type: instruction

BACKWARD B1 · concept review — Money in and money out · Question 4 of 5

Why should you record a purchase in your register right away?

A. Because the bank charges a fee each month if you do not record it
B. Because unrecorded purchases are free
C. Because the store needs a copy of your register
D. So your balance shows what you really have left to spend

CORRECT ANSWER

D. So your balance shows what you really have left to spend

Feedback (shown after answering)

Recording each item immediately keeps your running balance accurate.

Why each other choice is wrong (misconception it represents)

A: Invents a recording fee
B: Thinks unrecorded items are not charged
C: Thinks stores check registers

Type: knowledge check

BACKWARD B1 · concept review — Money in and money out · Question 5 of 5

Which list contains ONLY items that lower a balance?

A. A check you wrote, a bill payment, and a monthly fee
B. A deposit, a check you wrote, and a refund
C. Interest earned, a monthly fee, and a transfer in from savings
D. A paycheck, a gift deposited, and interest

CORRECT ANSWER

A. A check you wrote, a bill payment, and a monthly fee

Feedback (shown after answering)

Checks you write, bill payments, and fees are all money out.

Why each other choice is wrong (misconception it represents)

B: Includes items that add money
C: Includes items that add money
D: Lists only items that add money

Type: knowledge check

GO DEEPER 1 — Reconciling a statement · Question 1 of 5

Learn: Reconciling means checking that your records match the bank's. Start with the statement's ending balance, add deposits the bank has not recorded yet ("deposits in transit"), and subtract checks and payments that have not cleared ("outstanding"). The result should equal your register balance.

Sam's statement ending balance is $520. He has a $150 deposit the bank had not received yet and two outstanding checks of $60 and $45. What is his adjusted (true) balance?

A. $415
B. $520
C. $565
D. $775

CORRECT ANSWER

C. $565

Feedback (shown after answering)

$520 + $150 − $60 − $45 = $565.

Recomputed independently by the build: 565

Why each other choice is wrong (misconception it represents)

A: Subtracts the deposit and the checks
B: Uses the statement balance without adjusting
D: Adds the outstanding checks

Type: instruction

GO DEEPER 1 — Reconciling a statement · Question 2 of 5

Learn: When the adjusted statement balance and the register do not match, look for items on the statement that are missing from the register, such as fees, interest, or automatic payments, and for math mistakes in the register.

Sam reconciles his account. After he adds deposits in transit and subtracts outstanding checks, the statement shows $565, but his register shows $575. Which is the most likely explanation?

A. The bank always makes small $10 errors in its own favor
B. Sam's deposit in transit was $10 smaller than he thought
C. Interest earned is never shown on statements
D. A $10 charge on the statement was never recorded in his register

CORRECT ANSWER

D. A $10 charge on the statement was never recorded in his register

Feedback (shown after answering)

A $10 fee or charge that Sam did not record would make his register $10 too high.

Why each other choice is wrong (misconception it represents)

A: Assumes the bank is wrong
B: Would make the adjusted balance lower, not his register higher
C: Thinks interest is not reported

Type: instruction

GO DEEPER 1 — Reconciling a statement · Question 3 of 5

Sam finds a $4 monthly "service fee" on his statement that he did not record. What should he do in his register?

A. Subtract $4 from his register balance
B. Add $4 to his register balance
C. Ignore it, since the bank already recorded it
D. Subtract $8, once for the bank and once for him

CORRECT ANSWER

A. Subtract $4 from his register balance

Feedback (shown after answering)

A fee is money out, so Sam subtracts $4 to keep his register correct.

Why each other choice is wrong (misconception it represents)

B: Adds a fee
C: Thinks only one record needs updating
D: Double counts

Type: knowledge check

GO DEEPER 1 — Reconciling a statement · Question 4 of 5

Which reason BEST explains why reconciling monthly matters?

A. It raises the interest rate on the account
B. It is legally required for every account holder
C. It removes any fees the bank charged that month
D. It catches errors and unauthorized charges early

CORRECT ANSWER

D. It catches errors and unauthorized charges early

Feedback (shown after answering)

Spotting problems early matters because reporting deadlines apply to unauthorized transfers and errors.

Why each other choice is wrong (misconception it represents)

A: Thinks reconciling changes the rate
B: Invents a legal requirement
C: Thinks reconciling refunds fees

Type: knowledge check

GO DEEPER 1 — Reconciling a statement · Question 5 of 5

Amy's statement ending balance is $310. Outstanding checks: $25 and $40. No deposits in transit. Her register shows $245. Do her records agree?

A. Yes: $310 − $25 − $40 = $245
B. No: her register should show $310
C. No: her register should show $375
D. Yes, because the two numbers are close

CORRECT ANSWER

A. Yes: $310 − $25 − $40 = $245

Feedback (shown after answering)

$310 − $65 = $245, which matches her register.

Why each other choice is wrong (misconception it represents)

B: Ignores the outstanding checks
C: Adds the outstanding checks
D: Accepts an approximate match

Type: knowledge check

GO DEEPER 2 — Spotting errors and unauthorized charges · Question 1 of 5

Learn: An unauthorized transaction is one you did not make or allow. Federal rules (Regulation E) limit your liability for unauthorized electronic transfers, but the protection depends on how fast you report. Contact your bank as soon as you notice one.

Lucas sees a $129 charge from an online store he has never used. What should he do FIRST?

A. Wait until next month to see if it happens again
B. Email the online store his full account number to ask about the charge
C. Ignore it, because small banks cannot reverse charges
D. Contact his bank right away to report the unauthorized charge

CORRECT ANSWER

D. Contact his bank right away to report the unauthorized charge

Feedback (shown after answering)

Reporting quickly keeps his liability limits as low as possible.

Why each other choice is wrong (misconception it represents)

A: Delays reporting
B: Shares sensitive data with an unknown party
C: Thinks charges cannot be disputed

Type: instruction · practical how-to

GO DEEPER 2 — Spotting errors and unauthorized charges · Question 2 of 5

Learn: For unauthorized electronic transfers that appear on a statement, you generally have 60 days after the statement is sent to report them. After that, you may be liable for later transfers the bank could have stopped.

Mia's statement dated March 31 shows an unauthorized online debit charge; her card was never lost or stolen. She reports it on May 20. Is she within the window for full protection?

A. Yes; it is within 60 days of the statement
B. No; the limit is 2 business days
C. No; charges must be reported the same day they post
D. Yes, because there is no time limit at all

CORRECT ANSWER

A. Yes; it is within 60 days of the statement

Feedback (shown after answering)

March 31 to May 20 is 50 days, inside the 60-day window. If a card is lost or stolen, report within 2 business days of learning of it for the lowest limit ($50).

Why each other choice is wrong (misconception it represents)

B: Uses the lost-card deadline
C: Invents a same-day rule
D: Ignores the 60-day window

Type: instruction · rule as of Regulation E (12 CFR 1005.6), as of 2026

GO DEEPER 2 — Spotting errors and unauthorized charges · Question 3 of 5

A store charged Ana twice for one $45 purchase. Which statement is accurate?

A. Duplicate charges are legal if the store says so
B. She must accept it because she used her card
C. She can only fix it by closing her account
D. This is an error she can dispute with the bank or the store

CORRECT ANSWER

D. This is an error she can dispute with the bank or the store

Feedback (shown after answering)

A duplicate charge is an error. She can ask the store for a refund and dispute it with her bank.

Why each other choice is wrong (misconception it represents)

A: Thinks the store decides
B: Thinks using the card waives rights
C: Thinks closing the account is the only fix

Type: knowledge check

GO DEEPER 2 — Spotting errors and unauthorized charges · Question 4 of 5

Which habit catches unauthorized charges the fastest?

A. Transaction alerts and frequent app checks
B. Reading paper statements once a year
C. Checking only the ending balance on each statement
D. Using the card less often

CORRECT ANSWER

A. Transaction alerts and frequent app checks

Feedback (shown after answering)

Alerts and frequent checks spot problems within days.

Why each other choice is wrong (misconception it represents)

B: Reviews too rarely
C: Misses individual charges
D: Does not detect charges

Type: knowledge check · practical how-to

GO DEEPER 2 — Spotting errors and unauthorized charges · Question 5 of 5

Learn: For a lost or stolen debit card, if you report within 2 business days of learning of the loss, your liability for unauthorized transfers is capped at $50. After 2 business days, the cap rises to $500. Many banks voluntarily offer $0 liability, but the law sets these limits.

Ben lost his debit card on Monday, noticed it Tuesday, and reported it Tuesday. A thief spent $300 before he reported it. What is the most Ben can be held responsible for under federal rules?

A. $300
B. $500
C. $0, in every case
D. $50

CORRECT ANSWER

D. $50

Feedback (shown after answering)

He reported within 2 business days of learning of the loss, so the legal cap is $50.

Recomputed independently by the build: 50

Why each other choice is wrong (misconception it represents)

A: Thinks he owes everything the thief spent
B: Uses the limit for late reports
C: Assumes there is never any liability

Type: instruction · rule as of Regulation E (12 CFR 1005.6), as of 2026

SET 5 · Money, Banking, and Financial Institutions

Overdrafts and bank fees

MAIN skill: Explain overdrafts and compute the cost of overdraft and related fees

Outcome FL.BANK.05 · National topic: Spending · NJSLS 9.1.12: FI, PB

Learning target: Payment methods and the costs of financial services: overdraft and account fees

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: What "overdrawn" means (5 questions)
  - Why: Students must understand a negative balance as money owed before they can reason about overdraft fees.
- B2 · Math link → G7-S15-M (Grade 7 7.NS.A.1.b): Interpret sums of rational numbers in real-world situations
  - Why: Overdraft problems require adding and subtracting with negative balances.
- B3 · Math link → G7-S25-M (Grade 7 7.NS.A.3): Solve real-world problems with the four operations on rational numbers
  - Why: Multi-step fee problems combine several operations with money amounts.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: The yearly cost of fee habits (5 questions)
- Go Deeper 2: Linked accounts and overdraft lines of credit (5 questions)

Practical skills beyond the standards: Overdraft opt-in decision; Low-balance alerts and buffers

Content status: time-sensitive

Source: CFPB — Banks must get the customer's opt-in before charging overdraft fees on ATM withdrawals and one-time debit card purchases; checks and recurring payments may be paid into overdraft without that opt-in. https://www.consumerfinance.gov/ask-cfpb/what-is-overdraft-coverage-en-1015/

Answer key for this set: M-Q1 D, M-Q2 C, M-Q3 A, M-Q4 C, M-Q5 A, B1-Q1 A, B1-Q2 D, B1-Q3 A, B1-Q4 D, B1-Q5 D, F1-Q1 D, F1-Q2 D, F1-Q3 D, F1-Q4 A, F1-Q5 A, F2-Q1 B, F2-Q2 D, F2-Q3 A, F2-Q4 D, F2-Q5 C

MAIN — Explain overdrafts and compute the cost of overdraft and related fees · Question 1 of 5

Learn: An overdraft happens when a payment or purchase is larger than the money in the account and the bank pays it anyway. The account goes negative, and the bank may charge an overdraft fee. If the bank refuses the payment instead, the item is returned unpaid, and a returned-item ("NSF") fee may apply.

What is an overdraft?

A. Taking out a loan with a fixed monthly payment
B. Keeping a balance above the minimum required
C. Transferring money from checking to savings
D. Spending more than the account holds

CORRECT ANSWER

D. Spending more than the account holds

Feedback (shown after answering)

An overdraft means the account was overdrawn: the balance went below zero.

Why each other choice is wrong (misconception it represents)

A: Confuses an overdraft with an installment loan
B: Reverses the meaning
C: Confuses an overdraft with a transfer

Type: instruction

MAIN — Explain overdrafts and compute the cost of overdraft and related fees · Question 2 of 5

Learn: Each item paid while the account is overdrawn can trigger its own fee. Track the balance item by item. A small purchase can cost far more than its price once a fee is added.

Mason's balance is $30. His bank charges $35 per overdraft. He makes three debit card purchases: $12, then $25, then $8, and he has opted in to overdraft coverage. If each purchase that makes the balance negative (or more negative) gets a fee, how much will he pay in fees?

A. $15
B. $35
C. $70
D. $105

CORRECT ANSWER

C. $70

Feedback (shown after answering)

$30 − $12 = $18 (no fee). $18 − $25 = −$7 (fee). −$7 − $8 = −$15 (fee). Two fees: 2 × $35 = $70. Counting the fees, his balance ends at −$15 − $70 = −$85.

Recomputed independently by the build: 70

Why each other choice is wrong (misconception it represents)

A: Uses the amount overdrawn as the fee
B: Charges only the first overdraft
D: Charges a fee on every purchase

Type: instruction

MAIN — Explain overdrafts and compute the cost of overdraft and related fees · Question 3 of 5

Learn: Federal rules say a bank must get your permission (your "opt-in") before charging overdraft fees on ATM withdrawals and one-time debit card purchases. If you do not opt in, those transactions are usually declined. Checks and automatic bill payments are treated differently and can still be overdrawn.

Without opting in to overdraft coverage, what usually happens when Leah tries a one-time debit card purchase larger than her balance?

A. The purchase is declined, with no overdraft fee
B. The purchase is approved, and she pays a $35 fee
C. The store gives her the item for free
D. Her account is closed immediately

CORRECT ANSWER

A. The purchase is declined, with no overdraft fee

Feedback (shown after answering)

Without opt-in, one-time debit purchases above the balance are usually declined, so no overdraft fee applies.

Why each other choice is wrong (misconception it represents)

B: Assumes coverage applies without opt-in
C: Thinks the store absorbs the shortfall
D: Exaggerates the consequence

Type: instruction

MAIN — Explain overdrafts and compute the cost of overdraft and related fees · Question 4 of 5

Learn: Overdraft protection links checking to another account, such as savings or a line of credit. When checking runs short, money is moved automatically to cover the item. Banks often charge a transfer fee, but it is usually smaller than an overdraft fee.

Hana links her savings account to checking for overdraft protection. The bank charges $10 per automatic transfer instead of a $35 overdraft fee. She overdraws twice this month. How much does linking save her this month?

A. $20
B. $25
C. $50
D. $70

CORRECT ANSWER

C. $50

Feedback (shown after answering)

Without linking: 2 × $35 = $70. With linking: 2 × $10 = $20. Savings: $70 − $20 = $50.

Recomputed independently by the build: 50

Why each other choice is wrong (misconception it represents)

A: Gives the transfer fees instead of the savings
B: Counts only one overdraft
D: Forgets the transfer fees

Type: instruction

MAIN — Explain overdrafts and compute the cost of overdraft and related fees · Question 5 of 5

Ray's $80 electric bill payment is returned unpaid because his account is short. Which result is MOST likely?

A. He may owe a returned-item fee, and the bill is still unpaid
B. The bill is paid, and no one charges any fee
C. The electric company cancels the bill
D. His bank pays the bill from its own funds and never charges him for it

CORRECT ANSWER

A. He may owe a returned-item fee, and the bill is still unpaid

Feedback (shown after answering)

A returned (NSF) payment can cost a bank fee and a late fee from the biller, and the bill remains due.

Why each other choice is wrong (misconception it represents)

B: Thinks a returned payment still counts
C: Thinks a failed payment erases the debt
D: Thinks the bank pays at no cost

Type: knowledge check

BACKWARD B1 · concept review — What "overdrawn" means · Question 1 of 5

Learn: When spending is larger than the balance and the bank pays anyway, the balance becomes negative. A negative balance means you owe the bank that amount.

Rina's balance is $20. She spends $26. If the bank pays it, what is her balance (before any fee)?

A. −$6
B. $0
C. $6
D. $46

CORRECT ANSWER

A. −$6

Feedback (shown after answering)

$20 − $26 = −$6.

Recomputed independently by the build: -6

Why each other choice is wrong (misconception it represents)

B: Thinks the bank stops at zero
C: Drops the negative sign
D: Adds instead of subtracting

Type: instruction

BACKWARD B1 · concept review — What "overdrawn" means · Question 2 of 5

Learn: A negative account balance is a debt to the bank. You must deposit enough to bring the balance back to zero or above.

What does a balance of −$6 mean?

A. The bank owes Rina $6
B. Rina has $6 left to spend
C. The account has been closed
D. Rina owes the bank $6

CORRECT ANSWER

D. Rina owes the bank $6

Feedback (shown after answering)

A negative balance is money owed to the bank.

Why each other choice is wrong (misconception it represents)

A: Reverses who owes whom
B: Ignores the negative sign
C: Thinks a negative balance closes the account

Type: instruction

BACKWARD B1 · concept review — What "overdrawn" means · Question 3 of 5

Learn: A fee is subtracted from the balance, even when the balance is already negative, which makes it more negative.

Rina's balance is −$6, and the bank adds a $35 overdraft fee. What is her new balance?

A. −$41
B. −$35
C. −$29
D. $29

CORRECT ANSWER

A. −$41

Feedback (shown after answering)

−$6 − $35 = −$41.

Recomputed independently by the build: -41

Why each other choice is wrong (misconception it represents)

B: Ignores the $6 already owed
C: Subtracts 6 from 35 and keeps the sign
D: Adds the fee to a positive 6

Type: instruction

BACKWARD B1 · concept review — What "overdrawn" means · Question 4 of 5

How much must Rina deposit to bring a −$41 balance back to exactly $0?

A. $0
B. $6
C. $35
D. $41

CORRECT ANSWER

D. $41

Feedback (shown after answering)

She must deposit $41 to cover both the shortfall and the fee.

Recomputed independently by the build: 41

Why each other choice is wrong (misconception it represents)

A: Thinks a negative balance resets itself
B: Repays only the purchase shortfall
C: Repays only the fee

Type: knowledge check

BACKWARD B1 · concept review — What "overdrawn" means · Question 5 of 5

Learn: The available balance already subtracts pending transactions. Checking it helps only if you then act on it: wait, spend less, or add cleared money first.

Rina had $20 available in checking and made a $26 debit purchase, overdrawing her account. Which choice would have prevented this?

A. Making the purchase on a different day of the week instead
B. Using the card at a larger store
C. Checking her balance the day after the purchase
D. Checking her available balance and skipping or shrinking the purchase

CORRECT ANSWER

D. Checking her available balance and skipping or shrinking the purchase

Feedback (shown after answering)

Knowing the available balance ($20) and then waiting or buying less (or adding cleared funds first) prevents the overdraft.

Why each other choice is wrong (misconception it represents)

A: Thinks timing alone prevents overdrafts
B: Thinks the store size matters
C: Checks too late to prevent the overdraft

Type: instruction

GO DEEPER 1 — The yearly cost of fee habits · Question 1 of 5

Learn: A habit that causes a fee every month becomes a large yearly cost. Multiply the monthly cost by 12 to see the yearly impact.

Jae overdraws his account exactly once every month for a year and pays a $34 fee each time. How much do the fees cost him in that year?

A. $34
B. $136
C. $340
D. $408

CORRECT ANSWER

D. $408

Feedback (shown after answering)

$34 × 12 = $408.

Recomputed independently by the build: 408

Why each other choice is wrong (misconception it represents)

A: Counts one month only
B: Uses 4 months
C: Uses 10 months

Type: instruction

GO DEEPER 1 — The yearly cost of fee habits · Question 2 of 5

Learn: When a purchase overdraws the account, its true cost is the purchase price plus the overdraft fee.

Jae pays a $34 overdraft fee about once a month, each time on a $9 debit purchase. What does each of those purchases really cost?

A. $9
B. $25
C. $34
D. $43

CORRECT ANSWER

D. $43

Feedback (shown after answering)

$9 + $34 = $43, almost five times the price.

Recomputed independently by the build: 43

Why each other choice is wrong (misconception it represents)

A: Ignores the fee
B: Subtracts the purchase from the fee
C: Counts only the fee

Type: instruction

GO DEEPER 1 — The yearly cost of fee habits · Question 3 of 5

Learn: Low-balance alerts warn you before you overspend. A buffer, a small amount you treat as untouchable, absorbs timing surprises such as a bill that posts a day early.

Jae overdraws about once a month because he buys things without checking his balance. Which step would MOST directly prevent his overdrafts?

A. Use a different debit card from the same account
B. Make purchases late at night
C. Ask the bank for paper statements instead of e-statements
D. Set a low-balance alert and keep a small buffer in checking

CORRECT ANSWER

D. Set a low-balance alert and keep a small buffer in checking

Feedback (shown after answering)

Alerts plus a buffer address the cause: spending without knowing the balance.

Why each other choice is wrong (misconception it represents)

A: The account is still the same
B: Timing does not prevent overdrafts
C: Statements arrive too late to prevent them

Type: instruction · practical how-to

GO DEEPER 1 — The yearly cost of fee habits · Question 4 of 5

Jae pays $408 a year in overdraft fees (12 × $34). Keeping a $100 buffer, money he leaves in checking and never spends, would have prevented all 12 overdrafts. Compare keeping the buffer with paying the fees.

A. The buffer saves $408 and stays his money
B. The buffer costs him $100 per month
C. The buffer and the fees cost the same
D. The buffer saves $100 and costs $408

CORRECT ANSWER

A. The buffer saves $408 and stays his money

Feedback (shown after answering)

The buffer remains in his account, while fees are gone forever.

Why each other choice is wrong (misconception it represents)

B: Thinks a buffer is spent
C: Treats money kept as money lost
D: Reverses the comparison

Type: knowledge check

GO DEEPER 1 — The yearly cost of fee habits · Question 5 of 5

Some banks have reduced or ended overdraft fees, and others still charge them. What is the best way to learn your own bank's current policy?

A. Read the current fee schedule or ask the bank directly
B. Assume every bank charges exactly $35
C. Assume overdraft fees are banned everywhere
D. Rely on what a friend's bank charged for overdrafts five years ago

CORRECT ANSWER

A. Read the current fee schedule or ask the bank directly

Feedback (shown after answering)

Overdraft policies differ by bank and change over time; the current fee schedule is the authority.

Why each other choice is wrong (misconception it represents)

B: Assumes a single amount everywhere
C: Overgeneralizes from some banks
D: Uses outdated and different information

Type: knowledge check · practical how-to

GO DEEPER 2 — Linked accounts and overdraft lines of credit · Question 1 of 5

Learn: An overdraft line of credit is a small loan account linked to checking. When checking runs short, it lends the difference, and you pay interest (and sometimes a fee) until you repay it. Interest for part of a year ≈ principal × annual rate × fraction of a year.

An overdraft line of credit covers shortfalls with a loan that charges 18% interest (APR 18%; no other finance charges). Kim borrows $200 through it and repays it after one month. About how much interest does she pay (simple interest for 1/12 of a year)?

A. $0.30
B. $3
C. $18
D. $36

CORRECT ANSWER

B. $3

Feedback (shown after answering)

$200 × 0.18 × (1/12) = $3.

Recomputed independently by the build: 3

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Uses the rate as dollars
D: Uses a full year

Type: instruction

GO DEEPER 2 — Linked accounts and overdraft lines of credit · Question 2 of 5

Kim compares two ways to cover a $200 shortfall for one month: a $35 overdraft fee, or about $3 of interest plus a $5 transfer fee on her line of credit. Which costs less and by how much?

A. The overdraft fee, by $27
B. The line of credit, by $32
C. They cost the same
D. The line of credit, by $27

CORRECT ANSWER

D. The line of credit, by $27

Feedback (shown after answering)

Line of credit: $3 + $5 = $8. Overdraft: $35. Difference: $27.
Recomputed independently by the build: 27

Why each other choice is wrong (misconception it represents)

A: Reverses the comparison
B: Forgets the transfer fee
C: Does not compute

Type: knowledge check

GO DEEPER 2 — Linked accounts and overdraft lines of credit · Question 3 of 5

Which risk applies to an overdraft line of credit but NOT to a savings-linked transfer?

A. Unpaid amounts keep collecting interest
B. It moves your own savings into checking
C. It can never be used more than once
D. It is covered by FDIC insurance if unpaid

CORRECT ANSWER

A. Unpaid amounts keep collecting interest

Feedback (shown after answering)

A line of credit is a loan; a savings link moves your own money.

Why each other choice is wrong (misconception it represents)

B: Describes the savings link
C: Invents a limit
D: Confuses deposit insurance with debt

Type: knowledge check

GO DEEPER 2 — Linked accounts and overdraft lines of credit · Question 4 of 5

Which account would a bank usually check before approving an overdraft line of credit?

A. Your school transcript
B. Nothing, since it is part of a checking account you already have
C. Your savings account interest rate
D. Your credit history, because it is a loan

CORRECT ANSWER

D. Your credit history, because it is a loan

Feedback (shown after answering)

Because a line of credit is lending, the bank reviews your creditworthiness.

Why each other choice is wrong (misconception it represents)

A: Thinks grades decide loans
B: Thinks no approval is needed
C: Confuses deposit terms with credit approval

Type: knowledge check

GO DEEPER 2 — Linked accounts and overdraft lines of credit · Question 5 of 5

Kim leaves $200 unpaid on the 18% line of credit for a full year (simple interest). How much interest accrues?

A. $3
B. $18
C. $36
D. $236

CORRECT ANSWER

C. $36

Feedback (shown after answering)

$200 × 0.18 × 1 = $36.

Recomputed independently by the build: 36

Why each other choice is wrong (misconception it represents)

A: Uses one month
B: Treats the rate as dollars
D: Gives the total owed instead of the interest

Type: knowledge check

SET 6 · Money, Banking, and Financial Institutions

Savings accounts and deposit insurance

MAIN skill: Choose a savings account and explain how deposit insurance protects deposits

Outcome FL.BANK.06 · National topic: Saving · NJSLS 9.1.12: FI

Learning target: Savings options: interest rates, APY, and deposit insurance

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Saving versus spending money (5 questions)
  Why: The MAIN questions assume students separate money for later from money for now and know what interest on savings is.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Interest for a year is a percent of the balance.
- B3 · Math link → G6-S19-M (Grade 6 6.NS.B.3): Multiply multi-digit decimals
  Why: Rates written as decimals are multiplied by balances.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Interest rate versus APY (5 questions)
- Go Deeper 2: Deposit insurance limits and ownership categories (5 questions)

Practical skills beyond the standards: Checking whether an institution is insured (FDIC BankFind)

Content status: time-sensitive

Source: FDIC — Deposit insurance covers up to $250,000 per depositor, per insured bank, for each account ownership category; investment products are not deposits and are not FDIC insured.
https://www.fdic.gov/resources/deposit-insurance

Answer key for this set: M-Q1 A, M-Q2 B, M-Q3 B, M-Q4 D, M-Q5 D, B1-Q1 A, B1-Q2 A, B1-Q3 B, B1-Q4 B, B1-Q5 D, F1-Q1 A, F1-Q2 B, F1-Q3 D, F1-Q4 A, F1-Q5 C, F2-Q1 D, F2-Q2 C, F2-Q3 D, F2-Q4 D, F2-Q5 A

MAIN — Choose a savings account and explain how deposit insurance protects deposits · Question 1 of 5

Learn: A savings account is a deposit account for money you are setting aside. It usually pays more interest than checking, and keeping savings separate makes it less likely you will spend it by accident. You can generally withdraw when you need to, though some banks limit how often.

Why do people usually keep money for a goal six months away in a savings account rather than in checking?

A. Savings usually earns more and stays apart from spending money
B. Savings accounts cannot be withdrawn from until the goal date
C. Checking accounts are not insured by the FDIC
D. Savings accounts guarantee the money will double

CORRECT ANSWER

A. Savings usually earns more and stays apart from spending money

Feedback (shown after answering)

Savings earns more and keeps goal money apart from spending money. Both checking and savings are deposits that can be insured.

Why each other choice is wrong (misconception it represents)

B: Confuses savings with a certificate of deposit
C: Thinks checking lacks deposit insurance
D: Confuses saving with a guaranteed high return

Type: instruction

MAIN — Choose a savings account and explain how deposit insurance protects deposits · Question 2 of 5

Learn: Interest for one year ≈ balance × annual rate (as a decimal). To write a percent as a decimal, divide by 100: 3.5% = 0.035.

A savings account pays 3.5% interest per year. About how much interest will $1,600 earn in one year?

A. $5.60
B. $56
C. $560
D. $1,656

CORRECT ANSWER

B. $56

Feedback (shown after answering)

$1,600 × 0.035 = $56.

Recomputed independently by the build: 56

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Uses 35% instead of 3.5%
D: Gives the new balance instead of the interest

Type: instruction

MAIN — Choose a savings account and explain how deposit insurance protects deposits · Question 3 of 5

Learn: The FDIC insures deposits at insured banks up to $250,000 per depositor, per insured bank, for each account ownership category (such as individual or joint). Credit union deposits have the same coverage through the NCUA. No depositor has lost insured funds since the FDIC began in 1934.

Grace has $300,000 in one individual savings account at a single FDIC-insured bank. If the bank failed, how much of her deposit would be above the standard insurance limit?

A. $0
B. $50,000
C. $250,000
D. $300,000

CORRECT ANSWER

B. $50,000

Feedback (shown after answering)

$300,000 − $250,000 = $50,000 is above the standard limit for one owner at one bank in one category.

Recomputed independently by the build: 50000

Why each other choice is wrong (misconception it represents)

A: Thinks every dollar is always insured
C: Confuses the insured part with the uninsured part
D: Thinks nothing is insured

Type: instruction · rule as of $250,000 standard maximum, as of 2026

MAIN — Choose a savings account and explain how deposit insurance protects deposits · Question 4 of 5

Learn: FDIC insurance covers deposits: checking, savings, money market deposit accounts, and certificates of deposit. It does not cover stocks, bonds, mutual funds, crypto assets, annuities, or life insurance, even if a bank sells them. It also does not protect against investment losses.

Leo buys shares of a stock mutual fund through an investment desk inside his bank's branch. The fund loses value. Does FDIC insurance cover the loss?

A. Yes: anything bought at an FDIC-insured bank is insured
B. Yes, up to $250,000 of investment losses
C. Only if Leo paid for the fund with money from his checking account
D. No: investments are not deposits, even when sold at a bank

CORRECT ANSWER

D. No: investments are not deposits, even when sold at a bank

Feedback (shown after answering)

Mutual funds are investments, not deposits, so FDIC insurance does not cover their losses.

Why each other choice is wrong (misconception it represents)

A: Extends deposit insurance to investments
B: Applies the deposit limit to market losses
C: Thinks the source of money changes coverage

Type: instruction

MAIN — Choose a savings account and explain how deposit insurance protects deposits · Question 5 of 5

Ava needs money she can reach quickly for unexpected costs and does not want it to lose value. Which place fits best?

A. A stock fund that has risen sharply this year
B. A 5-year certificate of deposit with a penalty for early withdrawal
C. Cash hidden in her bedroom
D. An insured savings account

CORRECT ANSWER

D. An insured savings account

Feedback (shown after answering)

An insured savings account keeps money safe, available, and earning some interest.

Why each other choice is wrong (misconception it represents)

A: Chooses past performance over safety and access
B: Ignores access to money
C: Ignores theft, loss, and lost interest

Type: knowledge check

BACKWARD B1 · concept review — Saving versus spending money · Question 1 of 5

Learn: Checking is for money you will spend soon: bills and everyday purchases. Savings is for money you are setting aside for later: goals and emergencies.

Which money belongs in savings rather than checking?

A. Money set aside for a laptop you plan to buy next spring
B. Money for this week's groceries
C. Money to pay this month's phone bill when it arrives next week
D. Cash for lunch tomorrow

CORRECT ANSWER

A. Money set aside for a laptop you plan to buy next spring

Feedback (shown after answering)

Money for a later goal belongs in savings.

Why each other choice is wrong (misconception it represents)

B: Confuses near-term spending with saving
C: Bills are paid from checking
D: Immediate spending

Type: instruction

BACKWARD B1 · concept review — Saving versus spending money · Question 2 of 5

Learn: Interest on savings is money the bank pays you for keeping your money there. It is added to your balance.

Leila earns 2% interest on her $500 savings for a year. What does "earning interest" mean here?

A. The bank adds money to her account
B. The bank charges her 2% to hold her money
C. She owes the bank $10
D. Her $500 is locked until she turns 18

CORRECT ANSWER

A. The bank adds money to her account

Feedback (shown after answering)

2% of $500 is $10, which the bank adds to her account.

Why each other choice is wrong (misconception it represents)

B: Confuses interest earned with a fee
C: Confuses saving with borrowing
D: Invents a restriction

Type: instruction

BACKWARD B1 · concept review — Saving versus spending money · Question 3 of 5

Learn: Percent means "per hundred." To write a percent as a decimal, divide by 100 (move the decimal point two places left).

What is 2% written as a decimal?

A. 0.002
B. 0.02
C. 0.2
D. 2.0

CORRECT ANSWER

B. 0.02

Feedback (shown after answering)

2% = 2 ÷ 100 = 0.02.

Recomputed independently by the build: 0.02

Why each other choice is wrong (misconception it represents)

A: Moves the decimal three places
C: Moves the decimal one place
D: Does not convert

Type: instruction

BACKWARD B1 · concept review — Saving versus spending money · Question 4 of 5

Using 0.02 for 2%, how much interest does $500 earn in one year?

A. $1
B. $10
C. $100
D. $510

CORRECT ANSWER

B. $10

Feedback (shown after answering)

$500 × 0.02 = $10.

Recomputed independently by the build: 10

Why each other choice is wrong (misconception it represents)

A: Uses 0.002
C: Uses 0.2
D: Gives the new balance

Type: knowledge check

BACKWARD B1 · concept review — Saving versus spending money · Question 5 of 5

Which statement is TRUE about money in an insured savings account?

A. It always grows faster than prices rise
B. It can be withdrawn with no limits of any kind at every bank in the country
C. It earns the same interest at every bank
D. Its value in dollars does not go down because of market changes

CORRECT ANSWER

D. Its value in dollars does not go down because of market changes

Feedback (shown after answering)

Insured deposits do not lose dollars to market swings, though inflation can still reduce what the money buys.

Why each other choice is wrong (misconception it represents)

A: Ignores inflation
B: Overgeneralizes withdrawal rules
C: Ignores rate differences

Type: knowledge check

GO DEEPER 1 — Interest rate versus APY · Question 1 of 5

Learn: The interest rate is the yearly rate before compounding. APY (annual percentage yield) shows what you actually earn in a year once interest is added to your balance and itself earns interest (compounding). Banks must show APY for savings, so use APY to compare accounts.

Two savings accounts show:
Bank A: interest rate 4.00%, compounded monthly; APY 4.07%
Bank B: APY 4.05%
Which number should Mo use to compare them fairly?

A. The APY of each account
B. The interest rate of Bank A and the APY of Bank B
C. The interest rate of each, ignoring APY
D. Whichever number is printed larger in the ad

CORRECT ANSWER

A. The APY of each account

Feedback (shown after answering)

APY includes compounding, so comparing APY to APY is fair. Bank A (4.07%) earns slightly more than Bank B (4.05%).

Why each other choice is wrong (misconception it represents)

B: Compares unlike numbers
C: Ignores compounding
D: Uses ad design

Type: instruction

GO DEEPER 1 — Interest rate versus APY · Question 2 of 5

Learn: APY is the actual percent your money grows in one year, so one year of earnings ≈ balance × APY.

An account has an APY of 4.07%. About how much will $2,000 earn in one year if the rate stays the same and nothing is withdrawn?

A. $8.14
B. $81.40
C. $814.00
D. $2,081.40

CORRECT ANSWER

B. $81.40

Feedback (shown after answering)

$2,000 × 0.0407 = $81.40.

Recomputed independently by the build: 81.4

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Uses 40.7%
D: Gives the balance, not the interest

Type: instruction

GO DEEPER 1 — Interest rate versus APY · Question 3 of 5

Learn: APY (annual percentage yield) is the percent your money actually grows in one year. The stated interest rate is the yearly rate before compounding.

Why is APY usually a little higher than the stated interest rate?

A. Banks add a bonus to every account
B. APY includes extra deposits you plan to make later in the year
C. APY is the rate before taxes are added
D. Interest that is added during the year also earns interest

CORRECT ANSWER

D. Interest that is added during the year also earns interest

Feedback (shown after answering)

With compounding, earlier interest earns interest too, so the yearly yield is above the stated rate.

Why each other choice is wrong (misconception it represents)

A: Invents a bonus
B: Thinks APY includes future deposits
C: Confuses APY with taxes

Type: instruction

GO DEEPER 1 — Interest rate versus APY · Question 4 of 5

Learn: Most savings accounts have variable rates: the bank can raise or lower them, often when market interest rates change. A certificate of deposit usually locks a rate for its term.

A savings rate is "variable." What does that mean?

A. The bank can change the rate over time
B. The rate is fixed until the account is closed
C. The rate depends on how many times you log in
D. The rate is negative in some months

CORRECT ANSWER

A. The bank can change the rate over time

Feedback (shown after answering)

Variable means the bank may change it; past or advertised rates are not promises.

Why each other choice is wrong (misconception it represents)

B: Reverses variable and fixed
C: Invents a rule
D: Overstates the risk

Type: instruction

GO DEEPER 1 — Interest rate versus APY · Question 5 of 5

An ad shows "5.00% APY*", and the fine print says "*on balances up to $1,000; 0.50% APY on the amount above $1,000." Sara deposits $5,000. About how much interest will she earn in one year?

A. $25
B. $50
C. $70
D. $250

CORRECT ANSWER

C. $70

Feedback (shown after answering)

First $1,000 × 0.05 = $50. Remaining $4,000 × 0.005 = $20. Total ≈ $70.

Recomputed independently by the build: 70

Why each other choice is wrong (misconception it represents)

A: Applies 0.5% to the whole balance
B: Counts only the first $1,000
D: Applies 5% to the whole balance

Type: knowledge check

GO DEEPER 2 — Deposit insurance limits and ownership categories · Question 1 of 5

Learn: The $250,000 limit applies per depositor, per insured bank, per ownership category. Money at two different banks is insured separately. (Two "brands" of the same bank are one bank for insurance purposes.)

Marcus has $200,000 in an individual account at Bank A and $200,000 in an individual account at Bank B. Both banks are FDIC insured and separate. How much of his money is insured?

A. $0
B. $200,000
C. $250,000
D. $400,000

CORRECT ANSWER

D. $400,000

Feedback (shown after answering)

Each bank insures his $200,000 individually: $400,000 total.

Recomputed independently by the build: 400000

Why each other choice is wrong (misconception it represents)

A: Thinks large balances are never insured
B: Counts only one bank
C: Applies one limit across different banks

Type: instruction · rule as of $250,000 standard maximum, as of 2026

GO DEEPER 2 — Deposit insurance limits and ownership categories · Question 2 of 5

Learn: Joint accounts are a separate ownership category from individual accounts. Each co-owner's share of joint accounts at one bank is insured up to $250,000.

Sam and Pat own a joint account with $500,000 at one insured bank. Joint accounts are insured up to $250,000 per co-owner. How much is insured?

A. $125,000
B. $250,000
C. $500,000
D. $1,000,000

CORRECT ANSWER

C. $500,000

Feedback (shown after answering)

Two co-owners × $250,000 = $500,000 of coverage, which covers the whole balance.

Recomputed independently by the build: 500000

Why each other choice is wrong (misconception it represents)

A: Splits one limit between owners
B: Applies one limit to the whole joint account
D: Doubles the coverage twice

Type: instruction · rule as of $250,000 standard maximum, as of 2026

GO DEEPER 2 — Deposit insurance limits and ownership categories · Question 3 of 5

Which product is covered by FDIC insurance when bought at an insured bank?

A. Shares of an index fund
B. A cryptocurrency purchase
C. The contents of a safe deposit box
D. A 12-month certificate of deposit

CORRECT ANSWER

D. A 12-month certificate of deposit

Feedback (shown after answering)

CDs are deposits. Investments, crypto assets, and safe deposit box contents are not insured deposits.

Why each other choice is wrong (misconception it represents)

A: Thinks funds sold at banks are insured
B: Thinks crypto at a bank is insured
C: Thinks box contents are deposits

Type: knowledge check

GO DEEPER 2 — Deposit insurance limits and ownership categories · Question 4 of 5

Learn: Only deposits at FDIC-insured banks (or NCUA-insured credit unions) are covered by deposit insurance. The FDIC warns consumers about companies that misrepresent their products as FDIC insured.

A website for a company that sells crypto says, "Your funds are safe — like a bank." What should a careful saver conclude?

A. The funds must be FDIC insured
B. The company is a federally chartered bank
C. The NCUA insures every crypto platform that operates in the United States
D. That claim does not mean the funds are FDIC insured

CORRECT ANSWER

D. That claim does not mean the funds are FDIC insured

Feedback (shown after answering)

Comparisons to banks are not insurance. Check the FDIC's BankFind tool to see if an institution is an insured bank, and remember crypto assets are not deposits.

Why each other choice is wrong (misconception it represents)

A: Treats a comparison as a guarantee
B: Assumes a charter from wording
C: Confuses agencies and products

Type: instruction · practical how-to

GO DEEPER 2 — Deposit insurance limits and ownership categories · Question 5 of 5

Ella has $260,000 in one individual account at an insured bank and wants all of it insured. Which change would accomplish that most directly?

A. Move $10,000 or more to an account at a different insured bank
B. Split it into two individual accounts at the same bank
C. Ask the bank to raise her personal limit
D. Withdraw the extra $10,000 and invest it in stocks for added safety

CORRECT ANSWER

A. Move $10,000 or more to an account at a different insured bank

Feedback (shown after answering)

Coverage is per bank per category. Two individual accounts at the same bank share one $250,000 limit; a second bank adds coverage.

Why each other choice is wrong (misconception it represents)

B: Thinks multiple accounts in one category add coverage
C: Thinks the limit is negotiable
D: Thinks stocks are insured

Type: knowledge check · practical how-to

SET 7 · Money, Banking, and Financial Institutions

Checks, transfers, and payment apps

MAIN skill: Choose and use payment methods safely: checks, electronic transfers, and payment apps

Outcome FL.BANK.07 · National topic: Spending · NJSLS 9.1.12: FI

Learning target: Payment methods: checks, electronic payments, and payment apps; consumer protections

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

B1 · Concept review: Ways to pay (5 questions)

Why: Choosing a payment method safely requires knowing what each method is and where the money comes from.

B2 · Math link → G5-S12-M (Grade 5 5.NBT.A.3.a): Read and write decimals to thousandths using numerals and words

Why: Writing check amounts requires reading decimals and writing cents as hundredths.

After 5 of 5 correct, Go Deeper unlocks (a chain):

Go Deeper 1: Wires, ACH transfers, and official checks (5 questions)

Go Deeper 2: Payment app safety (5 questions)

Practical skills beyond the standards: Writing and endorsing checks; Mobile check deposit; Verifying wire instructions

Content status: time-sensitive

Source: CFPB (Regulation E, 12 CFR 1005.6) — Report unauthorized electronic transfers within 60 days after the statement showing them is sent; after that, liability can be unlimited for later transfers that timely notice would have prevented. https://www.consumerfinance.gov/rules-policy/regulations/1005/6/

Answer key for this set: M-Q1 A, M-Q2 D, M-Q3 D, M-Q4 A, M-Q5 A, B1-Q1 D, B1-Q2 D, B1-Q3 B, B1-Q4 A, B1-Q5 A, F1-Q1 D, F1-Q2 A, F1-Q3 D, F1-Q4 D, F1-Q5 A, F2-Q1 A, F2-Q2 D, F2-Q3 D, F2-Q4 A, F2-Q5 D

MAIN — Choose and use payment methods safely: checks, electronic transfers, and payment apps · Question 1 of 5

Learn: A check is a written order telling your bank to pay someone from your account. You write the date, the payee (who gets paid), the amount in numbers, the amount in words with cents as a fraction of 100, and your signature. The words are the legal amount if the two differ.

Nora writes a check for $1,254.07. How should she write the amount in words on the check?

A. One thousand two hundred fifty-four and 07/100 dollars
B. One thousand two hundred fifty-four and 7/10 dollars
C. Twelve hundred fifty-four point zero seven
D. One thousand two hundred forty-five and 07/100 dollars

CORRECT ANSWER

A. One thousand two hundred fifty-four and 07/100 dollars

Feedback (shown after answering)

$1,254.07 is written "One thousand two hundred fifty-four and 07/100 dollars."

Why each other choice is wrong (misconception it represents)

B: Writes 7 cents as 7 tenths
C: Uses "point" instead of the cents fraction
D: Transposes digits

Type: instruction · practical how-to

MAIN — Choose and use payment methods safely: checks, electronic transfers, and payment apps · Question 2 of 5

Learn: To deposit or cash a check made out to you, you "endorse" it by signing the back. Adding "For deposit only" (a restrictive endorsement) means the check can only be deposited, which protects it if it is lost. For mobile deposit, banks often require "For mobile deposit only" too.

Ben receives a paycheck made out to him and wants to deposit it at an ATM. What should he write on the back?

A. Nothing; endorsing a check is optional
B. His PIN, so the ATM can verify him
C. His account balance, so the bank can update it
D. His signature and "For deposit only"

CORRECT ANSWER

D. His signature and "For deposit only"

Feedback (shown after answering)

Signing with "For deposit only" endorses the check and limits it to being deposited.

Why each other choice is wrong (misconception it represents)

A: Thinks no endorsement is needed
B: Writes sensitive data on a check
C: Thinks the balance goes on the check

Type: instruction · practical how-to

MAIN — Choose and use payment methods safely: checks, electronic transfers, and payment apps · Question 3 of 5

Learn: Peer-to-peer (P2P) payment apps move money quickly between people. Money you send yourself, even when tricked, is usually treated as authorized and is often hard to get back. Federal error protections are strongest for transfers you did not authorize, such as when someone takes over your account. Use P2P apps mainly with people you know and trust.

Mia sends $60 through a payment app to someone selling concert tickets online. The tickets never arrive. Which statement is most accurate about getting the payment back?

A. The app must refund every payment that goes wrong
B. Her bank will reverse the payment automatically within one business day
C. The money is protected exactly like a stolen-card charge
D. Payments she authorized are often hard or impossible to reverse

CORRECT ANSWER

D. Payments she authorized are often hard or impossible to reverse

Feedback (shown after answering)

Because Mia authorized the payment, getting it back depends largely on the app's or bank's policies; she should report it quickly anyway.

Why each other choice is wrong (misconception it represents)

A: Assumes a guaranteed refund
B: Assumes automatic reversal
C: Confuses an authorized payment with an unauthorized transfer

Type: instruction

MAIN — Choose and use payment methods safely: checks, electronic transfers, and payment apps · Question 4 of 5

Learn: Mobile check deposit lets you photograph a signed check in your bank's app. The bank may hold part of the money for a few days. Keep the paper check until the deposit is final, then destroy it securely so it cannot be deposited twice or misused.

After depositing a check with his phone, what should Kai do with the paper check?

A. Keep it until the deposit is final, then destroy it
B. Deposit the same check again at the bank to be safe
C. Throw it in the trash right after taking the photo
D. Give it back to the person who wrote it

CORRECT ANSWER

A. Keep it until the deposit is final, then destroy it

Feedback (shown after answering)

Keep it until the funds are final in case the bank needs it, then shred it.

Why each other choice is wrong (misconception it represents)

B: Double deposit; can be fraud
C: Discards it before the deposit is confirmed
D: Unnecessary and exposes account data

Type: instruction · practical how-to

MAIN — Choose and use payment methods safely: checks, electronic transfers, and payment apps · Question 5 of 5

Zara's landlord asks for rent in a way that leaves a record of payment. Which method fits BEST?

A. A check or an electronic transfer from her bank account
B. Cash handed over without a receipt
C. A gift card code sent by text
D. A wire transfer to an account number she has never verified

CORRECT ANSWER

A. A check or an electronic transfer from her bank account

Feedback (shown after answering)

Checks and bank transfers leave records Zara can use as proof of payment.

Why each other choice is wrong (misconception it represents)

B: No record of payment
C: Untraceable and common in scams
D: Irreversible and risky if unverified

Type: knowledge check

BACKWARD B1 · concept review — Ways to pay · Question 1 of 5

Learn: Common ways to pay: cash; debit cards and checks (from your account); electronic transfers such as online bill pay and automatic payments (from your account, electronically); credit cards (borrowed money); and prepaid or gift cards (money loaded in advance).

Which payment method moves money directly from your bank account electronically on a date you set?

A. A paper check that the store mails to you each month
B. A credit card
C. A store gift card
D. An online bill payment or automatic transfer

CORRECT ANSWER

D. An online bill payment or automatic transfer

Feedback (shown after answering)

Online bill pay and automatic payments take money from your account electronically.

Why each other choice is wrong (misconception it represents)

A: Confuses who writes the check
B: Confuses borrowing with paying from your account
C: Confuses prepaid value with an account payment

Type: instruction

BACKWARD B1 · concept review — Ways to pay · Question 2 of 5

Learn: A payment record proves you paid. Bank statements, cleared checks, and confirmation numbers are records. Cash leaves no record unless you get a receipt.

Which method gives the LEAST proof that you paid?

A. A check that the bank later shows as cleared
B. A debit card purchase listed on the statement
C. An online bill payment with a confirmation number
D. Cash with no receipt

CORRECT ANSWER

D. Cash with no receipt

Feedback (shown after answering)

Cash without a receipt leaves no proof of payment.

Why each other choice is wrong (misconception it represents)

A: A cleared check is a record
B: Statements are records
C: Confirmations are records

Type: instruction

BACKWARD B1 · concept review — Ways to pay · Question 3 of 5

Learn: A prepaid or gift card holds a set amount of money. Each purchase is subtracted until the card reaches $0.

A gift card loaded with $50 is used to buy a $12 item. What is left on the card?

A. $12
B. $38
C. $50
D. $62

CORRECT ANSWER

B. $38

Feedback (shown after answering)

$50 − $12 = $38.

Recomputed independently by the build: 38

Why each other choice is wrong (misconception it represents)

A: Confuses the price with what is left
C: Thinks the card balance does not change
D: Adds instead of subtracting

Type: instruction

BACKWARD B1 · concept review — Ways to pay · Question 4 of 5

Who is the "payee" on a check?

A. The person or business that receives the money
B. The account holder who signs and writes the check
C. The bank that prints the check
D. The cashier who accepts the check

CORRECT ANSWER

A. The person or business that receives the money

Feedback (shown after answering)

The payee is named on the "Pay to the order of" line.

Why each other choice is wrong (misconception it represents)

B: Confuses payee with the account holder
C: Confuses payee with the bank
D: Confuses payee with an employee

Type: knowledge check

BACKWARD B1 · concept review — Ways to pay · Question 5 of 5

Which situation makes a payment app MOST risky to use?

A. Paying a stranger online before receiving the item
B. Splitting a dinner bill with a close friend
C. Paying a family member back for groceries
D. Sending rent money to a roommate you have lived with for a year

CORRECT ANSWER

A. Paying a stranger online before receiving the item

Feedback (shown after answering)

Paying strangers in advance is how many P2P scams work, because payments are hard to reverse.

Why each other choice is wrong (misconception it represents)

B: Low risk
C: Low risk
D: Low risk

Type: knowledge check

GO DEEPER 1 — Wires, ACH transfers, and official checks · Question 1 of 5

Learn: A wire transfer moves money between banks quickly, often the same day, and is generally final once sent. ACH transfers (used for direct deposit and online bill pay) move money between bank accounts more slowly and have some ways to return errors. Scammers often ask for wires because they are fast and hard to reverse.

Which payment is generally the hardest to reverse once sent?

A. A credit card purchase
B. A check that has not been cashed yet
C. A debit card purchase you did not authorize
D. A wire transfer

CORRECT ANSWER

D. A wire transfer

Feedback (shown after answering)

Wires are fast and generally final, which is why scammers prefer them.

Why each other choice is wrong (misconception it represents)

A: Credit card disputes are available
B: A stop payment may be possible
C: Unauthorized transfers are protected

Type: instruction

GO DEEPER 1 — Wires, ACH transfers, and official checks · Question 2 of 5

Learn: A cashier's check is drawn on the bank's own funds, so a real one is very reliable. But fake cashier's checks are common. The bank may make the money available before discovering the check is fake; when it bounces, you owe the bank the full amount.

A buyer sends Liam a cashier's check for $1,500 for a $500 phone and asks him to wire back the extra $1,000. What is most likely happening?

A. A fake-check scam
B. A generous buyer making an honest mistake
C. A normal practice for cashier's checks
D. A bank error that the bank will cover

CORRECT ANSWER

A. A fake-check scam

Feedback (shown after answering)

Overpayment with a request to send money back is a classic fake-check scam. Liam would owe the bank when the check bounces.

Why each other choice is wrong (misconception it represents)

B: Ignores the classic overpayment scam pattern
C: Thinks overpay-and-refund is normal
D: Thinks the bank absorbs fraud losses

Type: instruction

GO DEEPER 1 — Wires, ACH transfers, and official checks · Question 3 of 5

Learn: The ACH (Automated Clearing House) network moves money electronically between bank accounts in batches. It is cheaper and slower than a wire transfer.

Which is a typical use of an ACH transfer?

A. Buying groceries with cash
B. Paying a bill with a paper money order bought at a store
C. Swiping a credit card at a store
D. An employer's direct deposit of paychecks

CORRECT ANSWER

D. An employer's direct deposit of paychecks

Feedback (shown after answering)

Direct deposit and many automatic bill payments use the ACH network.

Why each other choice is wrong (misconception it represents)

A: Not electronic
B: Paper instrument
C: Card network, not ACH

Type: instruction

GO DEEPER 1 — Wires, ACH transfers, and official checks · Question 4 of 5

Learn: Criminals hack or fake emails and send new "updated" wire instructions so money goes to their account. Because wires are hard to reverse, verify instructions through a trusted phone number, not one in the suspicious email.

Before wiring money for a home or apartment deposit, what is the safest step?

A. Use the instructions in the most recent email, even if they changed
B. Wire the money quickly so you do not lose the apartment
C. Ask the sender to text you the account number again
D. Call a phone number you already know is real to confirm the instructions

CORRECT ANSWER

D. Call a phone number you already know is real to confirm the instructions

Feedback (shown after answering)

Independent verification defeats changed-instructions scams.

Why each other choice is wrong (misconception it represents)

A: Common email-hacking scam
B: Pressure tactic
C: Uses the same possibly hacked channel

Type: instruction · practical how-to

GO DEEPER 1 — Wires, ACH transfers, and official checks · Question 5 of 5

Learn: Until a check is paid by your bank, you can ask the bank not to pay it. Banks usually charge a fee for this service, and it does not work on a check that has already cleared.

Ruth wrote a check and then learned it was lost in the mail before it was cashed. What service could stop it?

A. A stop payment order through her bank
B. A wire recall, which works on all checks
C. Reporting the check to the IRS
D. Writing a second check for the same amount

CORRECT ANSWER

A. A stop payment order through her bank

Feedback (shown after answering)

A stop payment order tells the bank not to pay that check, if it has not already cleared.

Why each other choice is wrong (misconception it represents)

B: Confuses wires with checks
C: Wrong agency
D: Risks paying twice

Type: instruction · practical how-to

GO DEEPER 2 — Payment app safety · Question 1 of 5

Learn: A common scam claims you received money "by mistake" and asks you to send it back. Sometimes the original payment was made with stolen information and is later reversed, leaving you with the loss. Verify inside your own app or bank, never through a link or message.

Someone texts Ava: "I sent you $200 by mistake — please send it back!" Her app shows no new money in her account. What should she do?

A. Check her own account directly and send nothing
B. Send $200 back right away to be polite
C. Reply with her bank login so they can fix it
D. Send $100 as a compromise

CORRECT ANSWER

A. Check her own account directly and send nothing

Feedback (shown after answering)

Without verified money in her own account, there is nothing to return. Even if money did arrive, contact the app's support rather than sending money.

Why each other choice is wrong (misconception it represents)

B: Falls for the mistaken-payment scam
C: Shares credentials
D: Still sends money to a scammer

Type: instruction · practical how-to

GO DEEPER 2 — Payment app safety · Question 2 of 5

Which setting adds the most protection to a payment app?

A. Sharing your login with a parent and a friend so they can watch for fraud
B. Using the same password as your email
C. Turning off notifications
D. Multi-factor authentication and a passcode on the app

CORRECT ANSWER

D. Multi-factor authentication and a passcode on the app

Feedback (shown after answering)

Multi-factor authentication and an app passcode make unauthorized access much harder.

Why each other choice is wrong (misconception it represents)

A: Increases exposure
B: Password reuse risk
C: Removes warnings

Type: knowledge check · practical how-to

GO DEEPER 2 — Payment app safety · Question 3 of 5

Learn: Real banks and payment apps do not ask you to move money to a "safe account" to protect it. Imposters pretend to be bank staff, tech support, or government officials and create urgency.

A "customer support" caller says your payment app is hacked and asks you to send your balance to a "safe account." What is this?

A. A standard security procedure
B. A government requirement
C. A normal account-security check
D. An imposter scam

CORRECT ANSWER

D. An imposter scam

Feedback (shown after answering)

Any request to move money to protect it is a red flag for an imposter scam. Hang up and call the official number.

Why each other choice is wrong (misconception it represents)

A: Real companies do not ask this
B: Invents a rule
C: Believes real support asks for codes

Type: instruction

GO DEEPER 2 — Payment app safety · Question 4 of 5

Which payment is generally protected under federal error rules (Regulation E)?

A. A transfer someone else made from your account without permission
B. A payment you chose to send to an online seller who never shipped
C. A payment you sent to the wrong person after typing their name
D. Money you lost gambling with an app

CORRECT ANSWER

A. A transfer someone else made from your account without permission

Feedback (shown after answering)

Regulation E protections focus on unauthorized transfers and certain errors; payments you authorize, even to scammers, are often not covered.

Why each other choice is wrong (misconception it represents)

B: Authorized payment
C: Authorized but mistaken
D: Authorized activity

Type: knowledge check

GO DEEPER 2 — Payment app safety · Question 5 of 5

Before sending money with a payment app to someone new, which step lowers the risk the MOST?

A. Sending a small test payment to a stranger
B. Checking that the stranger's profile has a photo and many friends
C. Asking the stranger to promise to deliver
D. Confirming who the recipient is through a source you trust

CORRECT ANSWER

D. Confirming who the recipient is through a source you trust

Feedback (shown after answering)

Verifying who you are paying, through a channel you trust, protects against paying an imposter or scammer, since app payments you send are hard to reverse.

Why each other choice is wrong (misconception it represents)

A: Still pays a stranger
B: Photos are easy to fake
C: Promises are not protection

Type: knowledge check · practical how-to

SET 8 · Earning Income, Employment, and Paychecks

Hourly wages and overtime

MAIN skill: Calculate gross pay for hourly work, including overtime

Outcome FL.INCOME.08 · National topic: Earning Income · NJSLS 9.1.12: PB

Learning target: Calculate gross pay for hourly work; overtime and tipped wages

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Wages, hours, and gross pay (5 questions)
  Why: Gross pay and overtime problems require knowing that a wage is pay per hour and how hours convert to decimals.
- B2 · Math link → G6-S19-M (Grade 6 6.NS.B.3): Multiply multi-digit decimals
  Why: Gross pay multiplies a decimal wage by decimal hours.
- B3 · Math link → G6-S03-M (Grade 6 6.RP.A.2): Find and describe a unit rate
  Why: An hourly wage is a unit rate (dollars per hour).

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Overtime rules in detail (5 questions)
- Go Deeper 2: Tips and tipped wages (5 questions)

Practical skills beyond the standards: Reading a timecard

Content status: time-sensitive

Source: U.S. Department of Labor — Under the FLSA, covered nonexempt employees receive overtime pay of at least 1.5 times the regular rate for hours over 40 in a workweek; some states set a higher minimum wage than the federal one. https://www.dol.gov/agencies/whd/overtime

Source: IRS (Publication 531) — Employees who receive $20 or more in cash and charged tips in a month from one employer must report them to that employer; all tips, including noncash tips, are income. https://www.irs.gov/publications/p531

Source: IRS (No tax on tips deduction) — A new deduction for qualified tips (tax years 2025-2028, with limits) lowers income tax only; tips still must be reported, and Social Security and Medicare taxes still apply. https://www.irs.gov/newsroom/what-the-no-tax-on-tips-deduction-means-for-you

Answer key for this set: M-Q1 C, M-Q2 C, M-Q3 A, M-Q4 C, M-Q5 A, B1-Q1 D, B1-Q2 D, B1-Q3 D, B1-Q4 A, B1-Q5 C, F1-Q1 D, F1-Q2 A, F1-Q3 B, F1-Q4 A, F1-Q5 B, F2-Q1 D, F2-Q2 C, F2-Q3 D, F2-Q4 B, F2-Q5 A

MAIN — Calculate gross pay for hourly work, including overtime · Question 1 of 5

Learn: An hourly wage is the amount paid for each hour of work. Gross pay is the total earned before taxes or any other deductions are taken out. For hourly work: gross pay = hourly wage × hours worked.

Jada earns $16.50 per hour and works 24 hours this week. What is her gross pay for the week?

A. $40.50
B. $384.00
C. $396.00
D. $3,960.00

CORRECT ANSWER

C. $396.00

Feedback (shown after answering)

$16.50 × 24 = $396.00.

Recomputed independently by the build: 396

Why each other choice is wrong (misconception it represents)

A: Adds the wage and the hours
B: Rounds the wage down to $16
D: Misplaces the decimal point

Type: instruction

MAIN — Calculate gross pay for hourly work, including overtime · Question 2 of 5

Learn: Federal law (the Fair Labor Standards Act) requires covered, nonexempt employees to be paid at least 1.5 times their regular rate for hours over 40 in a workweek: "time and a half." Hours up to 40 are paid at the regular rate. Some jobs are exempt from overtime.

Malik is a covered, nonexempt hourly employee who earns $18 per hour. He works 46 hours in one workweek. Under the federal overtime rule, what is his gross pay?

A. $828
B. $855
C. $882
D. $1,242

CORRECT ANSWER

C. $882

Feedback (shown after answering)

Regular: 40 × $18 = $720. Overtime rate: $18 × 1.5 = $27. Overtime: 6 × $27 = $162. Total: $882.

Recomputed independently by the build: 882

Why each other choice is wrong (misconception it represents)

A: Pays every hour at the regular rate
B: Uses 1.25 instead of 1.5 for overtime
D: Pays every hour at the overtime rate

Type: instruction

MAIN — Calculate gross pay for hourly work, including overtime · Question 3 of 5

Learn: Paychecks show two key amounts. Gross pay is everything earned for the period. Net pay ("take-home pay") is what is left after deductions such as taxes and benefit costs, and it is what is actually deposited.

Malik's pay stub shows "Gross pay: $882." What does gross pay mean?

A. His total earnings before any deductions
B. The amount deposited into his bank account
C. His pay after taxes but before his retirement contribution
D. The overtime portion of his paycheck only

CORRECT ANSWER

A. His total earnings before any deductions

Feedback (shown after answering)

Gross pay is the total earned before deductions; net pay is what he takes home.

Why each other choice is wrong (misconception it represents)

B: Confuses gross pay with net pay
C: Thinks gross pay is partly after deductions
D: Thinks gross means overtime

Type: instruction

MAIN — Calculate gross pay for hourly work, including overtime · Question 4 of 5

Learn: Timecards often record hours in decimals: 15 minutes is 0.25 hour, 30 minutes is 0.5 hour, and 45 minutes is 0.75 hour. Add the hours first, then multiply by the hourly wage.

Ana's timecard shows Monday 6.5 hours, Wednesday 4.25 hours, and Saturday 8 hours. She earns $15.20 per hour. What is her gross pay?

A. $28.50
B. $273.60
C. $285.00
D. $296.40

CORRECT ANSWER

C. $285.00

Feedback (shown after answering)

6.5 + 4.25 + 8 = 18.75 hours. $15.20 × 18.75 = $285.00.

Recomputed independently by the build: 285

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal point
B: Drops the quarter hour and uses 18 hours
D: Adds the hours incorrectly as 19.5

Type: instruction

MAIN — Calculate gross pay for hourly work, including overtime · Question 5 of 5

Two summer jobs require 30 hours a week. Job A pays $17.25 per hour. Job B pays a flat $500 per week. Which pays more per week, and by how much?

A. Job A, by $17.50
B. Job B, by $17.50
C. Job A, by $17.25
D. They pay the same amount

CORRECT ANSWER

A. Job A, by $17.50

Feedback (shown after answering)

Job A: 30 × $17.25 = $517.50, which is $17.50 more than $500.
Recomputed independently by the build: 17.5

Why each other choice is wrong (misconception it represents)

B: Reverses the comparison
C: Uses one hour's wage as the difference
D: Does not compute the hourly total

Type: knowledge check

BACKWARD B1 · concept review — Wages, hours, and gross pay · Question 1 of 5

Learn: A wage is a rate: dollars per hour. The more hours you work, the more you earn.

A job pays $14 per hour. What does that mean?

A. The worker earns $14 for the whole day
B. The worker earns $14 per week no matter the hours
C. The worker pays $14 for each hour of training
D. The worker earns $14 for each hour worked

CORRECT ANSWER

D. The worker earns $14 for each hour worked

Feedback (shown after answering)

$14 per hour means $14 for every hour worked.

Why each other choice is wrong (misconception it represents)

A: Confuses a wage with a daily amount
B: Confuses a wage with a weekly salary
C: Reverses who pays

Type: instruction

BACKWARD B1 · concept review — Wages, hours, and gross pay · Question 2 of 5

Learn: Earnings for hourly work = wage × hours.

Rina earns $14 per hour and works 10 hours. How much does she earn?

A. $1.40
B. $14
C. $24
D. $140

CORRECT ANSWER

D. $140

Feedback (shown after answering)

$14 × 10 = $140.

Recomputed independently by the build: 140

Why each other choice is wrong (misconception it represents)

A: Divides instead of multiplying
B: Uses one hour only
C: Adds instead of multiplying

Type: instruction

BACKWARD B1 · concept review — Wages, hours, and gross pay · Question 3 of 5

Learn: An hour has 60 minutes. To change minutes to part of an hour, divide by 60: 15 ÷ 60 = 0.25.

How many hours is 7 hours and 15 minutes, written as a decimal?

A. 7.15 hours
B. 7.5 hours
C. 7.75 hours
D. 7.25 hours

CORRECT ANSWER

D. 7.25 hours

Feedback (shown after answering)

15 minutes = 15/60 = 0.25 hour, so 7 h 15 min = 7.25 hours.

Recomputed independently by the build: 7.25

Why each other choice is wrong (misconception it represents)

A: Writes minutes as hundredths of an hour
B: Treats 15 minutes as half an hour
C: Treats 15 minutes as three quarters

Type: instruction

BACKWARD B1 · concept review — Wages, hours, and gross pay · Question 4 of 5

Learn: "Gross" pay is the full amount earned. "Net" pay, also called take-home pay, is what remains after deductions.

Which number on a paycheck shows earnings BEFORE taxes are taken out?

A. Gross pay
B. Net pay
C. Take-home pay
D. Direct deposit amount

CORRECT ANSWER

A. Gross pay

Feedback (shown after answering)

Gross pay is before deductions.

Why each other choice is wrong (misconception it represents)

B: Confuses net with gross
C: Another name for net pay
D: This is the net amount

Type: instruction

BACKWARD B1 · concept review — Wages, hours, and gross pay · Question 5 of 5

Learn: A raise in the hourly wage adds that amount for every hour worked.

Leo's wage rises from $15 to $16 per hour. He works 20 hours a week. How much more does he earn each week?

A. $1
B. $16
C. $20
D. $320

CORRECT ANSWER

C. $20

Feedback (shown after answering)

$1 more per hour × 20 hours = $20 more per week.

Recomputed independently by the build: 20

Why each other choice is wrong (misconception it represents)

A: Gives the raise per hour, not per week
B: Gives the new wage
D: Gives his new weekly pay

Type: instruction

GO DEEPER 1 — Overtime rules in detail · Question 1 of 5

Learn: Federal overtime is based on hours in a WORKWEEK (any fixed, repeating 7-day period), not hours in a day. A few states also require daily overtime, so state law can add protection.

Jon works 10 hours a day, Monday through Thursday, and no other hours that week. Under the federal rule, how many overtime hours does he earn?

A. 8 hours
B. 2 hours
C. 10 hours
D. 0 hours

CORRECT ANSWER

D. 0 hours

Feedback (shown after answering)

4 × 10 = 40 hours, which is not over 40 in the workweek, so there is no federal overtime. A state with daily overtime rules could require more.

Recomputed independently by the build: 0

Why each other choice is wrong (misconception it represents)

A: Counts hours over 8 each day
B: Counts one long day
C: Counts one whole day as overtime

Type: instruction

GO DEEPER 1 — Overtime rules in detail · Question 2 of 5

Learn: Some salaried employees are "exempt" from overtime because they are paid at least a minimum salary and their main duties are executive, administrative, or professional. Being paid a salary alone does not make someone exempt; the duties test also matters.

A salaried store manager meets the legal tests for an "exempt" employee and works 50 hours one week. What overtime pay does federal law require?

A. No overtime pay is required
B. Time and a half for the 10 extra hours
C. Double time for every hour over 40
D. One extra day off for each hour over 40

CORRECT ANSWER

A. No overtime pay is required

Feedback (shown after answering)

Exempt employees are not entitled to overtime pay under federal law, even for long weeks.

Why each other choice is wrong (misconception it represents)

B: Applies the nonexempt rule
C: Invents a double-time rule
D: Invents a time-off rule

Type: instruction

GO DEEPER 1 — Overtime rules in detail · Question 3 of 5

Pia is a covered, nonexempt employee who earns $20 per hour and works 52 hours in one workweek. Under the federal overtime rule, what is her gross pay?

A. $1,040
B. $1,160
C. $1,280
D. $1,560

CORRECT ANSWER

B. $1,160

Feedback (shown after answering)

40 × $20 = $800; 12 × $30 = $360; total $1,160.

Recomputed independently by the build: 1160

Why each other choice is wrong (misconception it represents)

A: Pays every hour at the regular rate
C: Pays overtime at double time
D: Pays every hour at time and a half

Type: knowledge check

GO DEEPER 1 — Overtime rules in detail · Question 4 of 5

Learn: The federal overtime law does not require extra pay for holidays or weekends. Many employers offer holiday pay as a policy, and union contracts may require it, but that is not the federal rule.

Does federal law require employers to pay time and a half for working on a holiday, when the week totals 32 hours?

A. No; it depends on employer policy
B. Yes, for every federal holiday
C. Yes, but only on weekends
D. Yes, if the employee asks for it in writing

CORRECT ANSWER

A. No; it depends on employer policy

Feedback (shown after answering)

Holiday premium pay comes from employer policy or contracts, not the FLSA; at 32 hours, no overtime applies.

Why each other choice is wrong (misconception it represents)

B: Confuses common policy with law
C: Invents a weekend rule
D: Invents a request rule

Type: instruction

GO DEEPER 1 — Overtime rules in detail · Question 5 of 5

Job A pays $19 per hour and usually schedules 45 hours a week (overtime applies). How much does Job A pay for a typical week?

A. $855.00
B. $902.50
C. $950.00
D. $1,282.50

CORRECT ANSWER

B. $902.50

Feedback (shown after answering)

40 × $19 = $760; overtime rate $28.50 × 5 = $142.50; total $902.50.
Recomputed independently by the build: 902.5

Why each other choice is wrong (misconception it represents)

A: Pays every hour at the regular rate
C: Pays the overtime hours at double time
D: Pays every hour at time and a half

Type: knowledge check

GO DEEPER 2 — Tips and tipped wages · Question 1 of 5

Learn: In many restaurant jobs, pay has two parts: an hourly cash wage from the employer and tips from customers. Some states allow a lower cash wage for tipped workers (a "tip credit"), and others require the full minimum wage before tips.

Kai, a server, worked 25 hours at a cash wage of $5.00 per hour and earned $410 in tips. What were his total earnings for the week?

A. $125
B. $410
C. $440
D. $535

CORRECT ANSWER

D. $535

Feedback (shown after answering)

25 × $5.00 = $125; $125 + $410 = $535.

Recomputed independently by the build: 535

Why each other choice is wrong (misconception it represents)

A: Leaves out tips
B: Leaves out the cash wage
C: Adds hours instead of wage × hours

Type: instruction

GO DEEPER 2 — Tips and tipped wages · Question 2 of 5

Kai earned $535 in wages and tips for 25 hours of work. What were his average earnings per hour?

A. $5.00
B. $16.40
C. $21.40
D. $22.40

CORRECT ANSWER

C. $21.40

Feedback (shown after answering)

$535 ÷ 25 = $21.40 per hour.

Recomputed independently by the build: 21.4

Why each other choice is wrong (misconception it represents)

A: Uses only the cash wage
B: Uses only tips per hour
D: Divides incorrectly

Type: knowledge check

GO DEEPER 2 — Tips and tipped wages · Question 3 of 5

Learn: Tips are taxable income. An employee who receives $20 or more in cash and charged (card) tips in a month at one job must report them to that employer, who includes them in payroll and withholding. Noncash tips (such as tickets) are not reported to the employer but are still income. A deduction for some qualified tips, available in recent tax years, can lower income tax, but tips must still be reported, and Social Security and Medicare taxes still apply.

Kai, a restaurant employee, received $410 in cash and card tips this month at one job. What does the IRS require?

A. Nothing; tips are gifts and never taxed
B. He reports tips only in months when they exceed $1,000 in total
C. Nothing, because a tip deduction means tips are no longer reported
D. He reports them to his employer; they are taxable income

CORRECT ANSWER

D. He reports them to his employer; they are taxable income

Feedback (shown after answering)

Monthly cash and card tips of $20 or more must be reported to the employer, and tips are taxable.

Why each other choice is wrong (misconception it represents)

A: Thinks tips are tax-free gifts
B: Invents a threshold
C: Confuses a possible income tax deduction with reporting

Type: instruction · rule as of IRS rules as of 2026

GO DEEPER 2 — Tips and tipped wages · Question 4 of 5

Learn: When an employer pays a lower cash wage and counts tips toward the minimum wage, the employer must make up the difference if wages plus tips fall below the applicable minimum wage for the hours worked. Minimum wages and tip-credit rules differ by state; the federal minimum is lower than many state minimums.

Lia works in a state whose applicable minimum wage is $15.00 per hour and that allows a tip credit. She works 20 hours at a $5.00 cash wage and earns $150 in tips. Her wages plus tips must reach at least the minimum wage for those hours. How much must her employer add?

A. $0
B. $50
C. $150
D. $200

CORRECT ANSWER

B. $50

Feedback (shown after answering)

Required: 20 × $15 = $300. She received $100 + $150 = $250. The employer must add $50.

Recomputed independently by the build: 50

Why each other choice is wrong (misconception it represents)

A: Ignores the shortfall
C: Gives her tips as the amount owed
D: Ignores the tips she received

Type: instruction

GO DEEPER 2 — Tips and tipped wages · Question 5 of 5

Kai's tips vary from $250 to $500 a week. Which budgeting approach is safest?

A. Plan around a lower weekly amount and save the extra
B. Plan around his best week ever
C. Plan around the average and spend any extra right away
D. Ignore tips completely and skip budgeting

CORRECT ANSWER

A. Plan around a lower weekly amount and save the extra

Feedback (shown after answering)

With uneven income, budgeting on a conservative amount and saving surpluses smooths slow weeks.

Why each other choice is wrong (misconception it represents)

B: Budgets on the highest income
C: Leaves no cushion for slow weeks
D: Avoids planning

Type: knowledge check

SET 9 · Earning Income, Employment, and Paychecks

Salaries, hourly pay, and pay periods

MAIN skill: Convert between annual salary, hourly pay, and pay per paycheck

Outcome FL.INCOME.09 · National topic: Earning Income · NJSLS 9.1.12: PB

Learning target: Compare compensation: hourly wages, salaries, and pay periods

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Weeks, months, and years in pay (5 questions)
  Why: Converting pay requires knowing how many weeks and months are in a year and that a month is about 4.33 weeks, not 4.
- B2 · Math link → G6-S20-M (Grade 6 6.NS.B.3): Divide multi-digit decimals
  Why: Pay-per-period problems divide yearly pay by the number of paychecks.
- B3 · Math link → G7-S07-M (Grade 7 7.RP.A.3): Solve multistep ratio problems
  Why: Converting between hourly, weekly, monthly, and yearly pay chains several rates.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Comparing job offers by yearly pay (5 questions)
- Go Deeper 2: Raises and percent changes in pay (5 questions)

Practical skills beyond the standards: Comparing job offers by yearly pay

Content status: stable

Answer key for this set: M-Q1 B, M-Q2 B, M-Q3 B, M-Q4 D, M-Q5 D, B1-Q1 C, B1-Q2 A, B1-Q3 C, B1-Q4 D, B1-Q5 D, F1-Q1 D, F1-Q2 C, F1-Q3 A, F1-Q4 D, F1-Q5 A, F2-Q1 B, F2-Q2 B, F2-Q3 D, F2-Q4 C, F2-Q5 A

MAIN — Convert between annual salary, hourly pay, and pay per paycheck · Question 1 of 5

Learn: A salary is a fixed yearly amount, often paid in equal paychecks. To compare a salary with an hourly wage, use the number of hours worked in a year. A common full-time estimate is 40 hours × 52 weeks = 2,080 hours.

A full-time job pays a salary of $41,600 per year. Full-time is 40 hours a week for 52 weeks (2,080 hours). What is the equivalent hourly rate?

A. $10.00
B. $20.00
C. $800.00
D. $3,466.67

CORRECT ANSWER

B. $20.00

Feedback (shown after answering)

$41,600 ÷ 2,080 = $20.00 per hour.

Recomputed independently by the build: 20

Why each other choice is wrong (misconception it represents)

A: Uses 4,160 hours
C: Gives the weekly pay
D: Gives the monthly pay

Type: instruction

MAIN — Convert between annual salary, hourly pay, and pay per paycheck · Question 2 of 5

Learn: Pay frequency affects each paycheck's size: weekly = 52 paychecks per year; biweekly (every two weeks) = 26; semimonthly (twice a month, such as the 1st and 15th) = 24; monthly = 12.

Ryan earns $41,600 a year, paid biweekly (every two weeks). What is his gross pay per paycheck?

A. $800.00
B. $1,600.00
C. $1,733.33
D. $3,466.67

CORRECT ANSWER

B. $1,600.00

Feedback (shown after answering)

$41,600 ÷ 26 = $1,600.00 per biweekly paycheck.

Recomputed independently by the build: 1600

Why each other choice is wrong (misconception it represents)

A: Uses 52 paychecks (weekly)
C: Uses 24 paychecks (semimonthly)
D: Uses 12 paychecks (monthly)

Type: instruction

MAIN — Convert between annual salary, hourly pay, and pay per paycheck · Question 3 of 5

Erin earns $41,600 a year, paid semimonthly (twice a month, 24 paychecks a year). What is her gross pay per paycheck (to the nearest cent)?

A. $1,600.00
B. $1,733.33
C. $1,840.00
D. $3,466.67

CORRECT ANSWER

B. $1,733.33

Feedback (shown after answering)

Semimonthly means 24 paychecks: $41,600 ÷ 24 = $1,733.33.
Recomputed independently by the build: 1733.333333

Why each other choice is wrong (misconception it represents)

A: Uses 26 paychecks
C: Uses 22.6 paychecks
D: Uses 12 paychecks

Type: knowledge check

MAIN — Convert between annual salary, hourly pay, and pay per paycheck · Question 4 of 5

Dev earns $22 per hour and works 40 hours a week for 52 weeks. What is his yearly gross pay?

A. $880
B. $3,813.33
C. $42,240
D. $45,760

CORRECT ANSWER

D. $45,760

Feedback (shown after answering)

$22 × 40 × 52 = $45,760.

Recomputed independently by the build: 45760

Why each other choice is wrong (misconception it represents)

A: Gives one week of pay
B: Gives one month of pay
C: Uses 48 weeks

Type: knowledge check

MAIN — Convert between annual salary, hourly pay, and pay per paycheck · Question 5 of 5

Learn: A year has 12 months but 52 weeks. Schedules based on weeks do not line up evenly with months, while schedules based on dates in the month always do.

Which pay schedule gives a worker three paychecks in two months of most years?

A. Semimonthly (twice a month)
B. Monthly
C. Annual
D. Biweekly (every two weeks)

CORRECT ANSWER

D. Biweekly (every two weeks)

Feedback (shown after answering)

Biweekly pay gives 26 paychecks a year, so two months have three paychecks. Semimonthly is always two per month.

Why each other choice is wrong (misconception it represents)

A: Always exactly two per month
B: Always one per month
C: One per year

Type: instruction

BACKWARD B1 · concept review — Weeks, months, and years in pay · Question 1 of 5

Learn: A year has 52 weeks (and a day or two more). Since 52 ÷ 12 ≈ 4.33, a month is about 4.33 weeks, not exactly 4.

How many weeks are in a year?

A. 12
B. 48
C. 52
D. 365

CORRECT ANSWER

C. 52

Feedback (shown after answering)

A year has 52 weeks.

Recomputed independently by the build: 52

Why each other choice is wrong (misconception it represents)

A: Confuses weeks with months
B: Assumes 4 weeks in every month
D: Confuses weeks with days

Type: instruction

BACKWARD B1 · concept review — Weeks, months, and years in pay · Question 2 of 5

Learn: To turn weekly pay into monthly pay accurately, find yearly pay first (× 52), then divide by 12.

Tom earns $500 a week. Which is the best estimate of his MONTHLY pay?

A. About $2,167
B. $2,000
C. $6,000
D. $125

CORRECT ANSWER

A. About $2,167

Feedback (shown after answering)

$500 × 52 = $26,000 per year; ÷ 12 ≈ $2,167 per month.

Recomputed independently by the build: 2166.666667

Why each other choice is wrong (misconception it represents)

B: Assumes exactly 4 weeks per month
C: Multiplies by 12
D: Divides by 4

Type: instruction

BACKWARD B1 · concept review — Weeks, months, and years in pay · Question 3 of 5

Learn: To turn monthly pay into yearly pay, multiply by 12.

A job pays $2,400 per month. What is the yearly pay?

A. $200
B. $9,600
C. $28,800
D. $124,800

CORRECT ANSWER

C. $28,800

Feedback (shown after answering)

$2,400 × 12 = $28,800.

Recomputed independently by the build: 28800

Why each other choice is wrong (misconception it represents)

A: Divides by 12
B: Multiplies by 4
D: Multiplies by 52

Type: instruction

BACKWARD B1 · concept review — Weeks, months, and years in pay · Question 4 of 5

Learn: Hourly workers are paid for each hour worked. Salaried workers are paid a set amount per year, usually split evenly across paychecks, regardless of small changes in hours.

What is a "salary"?

A. Pay that changes with every hour worked
B. Money earned only from tips
C. A bonus paid at the end of the year
D. A set yearly amount, paid in paychecks

CORRECT ANSWER

D. A set yearly amount, paid in paychecks

Feedback (shown after answering)

A salary is a set annual amount paid in regular paychecks.

Why each other choice is wrong (misconception it represents)

A: Describes hourly pay
B: Describes tips
C: Describes a bonus

Type: instruction

BACKWARD B1 · concept review — Weeks, months, and years in pay · Question 5 of 5

How many hours does a full-time worker at 40 hours a week work in 52 weeks?

A. 160
B. 480
C. 2,000
D. 2,080

CORRECT ANSWER

D. 2,080

Feedback (shown after answering)

40 × 52 = 2,080 hours.

Recomputed independently by the build: 2080

Why each other choice is wrong (misconception it represents)

A: Uses 4 weeks
B: Uses 12 weeks
C: Rounds to a guess

Type: knowledge check

GO DEEPER 1 — Comparing job offers by yearly pay · Question 1 of 5

Learn: To compare offers, put them on the same basis, usually yearly gross pay. Count only weeks that are actually paid.

Offer A: $21 per hour, 40 hours a week, 50 paid weeks a year. Offer B: salary of $43,000. Which pays more per year, and by how much?

A. Offer A, by $1,000
B. Offer A, by $680
C. They pay the same
D. Offer B, by $1,000

CORRECT ANSWER

D. Offer B, by $1,000

Feedback (shown after answering)

Offer A: $21 × 40 × 50 = $42,000. Offer B: $43,000, which is $1,000 more.

Why each other choice is wrong (misconception it represents)

A: Reverses the comparison
B: Uses 52 weeks for Offer A
C: Does not compute

Type: instruction

GO DEEPER 1 — Comparing job offers by yearly pay · Question 2 of 5

Offer C pays $19 per hour, but expected overtime adds 5 hours at time and a half every week for 50 weeks. What is the yearly pay from the overtime alone?

A. $142.50
B. $4,750
C. $7,125
D. $9,500

CORRECT ANSWER

C. $7,125

Feedback (shown after answering)

Overtime rate $28.50 × 5 hours = $142.50 per week; × 50 weeks = $7,125.

Recomputed independently by the build: 7125

Why each other choice is wrong (misconception it represents)

A: Gives one week of overtime pay
B: Pays overtime at the regular rate
D: Uses double time

Type: knowledge check

GO DEEPER 1 — Comparing job offers by yearly pay · Question 3 of 5

Why should expected overtime be treated cautiously when comparing offers?

A. Overtime hours may not be guaranteed and can change
B. Overtime is illegal in most jobs
C. Overtime pay is never taxed
D. Overtime always lowers your hourly rate

CORRECT ANSWER

A. Overtime hours may not be guaranteed and can change

Feedback (shown after answering)

Overtime depends on the employer's needs. Base pay is more predictable.

Why each other choice is wrong (misconception it represents)

B: Overstates restrictions
C: Invents a tax rule
D: Reverses the effect

Type: knowledge check

GO DEEPER 1 — Comparing job offers by yearly pay · Question 4 of 5

Two offers both pay $45,000. Offer D is paid monthly; Offer E is paid biweekly. Which statement is TRUE?

A. Offer E pays more because there are more paychecks
B. Offer D pays more because each paycheck is larger
C. Offer E pays less because of extra processing
D. They pay the same per year

CORRECT ANSWER

D. They pay the same per year

Feedback (shown after answering)

$45,000 is $45,000 either way: 12 checks of $3,750 or 26 checks of about $1,730.77.

Why each other choice is wrong (misconception it represents)

A: Confuses more paychecks with more pay
B: Confuses paycheck size with yearly pay
C: Invents a cost

Type: knowledge check

GO DEEPER 1 — Comparing job offers by yearly pay · Question 5 of 5

Offer F: $40,000 salary plus an expected $3,000 yearly bonus that is not guaranteed. Offer G: $42,500 salary. If the bonus is paid, which pays more and by how much?

A. Offer F, by $500
B. Offer G, by $500
C. Offer G, by $2,500
D. Offer F, by $3,000

CORRECT ANSWER

A. Offer F, by $500

Feedback (shown after answering)

F: $40,000 + $3,000 = $43,000, which is $500 more than G's $42,500, but only if the bonus is paid.

Why each other choice is wrong (misconception it represents)

B: Ignores the bonus
C: Compares base salaries only
D: Ignores the salary difference

Type: knowledge check

GO DEEPER 2 — Raises and percent changes in pay · Question 1 of 5

Learn: A raise given as a percent is a percent of current pay: raise = pay × rate (as a decimal). New pay = pay × (1 + rate).

Noor earns $45,000 and receives a 3% raise. What is the raise in dollars?

A. $135
B. $1,350
C. $13,500
D. $46,350

CORRECT ANSWER

B. $1,350

Feedback (shown after answering)

$45,000 × 0.03 = $1,350.

Recomputed independently by the build: 1350

Why each other choice is wrong (misconception it represents)

A: Uses 0.3%
C: Uses 30%
D: Gives the new salary

Type: instruction

GO DEEPER 2 — Raises and percent changes in pay · Question 2 of 5

Noor earns $45,000 and receives a 3% raise. What is her new salary?

A. $45,135
B. $46,350
C. $48,000
D. $58,500

CORRECT ANSWER

B. $46,350

Feedback (shown after answering)

$45,000 × 1.03 = $46,350.

Recomputed independently by the build: 46350

Why each other choice is wrong (misconception it represents)

A: Adds 0.3%
C: Adds $3,000
D: Uses 30%

Type: knowledge check

GO DEEPER 2 — Raises and percent changes in pay · Question 3 of 5

Learn: Purchasing power is what your money can buy. If prices rise faster than your pay, your pay buys less, even though the number of dollars went up.

Prices rose 4% the same year Noor got a 3% raise. What happened to what her pay can buy?

A. It rose by 3%
B. It rose by 7%
C. It stayed exactly the same
D. It fell slightly

CORRECT ANSWER

D. It fell slightly

Feedback (shown after answering)

A 3% raise with 4% inflation means her pay buys about 1% less than before.

Why each other choice is wrong (misconception it represents)

A: Ignores inflation
B: Adds the two percents
C: Assumes changes cancel

Type: instruction

GO DEEPER 2 — Raises and percent changes in pay · Question 4 of 5

Learn: Percent change = (new − old) ÷ old × 100.

Noor's pay rose from $46,350 to $48,204. What percent raise was this?

A. 0.4%
B. 3%
C. 4%
D. 1,854%

CORRECT ANSWER

C. 4%

Feedback (shown after answering)

($48,204 − $46,350) ÷ $46,350 = $1,854 ÷ $46,350 = 0.04 = 4%.

Recomputed independently by the build: 4

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
B: Uses last year's raise
D: Uses the dollar change as a percent

Type: instruction

GO DEEPER 2 — Raises and percent changes in pay · Question 5 of 5

Which is worth more over the next year: a one-time $1,000 bonus, or a 2% raise on a $40,000 salary?

A. The bonus: $1,000 vs $800
B. The raise: $2,000 vs $1,000
C. The raise: $8,000 vs $1,000
D. Neither; both are worth $1,000

CORRECT ANSWER

A. The bonus: $1,000 vs $800

Feedback (shown after answering)

2% of $40,000 = $800 for the next year, less than the $1,000 bonus. (A raise usually continues in later years, which a bonus does not.)

Recomputed independently by the build: 800

Why each other choice is wrong (misconception it represents)

B: Uses 5% instead of 2%
C: Uses 20% instead of 2%
D: Does not compute the raise

Type: knowledge check

SET 10 · Earning Income, Employment, and Paychecks

Reading a pay stub

MAIN skill: Read a pay stub and calculate deductions and net pay

Outcome FL.INCOME.10 · National topic: Earning Income · NJSLS 9.1.12: PB, EG

Learning target: 12-6a calculate the taxes likely to be withheld from pay; read a pay statement

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Gross pay versus net pay (5 questions)
  Why: Students who confuse gross and net pay cannot read a pay stub or budget correctly.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: FICA and other deductions are percents of gross pay.
- B3 · Math link → G6-S17-M (Grade 6 6.NS.B.3): Subtract multi-digit decimals
  Why: Net pay is gross pay minus deductions in dollars and cents.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Pre-tax and after-tax deductions (5 questions)
- Go Deeper 2: Year-to-date totals and checking for errors (5 questions)

Practical skills beyond the standards: Checking a pay stub for errors

Content status: time-sensitive

Source: IRS (Topic 751) — Employee Social Security tax is 6.2% (up to the annual wage base) and Medicare tax is 1.45% of wages. https://www.irs.gov/taxtopics/tc751

Answer key for this set: M-Q1 A, M-Q2 C, M-Q3 B, M-Q4 B, M-Q5 D, B1-Q1 A, B1-Q2 B, B1-Q3 D, B1-Q4 D, B1-Q5 D, F1-Q1 B, F1-Q2 A, F1-Q3 B, F1-Q4 A, F1-Q5 D, F2-Q1 C, F2-Q2 A, F2-Q3 D, F2-Q4 A, F2-Q5 D

MAIN — Read a pay stub and calculate deductions and net pay · Question 1 of 5

Learn: A pay stub (pay statement) shows: gross pay; deductions, which are amounts taken out for taxes, retirement, insurance, and more; net pay, which is gross pay minus deductions; and year-to-date (YTD) totals. Net pay is your take-home pay.

Which amount on a pay stub is the money actually deposited into the worker's bank account?

A. Net pay
B. Gross pay
C. Year-to-date gross
D. Total deductions

CORRECT ANSWER

A. Net pay

Feedback (shown after answering)

Net pay = gross pay − deductions, and it is the amount deposited.

Why each other choice is wrong (misconception it represents)

B: Confuses gross with net
C: Confuses this period with the year total
D: Confuses money taken out with money received

Type: instruction

MAIN — Read a pay stub and calculate deductions and net pay · Question 2 of 5

Learn: FICA taxes fund Social Security and Medicare. Employees pay 6.2% of wages for Social Security (up to a yearly wage limit) and 1.45% for Medicare. The employer pays a matching amount.

Gabriel's gross pay is $1,200.00. The Social Security tax rate for employees is 6.2%. How much Social Security tax is withheld?

A. $7.44
B. $17.40
C. $74.40
D. $744.00

CORRECT ANSWER

C. $74.40

Feedback (shown after answering)

$1,200.00 × 0.062 = $74.40.

Recomputed independently by the build: 74.4

Why each other choice is wrong (misconception it represents)

A: Uses 0.62%
B: Uses the Medicare rate
D: Uses 62%

Type: instruction · rule as of FICA rates as of 2026

MAIN — Read a pay stub and calculate deductions and net pay · Question 3 of 5

Gabriel's gross pay is $1,200.00. The Medicare tax rate for employees is 1.45%. How much Medicare tax is withheld?

A. $1.74
B. $17.40
C. $74.40
D. $174.00

CORRECT ANSWER

B. $17.40

Feedback (shown after answering)

$1,200.00 × 0.0145 = $17.40.

Recomputed independently by the build: 17.4

Why each other choice is wrong (misconception it represents)

A: Uses 0.145%
C: Uses the Social Security rate
D: Uses 14.5%

Type: knowledge check · rule as of FICA rates as of 2026

MAIN — Read a pay stub and calculate deductions and net pay · Question 4 of 5

Learn: To find net pay, add all the deductions, then subtract the total from gross pay. Retirement contributions are deductions too, even though the money is still yours in a retirement account.

Pay stub (biweekly): Gross pay $1,200.00 | 401(k) contribution (pre-tax) $60.00 | Federal income tax $88.00 | Social Security $74.40 | Medicare $17.40 | State income tax $22.80

What is Gabriel's net pay?

A. $262.60
B. $937.40
C. $997.40
D. $1,200.00

CORRECT ANSWER

B. $937.40

Feedback (shown after answering)

Deductions: $60.00 + $88.00 + $74.40 + $17.40 + $22.80 = $262.60. Net: $1,200.00 − $262.60 = $937.40.

Recomputed independently by the build: 937.4

Why each other choice is wrong (misconception it represents)

A: Gives total deductions instead of net pay
C: Leaves out the 401(k) deduction
D: Gives gross pay

Type: instruction · practical how-to

MAIN — Read a pay stub and calculate deductions and net pay · Question 5 of 5

Learn: Deductions go to different places. Income taxes and Social Security and Medicare taxes are sent to the government. Retirement plan contributions are deposited into an account in the worker's name.

Pay stub (biweekly): Gross pay $1,200.00 | 401(k) contribution (pre-tax) $60.00 | Federal income tax $88.00 | Social Security $74.40 | Medicare $17.40 | State income tax $22.80

Which deduction is money Gabriel still owns after it leaves his paycheck?

A. The federal income tax
B. The Social Security tax
C. The state income tax
D. The 401(k) contribution

CORRECT ANSWER

D. The 401(k) contribution

Feedback (shown after answering)

A 401(k) contribution goes into his own retirement account. Taxes withheld are paid to the government (any overpaid income tax comes back as a refund).

Why each other choice is wrong (misconception it represents)

A: Thinks withheld tax is still his
B: Thinks FICA is personal savings
C: Thinks withheld tax is still his

Type: instruction

BACKWARD B1 · concept review — Gross pay versus net pay · Question 1 of 5

Learn: Many workers have their paychecks deposited into bank accounts. The amount deposited is net pay: gross pay minus deductions such as taxes and benefit costs. Gross pay is what you earned; net pay is what you receive.

Ivy's job offer says "$18 per hour." Her first paycheck is smaller than 18 × her hours. Why?

A. Deductions were taken from her gross pay
B. Her employer made an error by paying less than promised
C. The bank charged a fee for depositing her paycheck
D. Her hourly wage was lowered in her first week

CORRECT ANSWER

A. Deductions were taken from her gross pay

Feedback (shown after answering)

Deductions explain the difference between gross pay (18 × hours) and net pay.

Why each other choice is wrong (misconception it represents)

B: Expects net pay to equal gross pay
C: Blames the bank for deductions
D: Assumes the wage changed

Type: instruction

BACKWARD B1 · concept review — Gross pay versus net pay · Question 2 of 5

Learn: Net pay = gross pay − total deductions.

Gross pay $500. Deductions $85. What is net pay?

A. $85
B. $415
C. $500
D. $585

CORRECT ANSWER

B. $415

Feedback (shown after answering)

$500 − $85 = $415.

Recomputed independently by the build: 415

Why each other choice is wrong (misconception it represents)

A: Gives deductions
C: Gives gross pay
D: Adds deductions

Type: instruction

BACKWARD B1 · concept review — Gross pay versus net pay · Question 3 of 5

Learn: Gross pay = net pay + deductions.

Net pay is $640 and deductions are $160. What was gross pay?

A. $160
B. $480
C. $640
D. $800

CORRECT ANSWER

D. $800

Feedback (shown after answering)

$640 + $160 = $800.

Recomputed independently by the build: 800

Why each other choice is wrong (misconception it represents)

A: Gives deductions
B: Subtracts deductions from net
C: Gives net pay

Type: instruction

BACKWARD B1 · concept review — Gross pay versus net pay · Question 4 of 5

Ivy earns $18 per hour, but her take-home pay is less after deductions. Which amount should she use to plan her monthly spending?

A. Her gross pay
B. Her hourly wage times 40
C. Her yearly salary divided by 4
D. Her net pay

CORRECT ANSWER

D. Her net pay

Feedback (shown after answering)

Budgets are built on take-home (net) pay, the money she actually has.

Why each other choice is wrong (misconception it represents)

A: Budgets with money she never receives
B: Uses an estimate of gross pay
C: Wrong conversion and gross amount

Type: knowledge check

BACKWARD B1 · concept review — Gross pay versus net pay · Question 5 of 5

Which item is a deduction, NOT part of gross pay?

A. Overtime pay
B. Hourly wages
C. A sales commission
D. Federal income tax withheld

CORRECT ANSWER

D. Federal income tax withheld

Feedback (shown after answering)

Withheld taxes are deductions. Overtime, wages, and commissions are all part of gross pay.

Why each other choice is wrong (misconception it represents)

A: Overtime is earned pay
B: Wages are earned pay
C: Commission is earned pay

Type: knowledge check

GO DEEPER 1 — Pre-tax and after-tax deductions · Question 1 of 5

Learn: A pre-tax deduction is taken out before income tax is figured, which lowers taxable wages. A traditional 401(k) contribution is pre-tax for income tax, but Social Security and Medicare taxes still apply to it.

Pay stub (biweekly): Gross pay $1,200.00 | 401(k) contribution (pre-tax) $60.00 | Federal income tax $88.00 | Social Security $74.40 | Medicare $17.40 | State income tax $22.80

The 401(k) contribution is pre-tax for federal income tax. What are Gabriel's federal taxable wages for this paycheck?

A. $937.40
B. $1,140.00
C. $1,200.00
D. $1,260.00

CORRECT ANSWER

B. $1,140.00

Feedback (shown after answering)

$1,200.00 − $60.00 = $1,140.00 of federal taxable wages.

Recomputed independently by the build: 1140

Why each other choice is wrong (misconception it represents)

A: Uses net pay
C: Ignores the pre-tax deduction
D: Adds the contribution

Type: instruction

GO DEEPER 1 — Pre-tax and after-tax deductions · Question 2 of 5

Pay stub (biweekly): Gross pay $1,200.00 | 401(k) contribution (pre-tax) $60.00 | Federal income tax $88.00 | Social Security $74.40 | Medicare $17.40 | State income tax $22.80
Why are Social Security and Medicare figured on $1,200.00, not on $1,140.00 (gross pay minus the pre-tax 401(k) contribution)?

A. 401(k) deferrals are still subject to FICA
B. The payroll system made an error
C. FICA taxes are figured on net pay
D. Social Security is optional for young workers

CORRECT ANSWER

A. 401(k) deferrals are still subject to FICA

Feedback (shown after answering)

401(k) deferrals reduce income-taxable wages but not the wages used for Social Security and Medicare.

Why each other choice is wrong (misconception it represents)

B: Assumes a mistake
C: Confuses the FICA base with net pay
D: Invents an exemption

Type: knowledge check

GO DEEPER 1 — Pre-tax and after-tax deductions · Question 3 of 5

Learn: Because pre-tax contributions lower taxable income, they also lower income tax. Contributing $60 pre-tax reduces take-home pay by less than $60.

Gabriel's federal tax rate on his last dollars of income is 12%. If he contributes $60 pre-tax, about how much does his take-home pay drop?

A. $7.20
B. $52.80
C. $60.00
D. $67.20

CORRECT ANSWER

B. $52.80

Feedback (shown after answering)

Tax saved: $60 × 0.12 = $7.20. Take-home drops by $60 − $7.20 = $52.80 (before any state tax effect).

Recomputed independently by the build: 52.8

Why each other choice is wrong (misconception it represents)

A: Gives the tax savings
C: Ignores the tax savings
D: Adds the tax savings

Type: instruction

GO DEEPER 1 — Pre-tax and after-tax deductions · Question 4 of 5

Learn: After-tax deductions are taken out after income tax is figured. Roth retirement contributions are after-tax: no tax break now, but qualified withdrawals in retirement are tax-free.

A Roth 401(k) contribution is an after-tax deduction. Compared with a traditional (pre-tax) 401(k) contribution of the same amount today, it...

A. lowers today's take-home pay more, but qualified withdrawals later are tax-free
B. lowers today's take-home pay less and is taxed again later
C. has no effect on take-home pay
D. is not allowed for workers under 25

CORRECT ANSWER

A. lowers today's take-home pay more, but qualified withdrawals later are tax-free

Feedback (shown after answering)

Roth contributions do not reduce taxable income now, so take-home falls by the full amount; qualified withdrawals later are tax-free.

Why each other choice is wrong (misconception it represents)

B: Reverses the tax treatment
C: Ignores the deduction
D: Invents an age rule

Type: instruction

GO DEEPER 1 — Pre-tax and after-tax deductions · Question 5 of 5

Which deduction is usually AFTER-tax?

A. A traditional 401(k) contribution
B. A health insurance premium through a cafeteria plan
C. A health savings account (HSA) payroll contribution
D. Union dues taken from pay

CORRECT ANSWER

D. Union dues taken from pay

Feedback (shown after answering)

Union dues are typically after-tax. Traditional 401(k), cafeteria-plan health premiums, and HSA payroll contributions are typically pre-tax.

Why each other choice is wrong (misconception it represents)

A: Pre-tax for income tax
B: Usually pre-tax
C: Usually pre-tax

Type: knowledge check

GO DEEPER 2 — Year-to-date totals and checking for errors · Question 1 of 5

Learn: Year-to-date (YTD) amounts add up everything since January 1. They help you check totals and match your Form W-2 at year end.

Gabriel has received 10 biweekly paychecks of $1,200.00 gross this year. What should his YTD gross pay show?

A. $1,200.00
B. $9,374.00
C. $12,000.00
D. $31,200.00

CORRECT ANSWER

C. $12,000.00

Feedback (shown after answering)

$1,200.00 × 10 = $12,000.00.

Recomputed independently by the build: 12000

Why each other choice is wrong (misconception it represents)

A: Shows only this period
B: Uses net pay for 10 checks
D: Shows a full year

Type: instruction

GO DEEPER 2 — Year-to-date totals and checking for errors · Question 2 of 5

Gabriel worked 84 hours in a two-week period, including 4 overtime hours in the second week, but his stub shows 84 regular hours and no overtime. What should he do?

A. Ask payroll to correct it, bringing his own record of hours
B. Ignore it; pay stubs cannot contain mistakes
C. Wait for his tax refund to fix it
D. Work fewer hours next week to even it out

CORRECT ANSWER

A. Ask payroll to correct it, bringing his own record of hours

Feedback (shown after answering)

Keeping your own record of hours lets you spot and correct payroll mistakes such as missing overtime.

Why each other choice is wrong (misconception it represents)

B: Assumes payroll is always right
C: Confuses wages with taxes
D: Does not fix the missing pay

Type: knowledge check · practical how-to

GO DEEPER 2 — Year-to-date totals and checking for errors · Question 3 of 5

Gabriel's YTD Social Security is $744.00 on YTD gross of $12,000.00. Is that consistent with a 6.2% rate?

A. No; it should be $7,440
B. No; it should be $174
C. Yes, because any amount under $1,000 is fine
D. Yes; 6.2% of $12,000 is $744

CORRECT ANSWER

D. Yes; 6.2% of $12,000 is $744

Feedback (shown after answering)

$12,000 × 0.062 = $744.

Recomputed independently by the build: 744

Why each other choice is wrong (misconception it represents)

A: Uses 62%
B: Uses the Medicare rate
C: Does not check the rate

Type: knowledge check

GO DEEPER 2 — Year-to-date totals and checking for errors · Question 4 of 5

Learn: Each January, employers send Form W-2, which reports the year's wages and taxes withheld. Its totals should match your last pay stub of the year (for wages subject to each tax).

Gabriel's final pay stub shows year-to-date federal tax withheld of $2,140, but Box 2 of his W-2 shows $2,410. What should he do?

A. Ask payroll which amount is correct
B. Use whichever number gives a bigger refund
C. Ignore it; the two forms never match
D. Add the two amounts together on his return

CORRECT ANSWER

A. Ask payroll which amount is correct

Feedback (shown after answering)

The totals should match; a difference may be a typo, so ask payroll for a corrected W-2 if needed.

Why each other choice is wrong (misconception it represents)

B: Picks a number instead of fixing an error
C: The totals should match
D: Double counts withholding

Type: instruction · practical how-to

GO DEEPER 2 — Year-to-date totals and checking for errors · Question 5 of 5

Why keep pay stubs until you have checked your W-2?

A. Because banks require them to deposit paychecks
B. Because they can be exchanged for cash
C. Because the IRS requires mailing them in each year
D. To confirm the W-2's wages and withholding are correct

CORRECT ANSWER

D. To confirm the W-2's wages and withholding are correct

Feedback (shown after answering)

Pay stubs let you verify the W-2 before filing and catch errors early.

Why each other choice is wrong (misconception it represents)

A: Invents a bank rule
B: Invents a value
C: Invents a filing rule

Type: knowledge check · practical how-to

SET 11 · Earning Income, Employment, and Paychecks

Form W-4, withholding, and Form W-2

MAIN skill: Explain how Form W-4 sets withholding and what Form W-2 reports

Outcome FL.INCOME.11 · National topic: Earning Income · NJSLS 9.1.12: EG, PB

Learning target: 12-6a calculate taxes likely withheld; tax forms used by employees

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Why taxes are withheld from pay (5 questions)
  - Why: Understanding withholding as pay-as-you-go tax payment explains what the W-4 and W-2 do.
- B2 · Math link → G5-S22-M (Grade 5 5.NBT.B.7): Solve real-world problems with decimal operations
  - Why: Yearly withholding totals multiply per-paycheck amounts by the number of pay periods.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Getting withholding about right (5 questions)
- Go Deeper 2: Claiming exemption from withholding (5 questions)

Practical skills beyond the standards: Filling out Form W-4; Using the IRS Tax Withholding Estimator

Content status: time-sensitive

Source: IRS (Form W-4) — Employees give Form W-4 to their employer to set federal income tax withholding; claiming exempt requires no tax liability last year and none expected this year. https://www.irs.gov/forms-pubs/about-form-w-4

Source: IRS (Form W-2) — Employers generally furnish Form W-2 (wages and taxes withheld) to employees by January 31, or the next business day if that date falls on a weekend or legal holiday. https://www.irs.gov/forms-pubs/about-form-w-2

Answer key for this set: M-Q1 D, M-Q2 A, M-Q3 C, M-Q4 A, M-Q5 D, B1-Q1 D, B1-Q2 A, B1-Q3 D, B1-Q4 A, B1-Q5 A, F1-Q1 D, F1-Q2 B, F1-Q3 A, F1-Q4 D, F1-Q5 C, F2-Q1 A, F2-Q2 D, F2-Q3 A, F2-Q4 D, F2-Q5 D

MAIN — Explain how Form W-4 sets withholding and what Form W-2 reports · Question 1 of 5

Learn: Form W-4 (Employee's Withholding Certificate) tells your employer how much federal income tax to withhold from each paycheck. You fill it out when you start a job and can update it any time, such as after a second job begins or your situation changes.

Kayla starts her first job. Her employer asks her to fill out Form W-4. What is it used for?

A. To apply for a Social Security number
B. To report her yearly wages to the IRS
C. To sign up for health insurance
D. To set her federal income tax withholding

CORRECT ANSWER

D. To set her federal income tax withholding

Feedback (shown after answering)

The W-4 sets federal income tax withholding.

Why each other choice is wrong (misconception it represents)

A: Confuses the W-4 with an SSN application
B: Confuses the W-4 with the W-2
C: Confuses tax forms with benefit forms

Type: instruction · practical how-to

MAIN — Explain how Form W-4 sets withholding and what Form W-2 reports · Question 2 of 5

Learn: You give Form W-4 to your employer, not the IRS. The employer's payroll system uses it to calculate withholding.

Where does Kayla send her completed Form W-4?

A. To her employer
B. To the IRS by mail
C. To her bank
D. To her state's motor vehicle agency

CORRECT ANSWER

A. To her employer

Feedback (shown after answering)

The employer keeps the W-4 and uses it for payroll.

Why each other choice is wrong (misconception it represents)

B: Thinks the W-4 goes to the IRS
C: Confuses payroll with banking
D: Unrelated agency

Type: instruction · practical how-to

MAIN — Explain how Form W-4 sets withholding and what Form W-2 reports · Question 3 of 5

Learn: Step 4(c) of Form W-4 lets you request extra withholding each pay period. Multiply by the number of paychecks in a year to see the yearly effect.

On her W-4, Kayla asks for $20 of extra withholding per paycheck. She is paid biweekly. How much extra will be withheld over a full year?

A. $240
B. $480
C. $520
D. $1,040

CORRECT ANSWER

C. $520

Feedback (shown after answering)

Biweekly = 26 paychecks: $20 × 26 = $520.

Recomputed independently by the build: 520

Why each other choice is wrong (misconception it represents)

A: Uses 12 paychecks
B: Uses 24 paychecks
D: Uses 52 paychecks

Type: instruction

MAIN — Explain how Form W-4 sets withholding and what Form W-2 reports · Question 4 of 5

Learn: Form W-2 (Wage and Tax Statement) reports a worker's wages for the year and the taxes withheld. Employers generally must send it by January 31 (or the next business day if that falls on a weekend or holiday), and employees use it to file their tax returns.

It is February 15, and Ana still has not received last year's Form W-2 from her employer. What is true?

A. It is late; she should contact the employer
B. It is on time; W-2s are due by April 15
C. It is on time; W-2s are due by June 30
D. She should skip filing this year without it

CORRECT ANSWER

A. It is late; she should contact the employer

Feedback (shown after answering)

W-2s are generally due by January 31, so a missing W-2 in mid-February is late; ask the employer, and the IRS can help if it still does not arrive.

Why each other choice is wrong (misconception it represents)

B: Confuses the W-2 deadline with the tax filing deadline
C: Invents a mid-year date
D: Ignores that she can request it and still file

Type: instruction · practical how-to · rule as of IRS deadline as of 2026

MAIN — Explain how Form W-4 sets withholding and what Form W-2 reports · Question 5 of 5

Which statement about income tax withholding is TRUE?

A. It is an extra tax on top of what is owed
B. It is money the employer keeps
C. It is optional for every employee
D. It prepays the year's tax

CORRECT ANSWER

D. It prepays the year's tax

Feedback (shown after answering)

Withholding pays your tax in advance. When you file, it is compared with your actual tax: overpaying gives a refund; underpaying means a balance due.

Why each other choice is wrong (misconception it represents)

A: Thinks withholding adds tax
B: Thinks employers keep withheld tax
C: Ignores withholding requirements

Type: knowledge check

BACKWARD B1 · concept review — Why taxes are withheld from pay · Question 1 of 5

Learn: Federal income tax is collected throughout the year. For employees, the employer withholds part of each paycheck and sends it to the government on the employee's behalf.

The U.S. income tax is "pay-as-you-go." What does this mean for employees?

A. Tax is paid once, only when you retire
B. Only people who ask to pay tax have to pay it
C. Tax is paid only by employers, never employees
D. Tax is paid gradually through paycheck withholding during the year

CORRECT ANSWER

D. Tax is paid gradually through paycheck withholding during the year

Feedback (shown after answering)

Withholding spreads tax payments over the year.

Why each other choice is wrong (misconception it represents)

A: Thinks tax waits until retirement
B: Thinks tax is voluntary
C: Confuses employer and employee taxes

Type: instruction

BACKWARD B1 · concept review — Why taxes are withheld from pay · Question 2 of 5

Learn: Withholding means the tax is taken out of a paycheck before the worker receives it.

Who sends the withheld tax to the government?

A. The employer
B. The employee mails cash each week
C. The employee's bank
D. Nobody until tax filing day

CORRECT ANSWER

A. The employer

Feedback (shown after answering)

Employers deposit withheld taxes with the government.

Why each other choice is wrong (misconception it represents)

B: Thinks employees pay directly
C: Confuses banks with payroll
D: Thinks withholding is held until filing

Type: instruction

BACKWARD B1 · concept review — Why taxes are withheld from pay · Question 3 of 5

Learn: When you file a tax return, you calculate your actual tax for the year and compare it with what was withheld.

If too much tax is withheld during the year, what happens after filing a tax return?

A. The extra is lost
B. The extra is added to next year's salary
C. The employer pays the employee a bonus
D. The extra is returned as a refund

CORRECT ANSWER

D. The extra is returned as a refund

Feedback (shown after answering)

Overpaid tax is refunded after you file.

Why each other choice is wrong (misconception it represents)

A: Thinks overpayment is kept by the government
B: Confuses refunds with pay
C: Confuses refunds with bonuses

Type: instruction

BACKWARD B1 · concept review — Why taxes are withheld from pay · Question 4 of 5

If too little tax is withheld, what happens?

A. The employee owes the rest when filing
B. The government forgives the difference
C. The employer pays the difference
D. Nothing, because withholding is final

CORRECT ANSWER

A. The employee owes the rest when filing

Feedback (shown after answering)

Underpaid tax is owed with the return, sometimes with a penalty if the shortfall is large.

Why each other choice is wrong (misconception it represents)

B: Thinks underpayment is forgiven
C: Shifts the debt to the employer
D: Thinks withholding settles all tax

Type: knowledge check

BACKWARD B1 · concept review — Why taxes are withheld from pay · Question 5 of 5

Which document tells the employer how much to withhold?

A. Form W-4
B. Form W-2
C. A pay stub
D. Form 1040

CORRECT ANSWER

A. Form W-4

Feedback (shown after answering)

The W-4 sets withholding; the W-2 reports it after the year ends.

Why each other choice is wrong (misconception it represents)

B: The W-2 reports what was withheld
C: The stub shows withholding but does not set it
D: Confuses the tax return with the withholding form

Type: knowledge check

GO DEEPER 1 — Getting withholding about right · Question 1 of 5

Learn: A refund is the amount by which your payments and refundable credits are more than your tax. Payments include withholding and estimated tax. When a refund comes only from withholding, it is your own overpaid tax coming back, not extra income, and you could have had more in each paycheck.

Last year Kayla received a $1,300 refund. She had no refundable credits or other tax payments; her refund came only from paycheck withholding. What does that tell her?

A. She earned a $1,300 bonus from the IRS
B. Her employer underpaid her by $1,300
C. She owes $1,300 more next year
D. She had $1,300 more withheld than her tax

CORRECT ANSWER

D. She had $1,300 more withheld than her tax

Feedback (shown after answering)

With no refundable credits or other payments, the refund is overpaid withholding being returned.

Why each other choice is wrong (misconception it represents)

A: Treats a refund as free money
B: Confuses withholding with wages
C: Reverses the meaning

Type: instruction

GO DEEPER 1 — Getting withholding about right · Question 2 of 5

Kayla's $1,300 tax refund came from tax withheld beyond what she owed. If that amount had stayed in her 26 biweekly paychecks instead, about how much more would each paycheck have been?

A. $25
B. $50
C. $108.33
D. $1,300

CORRECT ANSWER

B. $50

Feedback (shown after answering)

$1,300 ÷ 26 = $50 per paycheck.
Recomputed independently by the build: 50

Why each other choice is wrong (misconception it represents)

A: Uses 52 paychecks
C: Uses 12 paychecks
D: Gives the yearly total

Type: knowledge check

GO DEEPER 1 — Getting withholding about right · Question 3 of 5

Learn: The IRS offers a free online Tax Withholding Estimator. Using recent pay stubs, it suggests how to fill out a new W-4 to get closer to the right amount.

Which free tool helps workers check whether their withholding is about right?

A. The IRS Tax Withholding Estimator
B. A credit score app that tracks her accounts
C. Her W-2 from last year, without any changes
D. A social media poll of coworkers

CORRECT ANSWER

A. The IRS Tax Withholding Estimator

Feedback (shown after answering)

The IRS estimator uses your pay information to suggest W-4 changes.

Why each other choice is wrong (misconception it represents)

B: Confuses tax withholding with credit monitoring
C: Assumes last year's withholding still fits this year
D: Unreliable source

Type: instruction · practical how-to

GO DEEPER 1 — Getting withholding about right · Question 4 of 5

Learn: When you have more than one job, each employer's payroll may assume its pay is your only income, so total withholding can fall short. Step 2 of Form W-4 addresses multiple jobs.

Kayla starts a second part-time job. Why might her withholding now be too low?

A. Two jobs always get the correct combined withholding automatically
B. Part-time jobs are not taxed
C. Her first employer stops withholding
D. Each employer withholds as if that job were her only income

CORRECT ANSWER

D. Each employer withholds as if that job were her only income

Feedback (shown after answering)

Each payroll ignores the other job, so combined income can be under-withheld. Updating the W-4 (Step 2) fixes this.

Why each other choice is wrong (misconception it represents)

A: Thinks withholding adds up correctly automatically
B: Invents an exemption
C: Invents a rule

Type: instruction

GO DEEPER 1 — Getting withholding about right · Question 5 of 5

Kayla expects to owe $200 more than will be withheld this year. She has 10 paychecks left. How much extra per paycheck should she request?

A. $2
B. $10
C. $20
D. $200

CORRECT ANSWER

C. $20

Feedback (shown after answering)

$200 ÷ 10 = $20 per paycheck.
Recomputed independently by the build: 20

Why each other choice is wrong (misconception it represents)

A: Uses 100 paychecks
B: Uses 20 paychecks
D: Puts the whole amount on one paycheck

Type: knowledge check

GO DEEPER 2 — Claiming exemption from withholding · Question 1 of 5

Learn: You may claim "exempt" on Form W-4 only if you had no federal income tax liability last year and expect none this year. Exemption affects federal income tax withholding only, not Social Security or Medicare.

Under IRS rules, who may claim exemption from federal income tax withholding on Form W-4?

A. Someone who owed no tax last year and expects none this year
B. Anyone under age 21
C. Anyone who works part time while attending high school
D. Anyone who wants a larger paycheck

CORRECT ANSWER

A. Someone who owed no tax last year and expects none this year

Feedback (shown after answering)

Both conditions must be met: no liability last year and none expected this year.

Why each other choice is wrong (misconception it represents)

B: Invents an age rule
C: Invents a part-time rule
D: Treats exemption as a choice

Type: instruction · rule as of IRS Form W-4 rules as of 2026

GO DEEPER 2 — Claiming exemption from withholding · Question 2 of 5

A student claims exempt on Form W-4, so no federal income tax is withheld, but earns enough to owe tax. What is the likely result?

A. No tax is ever owed
B. The employer pays the tax
C. A larger refund when filing next spring
D. A tax bill when filing, and possibly a penalty

CORRECT ANSWER

D. A tax bill when filing, and possibly a penalty

Feedback (shown after answering)

Exempt status stops withholding, not tax. Tax still owed is due with the return.

Why each other choice is wrong (misconception it represents)

A: Thinks exempt status erases tax
B: Shifts the tax to the employer
C: Reverses the effect

Type: knowledge check

GO DEEPER 2 — Claiming exemption from withholding · Question 3 of 5

If a worker claims exempt from federal income tax withholding on Form W-4, which taxes are still withheld?

A. Social Security and Medicare
B. Federal income tax only
C. No taxes at all
D. Only sales tax

CORRECT ANSWER

A. Social Security and Medicare

Feedback (shown after answering)

Exempt status applies only to federal income tax withholding; FICA still applies.

Why each other choice is wrong (misconception it represents)

B: Reverses the rule
C: Overstates exemption
D: Confuses payroll with sales tax

Type: knowledge check

GO DEEPER 2 — Claiming exemption from withholding · Question 4 of 5

Learn: A claim of exemption from withholding expires and must be renewed with a new Form W-4 each year.

How long does a claim of exemption on Form W-4 last?

A. Forever, once claimed
B. Until the worker turns 18
C. Five years
D. One year; a new W-4 is needed to continue it

CORRECT ANSWER

D. One year; a new W-4 is needed to continue it

Feedback (shown after answering)

Exemption must be renewed each year.

Why each other choice is wrong (misconception it represents)

A: Thinks exemption is permanent
B: Invents an age limit
C: Invents a period

Type: instruction

GO DEEPER 2 — Claiming exemption from withholding · Question 5 of 5

IRS rules allow claiming exempt only with no income tax liability last year and none expected this year. Jamal owed no federal income tax last year. This year, with a full-time job, he expects to have a positive federal income tax liability. Should he claim exempt?

A. Yes, because he owed nothing last year
B. Yes, because he is a new worker
C. Yes, so that he can get a bigger refund next spring
D. No; he expects to owe income tax this year

CORRECT ANSWER

D. No; he expects to owe income tax this year

Feedback (shown after answering)

Both conditions must hold. He expects a tax liability this year, so he cannot claim exempt. (Liability is the tax itself, not the amount due when filing.)

Why each other choice is wrong (misconception it represents)

A: Uses only one of the two conditions
B: Invents a rule
C: Misunderstands the effect

Type: knowledge check

SET 12 · Earning Income, Employment, and Paychecks

Employee benefits and comparing job offers

MAIN skill: Value employee benefits and compare job offers by total compensation

Outcome FL.INCOME.12 · National topic: Earning Income · NJSLS 9.1.12: PB

Learning target: 12-1a research potential income and employee benefit packages likely to be offered to new employees

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Compensation: pay plus benefits (5 questions)
  Why: Comparing offers requires seeing benefits as part of what a job pays.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Employer match and contribution rates are percents of salary.
- B3 · Math link → G7-S07-M (Grade 7 7.RP.A.3): Solve multistep ratio problems
  Why: Comparing offers combines monthly and yearly amounts and percents.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Valuing a full benefits package (5 questions)
- Go Deeper 2: The hidden costs of a job (5 questions)

Practical skills beyond the standards: Comparing job offers with benefits; Counting job-related costs

Content status: stable

Answer key for this set: M-Q1 A, M-Q2 B, M-Q3 B, M-Q4 D, M-Q5 A, B1-Q1 D, B1-Q2 A, B1-Q3 D, B1-Q4 D, B1-Q5 D, F1-Q1 A, F1-Q2 A, F1-Q3 B, F1-Q4 D, F1-Q5 A, F2-Q1 B, F2-Q2 A, F2-Q3 D, F2-Q4 A, F2-Q5 D

MAIN — Value employee benefits and compare job offers by total compensation · Question 1 of 5

Learn: Total compensation is everything an employer provides for your work: wages or salary plus benefits. Common benefits include health insurance (the employer often pays part of the cost), retirement plans with matching contributions, paid time off, and sometimes tuition help or transit passes.

Which item is an employee BENEFIT rather than wages?

A. Employer-paid health insurance
B. Overtime pay at time and a half
C. A commission on each sale the worker makes
D. Hourly pay for a Saturday shift

CORRECT ANSWER

A. Employer-paid health insurance

Feedback (shown after answering)

Employer-paid health insurance is a benefit; the other three are forms of pay.

Why each other choice is wrong (misconception it represents)

B: Overtime is part of wages
C: Commission is part of wages
D: Hourly pay is wages

Type: instruction

MAIN — Value employee benefits and compare job offers by total compensation · Question 2 of 5

Learn: Many employers match retirement contributions, for example "50% of what you contribute, up to 6% of pay." The match is extra money for your retirement, but you only receive it if you contribute.

Zoe earns $50,000. Her employer matches 50% of her 401(k) contributions, up to 6% of salary. Zoe contributes 6% ($3,000). How much does the employer add?

A. $300
B. $1,500
C. $3,000
D. $4,500

CORRECT ANSWER

B. $1,500

Feedback (shown after answering)

Zoe contributes $3,000; the employer adds 50% of that: $1,500.

Recomputed independently by the build: 1500

Why each other choice is wrong (misconception it represents)

A: Uses 0.6%
C: Matches 100% instead of 50%
D: Gives the total of both contributions

Type: instruction

MAIN — Value employee benefits and compare job offers by total compensation · Question 3 of 5

Zoe's coworker earns $50,000 under the same match (50% of contributions, up to 6% of salary) but contributes only 2% ($1,000). How much potential match does the coworker give up each year?

A. $500
B. $1,000
C. $1,500
D. $2,000

CORRECT ANSWER

B. $1,000

Feedback (shown after answering)

Full match possible: 50% × $3,000 = $1,500. Match received: 50% × $1,000 = $500. Missed: $1,000.

Recomputed independently by the build: 1000

Why each other choice is wrong (misconception it represents)

A: Gives the match received instead of the match missed
C: Gives the full possible match
D: Uses the unmatched contribution amount

Type: knowledge check

MAIN — Value employee benefits and compare job offers by total compensation · Question 4 of 5

Learn: To compare offers fairly, subtract the costs you would pay (such as your share of health premiums) and add the value of benefits you would receive (such as a retirement match).

Offer A: $48,000 salary; the employee pays $100 per month for health insurance. Offer B: $50,000; the employee pays $250 per month for the same coverage. After subtracting health premiums, which pays more per year, and by how much?

A. Offer B, by $2,000
B. Offer A, by $1,800
C. Offer A, by $200
D. Offer B, by $200

CORRECT ANSWER

D. Offer B, by $200

Feedback (shown after answering)

A: $48,000 − 12 × $100 = $46,800. B: $50,000 − 12 × $250 = $47,000. B is ahead by $200.

Recomputed independently by the build: 200

Why each other choice is wrong (misconception it represents)

A: Compares salaries only
B: Compares premiums only
C: Reverses the comparison

Type: instruction

MAIN — Value employee benefits and compare job offers by total compensation · Question 5 of 5

A job gives 10 paid vacation days. Lin earns $200 per day. What is the dollar value of that paid time off?

A. $2,000
B. $200
C. $20
D. $0, since she is not working

CORRECT ANSWER

A. $2,000

Feedback (shown after answering)

Paid time off is pay for days not worked: 10 × $200 = $2,000.

Recomputed independently by the build: 2000

Why each other choice is wrong (misconception it represents)

B: Counts one day
C: Divides instead of multiplying
D: Thinks paid time off has no value

Type: knowledge check

BACKWARD B1 · concept review — Compensation: pay plus benefits · Question 1 of 5

Learn: Compensation is everything you receive for work. Wages are the pay; benefits are the extras, such as health insurance, retirement contributions, and paid time off, which have real dollar value.

What does "total compensation" include?

A. Only the hourly wage or salary
B. Only the take-home pay after taxes
C. Only bonuses earned at year end
D. Pay plus the value of benefits

CORRECT ANSWER

D. Pay plus the value of benefits

Feedback (shown after answering)

Total compensation = pay + benefits.

Why each other choice is wrong (misconception it represents)

A: Ignores benefits
B: Confuses compensation with net pay
C: Ignores base pay

Type: instruction

BACKWARD B1 · concept review — Compensation: pay plus benefits · Question 2 of 5

Learn: Paid time off means days you are paid for even though you do not work, such as vacation, sick days, or holidays.

Which choice is paid time off (PTO)?

A. Paid vacation days
B. Unpaid leave
C. Overtime hours
D. A lunch break you are not paid for

CORRECT ANSWER

A. Paid vacation days

Feedback (shown after answering)

Paid vacation days are paid time off.

Why each other choice is wrong (misconception it represents)

B: Not paid
C: Time worked, not time off
D: Not paid

Type: instruction

BACKWARD B1 · concept review — Compensation: pay plus benefits · Question 3 of 5

An employer pays $400 per month toward an employee's health insurance. What is that worth per year?

A. $33.33
B. $400
C. $1,600
D. $4,800

CORRECT ANSWER

D. $4,800

Feedback (shown after answering)

$400 × 12 = $4,800 of value per year.

Recomputed independently by the build: 4800

Why each other choice is wrong (misconception it represents)

A: Divides by 12
B: Counts one month
C: Uses 4 months

Type: knowledge check

BACKWARD B1 · concept review — Compensation: pay plus benefits · Question 4 of 5

Learn: A 401(k) is a retirement savings plan offered by many private employers. Workers contribute part of each paycheck, often with tax benefits, and some employers add a match. (Public schools and many nonprofits offer a similar 403(b).)

What is a 401(k)?

A. A type of bank checking account for paying monthly bills
B. A government health insurance program
C. A form used to apply for a job
D. A retirement savings plan offered through an employer

CORRECT ANSWER

D. A retirement savings plan offered through an employer

Feedback (shown after answering)

A 401(k) is an employer-sponsored retirement savings plan.

Why each other choice is wrong (misconception it represents)

A: Confuses retirement plans with checking
B: Confuses retirement with health insurance
C: Confuses it with a form

Type: instruction

BACKWARD B1 · concept review — Compensation: pay plus benefits · Question 5 of 5

Two jobs pay the same salary. Job X pays the entire premium for health coverage. Job Y offers none, so the worker must buy the same coverage for $300 a month. How much more does Job Y effectively cost the worker per year?

A. $0
B. $25
C. $300
D. $3,600

CORRECT ANSWER

D. $3,600

Feedback (shown after answering)

$300 × 12 = $3,600 a year that Job X's benefit covers.

Recomputed independently by the build: 3600

Why each other choice is wrong (misconception it represents)

A: Ignores the cost of buying coverage
B: Divides by 12
C: Counts one month

Type: knowledge check

GO DEEPER 1 — Valuing a full benefits package · Question 1 of 5

Learn: A fair comparison adds the value of benefits you will actually use and subtracts costs you will actually pay. A match counts only if you contribute enough to earn it.

Offer C: $52,000 salary, no retirement match, employee health premium $150 per month.
Offer D: $50,000 salary, 401(k) match worth $2,000 per year if you contribute, employee health premium $100 per month.
If you contribute enough to get the full match, which offer is worth more per year, and by how much?

A. Offer D, by $600
B. Offer C, by $2,000
C. Offer C, by $1,400
D. Offer D, by $2,600

CORRECT ANSWER

A. Offer D, by $600

Feedback (shown after answering)

C: $52,000 − $1,800 = $50,200. D: $50,000 + $2,000 − $1,200 = $50,800. D is ahead by $600.
Recomputed independently by the build: 600

Why each other choice is wrong (misconception it represents)

B: Compares salaries only
C: Leaves out the premium difference
D: Adds the premium difference the wrong way

Type: instruction

GO DEEPER 1 — Valuing a full benefits package · Question 2 of 5

Learn: Vesting is ownership over time. Your own 401(k) contributions are always yours. An employer's contributions may vest gradually, and if you leave before you are fully vested, you can lose the unvested part.

A 401(k) match "vests" over 3 years. Ali leaves after 1 year. What does vesting mean for him?

A. He may forfeit the unvested part of the employer's match
B. He loses his own contributions as well as the match
C. He keeps everything because matches always vest at once
D. He must repay his salary

CORRECT ANSWER

A. He may forfeit the unvested part of the employer's match

Feedback (shown after answering)

Unvested employer money can be forfeited; employee contributions are always 100% vested.

Why each other choice is wrong (misconception it represents)

B: Thinks his own money can be forfeited
C: Ignores vesting schedules
D: Confuses vesting with salary

Type: instruction

GO DEEPER 1 — Valuing a full benefits package · Question 3 of 5

Under a plan where the match vests 20% per year of service, how much of a $1,500 match has Ali earned after 1 year?

A. $0
B. $300
C. $1,200
D. $1,500

CORRECT ANSWER

B. $300

Feedback (shown after answering)

20% × $1,500 = $300 vested.

Recomputed independently by the build: 300

Why each other choice is wrong (misconception it represents)

A: Assumes nothing vests in year one
C: Gives the unvested part
D: Assumes full vesting

Type: knowledge check

GO DEEPER 1 — Valuing a full benefits package · Question 4 of 5

Which benefit is easiest to overlook when comparing jobs?

A. The posted salary
B. The job title
C. The company logo
D. A tuition assistance program

CORRECT ANSWER

D. A tuition assistance program

Feedback (shown after answering)

Benefits such as tuition help can be worth thousands of dollars if you will use them.

Why each other choice is wrong (misconception it represents)

A: Salary is rarely overlooked
B: Not a benefit
C: Not a benefit

Type: knowledge check

GO DEEPER 1 — Valuing a full benefits package · Question 5 of 5

Learn: Researching typical income and benefits before choosing a career or job helps you negotiate and plan. The Bureau of Labor Statistics publishes pay data and job outlooks by occupation; job postings show current offers.

Which source is MOST reliable for typical pay and benefits in an occupation?

A. Government labor data and job postings
B. A single viral social media post about a high salary
C. A friend's guess
D. An advertisement for a training course

CORRECT ANSWER

A. Government labor data and job postings

Feedback (shown after answering)

Official labor statistics and actual postings give the most reliable picture.

Why each other choice is wrong (misconception it represents)

B: Unrepresentative source
C: Anecdotal source
D: Biased source

Type: instruction · practical how-to

GO DEEPER 2 — The hidden costs of a job · Question 1 of 5

Learn: A job's real value can depend on costs it creates: commuting (fuel, parking, transit), uniforms, tools, or child care. Subtracting them gives a clearer comparison.

Job E pays $20 per hour, 40 hours a week. The commute costs $12 per day for 5 days. What is the weekly pay after commuting costs?

A. $60
B. $740
C. $788
D. $800

CORRECT ANSWER

B. $740

Feedback (shown after answering)

Pay: $800. Commute: 5 × $12 = $60. After commuting: $740.

Recomputed independently by the build: 740

Why each other choice is wrong (misconception it represents)

A: Gives only the commuting cost
C: Counts one day of commuting
D: Ignores commuting costs

Type: instruction

GO DEEPER 2 — The hidden costs of a job · Question 2 of 5

Job E pays $740 a week after $60 of commuting costs, for 40 hours of work. The commute also takes 1 unpaid hour each day, 5 days a week. Counting commute time, what are the weekly earnings after commuting costs per hour of time spent (work + commute)?

A. $16.44
B. $17.78
C. $18.50
D. $20.00

CORRECT ANSWER

A. $16.44

Feedback (shown after answering)

Time: 40 + 5 = 45 hours. Earnings after costs: $740. $740 ÷ 45 ≈ $16.44 per hour.
Recomputed independently by the build: 16.444444

Why each other choice is wrong (misconception it represents)

B: Ignores commuting cost
C: Ignores commuting time
D: Ignores commuting time and cost

Type: knowledge check

GO DEEPER 2 — The hidden costs of a job · Question 3 of 5

Job E pays $20 per hour, but commuting costs $12 a day for 5 days. Job F pays $19 per hour, fully remote, with no commuting costs. Which earns more per week for 40 hours of work, after commuting costs?

A. Job E, by $40
B. Job E, by $20
C. Neither; they are equal
D. Job F, by $20

CORRECT ANSWER

D. Job F, by $20

Feedback (shown after answering)

Job F: 40 × $19 = $760 with no costs, which beats Job E's $740 after commuting by $20.
Recomputed independently by the build: 20

Why each other choice is wrong (misconception it represents)

A: Ignores Job E's commuting costs
B: Reverses the comparison
C: Does not compute

Type: knowledge check

GO DEEPER 2 — The hidden costs of a job · Question 4 of 5

Which cost should be subtracted when comparing two jobs?

A. Required uniforms the worker must buy
B. Groceries the worker would buy anyway
C. Rent the worker pays either way
D. A phone bill the worker pays either way

CORRECT ANSWER

A. Required uniforms the worker must buy

Feedback (shown after answering)

Subtract costs the job causes, not costs you would have anyway.

Why each other choice is wrong (misconception it represents)

B: Not caused by the job
C: Not caused by the job
D: Not caused by the job

Type: knowledge check

GO DEEPER 2 — The hidden costs of a job · Question 5 of 5

A parent compares a $22 per hour job requiring $160 per week of child care with an $18 per hour job with a work-site child care benefit (no cost). For 40 hours, which leaves more per week after child care, and by how much?

A. The $22 job, by $160
B. The $18 job, by $160
C. The $22 job, by $40
D. Neither; both leave $720

CORRECT ANSWER

D. Neither; both leave $720

Feedback (shown after answering)

$22 × 40 = $880 − $160 = $720. $18 × 40 = $720. They are equal.

Recomputed independently by the build: 720

Why each other choice is wrong (misconception it represents)

A: Ignores child care
B: Ignores the wage difference
C: Mixes up the numbers

Type: knowledge check

SET 13 · Earning Income, Employment, and Paychecks

Gig work and independent contractors

MAIN skill: Compare employee and independent contractor work and estimate gig income after expenses and taxes

Outcome FL.INCOME.13 · National topic: Earning Income · NJSLS 9.1.12: EG, PB

Learning target: 12-11a benefits and costs of gig employment; 12-8a earned income

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Employee or independent contractor? (5 questions)
  - Why: Gig tax and income questions depend on knowing how contractors differ from employees.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  - Why: Self-employment tax and set-aside amounts are percents of earnings.
- B3 · Math link → G7-S65-M (Grade 7 7.RP.A.3): Find a percent fee and the total with the fee
  - Why: Gig platforms deduct percent-based fees from earnings.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: True hourly earnings after expenses (5 questions)
- Go Deeper 2: Records and taxes for gig workers (5 questions)

Practical skills beyond the standards: Mileage logs; Setting aside tax money

Content status: time-sensitive

Source: IRS (Self-Employment Tax, Topic 554) — Self-employment tax is 15.3% (12.4% Social Security + 2.9% Medicare) on 92.35% of net earnings; a return is required when net self-employment earnings are $400 or more. https://www.irs.gov/businesses/small-businesses-self-employed/self-employment-tax-social-security-and-medicare-taxes

Source: IRS (Gig Economy Tax Center) — Gig income is taxable whether or not the worker receives a Form 1099. https://www.irs.gov/businesses/gig-economy-tax-center

Source: IRS (Am I required to file a Form 1099?) — For payments made after 2025, the general Form 1099-NEC reporting threshold for business payers is $2,000; income is taxable whether or not a form is issued. https://www.irs.gov/businesses/small-businesses-self-employed/am-i-required-to-file-a-form-1099-or-other-information-return

Answer key for this set: M-Q1 A, M-Q2 B, M-Q3 B, M-Q4 D, M-Q5 D, B1-Q1 A, B1-Q2 A, B1-Q3 D, B1-Q4 B, B1-Q5 A, F1-Q1 C, F1-Q2 B, F1-Q3 A, F1-Q4 B, F1-Q5 D, F2-Q1 A, F2-Q2 A, F2-Q3 D, F2-Q4 C, F2-Q5 A

MAIN — Compare employee and independent contractor work and estimate gig income after expenses and taxes · Question 1 of 5

Learn: An independent contractor works for himself or herself, not as an employee. Payers usually do not withhold taxes, overtime laws generally do not apply, and there are usually no employer benefits. Contractors may receive a Form 1099-NEC (or a 1099-K from a payment platform) instead of a W-2.

Ravi drives for a delivery app as an independent contractor. Which statement is TRUE for him but NOT for a typical employee?

A. No taxes are withheld from his pay; he must pay them himself
B. He is guaranteed overtime pay after 40 hours
C. His employer pays half of his Social Security tax
D. He receives a Form W-2 each January

CORRECT ANSWER

A. No taxes are withheld from his pay; he must pay them himself

Feedback (shown after answering)

Contractors receive no withholding; they make their own tax payments, including self-employment tax.

Why each other choice is wrong (misconception it represents)

B: Applies employee overtime rules
C: Applies the employee FICA split
D: Confuses the W-2 with a 1099

Type: instruction

MAIN — Compare employee and independent contractor work and estimate gig income after expenses and taxes · Question 2 of 5

Learn: For self-employed work, net earnings (profit) = income − business expenses. Taxes are figured on net earnings, so tracking expenses matters.

Ravi earned $900 in delivery fees this month and spent $180 on gas and other business expenses. What were his net earnings?

A. $180
B. $720
C. $900
D. $1,080

CORRECT ANSWER

B. $720

Feedback (shown after answering)

$900 − $180 = $720.

Recomputed independently by the build: 720

Why each other choice is wrong (misconception it represents)

A: Gives only expenses
C: Ignores expenses
D: Adds expenses

Type: instruction

MAIN — Compare employee and independent contractor work and estimate gig income after expenses and taxes · Question 3 of 5

Learn: Self-employment tax is the self-employed person's Social Security and Medicare tax. With no employer to pay half, the rate is 15.3% (12.4% + 2.9%), figured on 92.35% of net profit. It is owed in addition to income tax. (Very high earners and people who also have wages can face other rules.)

Self-employment tax is 15.3% of 92.35% of net earnings. Ravi has $720 of net self-employment profit, no wages anywhere else, and owes no Additional Medicare Tax. Estimate his self-employment tax (to the nearest cent).

A. $50.87
B. $101.73
C. $110.16
D. $137.70

CORRECT ANSWER

B. $101.73

Feedback (shown after answering)

$720 × 0.9235 = $664.92; × 0.153 = $101.73.

Recomputed independently by the build: 101.73

Why each other choice is wrong (misconception it represents)

A: Uses half the rate (7.65%)
C: Applies 15.3% to all of the net profit
D: Applies 15.3% to income before expenses

Type: instruction · rule as of IRS rates as of 2026

MAIN — Compare employee and independent contractor work and estimate gig income after expenses and taxes · Question 4 of 5

Learn: Federal income tax applies to income from all sources unless a specific rule excludes it. Forms such as the 1099 report income to the IRS, but they do not decide whether income is taxable.

Ravi receives no Form 1099 from one small client who paid him $350. Is the $350 taxable?

A. No; income without a form is tax-free
B. Only if the client reports it first
C. Only if the total from that client is over $10,000
D. Yes; income is taxable even without a form

CORRECT ANSWER

D. Yes; income is taxable even without a form

Feedback (shown after answering)

All income is reportable whether or not a 1099 is received. Keeping your own records ensures you report it correctly.

Why each other choice is wrong (misconception it represents)

A: Thinks tax depends on a form
B: Thinks the client decides
C: Invents a threshold

Type: instruction

MAIN — Compare employee and independent contractor work and estimate gig income after expenses and taxes · Question 5 of 5

Which is a benefit of gig work compared with a typical job, and which is a cost?

A. Benefit: guaranteed minimum hours. Cost: fixed schedule
B. Benefit: employer health insurance. Cost: overtime pay
C. Benefit: no taxes owed. Cost: lower pay
D. Benefit: flexibility. Cost: no benefits or withholding

CORRECT ANSWER

D. Benefit: flexibility. Cost: no benefits or withholding

Feedback (shown after answering)

Gig work offers flexibility but usually no benefits, no withholding, and uneven income (12-11a).

Why each other choice is wrong (misconception it represents)

A: Describes the opposite of gig work
B: Reverses the typical features
C: Thinks gig income is tax-free

Type: knowledge check

BACKWARD B1 · concept review — Employee or independent contractor? · Question 1 of 5

Learn: Employees usually work under an employer's control (schedule, methods) and get a W-2. Independent contractors run their own work, often for several clients, and are paid per job.

Which worker is MOST likely an independent contractor?

A. A freelance designer who bills several clients
B. A cashier scheduled by a store manager each week
C. A teacher paid a salary by a school district
D. A warehouse worker paid hourly with a W-2

CORRECT ANSWER

A. A freelance designer who bills several clients

Feedback (shown after answering)

Setting her own hours and billing multiple clients are signs of contractor work.

Why each other choice is wrong (misconception it represents)

B: Employer controls schedule
C: Salaried employee
D: W-2 employee

Type: instruction

BACKWARD B1 · concept review — Employee or independent contractor? · Question 2 of 5

Learn: Businesses that pay a contractor may report the payments on Form 1099-NEC. Payment apps and platforms may send Form 1099-K.

Which form might a contractor receive instead of a W-2?

A. Form 1099-NEC
B. Form W-4
C. Form I-9
D. Form 1040-ES

CORRECT ANSWER

A. Form 1099-NEC

Feedback (shown after answering)

Contractors may receive Form 1099-NEC (or 1099-K).

Why each other choice is wrong (misconception it represents)

B: Employees use this to set withholding
C: Employment eligibility verification
D: Used to pay estimated taxes, not received from clients

Type: instruction

BACKWARD B1 · concept review — Employee or independent contractor? · Question 3 of 5

Learn: Employers withhold income tax from employees' paychecks. Clients generally pay independent contractors the full amount billed.

Who withholds income tax from an independent contractor's pay?

A. The client, just as an employer would for a worker
B. The bank where the money is deposited
C. The IRS automatically
D. Usually no one; the contractor pays it

CORRECT ANSWER

D. Usually no one; the contractor pays it

Feedback (shown after answering)

Contractors are responsible for paying their own taxes, often through quarterly estimated payments.

Why each other choice is wrong (misconception it represents)

A: Applies employer withholding
B: Invents bank withholding
C: Thinks the IRS deducts it

Type: instruction

BACKWARD B1 · concept review — Employee or independent contractor? · Question 4 of 5

Learn: Profit (net earnings) = income − expenses.

A contractor earns $1,000 and has $250 of business expenses. What is her profit?

A. $250
B. $750
C. $1,000
D. $1,250

CORRECT ANSWER

B. $750

Feedback (shown after answering)

$1,000 − $250 = $750.

Recomputed independently by the build: 750

Why each other choice is wrong (misconception it represents)

A: Gives expenses
C: Ignores expenses
D: Adds expenses

Type: instruction

BACKWARD B1 · concept review — Employee or independent contractor? · Question 5 of 5

Which benefit do contractors usually NOT receive from a client?

A. Employer-paid health insurance
B. Payment for completed work
C. The ability to choose clients
D. Control over how they do the work

CORRECT ANSWER

A. Employer-paid health insurance

Feedback (shown after answering)

Employer benefits usually go to employees, not contractors.

Why each other choice is wrong (misconception it represents)

B: Contractors are paid
C: Contractors usually can
D: Contractors usually have this

Type: knowledge check

GO DEEPER 1 — True hourly earnings after expenses · Question 1 of 5

Learn: Gig apps show gross pay per trip. Your real hourly earnings subtract the costs of doing the work, such as fuel, vehicle wear, phone data, and insurance, then divide by all hours worked, including waiting time.

Mia drove 30 hours and earned $750 in app payments. She drove 400 miles, and her costs (gas, wear, insurance) are about $0.30 per mile. What were her earnings per hour after these costs?

A. $4
B. $18.75
C. $21
D. $25

CORRECT ANSWER

C. $21

Feedback (shown after answering)

Costs: 400 × $0.30 = $120. Net: $750 − $120 = $630. $630 ÷ 30 = $21 per hour.

Recomputed independently by the build: 21

Why each other choice is wrong (misconception it represents)

A: Uses costs instead of earnings
B: Uses 40 hours
D: Ignores driving costs

Type: instruction

GO DEEPER 1 — True hourly earnings after expenses · Question 2 of 5

A platform takes a 25% service fee from each $40 job. How much does the worker receive per job?

A. $10
B. $30
C. $39.75
D. $50

CORRECT ANSWER

B. $30

Feedback (shown after answering)

Fee: $40 × 0.25 = $10. Worker keeps $30.

Recomputed independently by the build: 30

Why each other choice is wrong (misconception it represents)

A: Gives the fee
C: Subtracts 25 cents
D: Adds the fee

Type: knowledge check

GO DEEPER 1 — True hourly earnings after expenses · Question 3 of 5

Mia earns $630 a week after driving costs for 30 hours of driving, and she also waits 10 unpaid hours a week for orders. What is her net pay per hour of total time?

A. $15.75
B. $18.75
C. $21.00
D. $63.00

CORRECT ANSWER

A. $15.75

Feedback (shown after answering)

$630 ÷ 40 hours = $15.75 per hour.

Recomputed independently by the build: 15.75

Why each other choice is wrong (misconception it represents)

B: Uses gross pay
C: Ignores waiting time
D: Uses only waiting time

Type: knowledge check

GO DEEPER 1 — True hourly earnings after expenses · Question 4 of 5

Mia earns $630 a week after driving costs and sets aside 25% of it for taxes. How much does she keep for the week?

A. $157.50
B. $472.50
C. $562.50
D. $630.00

CORRECT ANSWER

B. $472.50

Feedback (shown after answering)

$630 × 0.75 = $472.50.

Recomputed independently by the build: 472.5

Why each other choice is wrong (misconception it represents)

A: Gives the set-aside
C: Takes 25% of $750 from $750 and ignores costs
D: Ignores taxes

Type: knowledge check

GO DEEPER 1 — True hourly earnings after expenses · Question 5 of 5

Which comparison is fair when deciding between gig driving and a $17 per hour employee job?

A. Gig gross per trip vs the job's hourly wage
B. The busiest gig hour vs the job's average hour
C. Gig tips only vs the job's full pay
D. Gig net per hour after costs and taxes vs the job's pay after taxes

CORRECT ANSWER

D. Gig net per hour after costs and taxes vs the job's pay after taxes

Feedback (shown after answering)

Compare like with like: net after all costs and taxes, per hour of time actually spent.

Why each other choice is wrong (misconception it represents)

A: Compares gross gig pay with wages
B: Cherry-picks
C: Mismatched pieces

Type: knowledge check

GO DEEPER 2 — Records and taxes for gig workers · Question 1 of 5

Learn: Self-employed workers can deduct ordinary and necessary business expenses, such as business miles driven. The IRS expects records that support each deduction: logs, receipts, and statements.

Which record is MOST useful for a delivery driver at tax time?

A. A mileage log with dates, miles, and business purpose
B. Screenshots of favorite customers' reviews
C. A list of restaurants visited for personal meals
D. The app's advertising emails

CORRECT ANSWER

A. A mileage log with dates, miles, and business purpose

Feedback (shown after answering)

A contemporaneous mileage log supports a vehicle expense deduction.

Why each other choice is wrong (misconception it represents)

B: Not a tax record
C: Personal, not business
D: Not a tax record

Type: instruction · practical how-to

GO DEEPER 2 — Records and taxes for gig workers · Question 2 of 5

Learn: Self-employment tax (Social Security and Medicare for self-employed people) applies once net self-employment earnings reach a small threshold set by law, even if no income tax is owed.

Self-employed people generally must file a federal return if net self-employment earnings reach what amount?

A. $400
B. $4,000
C. $10,000
D. $1,000,000

CORRECT ANSWER

A. $400

Feedback (shown after answering)

Net self-employment earnings of $400 or more require filing, because self-employment tax applies.
Recomputed independently by the build: 400

Why each other choice is wrong (misconception it represents)

B: Adds a zero
C: Invents a threshold
D: Unrealistic threshold

Type: instruction · rule as of IRS rule as of 2026

GO DEEPER 2 — Records and taxes for gig workers · Question 3 of 5

Learn: Taxes are pay-as-you-go. People who expect to owe $1,000 or more after withholding and credits usually make quarterly estimated payments (Form 1040-ES). "Safe harbor" rules can prevent a penalty, for example by paying enough based on this year's or last year's tax.

A gig worker has no withholding and expects to owe $2,000 in tax for the year. She paid no tax last year because she had no income, so no safe harbor protects her. She pays nothing until April. What risk does this create?

A. No risk; all taxes are due in April
B. The IRS cancels taxes under $5,000
C. Her tax refund will be larger than usual
D. An underpayment penalty, plus one large bill

CORRECT ANSWER

D. An underpayment penalty, plus one large bill

Feedback (shown after answering)

Without withholding, estimated payments, or a safe harbor, she may owe an underpayment penalty.

Why each other choice is wrong (misconception it represents)

A: Ignores estimated tax rules
B: Invents forgiveness
C: Reverses the effect

Type: instruction

GO DEEPER 2 — Records and taxes for gig workers · Question 4 of 5

Mia sets aside 25% of each week's $630 net in a separate savings account. How much is set aside over a 13-week quarter?

A. $157.50
B. $630.00
C. $2,047.50
D. $8,190.00

CORRECT ANSWER

C. $2,047.50

Feedback (shown after answering)

$630 × 0.25 = $157.50 per week; × 13 = $2,047.50.
Recomputed independently by the build: 2047.5

Why each other choice is wrong (misconception it represents)

A: Gives one week
B: Gives one week's net
D: Gives total net for the quarter

Type: knowledge check

GO DEEPER 2 — Records and taxes for gig workers · Question 5 of 5

Why keep gig tax money in a separate account?

A. So it is not spent before taxes are due
B. Because the IRS requires a separate account by law
C. Because separate accounts earn no interest
D. Because keeping it separate lowers the tax owed

CORRECT ANSWER

A. So it is not spent before taxes are due

Feedback (shown after answering)

Separating tax money protects it from everyday spending.

Why each other choice is wrong (misconception it represents)

B: Invents a legal rule
C: Unrelated and untrue
D: Thinks storage changes the tax

Type: knowledge check · practical how-to

SET 14 · Earning Income, Employment, and Paychecks

Education, careers, and lifetime income

MAIN skill: Evaluate how education, skills, and the labor market affect lifetime income

Outcome FL.INCOME.14 · National topic: Earning Income · NJSLS 9.1.12: PB, FP

Learning target: 12-5a how labor market conditions affect income; 12-5b how technology affects employment and income

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Opportunity cost and trade-offs (5 questions)
  - Why: Comparing career and education choices depends on recognizing what is given up.
- B2 · Math link → G7-S29-M (Grade 7 7.EE.B.3): Solve multistep problems with positive and negative rational numbers in any form
  - Why: Comparing career paths multiplies yearly pay by years and subtracts totals.
- B3 · Math link → G6-S19-M (Grade 6 6.NS.B.3): Multiply multi-digit decimals
  - Why: Multi-year earnings multiply yearly pay by years.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: When does more education pay off? (5 questions)
- Go Deeper 2: Paths to a career (5 questions)

Practical skills beyond the standards: Break-even analysis for education; Evaluating training programs

Content status: time-sensitive

Source: U.S. Bureau of Labor Statistics (Employment Projections) — Median weekly earnings rise and unemployment rates fall with higher educational attainment (figures update yearly).
https://www.bls.gov/emp/chart-unemployment-earnings-education.htm

Answer key for this set: M-Q1 D, M-Q2 D, M-Q3 A, M-Q4 D, M-Q5 D, B1-Q1 A, B1-Q2 A, B1-Q3 D, B1-Q4 D, B1-Q5 D, F1-Q1 A, F1-Q2 A, F1-Q3 D, F1-Q4 D, F1-Q5 A, F2-Q1 D, F2-Q2 C, F2-Q3 A, F2-Q4 A, F2-Q5 D

MAIN — Evaluate how education, skills, and the labor market affect lifetime income · Question 1 of 5

Learn: Human capital is the knowledge, skills, and experience that make a person productive and able to earn income. Education, training, apprenticeships, and work experience build human capital, often raising future earnings.

Which is an example of investing in your "human capital"?

A. Buying a new phone
B. Opening a savings account
C. Leasing a car
D. Completing an electrician apprenticeship

CORRECT ANSWER

D. Completing an electrician apprenticeship

Feedback (shown after answering)

An apprenticeship builds skills that raise earning power: human capital.

Why each other choice is wrong (misconception it represents)

A: Consumer purchase
B: Financial capital
C: Consumer purchase

Type: instruction

MAIN — Evaluate how education, skills, and the labor market affect lifetime income · Question 2 of 5

Learn: Opportunity cost is the value of the next-best choice you give up. The cost of school includes tuition and also the income you could have earned while studying.

Pat can work now at $32,000 per year, or attend a 4-year program first. What is the opportunity cost in earnings of the 4 years in school (ignoring raises)?

A. $0
B. $32,000
C. $96,000
D. $128,000

CORRECT ANSWER

D. $128,000

Feedback (shown after answering)

$32,000 × 4 = $128,000 of earnings given up.

Recomputed independently by the build: 128000

Why each other choice is wrong (misconception it represents)

A: Ignores earnings given up
B: Counts one year
C: Counts three years

Type: instruction

MAIN — Evaluate how education, skills, and the labor market affect lifetime income · Question 3 of 5

Learn: Comparing career paths over many years shows the trade-off: a later start can be outweighed by higher yearly earnings, depending on the numbers and costs.

Path A: start work at 18 earning $32,000 a year. Path B: start at 22 earning $52,000 a year. Ignoring raises and costs, which path has earned more by age 40, and by how much?

A. Path B, by $232,000
B. Path A, by $232,000
C. Path B, by $20,000
D. Path B, by $360,000

CORRECT ANSWER

A. Path B, by $232,000

Feedback (shown after answering)

A: 22 years × $32,000 = $704,000. B: 18 years × $52,000 = $936,000. B leads by $232,000.

Recomputed independently by the build: 232000

Why each other choice is wrong (misconception it represents)

B: Reverses the comparison
C: Compares one year of pay
D: Uses 18 years for both paths

Type: instruction

MAIN — Evaluate how education, skills, and the labor market affect lifetime income · Question 4 of 5

Learn: Wages are influenced by supply and demand in the labor market. When employers need more workers with a skill than are available, wages for that skill tend to rise. When many people have a skill employers need less, wages tend to fall.

Demand for wind turbine technicians rises sharply, but few people have the training. What usually happens to their wages?

A. Wages tend to fall
B. Wages stay fixed by law
C. Wages drop to minimum wage
D. Wages tend to rise

CORRECT ANSWER

D. Wages tend to rise

Feedback (shown after answering)

High demand and limited supply of a skill push wages up (12-5a).

Why each other choice is wrong (misconception it represents)

A: Reverses supply and demand
B: Thinks wages are set by law
C: Reverses the effect

Type: instruction

MAIN — Evaluate how education, skills, and the labor market affect lifetime income · Question 5 of 5

Software that automates routine bookkeeping becomes common. Which outcome is MOST likely?

A. All accounting jobs disappear within a single year
B. No effect on jobs, because technology never changes work
C. Higher pay for every routine data-entry job
D. Fewer routine jobs, more need for analysis skills

CORRECT ANSWER

D. Fewer routine jobs, more need for analysis skills

Feedback (shown after answering)

Technology often replaces routine tasks and raises demand for workers who can use the tools and do analysis (12-5b).

Why each other choice is wrong (misconception it represents)

A: Overstates the effect
B: Ignores technological change
C: Reverses the effect

Type: knowledge check

BACKWARD B1 · concept review — Opportunity cost and trade-offs · Question 1 of 5

Learn: Every choice has an opportunity cost: the value of the next-best option you give up. A "free" activity can still cost the money or time you could have used otherwise.

Lia can work a Saturday shift for $120 or go to a free concert. If she goes to the concert, what is the opportunity cost?

A. The $120 she would have earned
B. $0, because the concert is free
C. The price of a ticket she did not buy
D. The concert itself

CORRECT ANSWER

A. The $120 she would have earned

Feedback (shown after answering)

She gives up $120 of pay, the next-best option.

Recomputed independently by the build: 120

Why each other choice is wrong (misconception it represents)

B: Ignores what she gives up
C: Invents a cost
D: Confuses the choice with what is given up

Type: instruction

BACKWARD B1 · concept review — Opportunity cost and trade-offs · Question 2 of 5

Which is the opportunity cost of spending $50 on a video game?

A. What else the $50 could have done
B. The time it takes to drive to the store
C. The sales tax on the game
D. Nothing, because games are fun

CORRECT ANSWER

A. What else the $50 could have done

Feedback (shown after answering)

Money spent one way cannot be used for the next-best alternative.

Why each other choice is wrong (misconception it represents)

B: Part of cost but not the main idea here
C: Confuses opportunity cost with an added cost
D: Ignores trade-offs

Type: knowledge check

BACKWARD B1 · concept review — Opportunity cost and trade-offs · Question 3 of 5

Learn: Specialized skills take time and money to gain, so fewer people have them. When employers need those skills, they compete for workers by offering higher pay.

Why do many careers that require more training pay more?

A. The law requires higher pay for degrees
B. Training programs set the wages their graduates earn
C. Higher pay is random
D. The skills are scarce and valued

CORRECT ANSWER

D. The skills are scarce and valued

Feedback (shown after answering)

Scarce, valuable skills tend to earn higher wages.

Why each other choice is wrong (misconception it represents)

A: Invents a law
B: Confuses schools with employers
C: Ignores supply and demand

Type: instruction

BACKWARD B1 · concept review — Opportunity cost and trade-offs · Question 4 of 5

Earning $15 per hour for 2 hours vs studying for 2 hours: what is the cost of studying, in income?

A. $0
B. $15
C. $17
D. $30

CORRECT ANSWER

D. $30

Feedback (shown after answering)

2 × $15 = $30 of income given up.

Recomputed independently by the build: 30

Why each other choice is wrong (misconception it represents)

A: Ignores forgone income
B: Counts one hour
C: Adds instead of multiplying

Type: knowledge check

BACKWARD B1 · concept review — Opportunity cost and trade-offs · Question 5 of 5

Which choice is MOST likely to raise long-term earning power?

A. Buying a more expensive car
B. Switching to a new phone plan
C. Taking a weekend trip
D. Earning an industry certification in a growing field

CORRECT ANSWER

D. Earning an industry certification in a growing field

Feedback (shown after answering)

Certifications build human capital in demand.

Why each other choice is wrong (misconception it represents)

A: Consumer spending
B: Consumer choice
C: Consumer choice

Type: knowledge check

GO DEEPER 1 — When does more education pay off? · Question 1 of 5

Learn: A "break-even point" is when two options have produced the same total. Write each option's total as an expression in t (years), set them equal, and solve.

Path A earns $32,000 a year starting now. Path B costs $40,000 for a 4-year program, then earns $52,000 a year. Let t = years from now (t ≥ 4). Which equation finds when their total earnings (B net of the program cost) are equal?

A. $32{,}000t = 52{,}000(t - 4) - 40{,}000
B. $32{,}000t = 52{,}000t - 40{,}000$
C. $32{,}000(t - 4) = 52{,}000t - 40{,}000$
D. $32{,}000t + 40{,}000 = 52{,}000t$

CORRECT ANSWER

A. $32{,}000t = 52{,}000(t - 4) - 40{,}000$

Feedback (shown after answering)

Path A has earned $32{,}000t$. Path B has earned $52{,}000(t - 4)$ after its 4 school years, minus its $40,000 cost.

Why each other choice is wrong (misconception it represents)

B: Forgets that Path B earns nothing for 4 years
C: Puts the delay on the wrong path
D: Adds the cost to Path A and ignores the delay

Type: instruction

GO DEEPER 1 — When does more education pay off? · Question 2 of 5

Solve 32,000t = 52,000(t − 4) − 40,000. After how many years from now do the paths break even?

A. 12.4 years
B. 4 years
C. 2 years
D. 10.4 years

CORRECT ANSWER

A. 12.4 years

Feedback (shown after answering)

32,000t = 52,000t − 208,000 − 40,000 → 20,000t = 248,000 → t = 12.4.

Recomputed independently by the build: 12.4

Why each other choice is wrong (misconception it represents)

B: Gives the program length
C: Uses 40,000 ÷ 20,000 only
D: Forgets the 40,000 cost

Type: knowledge check

GO DEEPER 1 — When does more education pay off? · Question 3 of 5

Path B requires a $40,000 program before its higher pay begins. If the program were paid with student loans that charge interest, how would Path B's break-even point change?

A. It would come sooner
B. It would not change
C. Path B would never cost anything
D. It would come later

CORRECT ANSWER

D. It would come later

Feedback (shown after answering)

Interest adds to the cost of Path B, pushing break-even later.

Why each other choice is wrong (misconception it represents)

A: Reverses the effect
B: Ignores interest costs
C: Ignores repayment

Type: knowledge check

GO DEEPER 1 — When does more education pay off? · Question 4 of 5

Path B (a 4-year, $40,000 program, then higher pay) is compared with working now at lower pay (Path A). Which factor would make Path B pay off SOONER?

A. A more expensive program
B. Taking 6 years instead of 4 to finish the program
C. Lower demand for Path B's field
D. Higher starting pay for Path B's career

CORRECT ANSWER

D. Higher starting pay for Path B's career

Feedback (shown after answering)

Higher pay closes the gap faster.

Why each other choice is wrong (misconception it represents)

A: Increases cost
B: Delays earnings
C: Lowers expected pay

Type: knowledge check

GO DEEPER 1 — When does more education pay off? · Question 5 of 5

Earnings estimates are uncertain. What is a sensible way to use them?

A. Compare paths with low, middle, and high estimates
B. Use only the highest salary estimate you can find online
C. Ignore estimates because they are uncertain
D. Assume every graduate earns the same

CORRECT ANSWER

A. Compare paths with low, middle, and high estimates

Feedback (shown after answering)

Testing several estimates shows how sensitive the decision is.

Why each other choice is wrong (misconception it represents)

B: Overconfident
C: Gives up on planning
D: Ignores variation

Type: knowledge check

GO DEEPER 2 — Paths to a career · Question 1 of 5

Learn: Registered apprenticeships combine paid on-the-job training with classroom learning, often leading to a nationally recognized credential. Pay usually rises as skills increase.

Which path lets a person earn wages while training for a skilled trade?

A. A full-time unpaid internship
B. A four-year degree with no job
C. A gap year of travel
D. A registered apprenticeship

CORRECT ANSWER

D. A registered apprenticeship

Feedback (shown after answering)

Apprentices earn while they learn.

Why each other choice is wrong (misconception it represents)

A: Unpaid
B: No wages while studying
C: Not training

Type: instruction

GO DEEPER 2 — Paths to a career · Question 2 of 5

An apprentice starts at 50% of a journeyworker's $36 hourly wage and rises to 80% in the last year. What is the last-year hourly wage?

A. $7.20
B. $18.00
C. $28.80
D. $36.00

CORRECT ANSWER

C. $28.80

Feedback (shown after answering)

$36 × 0.80 = $28.80.

Recomputed independently by the build: 28.8

Why each other choice is wrong (misconception it represents)

A: Gives the 20% difference
B: Uses the starting percent
D: Uses the full wage

Type: knowledge check

GO DEEPER 2 — Paths to a career · Question 3 of 5

Which question is MOST useful before enrolling in a paid career-training program?

A. What share of graduates get jobs in the field, and at what pay?
B. How attractive is the program's website?
C. How modern does the school's building look?
D. Does the program have a catchy slogan?

CORRECT ANSWER

A. What share of graduates get jobs in the field, and at what pay?

Feedback (shown after answering)

Outcomes data (job placement and pay) shows whether the program pays off.

Why each other choice is wrong (misconception it represents)

B: Marketing
C: Judges by appearance, not outcomes
D: Marketing

Type: knowledge check · practical how-to

GO DEEPER 2 — Paths to a career · Question 4 of 5

Military service, community college, and certifications are all ways to build skills. What do they have in common financially?

A. Each trades time (and sometimes money) now for higher future earning power
B. Each is always completely free for every student
C. Each guarantees a high salary right after finishing
D. Each requires a student loan

CORRECT ANSWER

A. Each trades time (and sometimes money) now for higher future earning power

Feedback (shown after answering)

They are investments in human capital with costs now and benefits later.

Why each other choice is wrong (misconception it represents)

B: Overgeneralizes
C: Overpromises
D: Overgeneralizes

Type: knowledge check

GO DEEPER 2 — Paths to a career · Question 5 of 5

Data show workers with more education tend to have lower unemployment rates. How should a student use this fact?

A. As proof that any degree guarantees a job in any field
B. As a reason to ignore program costs
C. As a reason to avoid all training
D. As one input among costs, interests, and demand

CORRECT ANSWER

D. As one input among costs, interests, and demand

Feedback (shown after answering)

Averages describe groups, not guarantees; costs and field demand also matter.

Why each other choice is wrong (misconception it represents)

A: Treats an average as a guarantee
B: Ignores costs
C: Misreads the data

Type: knowledge check

SET 15 · Budgeting and Managing Expenses

Needs, wants, and types of expenses

MAIN skill: Classify expenses as needs or wants and as fixed, variable, or periodic

Outcome FL.BUDGET.15 · National topic: Spending · NJSLS 9.1.12: PB, FP

Learning target: Develop a budget: needs and wants, fixed and variable expenses

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Income and expenses (5 questions)
  - Why: Classifying expenses requires knowing what income and expenses are.
- B2 · Math link → G6-S16-M (Grade 6 6.NS.B.3): Add multi-digit decimals
  - Why: Budget totals add many expenses.
- B3 · Math link → G6-S17-M (Grade 6 6.NS.B.3): Subtract multi-digit decimals
  - Why: Money left subtracts total expenses from income.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Tracking spending by category (5 questions)
- Go Deeper 2: Values, goals, and gray areas (5 questions)

Practical skills beyond the standards: Tracking a month of spending

Content status: stable

Answer key for this set: M-Q1 D, M-Q2 A, M-Q3 A, M-Q4 A, M-Q5 D, B1-Q1 A, B1-Q2 D, B1-Q3 A, B1-Q4 D, B1-Q5 A, F1-Q1 B, F1-Q2 B, F1-Q3 A, F1-Q4 D, F1-Q5 D, F2-Q1 D, F2-Q2 A, F2-Q3 A, F2-Q4 D, F2-Q5 D

MAIN — Classify expenses as needs or wants and as fixed, variable, or periodic · Question 1 of 5

Learn: A need is something required to live and work: basic food, housing, utilities, transportation to work, and necessary medical care. A want is something that makes life more enjoyable but is not essential. Many items have a need part and a want part: you need food, but restaurant meals are mostly a want.

Ella is building her first budget. Which expense is a NEED for most people living on their own?

A. A premium streaming subscription with no ads
B. Concert tickets with friends next month
C. A newer phone model to replace a working one
D. Groceries for basic meals

CORRECT ANSWER

D. Groceries for basic meals

Feedback (shown after answering)

Basic groceries are a need. The others are wants, even if they feel important.

Why each other choice is wrong (misconception it represents)

A: Treats an entertainment upgrade as essential
B: Treats an event as essential
C: Treats an upgrade as essential

Type: instruction

MAIN — Classify expenses as needs or wants and as fixed, variable, or periodic · Question 2 of 5

Learn: Fixed expenses stay the same each month, such as rent under a lease or a car payment. Variable expenses change from month to month, such as groceries, gas, and utilities. Periodic expenses happen less often than monthly, such as car registration or yearly fees.

Which expense is FIXED (the same amount each month)?

A. Rent of $950 under a one-year lease
B. Groceries, which change with what you buy each week
C. Electricity, which changes with the weather and usage
D. Gasoline, which depends on how much you drive and the price

CORRECT ANSWER

A. Rent of $950 under a one-year lease

Feedback (shown after answering)

Rent set by a lease is fixed; the other three vary.

Why each other choice is wrong (misconception it represents)

B: Variable expense
C: Variable expense
D: Variable expense

Type: instruction

MAIN — Classify expenses as needs or wants and as fixed, variable, or periodic · Question 3 of 5

Learn: A budget compares income with expenses. Add all expenses, then subtract the total from income. A positive result is a surplus; a negative result is a deficit.

Omar's monthly take-home pay is $2,150. His expenses: rent $875, food $340, transportation $210, phone $55, utilities $120, and entertainment $150. How much is left?

A. $400
B. $550
C. $1,750
D. $3,900

CORRECT ANSWER

A. $400

Feedback (shown after answering)

Expenses: 875 + 340 + 210 + 55 + 120 + 150 = $1,750. $2,150 − $1,750 = $400.

Recomputed independently by the build: 400

Why each other choice is wrong (misconception it represents)

B: Leaves out the entertainment expense
C: Gives total expenses instead of what is left
D: Adds income and expenses

Type: instruction

MAIN — Classify expenses as needs or wants and as fixed, variable, or periodic · Question 4 of 5

Omar's phone plan costs $55: $35 is the basic plan and $20 is for unlimited premium data he rarely uses. How should he think about this expense?

A. About $35 is a need and $20 is a want
B. The whole $55 is a need because phones are essential
C. The whole $55 is a want because phones are optional
D. It is neither a need nor a want, because it is a contract

CORRECT ANSWER

A. About $35 is a need and $20 is a want

Feedback (shown after answering)

Splitting a mixed expense shows how much could be cut without losing the essential service.

Why each other choice is wrong (misconception it represents)

B: Treats the whole bill as essential
C: Ignores the essential part
D: Thinks contracts are not expenses

Type: knowledge check

MAIN — Classify expenses as needs or wants and as fixed, variable, or periodic · Question 5 of 5

Which of these is a PERIODIC expense?

A. A $950 rent payment due on the first of every month
B. A $60 grocery trip each week of the month
C. A $55 phone bill that is the same every month
D. A $180 car registration paid once a year

CORRECT ANSWER

D. A $180 car registration paid once a year

Feedback (shown after answering)

Periodic expenses come less often than monthly, so they are easy to forget when budgeting.

Why each other choice is wrong (misconception it represents)

A: Monthly fixed expense
B: Weekly variable expense
C: Monthly fixed expense

Type: knowledge check

BACKWARD B1 · concept review — Income and expenses · Question 1 of 5

Learn: Income is money you receive, such as pay, tips, or gifts. An expense is money you spend or pay out.

Which is INCOME?

A. Pay from a part-time job
B. A payment for a phone bill
C. Money spent on a movie ticket
D. A bank fee

CORRECT ANSWER

A. Pay from a part-time job

Feedback (shown after answering)

Pay from a job is income.

Why each other choice is wrong (misconception it represents)

B: Expense
C: Expense
D: Expense

Type: instruction

BACKWARD B1 · concept review — Income and expenses · Question 2 of 5

Which is an EXPENSE?

A. A paycheck deposit
B. A birthday gift of cash
C. Interest earned on savings
D. A monthly bus pass

CORRECT ANSWER

D. A monthly bus pass

Feedback (shown after answering)

A bus pass is money spent: an expense.

Why each other choice is wrong (misconception it represents)

A: Income
B: Income
C: Income

Type: knowledge check

BACKWARD B1 · concept review — Income and expenses · Question 3 of 5

Learn: Money left = income − expenses.

Income is $500 and expenses are $420. What is left?

A. $80
B. $420
C. $500
D. $920

CORRECT ANSWER

A. $80

Feedback (shown after answering)

$500 − $420 = $80.

Recomputed independently by the build: 80

Why each other choice is wrong (misconception it represents)

B: Gives expenses
C: Gives income
D: Adds instead of subtracting

Type: instruction

BACKWARD B1 · concept review — Income and expenses · Question 4 of 5

Learn: When expenses are larger than income, the difference is a shortfall (deficit). It has to be covered by savings, borrowing, or spending less.

Income is $500 and expenses are $560. What is the result?

A. $60 left over to save
B. $1,060 left over
C. Nothing, because they cancel out
D. A $60 shortfall

CORRECT ANSWER

D. A $60 shortfall

Feedback (shown after answering)

$500 − $560 = −$60, a $60 shortfall.

Recomputed independently by the build: 60

Why each other choice is wrong (misconception it represents)

A: Ignores the sign
B: Adds the amounts
C: Assumes the amounts are equal

Type: instruction

BACKWARD B1 · concept review — Income and expenses · Question 5 of 5

Why track expenses for a month before making a budget?

A. To see where money actually goes
B. Because banks require a month of records first
C. Because tracking lowers prices at stores
D. Because expenses are taxed only when tracked

CORRECT ANSWER

A. To see where money actually goes

Feedback (shown after answering)

Tracking shows real spending patterns to build a realistic budget.

Why each other choice is wrong (misconception it represents)

B: Invents a requirement
C: Thinks tracking changes prices
D: Invents a tax rule

Type: knowledge check

GO DEEPER 1 — Tracking spending by category · Question 1 of 5

Learn: Tracking spending by category shows where money goes. Comparing a part to its category total, as a percent, helps you decide what to change.

Lena tracked one month of spending: food $410, of which $180 was restaurants and delivery. What percent of her food spending was restaurants and delivery (nearest whole percent)?

A. 18%
B. 44%
C. 56%
D. 228%

CORRECT ANSWER

B. 44%

Feedback (shown after answering)

$180 ÷ $410 ≈ 0.439 ≈ 44%.

Recomputed independently by the build: 43.902439

Why each other choice is wrong (misconception it represents)

A: Uses $180 as a percent
C: Gives the grocery share
D: Divides the wrong way

Type: instruction

GO DEEPER 1 — Tracking spending by category · Question 2 of 5

Lena cuts restaurants and delivery from $180 to $100 a month. How much does she free up in a year?

A. $80
B. $960
C. $1,200
D. $2,160

CORRECT ANSWER

B. $960

Feedback (shown after answering)

($180 − $100) × 12 = $80 × 12 = $960.

Recomputed independently by the build: 960

Why each other choice is wrong (misconception it represents)

A: Gives one month
C: Uses $100 per month
D: Uses the old spending

Type: knowledge check

GO DEEPER 1 — Tracking spending by category · Question 3 of 5

Learn: Small purchases are easy to forget. Apps, bank downloads, receipts, or a notebook all work, as long as every purchase, including cash, is recorded.

Which tracking method is MOST likely to give a complete picture?

A. Recording every purchase, including cash, for a month
B. Guessing totals at the end of the month
C. Reviewing only the largest purchases you remember
D. Tracking only debit card purchases, not any cash ones

CORRECT ANSWER

A. Recording every purchase, including cash, for a month

Feedback (shown after answering)

Complete tracking catches small and cash purchases that add up.

Why each other choice is wrong (misconception it represents)

B: Relies on memory
C: Misses small spending
D: Misses cash spending

Type: instruction · practical how-to

GO DEEPER 1 — Tracking spending by category · Question 4 of 5

A $6 coffee five days a week costs how much in a year (52 weeks)?

A. $30
B. $130
C. $312
D. $1,560

CORRECT ANSWER

D. $1,560

Feedback (shown after answering)

$6 × 5 × 52 = $1,560.

Recomputed independently by the build: 1560

Why each other choice is wrong (misconception it represents)

A: Gives one week
B: Uses one month of weekdays
C: Uses one day a week

Type: knowledge check

GO DEEPER 1 — Tracking spending by category · Question 5 of 5

After tracking, Lena finds she spends $90 a month on subscriptions she rarely uses. What is the best next step?

A. Keep them all, since each one costs under $15
B. Add one more so she has more choices
C. Stop tracking, since the amounts are small
D. Cancel or pause the ones she rarely uses

CORRECT ANSWER

D. Cancel or pause the ones she rarely uses

Feedback (shown after answering)

Rarely used subscriptions are easy savings: $90 a month is $1,080 a year.

Why each other choice is wrong (misconception it represents)

A: Ignores the total
B: Increases the problem
C: Abandons tracking

Type: knowledge check · practical how-to

GO DEEPER 2 — Values, goals, and gray areas · Question 1 of 5

Learn: Needs and wants depend partly on a person's situation and values. Labeling honestly helps you decide what to protect and what to cut when money is tight.

Two students each spend $60 a month on the gym. For Kim it supports a doctor-recommended exercise plan; for Lee it is rarely used. Which statement is fair?

A. The gym is always a want for everyone, whatever the reason
B. The gym is always a need for everyone
C. Expenses cannot be classified at all
D. The same expense can be closer to a need for Kim

CORRECT ANSWER

D. The same expense can be closer to a need for Kim

Feedback (shown after answering)

Context matters: the same purchase can serve different purposes for different people.

Why each other choice is wrong (misconception it represents)

A: Ignores personal circumstances
B: Ignores personal circumstances
C: Gives up on classification

Type: instruction

GO DEEPER 2 — Values, goals, and gray areas · Question 2 of 5

Which budget choice best matches the value "being debt-free"?

A. Paying extra on a credit card balance
B. Buying the newest phone on a payment plan
C. Using buy now, pay later for clothes
D. Taking a cash advance for a trip

CORRECT ANSWER

A. Paying extra on a credit card balance

Feedback (shown after answering)

Aligning spending with values means directing money to what matters most to you.

Why each other choice is wrong (misconception it represents)

B: Adds debt
C: Adds debt
D: Adds expensive debt

Type: knowledge check

GO DEEPER 2 — Values, goals, and gray areas · Question 3 of 5

Spending to keep up with friends is called social pressure. Which response protects a budget?

A. Suggesting a lower-cost activity together
B. Using a credit card so no one notices
C. Skipping a bill to afford the outing
D. Spending the same, then cutting groceries

CORRECT ANSWER

A. Suggesting a lower-cost activity together

Feedback (shown after answering)

A cheaper alternative keeps the friendship and the budget.

Why each other choice is wrong (misconception it represents)

B: Hides the problem with debt
C: Creates late fees and harm
D: Shifts the cost to a need

Type: knowledge check

GO DEEPER 2 — Values, goals, and gray areas · Question 4 of 5

A "want" can be planned for. Which approach does that?

A. Buying it now on a store credit card and paying it off slowly
B. Never buying any wants
C. Waiting for a refund to pay for it
D. Saving $25 a month toward a $300 concert trip

CORRECT ANSWER

D. Saving $25 a month toward a $300 concert trip

Feedback (shown after answering)

Saving in advance lets you enjoy wants without debt: $300 ÷ $25 = 12 months.

Why each other choice is wrong (misconception it represents)

A: Borrowing for a want
B: Unrealistic
C: Relies on uncertain money

Type: knowledge check

GO DEEPER 2 — Values, goals, and gray areas · Question 5 of 5

Which statement about wants is MOST accurate?

A. A healthy budget never includes any wants
B. Wants should be paid for with credit
C. Wants matter more than bills
D. Planned wants fit a healthy budget

CORRECT ANSWER

D. Planned wants fit a healthy budget

Feedback (shown after answering)

Budgets that include some planned wants are easier to stick to.

Why each other choice is wrong (misconception it represents)

A: Overly strict
B: Encourages debt
C: Reverses priorities

Type: knowledge check

SET 16 · Budgeting and Managing Expenses

Building a monthly budget

MAIN skill: Build a balanced monthly budget from net income and adjust it

Outcome FL.BUDGET.16 · National topic: Spending · NJSLS 9.1.12: PB

Learning target: Develop a budget to allocate current income to needs, wants, and saving

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Start a budget with net income (5 questions)
  Why: Budgets fail when they start from gross pay; students must use take-home pay.
- B2 · Math link → G6-S17-M (Grade 6 6.NS.B.3): Subtract multi-digit decimals
  Why: Budget results subtract planned spending from income.
- B3 · Math link → G7-S15-M (Grade 7 7.NS.A.1.b): Interpret sums of rational numbers in real-world situations
  Why: A deficit is a negative result that must be understood and fixed.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Pay yourself first (5 questions)
- Go Deeper 2: Budgeting methods (5 questions)

Practical skills beyond the standards: Zero-based and envelope budgets; Automating savings

Content status: stable

Answer key for this set: M-Q1 A, M-Q2 D, M-Q3 B, M-Q4 A, M-Q5 D, B1-Q1 B, B1-Q2 A, B1-Q3 A, B1-Q4 D, B1-Q5 D, F1-Q1 A, F1-Q2 C, F1-Q3 A, F1-Q4 D, F1-Q5 A, F2-Q1 D, F2-Q2 A, F2-Q3 A, F2-Q4 D, F2-Q5 B

MAIN — Build a balanced monthly budget from net income and adjust it · Question 1 of 5

Learn: A budget is a plan for your money: it lists expected income and assigns it to expenses, savings, and goals for a period, usually a month. A budget is "balanced" when planned spending and saving equal income.

What is a budget?

A. A plan for how income will be used
B. A list of the bills you already paid last year
C. A type of savings account with a fixed rate
D. A bank's limit on how much you may spend

CORRECT ANSWER

A. A plan for how income will be used

Feedback (shown after answering)

A budget plans how income will be spent and saved.

Why each other choice is wrong (misconception it represents)

B: Confuses a plan with a record of the past
C: Confuses a plan with an account
D: Thinks someone else sets it

Type: instruction

MAIN — Build a balanced monthly budget from net income and adjust it · Question 2 of 5

Learn: Budget result = income − planned expenses. Positive: surplus (money left to save or use). Negative: deficit (planned spending is more than income), which must be fixed by earning more or spending less.

Nia's monthly take-home pay is $1,980. Her planned expenses total $2,115. What does her budget show?

A. A $135 surplus
B. A $4,095 surplus
C. A balanced budget
D. A $135 deficit

CORRECT ANSWER

D. A $135 deficit

Feedback (shown after answering)

$1,980 − $2,115 = −$135: a deficit.

Recomputed independently by the build: 135

Why each other choice is wrong (misconception it represents)

A: Reverses the sign
B: Adds the amounts
C: Ignores the difference

Type: instruction

MAIN — Build a balanced monthly budget from net income and adjust it · Question 3 of 5

Learn: A zero-based budget gives every dollar a job: expenses, savings, debt payments, or goals. Money is not "left over"; any unassigned money gets a purpose.

In a zero-based budget, income minus all planned spending and saving equals zero. Ty earns $2,400. He plans $1,850 for expenses and $300 for savings. How much is left to assign?

A. $0
B. $250
C. $550
D. $2,150

CORRECT ANSWER

B. $250

Feedback (shown after answering)

$2,400 − $1,850 − $300 = $250 to assign, for example to an emergency fund.

Recomputed independently by the build: 250

Why each other choice is wrong (misconception it represents)

A: Assumes it already balances
C: Leaves out savings
D: Gives the total assigned

Type: instruction

MAIN — Build a balanced monthly budget from net income and adjust it · Question 4 of 5

Nia must close a $135 monthly deficit. Which change is MOST realistic and keeps her needs covered?

A. Cut takeout by $80 and pause a $55 subscription
B. Stop paying her electric bill for a month
C. Use a credit card to cover the $135 gap every month
D. Skip her car insurance payment

CORRECT ANSWER

A. Cut takeout by $80 and pause a $55 subscription

Feedback (shown after answering)

$80 + $55 = $135 closes the deficit by cutting wants, not needs.

Why each other choice is wrong (misconception it represents)

B: Cuts a need and creates fees
C: Covers a deficit with debt
D: Cuts a required need

Type: knowledge check · practical how-to

MAIN — Build a balanced monthly budget from net income and adjust it · Question 5 of 5

Abby is paid $1,150 every two weeks (net). What is her average MONTHLY take-home pay?

A. $2,300.00
B. $4,600.00
C. $1,150.00
D. About $2,491.67

CORRECT ANSWER

D. About $2,491.67

Feedback (shown after answering)

26 paychecks × $1,150 = $29,900 per year ÷ 12 ≈ $2,491.67 per month. Budgeting on $2,300 is a safer, conservative choice.

Recomputed independently by the build: 2491.666667

Why each other choice is wrong (misconception it represents)

A: Assumes exactly two paychecks every month
B: Uses four paychecks per month
C: Uses one paycheck

Type: knowledge check

BACKWARD B1 · concept review — Start a budget with net income · Question 1 of 5

Learn: Budgets start with take-home (net) pay, the money you actually receive. Gross pay includes taxes and deductions you never get to spend.

Max's gross pay is $2,600 a month and his take-home pay is $2,080. Which amount should his budget start with?

A. $520
B. $2,080
C. $2,600
D. $4,680

CORRECT ANSWER

B. $2,080

Feedback (shown after answering)

Start with take-home pay: $2,080.

Recomputed independently by the build: 2080

Why each other choice is wrong (misconception it represents)

A: Uses the deductions
C: Uses gross pay
D: Adds both amounts

Type: instruction

BACKWARD B1 · concept review — Start a budget with net income · Question 2 of 5

Max's gross pay is $2,600 a month and his take-home pay is $2,080. If he builds his budget on $2,600, what happens?

A. He plans to spend $520 he never receives
B. He saves an extra $520 by accident
C. Nothing, because the bank adjusts it
D. His income taxes go down by $520 for the year

CORRECT ANSWER

A. He plans to spend $520 he never receives

Feedback (shown after answering)

$2,600 − $2,080 = $520 of planned spending with no money behind it.

Why each other choice is wrong (misconception it represents)

B: Reverses the effect
C: Thinks banks fix budgets
D: Confuses budgeting with taxes

Type: knowledge check

BACKWARD B1 · concept review — Start a budget with net income · Question 3 of 5

Which list contains only items Max must plan for each month?

A. Rent, food, transportation, and savings
B. Rent, a vacation, and a new laptop
C. Food, gifts, and concert tickets
D. Only rent, since everything else changes

CORRECT ANSWER

A. Rent, food, transportation, and savings

Feedback (shown after answering)

Regular needs and a savings line belong in every monthly plan.

Why each other choice is wrong (misconception it represents)

B: Mixes in occasional wants
C: Mixes in occasional wants
D: Leaves out variable needs

Type: knowledge check

BACKWARD B1 · concept review — Start a budget with net income · Question 4 of 5

Max's budget: income $2,080; expenses $1,900; savings $180. Is it balanced?

A. No; it has a $180 surplus
B. No; it has a $180 deficit
C. No; savings should not be included in a budget
D. Yes; income equals spending plus saving

CORRECT ANSWER

D. Yes; income equals spending plus saving

Feedback (shown after answering)

$1,900 + $180 = $2,080, equal to income.

Why each other choice is wrong (misconception it represents)

A: Forgets that savings is assigned
B: Subtracts savings twice
C: Excludes saving from the plan

Type: knowledge check

BACKWARD B1 · concept review — Start a budget with net income · Question 5 of 5

Which tool can be used to keep a budget?

A. Only an app from your bank
B. Only a paid financial advisor or planner
C. Only a tax return
D. A spreadsheet, an app, or a notebook

CORRECT ANSWER

D. A spreadsheet, an app, or a notebook

Feedback (shown after answering)

Any tool works if you use it consistently.

Why each other choice is wrong (misconception it represents)

A: Too narrow
B: Too narrow
C: Wrong tool

Type: knowledge check · practical how-to

GO DEEPER 1 — Pay yourself first · Question 1 of 5

Learn: "Pay yourself first" treats saving like a bill: a set amount goes to savings right when income arrives, often by automatic transfer. Saving "whatever is left" often leaves nothing.

"Pay yourself first" means…

A. saving first, as soon as you are paid
B. buying something fun for yourself on every payday
C. paying your own bills before your roommates pay theirs
D. saving only whatever is left at the end of the month

CORRECT ANSWER

A. saving first, as soon as you are paid

Feedback (shown after answering)

Saving first, automatically, makes saving consistent.

Why each other choice is wrong (misconception it represents)

B: Misreads the phrase
C: Misreads the phrase
D: Describes the opposite approach

Type: instruction

GO DEEPER 1 — Pay yourself first · Question 2 of 5

Abby saves 10% of each $1,150 paycheck automatically. How much does she save in a year (26 paychecks)?

A. $115
B. $1,380
C. $2,990
D. $29,900

CORRECT ANSWER

C. $2,990

Feedback (shown after answering)

$1,150 × 0.10 = $115 per paycheck; × 26 = $2,990.
Recomputed independently by the build: 2990

Why each other choice is wrong (misconception it represents)

A: Gives one paycheck's savings
B: Uses 12 paychecks
D: Gives yearly pay

Type: knowledge check

GO DEEPER 1 — Pay yourself first · Question 3 of 5

Why does automating savings help?

A. It removes the need to decide every payday
B. Automatic transfers earn double the usual interest rate
C. Banks require automatic savings by law
D. It prevents all spending

CORRECT ANSWER

A. It removes the need to decide every payday

Feedback (shown after answering)

Automation turns saving into a habit that does not depend on willpower.

Why each other choice is wrong (misconception it represents)

B: Invents a benefit
C: Invents a rule
D: Overstates the effect

Type: knowledge check

GO DEEPER 1 — Pay yourself first · Question 4 of 5

Abby's savings transfer is set for the day after payday. Why is that timing better than the day before payday?

A. Transfers are free only after payday
B. Interest is paid only after payday
C. It makes no difference at all
D. Money is there to transfer, so it is less likely to cause an overdraft

CORRECT ANSWER

D. Money is there to transfer, so it is less likely to cause an overdraft

Feedback (shown after answering)

Scheduling right after pay arrives avoids overdrafts and protects savings from spending.

Why each other choice is wrong (misconception it represents)

A: Invents a fee rule
B: Invents an interest rule
C: Ignores overdraft risk

Type: knowledge check

GO DEEPER 1 — Pay yourself first · Question 5 of 5

Abby has $2,990 in savings, built by saving part of each paycheck. Her car needs a $400 repair. Which choice is wisest?

A. Use savings, then rebuild them over the next months
B. Put the repair on a credit card and never pay it off
C. Skip the repair and drive an unsafe car
D. Stop saving forever because savings got used

CORRECT ANSWER

A. Use savings, then rebuild them over the next months

Feedback (shown after answering)

Savings exist for needs like this; rebuilding keeps the habit.

Why each other choice is wrong (misconception it represents)

B: Creates debt
C: Ignores safety
D: Abandons the habit

Type: knowledge check

GO DEEPER 2 — Budgeting methods · Question 1 of 5

Learn: The envelope method sets a fixed amount for each spending category. When a category runs out, spending in it stops. Many apps copy this idea digitally.

In the envelope method, cash for each category goes in its own envelope. What happens when the "eating out" envelope is empty?

A. Money is borrowed from the rent envelope for now
B. A credit card covers the extra
C. The envelope refills automatically
D. Eating out stops until the next budget period

CORRECT ANSWER

D. Eating out stops until the next budget period

Feedback (shown after answering)

The method works by stopping spending when a category's money is used up.

Why each other choice is wrong (misconception it represents)

A: Breaks the system
B: Breaks the system
C: Invents a refill

Type: instruction

GO DEEPER 2 — Budgeting methods · Question 2 of 5

A budgeting app shows Sam spent $260 of a $300 grocery budget with 8 days left in the month. About how much can he spend per day for groceries for the rest of the month?

A. $5
B. $32.50
C. $37.50
D. $40

CORRECT ANSWER

A. $5

Feedback (shown after answering)

$300 − $260 = $40 left; $40 ÷ 8 = $5 per day.
Recomputed independently by the build: 5

Why each other choice is wrong (misconception it represents)

B: Divides $260 by 8
C: Divides $300 by 8
D: Gives the total left

Type: knowledge check

GO DEEPER 2 — Budgeting methods · Question 3 of 5

Which method plans to spend EVERY dollar of income on a purpose?

A. A zero-based budget
B. Spending freely and checking the balance
C. Saving whatever is left at month end
D. Paying only the minimums on all bills

CORRECT ANSWER

A. A zero-based budget

Feedback (shown after answering)

Zero-based budgets assign every dollar.

Why each other choice is wrong (misconception it represents)

B: No plan
C: Unassigned money
D: Not a budgeting method

Type: knowledge check

GO DEEPER 2 — Budgeting methods · Question 4 of 5

Which situation shows a budget that needs revising?

A. One unusual month with a holiday gift
B. Spending matches the plan
C. A surplus that is saved
D. Spending is over budget in the same categories every month

CORRECT ANSWER

D. Spending is over budget in the same categories every month

Feedback (shown after answering)

Repeated overspending means the plan is unrealistic and should be changed.

Why each other choice is wrong (misconception it represents)

A: One-off variation
B: Working budget
C: Working budget

Type: knowledge check

GO DEEPER 2 — Budgeting methods · Question 5 of 5

Sam's grocery budget is $300, but he has spent $360, $350, and $370 in the last three months. What is the most realistic revised budget, based on his average?

A. $300
B. $360
C. $370
D. $1,080

CORRECT ANSWER

B. $360

Feedback (shown after answering)

Average: ($360 + $350 + $370) ÷ 3 = $360. He should budget about $360 or find real ways to spend less.

Recomputed independently by the build: 360

Why each other choice is wrong (misconception it represents)

A: Ignores actual spending
C: Uses the highest month
D: Gives the three-month total

Type: knowledge check

SET 17 · Budgeting and Managing Expenses

Budget percentages and the 50/30/20 guideline

MAIN skill: Use percentages to plan and evaluate a budget

Outcome FL.BUDGET.17 · National topic: Spending · NJSLS 9.1.12: PB

Learning target: Develop a budget using percentages of income

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: What "percent of income" means (5 questions)
  Why: Budget percentages require reading a percent as a part of a whole.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Each budget share is a percent of take-home pay.
- B3 · Math link → G6-S11-M (Grade 6 6.RP.A.3.c): Find the whole, given a part and the percent
  Why: Finding income needed for a target share works backward from a percent.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Working backward with percents (5 questions)
- Go Deeper 2: Budget versus actual (5 questions)

Practical skills beyond the standards: Budget-versus-actual review

Content status: stable

Answer key for this set: M-Q1 C, M-Q2 B, M-Q3 C, M-Q4 C, M-Q5 A, B1-Q1 D, B1-Q2 B, B1-Q3 B, B1-Q4 C, B1-Q5 C, F1-Q1 D, F1-Q2 C, F1-Q3 C, F1-Q4 A, F1-Q5 B, F2-Q1 D, F2-Q2 B, F2-Q3 A, F2-Q4 D, F2-Q5 A

MAIN — Use percentages to plan and evaluate a budget · Question 1 of 5

Learn: The 50/30/20 guideline is one simple starting point for a budget: about 50% of take-home pay for needs, 30% for wants, and 20% for saving and paying down debt. It is a rule of thumb, not a law; costs and goals differ.

Jess takes home $2,800 a month and uses the 50/30/20 guideline. How much does it suggest for needs?

A. $560
B. $840
C. $1,400
D. $5,600

CORRECT ANSWER

C. $1,400

Feedback (shown after answering)

$2,800 × 0.50 = $1,400 for needs.

Recomputed independently by the build: 1400

Why each other choice is wrong (misconception it represents)

A: Uses the savings percent
B: Uses the wants percent
D: Doubles instead of halving

Type: instruction

MAIN — Use percentages to plan and evaluate a budget · Question 2 of 5

Jess takes home $2,800 a month. Using the 50/30/20 guideline (50% needs, 30% wants, 20% saving and debt payoff), how much goes to saving and extra debt payments?

A. $200
B. $560
C. $840
D. $1,400

CORRECT ANSWER

B. $560

Feedback (shown after answering)

$2,800 × 0.20 = $560.

Recomputed independently by the build: 560

Why each other choice is wrong (misconception it represents)

A: Uses 20 dollars per hundred incorrectly
C: Uses 30%
D: Uses 50%

Type: knowledge check

MAIN — Use percentages to plan and evaluate a budget · Question 3 of 5

Learn: To find what percent one amount is of another: part ÷ whole × 100.

Jess pays $900 rent from $2,800 take-home pay. What percent of her take-home pay is rent (nearest tenth of a percent)?

A. 3.1%
B. 31.1%
C. 32.1%
D. 311.1%

CORRECT ANSWER

C. 32.1%

Feedback (shown after answering)

$900 ÷ $2,800 ≈ 0.3214 → 32.1%.

Recomputed independently by the build: 32.142857

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
B: Arithmetic error
D: Divides the wrong way

Type: instruction

MAIN — Use percentages to plan and evaluate a budget · Question 4 of 5

Ian wants his car costs to be no more than 15% of his $2,400 take-home pay. What is the most he should spend per month on his car?

A. $36
B. $160
C. $360
D. $2,040

CORRECT ANSWER

C. $360

Feedback (shown after answering)

$2,400 × 0.15 = $360.

Recomputed independently by the build: 360

Why each other choice is wrong (misconception it represents)

A: Uses 1.5%
B: Divides by 15
D: Gives what remains

Type: knowledge check

MAIN — Use percentages to plan and evaluate a budget · Question 5 of 5

Jess lives in a high-rent city where needs take 62% of her pay. What is the best way to use the 50/30/20 guideline (50% needs, 30% wants, 20% saving)?

A. As a starting point, adjusting the shares to fit her costs
B. As a legal limit she must follow exactly
C. By ignoring it, since budgets do not use percents
D. By moving her rent payment into the "wants" share of her budget

CORRECT ANSWER

A. As a starting point, adjusting the shares to fit her costs

Feedback (shown after answering)

Guidelines are starting points. With 62% for needs, she might plan 62/18/20 and look for ways to lower needs over time.

Why each other choice is wrong (misconception it represents)

B: Treats a guideline as law
C: Rejects a useful tool
D: Mislabels a need

Type: knowledge check

BACKWARD B1 · concept review — What "percent of income" means · Question 1 of 5

Learn: Percent means "per hundred." 20% of income means $20 of every $100 earned.

What does "20% of income goes to savings" mean?

A. 20 dollars of every month go to savings
B. Savings are 20 times income
C. Savings get only the first 20 dollars of each paycheck
D. 20 of every 100 dollars of income go to savings

CORRECT ANSWER

D. 20 of every 100 dollars of income go to savings

Feedback (shown after answering)

20% = 20 per 100.

Why each other choice is wrong (misconception it represents)

A: Reads percent as a dollar amount
B: Reads percent as a multiplier
C: Reads percent as a fixed amount

Type: instruction

BACKWARD B1 · concept review — What "percent of income" means · Question 2 of 5

What is 30% of $1,000?

A. $30
B. $300
C. $970
D. $3,000

CORRECT ANSWER

B. $300

Feedback (shown after answering)

$1,000 × 0.30 = $300.

Recomputed independently by the build: 300

Why each other choice is wrong (misconception it represents)

A: Uses 3%
C: Subtracts 30
D: Multiplies by 3

Type: knowledge check

BACKWARD B1 · concept review — What "percent of income" means · Question 3 of 5

Learn: Percent of the whole = part ÷ whole × 100.

$250 of a $1,000 paycheck goes to rent. What percent is that?

A. 4%
B. 25%
C. 75%
D. 250%

CORRECT ANSWER

B. 25%

Feedback (shown after answering)

250 ÷ 1,000 = 0.25 = 25%.

Recomputed independently by the build: 25

Why each other choice is wrong (misconception it represents)

A: Divides the wrong way
C: Gives the remaining percent
D: Uses the dollar amount as a percent

Type: instruction

BACKWARD B1 · concept review — What "percent of income" means · Question 4 of 5

A budget uses 50%, 30%, and 20%. What do the percents add up to?

A. 50%
B. 80%
C. 100%
D. 120%

CORRECT ANSWER

C. 100%

Feedback (shown after answering)

50 + 30 + 20 = 100%: the whole income.

Recomputed independently by the build: 100

Why each other choice is wrong (misconception it represents)

A: Gives the largest share
B: Adds two shares
D: Adds incorrectly

Type: knowledge check

BACKWARD B1 · concept review — What "percent of income" means · Question 5 of 5

If needs are 50% of $2,000, what dollar amount is that?

A. $50
B. $100
C. $1,000
D. $4,000

CORRECT ANSWER

C. $1,000

Feedback (shown after answering)

$2,000 × 0.5 = $1,000.

Recomputed independently by the build: 1000

Why each other choice is wrong (misconception it represents)

A: Uses the percent as dollars
B: Uses 5%
D: Doubles

Type: knowledge check

GO DEEPER 1 — Working backward with percents · Question 1 of 5

Learn: When you know the part and the percent, find the whole: whole = part ÷ percent (as a decimal).

Rent for an apartment is $1,050. Ana wants rent to be no more than 30% of her take-home pay. What monthly take-home pay does she need?

A. $315
B. $1,365
C. $3,150
D. $3,500

CORRECT ANSWER

D. $3,500

Feedback (shown after answering)

$1,050 ÷ 0.30 = $3,500.

Recomputed independently by the build: 3500

Why each other choice is wrong (misconception it represents)

A: Takes 30% of rent
B: Adds 30% to rent
C: Multiplies by 3

Type: instruction

GO DEEPER 1 — Working backward with percents · Question 2 of 5

Leo wants to save $300 a month, which he wants to be 15% of take-home pay. What take-home pay does this require?

A. $45
B. $345
C. $2,000
D. $4,500

CORRECT ANSWER

C. $2,000

Feedback (shown after answering)

$300 ÷ 0.15 = $2,000.

Recomputed independently by the build: 2000

Why each other choice is wrong (misconception it represents)

A: Takes 15% of $300
B: Adds 15%
D: Multiplies by 15

Type: knowledge check

GO DEEPER 1 — Working backward with percents · Question 3 of 5

Leo's take-home pay is $1,800, and he spends $1,170 on needs. What percent is that?

A. 6.5%
B. 35%
C. 65%
D. 154%

CORRECT ANSWER

C. 65%

Feedback (shown after answering)

$1,170 ÷ $1,800 = 0.65 = 65%.

Recomputed independently by the build: 65

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
B: Gives the remaining share
D: Divides the wrong way

Type: knowledge check

GO DEEPER 1 — Working backward with percents · Question 4 of 5

Leo's needs are 65%. To reach 20% savings, what is the most he can spend on wants?

A. 15%
B. 20%
C. 30%
D. 35%

CORRECT ANSWER

A. 15%

Feedback (shown after answering)

100% − 65% − 20% = 15%.

Recomputed independently by the build: 15

Why each other choice is wrong (misconception it represents)

B: Confuses wants and savings
C: Uses the standard wants share
D: Uses all the remainder for wants

Type: knowledge check

GO DEEPER 1 — Working backward with percents · Question 5 of 5

With $1,800 take-home pay and 15% for wants, how many dollars is that?

A. $27
B. $270
C. $540
D. $1,530

CORRECT ANSWER

B. $270

Feedback (shown after answering)

$1,800 × 0.15 = $270.

Recomputed independently by the build: 270

Why each other choice is wrong (misconception it represents)

A: Uses 1.5%
C: Uses 30%
D: Gives the rest

Type: knowledge check

GO DEEPER 2 — Budget versus actual · Question 1 of 5

Learn: A variance is the difference between what you planned and what actually happened. Reviewing variances each month shows which parts of the plan need work.

Planned: groceries $300. Actual: $345. What is the variance, and is it over or under budget?

A. $45 under budget
B. $645 over budget
C. $15 over budget
D. $45 over budget

CORRECT ANSWER

D. $45 over budget

Feedback (shown after answering)

$345 − $300 = $45 more than planned.

Recomputed independently by the build: 45

Why each other choice is wrong (misconception it represents)

A: Reverses the direction
B: Adds the amounts
C: Arithmetic error

Type: instruction

GO DEEPER 2 — Budget versus actual · Question 2 of 5

What percent over budget is $345 compared with a $300 plan?

A. 13%
B. 15%
C. 45%
D. 115%

CORRECT ANSWER

B. 15%

Feedback (shown after answering)

$45 ÷ $300 = 0.15 = 15% over.

Recomputed independently by the build: 15

Why each other choice is wrong (misconception it represents)

A: Divides by actual instead of planned
C: Uses dollars as a percent
D: Gives actual as a percent of planned

Type: knowledge check

GO DEEPER 2 — Budget versus actual · Question 3 of 5

Gas was budgeted at $120 and came in at $96. What is the variance?

A. $24 under budget
B. $24 over budget
C. $216 under budget
D. $96 under budget

CORRECT ANSWER

A. $24 under budget

Feedback (shown after answering)

$120 − $96 = $24 less than planned.

Recomputed independently by the build: 24

Why each other choice is wrong (misconception it represents)

B: Reverses the direction
C: Adds the amounts
D: Gives actual spending

Type: knowledge check

GO DEEPER 2 — Budget versus actual · Question 4 of 5

Ray budgeted $120 for gas but spent only $96, leaving $24. Which response best supports a savings goal?

A. Spend it on a want right away because it was "free"
B. Leave it unassigned so it is spent on something later
C. Lower next month's gas budget to $0
D. Move the $24 into savings

CORRECT ANSWER

D. Move the $24 into savings

Feedback (shown after answering)

Assigning surpluses to goals keeps the budget working.

Why each other choice is wrong (misconception it represents)

A: Treats leftover money as windfall
B: Lets it drift
C: Unrealistic plan

Type: knowledge check

GO DEEPER 2 — Budget versus actual · Question 5 of 5

Learn: Look for patterns: an overage every month means either the habit or the budget amount needs to change.

Over 3 months, eating out was $40, $120, and $35 over budget. Which conclusion is BEST?

A. Overspending repeats; review habits and the budget line
B. The budget is perfect and needs no review
C. Only the $120 month matters; the others are noise
D. Budgets do not work for eating out

CORRECT ANSWER

A. Overspending repeats; review habits and the budget line

Feedback (shown after answering)

All three months were over budget, so look at actual habits and whether the planned amount is realistic.

Why each other choice is wrong (misconception it represents)

B: Ignores the overage
C: Ignores a repeating pattern
D: Gives up on budgeting

Type: instruction

SET 18 · Budgeting and Managing Expenses

Irregular expenses and sinking funds

MAIN skill: Plan for periodic and irregular expenses with monthly set-asides

Outcome FL.BUDGET.18 · National topic: Spending · NJSLS 9.1.12: PB

Learning target: Develop a budget that plans for periodic and irregular expenses

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Monthly and yearly amounts (5 questions)
  Why: Sinking-fund planning converts yearly or multi-month costs to monthly amounts.
- B2 · Math link → G6-S20-M (Grade 6 6.NS.B.3): Divide multi-digit decimals
  Why: Set-asides divide totals by months.
- B3 · Math link → G6-S03-M (Grade 6 6.RP.A.2): Find and describe a unit rate
  Why: A monthly set-aside is a rate (dollars per month).

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Budgeting with irregular income (5 questions)
- Go Deeper 2: Monthly versus annual pricing (5 questions)

Practical skills beyond the standards: Sinking funds; Budgeting with irregular income

Content status: stable

Answer key for this set: M-Q1 A, M-Q2 A, M-Q3 B, M-Q4 C, M-Q5 D, B1-Q1 A, B1-Q2 D, B1-Q3 B, B1-Q4 D, B1-Q5 C, F1-Q1 A, F1-Q2 A, F1-Q3 B, F1-Q4 D, F1-Q5 A, F2-Q1 C, F2-Q2 D, F2-Q3 A, F2-Q4 D, F2-Q5 D

MAIN — Plan for periodic and irregular expenses with monthly set-asides · Question 1 of 5

Learn: Some expenses come once or twice a year: car registration, insurance premiums, school fees, gifts. A sinking fund saves a little each month for a known future expense, so the full amount is ready when it is due. Monthly amount = total ÷ months until due.

Cara's car registration costs $180 once a year. How much should she set aside each month so the money is ready?

A. $15
B. $18
C. $45
D. $180

CORRECT ANSWER

A. $15

Feedback (shown after answering)

$180 ÷ 12 = $15 per month.

Recomputed independently by the build: 15

Why each other choice is wrong (misconception it represents)

B: Divides by 10
C: Divides by 4
D: Plans to pay the whole amount in one month

Type: instruction

MAIN — Plan for periodic and irregular expenses with monthly set-asides · Question 2 of 5

Learn: A sinking fund is for a KNOWN future cost with a known date. An emergency fund is for UNKNOWN surprises, such as a job loss or a sudden repair.

Which is a sinking fund?

A. Saving $50 a month for car insurance due every six months
B. Money spent on groceries each week of the month, as needed
C. An emergency fund for surprises you cannot predict
D. A loan used to pay a bill that is already past due

CORRECT ANSWER

A. Saving $50 a month for car insurance due every six months

Feedback (shown after answering)

Saving monthly for a known, scheduled bill is a sinking fund.

Why each other choice is wrong (misconception it represents)

B: Regular spending, not a set-aside
C: Emergency funds cover unknown costs
D: Borrowing, not saving

Type: instruction

MAIN — Plan for periodic and irregular expenses with monthly set-asides · Question 3 of 5

Cara's yearly irregular costs: registration $180, car insurance $960, and holiday gifts $300. How much should she set aside each month in total?

A. $95
B. $120
C. $480
D. $1,440

CORRECT ANSWER

B. $120

Feedback (shown after answering)

$180 + $960 + $300 = $1,440 per year; ÷ 12 = $120 per month.
Recomputed independently by the build: 120

Why each other choice is wrong (misconception it represents)

A: Leaves out the gifts
C: Divides by 3 instead of 12
D: Gives the yearly total

Type: knowledge check

MAIN — Plan for periodic and irregular expenses with monthly set-asides · Question 4 of 5

Learn: When the due date is less than a year away, divide by the months remaining, not by 12.

It is March. Holiday gifts ($600) will be bought in November, 8 months away. How much should Ben save each month?

A. $50
B. $66.67
C. $75
D. $600

CORRECT ANSWER

C. $75

Feedback (shown after answering)

$600 ÷ 8 = $75 per month.

Recomputed independently by the build: 75

Why each other choice is wrong (misconception it represents)

A: Divides by 12 months
B: Divides by 9 months
D: Saves it all in one month

Type: instruction

MAIN — Plan for periodic and irregular expenses with monthly set-asides · Question 5 of 5

Why do budgets that ignore irregular expenses often fail?

A. Irregular expenses are illegal to budget for
B. Irregular expenses are always paid by employers
C. Banks automatically pay irregular bills for free when they come
D. Large, predictable bills arrive with no money set aside

CORRECT ANSWER

D. Large, predictable bills arrive with no money set aside

Feedback (shown after answering)

Spreading known costs across months prevents "surprise" bills that were predictable.

Why each other choice is wrong (misconception it represents)

A: Invents a rule
B: Invents a payer
C: Invents a service

Type: knowledge check

BACKWARD B1 · concept review — Monthly and yearly amounts · Question 1 of 5

Learn: To turn a yearly amount into a monthly amount, divide by 12. To turn a monthly amount into a yearly amount, multiply by 12.

A yearly fee is $240. What is the monthly equivalent?

A. $20
B. $24
C. $60
D. $2,880

CORRECT ANSWER

A. $20

Feedback (shown after answering)

$240 ÷ 12 = $20.

Recomputed independently by the build: 20

Why each other choice is wrong (misconception it represents)

B: Divides by 10
C: Divides by 4
D: Multiplies by 12

Type: instruction

BACKWARD B1 · concept review — Monthly and yearly amounts · Question 2 of 5

A $35 monthly subscription costs how much per year?

A. $2.92
B. $35
C. $140
D. $420

CORRECT ANSWER

D. $420

Feedback (shown after answering)

$35 × 12 = $420.

Recomputed independently by the build: 420

Why each other choice is wrong (misconception it represents)

A: Divides by 12
B: Counts one month
C: Multiplies by 4

Type: knowledge check

BACKWARD B1 · concept review — Monthly and yearly amounts · Question 3 of 5

Learn: For a bill due every few months, divide by the number of months between bills.

A bill of $300 is due every 6 months. How much is that per month?

A. $25
B. $50
C. $300
D. $1,800

CORRECT ANSWER

B. $50

Feedback (shown after answering)

$300 ÷ 6 = $50 per month.

Recomputed independently by the build: 50

Why each other choice is wrong (misconception it represents)

A: Divides by 12
C: Uses the bill as monthly
D: Multiplies by 6

Type: instruction

BACKWARD B1 · concept review — Monthly and yearly amounts · Question 4 of 5

Which expense is MOST likely to be paid once a year?

A. A weekly grocery trip
B. A monthly phone bill for service
C. A daily bus fare
D. A car registration renewal

CORRECT ANSWER

D. A car registration renewal

Feedback (shown after answering)

Registrations, many insurance policies, and some memberships are yearly.

Why each other choice is wrong (misconception it represents)

A: Weekly
B: Monthly
C: Daily

Type: knowledge check

BACKWARD B1 · concept review — Monthly and yearly amounts · Question 5 of 5

A quarterly bill is due every 3 months. How many times a year is it paid?

A. 2
B. 3
C. 4
D. 12

CORRECT ANSWER

C. 4

Feedback (shown after answering)

12 months ÷ 3 = 4 payments per year.

Recomputed independently by the build: 4

Why each other choice is wrong (misconception it represents)

A: Confuses with semiannual
B: Confuses months between bills with bills per year
D: Confuses with monthly

Type: knowledge check

GO DEEPER 1 — Budgeting with irregular income · Question 1 of 5

Learn: When income varies (tips, commissions, gig work, seasonal jobs), budgeting on a low but realistic month keeps needs covered. Extra income in good months goes to savings or a "buffer" that carries you through slow months.

Mo's monthly income over the last six months: $1,800, $2,600, $1,500, $2,200, $1,900, $2,400. Which amount is the safest base for his budget?

A. $1,500
B. $2,067
C. $2,600
D. $12,400

CORRECT ANSWER

A. $1,500

Feedback (shown after answering)

Planning on the lowest recent month ($1,500) keeps needs covered in slow months.

Why each other choice is wrong (misconception it represents)

B: Uses the average, which leaves no cushion in low months
C: Uses the best month
D: Uses the six-month total

Type: instruction

GO DEEPER 1 — Budgeting with irregular income · Question 2 of 5

Mo's monthly income over six months: $1,800, $2,600, $1,500, $2,200, $1,900, $2,400. What is his average monthly income?

A. About $2,067
B. $2,050
C. $12,400
D. $1,800

CORRECT ANSWER

A. About $2,067

Feedback (shown after answering)

Total $12,400 ÷ 6 ≈ $2,066.67.
Recomputed independently by the build: 2066.666667

Why each other choice is wrong (misconception it represents)

B: Uses the middle of the range
C: Gives the total
D: Uses the first month

Type: knowledge check

GO DEEPER 1 — Budgeting with irregular income · Question 3 of 5

Mo budgets $1,500 a month and saves any income above that in a buffer account. In a $2,600 month, how much goes to his buffer account?

A. $533
B. $1,100
C. $1,500
D. $2,600

CORRECT ANSWER

B. $1,100

Feedback (shown after answering)

$2,600 − $1,500 = $1,100.
Recomputed independently by the build: 1100

Why each other choice is wrong (misconception it represents)

A: Uses the average
C: Saves the budget amount
D: Saves all income

Type: knowledge check

GO DEEPER 1 — Budgeting with irregular income · Question 4 of 5

Mo budgets $1,500 a month and keeps extra income from good months in a buffer account. In a $1,200 month, what should he do?

A. Put $300 on a credit card
B. Skip rent this month
C. Raise his monthly budget to $2,600
D. Draw $300 from his buffer account

CORRECT ANSWER

D. Draw $300 from his buffer account

Feedback (shown after answering)

The buffer exists to cover low months: $1,500 − $1,200 = $300.
Recomputed independently by the build: 300

Why each other choice is wrong (misconception it represents)

A: Borrows for a predictable shortfall
B: Cuts a need
C: Moves the wrong way

Type: knowledge check · practical how-to

GO DEEPER 1 — Budgeting with irregular income · Question 5 of 5

Learn: Some workers with uneven income deposit all earnings into one account and transfer a fixed amount to their spending account each month, like a salary.

Which practice makes uneven income easier to manage?

A. Paying yourself a steady "salary" from a holding account
B. Spending each paycheck as soon as it arrives
C. Budgeting from your single best month
D. Avoiding keeping any written record of your income at all

CORRECT ANSWER

A. Paying yourself a steady "salary" from a holding account

Feedback (shown after answering)

A steady transfer smooths uneven income into predictable spending money.

Why each other choice is wrong (misconception it represents)

B: Ignores uneven timing
C: Overestimates income
D: Prevents planning

Type: instruction · practical how-to

GO DEEPER 2 — Monthly versus annual pricing · Question 1 of 5

Learn: Many services offer a discount for paying a year at once. Compare by finding the yearly cost of the monthly plan. But a yearly plan only saves money if you would have kept the service all year.

A streaming service costs $15.99 per month or $159.99 per year. How much does the yearly plan save compared with paying monthly for 12 months?

A. $0
B. $1.99
C. $31.89
D. $144.00

CORRECT ANSWER

C. $31.89

Feedback (shown after answering)

Monthly for a year: $15.99 × 12 = $191.88. Savings: $191.88 − $159.99 = $31.89.
Recomputed independently by the build: 31.89

Why each other choice is wrong (misconception it represents)

A: Assumes equal cost
B: Subtracts dollar amounts digit by digit
D: Subtracts the monthly price from the yearly price

Type: instruction

GO DEEPER 2 — Monthly versus annual pricing · Question 2 of 5

Gina usually cancels streaming services after about 6 months. For her, which plan is cheaper: 6 months at $15.99, or the $159.99 yearly plan?

A. Yearly: $159.99
B. They cost the same
C. Monthly: $191.88
D. Monthly: about $95.94

CORRECT ANSWER

D. Monthly: about $95.94

Feedback (shown after answering)

6 × $15.99 = $95.94, less than $159.99.
Recomputed independently by the build: 95.94

Why each other choice is wrong (misconception it represents)

A: Assumes she keeps it all year
B: Does not compute
C: Uses 12 months

Type: knowledge check

GO DEEPER 2 — Monthly versus annual pricing · Question 3 of 5

A gym offers $40 per month with no contract, or $360 for a full year paid up front. After how many months does the yearly plan become the better deal?

A. More than 9 months
B. More than 4 months
C. More than 12 months
D. More than 3 months

CORRECT ANSWER

A. More than 9 months

Feedback (shown after answering)

$360 ÷ $40 = 9. If she uses the gym more than 9 months, the yearly plan saves money.
Recomputed independently by the build: 9

Why each other choice is wrong (misconception it represents)

B: Divides incorrectly
C: Thinks the yearly plan never wins
D: Uses $120 as the break-even

Type: knowledge check

GO DEEPER 2 — Monthly versus annual pricing · Question 4 of 5

Which is a risk of a large annual prepayment?

A. The price can never change after you pay
B. You get a discount
C. Fewer bills to track
D. Paying for months you may not use

CORRECT ANSWER

D. Paying for months you may not use

Feedback (shown after answering)

Prepaying locks money into a service you might stop using; check the refund policy.

Why each other choice is wrong (misconception it represents)

A: Not a risk
B: A benefit, not a risk
C: A benefit, not a risk

Type: knowledge check

GO DEEPER 2 — Monthly versus annual pricing · Question 5 of 5

A $12.99 monthly subscription renews automatically. Over 3 years, how much does it cost if never cancelled?

A. $38.97
B. $155.88
C. $389.70
D. $467.64

CORRECT ANSWER

D. $467.64

Feedback (shown after answering)

$12.99 × 36 = $467.64.

Recomputed independently by the build: 467.64

Why each other choice is wrong (misconception it represents)

A: Gives three months
B: Gives one year
C: Uses 30 months

Type: knowledge check

SET 19 · Budgeting and Managing Expenses

Smart shopping: unit prices, discounts, and sales tax

MAIN skill: Compare prices using unit prices, discounts, and sales tax

Outcome FL.BUDGET.19 · National topic: Spending · NJSLS 9.1.12: PB, EG

Learning target: Comparison shopping: unit prices, discounts, sales tax, and total cost

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Price, discount, tax, and total (5 questions)
  - Why: Shopping math depends on keeping the price, the discount, the tax, and the total straight.
- B2 · Math link → G6-S09-M (Grade 6 6.RP.A.3.b): Compare unit rates to find the better buy or the faster rate
  - Why: Unit price comparisons are unit-rate comparisons.
- B3 · Math link → G7-S63-M (Grade 7 7.RP.A.3): Find sales tax and the final cost with tax
  - Why: Total cost includes tax as a percent of the price.
- B4 · Math link → G7-S66-M (Grade 7 7.RP.A.3): Solve multistep percent problems that combine a discount with tax or a tip
  - Why: Sale-and-tax totals apply two percents in order.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Stacked discounts and coupons (5 questions)
- Go Deeper 2: Total cost beyond the price tag (5 questions)

Practical skills beyond the standards: Spotting fake discounts; New Jersey sales tax exemptions

Content status: time-sensitive

Source: New Jersey Division of Taxation (Sales and Use Tax) — New Jersey sales tax rate is 6.625%; most clothing and footwear and most food for home consumption are exempt.
https://www.nj.gov/treasury/taxation/businesses/salestax/index.shtml

Answer key for this set: M-Q1 A, M-Q2 C, M-Q3 B, M-Q4 C, M-Q5 B, B1-Q1 C, B1-Q2 C, B1-Q3 D, B1-Q4 B, B1-Q5 A, F1-Q1 B, F1-Q2 C, F1-Q3 D, F1-Q4 A, F1-Q5 A, F2-Q1 D, F2-Q2 A, F2-Q3 C, F2-Q4 D, F2-Q5 A

MAIN — Compare prices using unit prices, discounts, and sales tax · Question 1 of 5

Learn: A unit price is the price per unit, such as per ounce or per item: unit price = price ÷ quantity. Comparing unit prices shows which size is the better value. (A lower unit price helps only if you will use the larger amount before it spoils.)

A 12-ounce box of cereal costs $3.60. A 20-ounce box costs $5.40. Which is the better buy per ounce?

A. The 20-ounce box: $0.27 per ounce
B. The 12-ounce box: $0.30 per ounce
C. The 12-ounce box, because it costs less
D. The 20-ounce box: $0.30 per ounce

CORRECT ANSWER

A. The 20-ounce box: $0.27 per ounce

Feedback (shown after answering)

12 oz: $3.60 ÷ 12 = $0.30 per oz. 20 oz: $5.40 ÷ 20 = $0.27 per oz.

Recomputed independently by the build: 0.27

Why each other choice is wrong (misconception it represents)

B: Picks the higher unit price
C: Compares total prices only
D: Computes the wrong unit price

Type: instruction

MAIN — Compare prices using unit prices, discounts, and sales tax · Question 2 of 5

Learn: A discount is a percent taken off the price. Discount = price × rate. Sale price = price − discount, or price × (1 − rate).

A $64 backpack is 25% off. What is the sale price?

A. $16
B. $39
C. $48
D. $80

CORRECT ANSWER

C. $48

Feedback (shown after answering)

$64 × 0.25 = $16 off; $64 − $16 = $48. Or $64 × 0.75 = $48.

Recomputed independently by the build: 48

Why each other choice is wrong (misconception it represents)

A: Gives the discount, not the sale price
B: Subtracts 25 dollars
D: Adds the discount

Type: instruction

MAIN — Compare prices using unit prices, discounts, and sales tax · Question 3 of 5

Learn: Sales tax is calculated by multiplying the taxable price by the tax rate. Total cost = price + tax, or price × (1 + rate). Rates differ by state and sometimes by city, and some items are exempt.

A taxable purchase costs $80. The sales tax rate is 6.5%. What is the TOTAL cost?

A. $5.20
B. $85.20
C. $86.50
D. $132.00

CORRECT ANSWER

B. $85.20

Feedback (shown after answering)

Tax: $80 × 0.065 = $5.20. Total: $85.20.

Recomputed independently by the build: 85.2

Why each other choice is wrong (misconception it represents)

A: Gives only the tax
C: Adds 6.5 dollars instead of 6.5%
D: Uses 65%

Type: instruction

MAIN — Compare prices using unit prices, discounts, and sales tax · Question 4 of 5

Learn: For a store's own discount, many states figure sales tax on the discounted price: take the discount first, then figure tax on the sale price. Manufacturer coupons and other discounts can be taxed differently depending on the state.

A $120 jacket is 30% off in a store-funded sale, and in this state the 6.5% sales tax is figured on the discounted selling price. What is the total cost?

A. $84.00
B. $87.36
C. $89.46
D. $91.80

CORRECT ANSWER

C. $89.46

Feedback (shown after answering)

Sale price: $120 × 0.70 = $84.00. Tax: $84 × 0.065 = $5.46. Total: $89.46.

Recomputed independently by the build: 89.46

Why each other choice is wrong (misconception it represents)

A: Forgets the tax
B: Subtracts 30% and then adds only 4%
D: Applies tax to the original price and adds it to the sale price

Type: instruction

MAIN — Compare prices using unit prices, discounts, and sales tax · Question 5 of 5

A store offers "Buy one, get one 50% off" on $20 shirts. If Tom buys two, what percent does he save on the pair?

A. 10%
B. 25%
C. 50%
D. 75%

CORRECT ANSWER

B. 25%

Feedback (shown after answering)

Two shirts: $20 + $10 = $30 instead of $40. Savings $10 ÷ $40 = 25%.
Recomputed independently by the build: 25

Why each other choice is wrong (misconception it represents)

A: Uses the dollar amount as a percent
C: Applies 50% to both shirts
D: Adds percents incorrectly

Type: knowledge check

BACKWARD B1 · concept review — Price, discount, tax, and total · Question 1 of 5

Learn: A discount lowers the price: sale price = original price − discount.

A $50 item has a $10 discount. What is the sale price?

A. $5
B. $10
C. $40
D. $60

CORRECT ANSWER

C. $40

Feedback (shown after answering)

$50 − $10 = $40.

Recomputed independently by the build: 40

Why each other choice is wrong (misconception it represents)

A: Divides
B: Gives the discount
D: Adds the discount

Type: instruction

BACKWARD B1 · concept review — Price, discount, tax, and total · Question 2 of 5

Learn: Sales tax raises the total: total = price + tax.

The tax on a $40 item is $2.60. What is the total?

A. $2.60
B. $37.40
C. $42.60
D. $66.00

CORRECT ANSWER

C. $42.60

Feedback (shown after answering)

$40 + $2.60 = $42.60.

Recomputed independently by the build: 42.6

Why each other choice is wrong (misconception it represents)

A: Gives only the tax
B: Subtracts the tax
D: Adds 26

Type: instruction

BACKWARD B1 · concept review — Price, discount, tax, and total · Question 3 of 5

Which word describes the percent taken OFF a price?

A. Tax
B. Total
C. Interest
D. Discount

CORRECT ANSWER

D. Discount

Feedback (shown after answering)

A discount reduces the price.

Why each other choice is wrong (misconception it represents)

A: Tax is added
B: The final amount
C: Interest is a borrowing or saving cost

Type: knowledge check

BACKWARD B1 · concept review — Price, discount, tax, and total · Question 4 of 5

Learn: 10% of an amount is the amount divided by 10.

What is 10% of $35?

A. $0.35
B. $3.50
C. $31.50
D. $35.00

CORRECT ANSWER

B. $3.50

Feedback (shown after answering)

$35 × 0.10 = $3.50.

Recomputed independently by the build: 3.5

Why each other choice is wrong (misconception it represents)

A: Uses 1%
C: Gives the price after the discount
D: Uses 100%

Type: instruction

BACKWARD B1 · concept review — Price, discount, tax, and total · Question 5 of 5

Which comparison tells you the better buy between two package sizes?

A. Price per ounce of each package
B. Which package is larger
C. Which package is cheaper in total
D. Which package is on the higher shelf

CORRECT ANSWER

A. Price per ounce of each package

Feedback (shown after answering)

Unit price compares value across sizes.

Why each other choice is wrong (misconception it represents)

B: Size alone does not give value
C: Total price ignores quantity
D: Store placement does not show value

Type: knowledge check

GO DEEPER 1 — Stacked discounts and coupons · Question 1 of 5

Learn: When discounts "stack," each is applied to the price left after the previous one. Two discounts of 20% and 10% do not equal 30% off.

A $100 coat is 20% off, with an extra 10% off the sale price at checkout. What is the final price before tax?

A. $70
B. $72
C. $80
D. $90

CORRECT ANSWER

B. $72

Feedback (shown after answering)

$100 × 0.80 = $80; $80 × 0.90 = $72.

Recomputed independently by the build: 72

Why each other choice is wrong (misconception it represents)

A: Adds the discounts to 30%
C: Uses only the first discount
D: Uses only the second discount

Type: instruction

GO DEEPER 1 — Stacked discounts and coupons · Question 2 of 5

What single percent discount is the same as 20% off followed by 10% off?

A. 2%
B. 10%
C. 28%
D. 30%

CORRECT ANSWER

C. 28%

Feedback (shown after answering)

Final price is 0.80 × 0.90 = 0.72 of the original, so the discount is 28%.

Recomputed independently by the build: 28

Why each other choice is wrong (misconception it represents)

A: Multiplies the percents as whole numbers
B: Uses the smaller discount
D: Adds the percents

Type: knowledge check

GO DEEPER 1 — Stacked discounts and coupons · Question 3 of 5

A $5-off coupon and a 15% discount can be used in either order on a $40 purchase. Which order gives the lower price?

A. $5 first, then 15% off: $29.75
B. Both orders give $29.00
C. 15% first, then $5 off: $34.00
D. 15% first, then $5 off: $29.00

CORRECT ANSWER

D. 15% first, then $5 off: $29.00

Feedback (shown after answering)

15% first: $40 × 0.85 = $34; − $5 = $29.00. $5 first: $35 × 0.85 = $29.75.
Recomputed independently by the build: 29

Why each other choice is wrong (misconception it represents)

A: Picks the higher price
B: Assumes order never matters
C: Forgets the coupon

Type: knowledge check

GO DEEPER 1 — Stacked discounts and coupons · Question 4 of 5

An ad says "Up to 70% off!" What does this usually mean?

A. Only some items are 70% off; many are discounted less
B. Every item is 70% off
C. Every item is at least 70% off
D. The store adds 70% to prices

CORRECT ANSWER

A. Only some items are 70% off; many are discounted less

Feedback (shown after answering)

"Up to" sets the maximum discount, not the typical one.

Why each other choice is wrong (misconception it represents)

B: Reads "up to" as "all"
C: Reverses "up to"
D: Misreads the ad

Type: knowledge check

GO DEEPER 1 — Stacked discounts and coupons · Question 5 of 5

An item's price was $80 last week and is now "on sale" for $80 after being raised to $100 and marked 20% off. What happened?

A. The "sale" price is the same as last week's price
B. Tom saves $20 compared with last week
C. Tom saves 20% compared with what he paid last week
D. The price went down by $100

CORRECT ANSWER

A. The "sale" price is the same as last week's price

Feedback (shown after answering)

$100 × 0.80 = $80, the same as before. Compare with past prices, not just the "was" price.

Why each other choice is wrong (misconception it represents)

B: Trusts the reference price
C: Trusts the reference price
D: Arithmetic error

Type: knowledge check

GO DEEPER 2 — Total cost beyond the price tag · Question 1 of 5

Learn: Compare total cost: price + shipping + fees + tax. A lower sticker price can cost more in total.

Store A sells headphones for $59 plus $8 shipping. Store B sells them for $64 with free shipping. Which costs less, and by how much?

A. Store A, by $5
B. Store B, by $5
C. They cost the same
D. Store B, by $3

CORRECT ANSWER

D. Store B, by $3

Feedback (shown after answering)

A: $59 + $8 = $67. B: $64. B is $3 cheaper.

Recomputed independently by the build: 3

Why each other choice is wrong (misconception it represents)

A: Ignores shipping
B: Arithmetic error
C: Does not compute

Type: instruction

GO DEEPER 2 — Total cost beyond the price tag · Question 2 of 5

A store offers free shipping on orders of $50 or more. Jen's cart totals $42, and shipping is $7. She adds a $10 item she does not need. What did that cost her compared with paying shipping?

A. $3 more
B. $7 less
C. $10 less
D. $17 more

CORRECT ANSWER

A. $3 more

Feedback (shown after answering)

Paying shipping: $49. Adding the item: $52. She spends $3 more, on something she does not need.
Recomputed independently by the build: 3

Why each other choice is wrong (misconception it represents)

B: Counts only shipping saved
C: Thinks the item is free
D: Adds shipping and the item

Type: knowledge check

GO DEEPER 2 — Total cost beyond the price tag · Question 3 of 5

Learn: Sales tax rules are set by each state. Some items, such as groceries, clothing, or medicine, may be exempt. Always check your own state's rules.

In New Jersey, most clothing and most grocery food are exempt from sales tax, and the general rate is 6.625%. What is the tax on a $40 shirt and a $40 desk lamp bought together?

A. $0.00
B. $2.60
C. $2.65
D. $5.30

CORRECT ANSWER

C. $2.65

Feedback (shown after answering)

The shirt is exempt; the lamp is taxable: $40 × 0.06625 = $2.65.

Recomputed independently by the build: 2.65

Why each other choice is wrong (misconception it represents)

A: Thinks both are exempt
B: Uses 6.5%
D: Taxes both items

Type: instruction · rule as of New Jersey rules as of 2026

GO DEEPER 2 — Total cost beyond the price tag · Question 4 of 5

Which purchase decision considers the total cost of owning an item?

A. Choosing the printer with the lowest sticker price only
B. Choosing the printer with the biggest rebate this week
C. Choosing the printer with the lowest monthly payment plan
D. Comparing printers by price plus yearly ink costs

CORRECT ANSWER

D. Comparing printers by price plus yearly ink costs

Feedback (shown after answering)

Ongoing costs (ink, fuel, subscriptions, repairs) can matter more than the purchase price.

Why each other choice is wrong (misconception it represents)

A: Ignores ongoing costs
B: Lets a one-time rebate hide ongoing costs
C: Looks at payment size instead of total cost

Type: knowledge check

GO DEEPER 2 — Total cost beyond the price tag · Question 5 of 5

Printer X costs $60 and $80 a year in ink. Printer Y costs $150 and $35 a year in ink. Over 3 years, which costs less in total?

A. Printer Y: $255 vs $300
B. Printer X: $140 vs $185
C. Printer X: $60 vs $150
D. They cost the same over 3 years

CORRECT ANSWER

A. Printer Y: $255 vs $300

Feedback (shown after answering)

X: $60 + 3 × $80 = $300. Y: $150 + 3 × $35 = $255.
Recomputed independently by the build: 255

Why each other choice is wrong (misconception it represents)

B: Counts only one year
C: Counts only the purchase price
D: Does not compute

Type: knowledge check

SET 20 · Budgeting and Managing Expenses

Spending decisions and behavioral biases

MAIN skill: Use a decision process and recognize biases that lead to poor spending choices

Outcome FL.BUDGET.20 · National topic: Spending · NJSLS 9.1.12: FP, PB

Learning target: Influences on spending decisions: behavioral biases, marketing, and social pressure

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Making a choice: alternatives and criteria (5 questions)
  - Why: Recognizing biases requires first knowing what a reasoned choice looks like.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Marketing tactics and spending traps (5 questions)
- Go Deeper 2: Social influence and financial values (5 questions)

Practical skills beyond the standards: 24-hour rule for unplanned purchases; Recognizing dark patterns

Content status: stable

Answer key for this set: M-Q1 D, M-Q2 D, M-Q3 A, M-Q4 D, M-Q5 A, B1-Q1 A, B1-Q2 D, B1-Q3 A, B1-Q4 C, B1-Q5 D, F1-Q1 A, F1-Q2 D, F1-Q3 D, F1-Q4 C, F1-Q5 A, F2-Q1 A, F2-Q2 C, F2-Q3 D, F2-Q4 C, F2-Q5 D

MAIN — Use a decision process and recognize biases that lead to poor spending choices · Question 1 of 5

Learn: Every spending choice has an opportunity cost: the next-best thing you give up. Thinking about what else money could do helps you choose deliberately rather than automatically.

Kai has $200. He can buy a game console accessory or save toward a used bike. If he buys the accessory, what is the opportunity cost?

A. The $200 price of the accessory itself, paid at the register
B. Nothing, because he still has the accessory
C. The sales tax on the accessory
D. The progress toward the bike that he gives up

CORRECT ANSWER

D. The progress toward the bike that he gives up

Feedback (shown after answering)

Choosing the accessory means giving up progress toward the bike, the next-best option.

Why each other choice is wrong (misconception it represents)

A: Confuses price with what is given up
B: Ignores trade-offs
C: Confuses tax with opportunity cost

Type: instruction

MAIN — Use a decision process and recognize biases that lead to poor spending choices · Question 2 of 5

Learn: Anchoring is relying too much on the first number you see. A high "original" price can make a sale price feel cheap, even when it is not a good deal compared with other options.

A sign says "Was $200, now $120!" Mia feels the $120 price is a great deal, even though similar items cost $100 elsewhere. Which bias is at work?

A. Sunk cost thinking about money already spent
B. Loss aversion about a past investment loss
C. The bandwagon effect from friends' choices
D. Anchoring on the "was" price

CORRECT ANSWER

D. Anchoring on the "was" price

Feedback (shown after answering)

The $200 anchor makes $120 seem cheap; comparing with $100 elsewhere shows it is not.

Why each other choice is wrong (misconception it represents)

A: Different bias
B: Different bias
C: Different bias

Type: instruction

MAIN — Use a decision process and recognize biases that lead to poor spending choices · Question 3 of 5

Learn: A sunk cost is money already spent that cannot be recovered. The sunk cost fallacy is letting it drive a new decision. Good decisions compare the future benefits and costs of each option.

Leo paid $60 for a concert ticket but feels sick on the day. He goes anyway "so the money isn't wasted." What is this called?

A. The sunk cost fallacy
B. Opportunity cost bias
C. Anchoring
D. Comparison shopping

CORRECT ANSWER

A. The sunk cost fallacy

Feedback (shown after answering)

The $60 is gone either way; the choice should depend on how he feels and what he gains now.

Why each other choice is wrong (misconception it represents)

B: Related idea, not this bias
C: Different bias
D: Not a bias

Type: instruction

MAIN — Use a decision process and recognize biases that lead to poor spending choices · Question 4 of 5

Learn: Present bias is valuing what we want now much more than what we want later. Impulse buying feeds on it. Adding a delay, such as a 24-hour rule or removing saved cards, gives the planning part of the brain time to weigh in.

Ana often buys things online late at night and regrets them. Which strategy targets this habit directly?

A. Save her card details on every site so checkout is faster
B. Turn on more shopping notifications
C. Shop only during sales events
D. Wait 24 hours before buying anything not planned

CORRECT ANSWER

D. Wait 24 hours before buying anything not planned

Feedback (shown after answering)

A waiting period interrupts impulse buying and lets her compare the purchase with her goals.

Why each other choice is wrong (misconception it represents)

A: Makes impulse buys easier
B: Increases triggers
C: Sales encourage impulse buying

Type: instruction · practical how-to

MAIN — Use a decision process and recognize biases that lead to poor spending choices · Question 5 of 5

Which ordering follows a sound decision process?

A. Set a goal, list options, compare, choose, review
B. Choose quickly, then find reasons to justify the choice later
C. List options, choose the most popular, skip review
D. Compare costs only after buying

CORRECT ANSWER

A. Set a goal, list options, compare, choose, review

Feedback (shown after answering)

A deliberate process defines the goal and compares options before choosing, then reviews the result.

Why each other choice is wrong (misconception it represents)

B: Skips evaluation
C: Relies on popularity
D: Evaluates too late

Type: knowledge check

BACKWARD B1 · concept review — Making a choice: alternatives and criteria · Question 1 of 5

Learn: Every decision has alternatives (the options) and criteria (what matters to you, such as price, quality, or coverage). Good choices compare alternatives using your criteria.

Sam is choosing a phone plan. What are "alternatives"?

A. The different plans he could choose
B. The reasons he wants a new phone now
C. The phone he already owns
D. The bill he paid last month

CORRECT ANSWER

A. The different plans he could choose

Feedback (shown after answering)

Alternatives are the options he is choosing among.

Why each other choice is wrong (misconception it represents)

B: Confuses alternatives with goals
C: Not a choice
D: Past event

Type: instruction

BACKWARD B1 · concept review — Making a choice: alternatives and criteria · Question 2 of 5

Learn: A criterion (plural: criteria) is a standard you use to judge options. Which criteria matter depends on your goal, such as ongoing cost, data, or coverage.

Sam wants the phone plan with the lowest ongoing cost. Which criterion fits that goal?

A. A free phone case that comes with the plan
B. How many friends use the same carrier
C. Which carrier has the most TV ads
D. Monthly price

CORRECT ANSWER

D. Monthly price

Feedback (shown after answering)

For lowest ongoing cost, the monthly price is the criterion that matters.

Why each other choice is wrong (misconception it represents)

A: A one-time perk, not an ongoing cost
B: Not a cost
C: Not a cost

Type: instruction

BACKWARD B1 · concept review — Making a choice: alternatives and criteria · Question 3 of 5

Plan A: $35, 5 GB. Plan B: $45, unlimited. Sam uses about 3 GB a month. Which plan fits his criteria of low cost and enough data?

A. Plan A
B. Plan B, because unlimited always sounds better
C. Neither, because both cost money
D. Plan B, because it costs more

CORRECT ANSWER

A. Plan A

Feedback (shown after answering)

Plan A covers his 3 GB for $10 less per month.

Why each other choice is wrong (misconception it represents)

B: Ignores his actual use
C: Rejects all options
D: Equates price with value

Type: knowledge check

BACKWARD B1 · concept review — Making a choice: alternatives and criteria · Question 4 of 5

Plan A costs $35 a month and Plan B costs $45 a month. What is the yearly savings from choosing Plan A?

A. $10
B. $80
C. $120
D. $540

CORRECT ANSWER

C. $120

Feedback (shown after answering)

$10 × 12 = $120.

Recomputed independently by the build: 120

Why each other choice is wrong (misconception it represents)

A: Gives one month
B: Uses 8 months
D: Gives Plan B's yearly cost

Type: knowledge check

BACKWARD B1 · concept review — Making a choice: alternatives and criteria · Question 5 of 5

After choosing, why review the decision a month later?

A. Because contracts require monthly reviews
B. To find someone to blame
C. Because reviewing a purchase lowers its price later
D. To check whether the choice worked as expected

CORRECT ANSWER

D. To check whether the choice worked as expected

Feedback (shown after answering)

Reviewing lets you learn and adjust future choices.

Why each other choice is wrong (misconception it represents)

A: Invents a rule
B: Unhelpful
C: Invents an effect

Type: knowledge check

GO DEEPER 1 — Marketing tactics and spending traps · Question 1 of 5

Learn: Scarcity and urgency messages ("only a few left," countdown timers) push quick decisions. Sometimes they are true, sometimes not. Slowing down protects your budget.

A website shows "Only 2 left!" and a countdown timer. What is the intended effect?

A. Rushing the buyer before comparing options
B. Helping the buyer compare options calmly
C. Lowering the price
D. Showing the store's full inventory honestly

CORRECT ANSWER

A. Rushing the buyer before comparing options

Feedback (shown after answering)

Urgency cues are designed to cut comparison short.

Why each other choice is wrong (misconception it represents)

B: Reverses the purpose
C: Not the effect
D: Not the purpose

Type: instruction

GO DEEPER 1 — Marketing tactics and spending traps · Question 2 of 5

A "free trial" requires a card and converts to $14.99 a month unless cancelled. What should Nia do before signing up?

A. Assume it will cancel itself automatically
B. Use a friend's card instead
C. Ignore the terms, since the trial is advertised as free
D. Set a reminder to cancel before the trial ends

CORRECT ANSWER

D. Set a reminder to cancel before the trial ends

Feedback (shown after answering)

Free trials often become paid subscriptions automatically; a reminder prevents unwanted charges.

Why each other choice is wrong (misconception it represents)

A: Ignores auto-renewal
B: Unsafe and unfair
C: Ignores the conversion

Type: knowledge check · practical how-to

GO DEEPER 1 — Marketing tactics and spending traps · Question 3 of 5

A store's loyalty program gives 5% back in points. Raj spends $200 more than he planned to earn points. What did he gain compared with not overspending?

A. He saved $10
B. He broke even
C. He saved $200
D. He spent $190 more, net of $10 in points

CORRECT ANSWER

D. He spent $190 more, net of $10 in points

Feedback (shown after answering)

5% of $200 = $10 in points, but he spent $200 extra: a net cost of $190.
Recomputed independently by the build: 190

Why each other choice is wrong (misconception it represents)

A: Counts only the points
B: Assumes points offset spending
C: Misreads the effect

Type: knowledge check

GO DEEPER 1 — Marketing tactics and spending traps · Question 4 of 5

Learn: "Dark patterns" are design tricks that steer people into choices they did not intend, such as hidden fees, pre-checked add-ons, or hard-to-find cancellation steps.

Which design choice is a "dark pattern" that makes spending easier than intended?

A. Showing the total price before checkout
B. Listing all fees clearly up front
C. Making cancellation much harder than signing up
D. Offering a clear "cancel" button on every account page

CORRECT ANSWER

C. Making cancellation much harder than signing up

Feedback (shown after answering)

Easy sign-up and hard cancellation is a common dark pattern.

Why each other choice is wrong (misconception it represents)

A: Transparent design
B: Transparent design
D: Transparent design

Type: instruction

GO DEEPER 1 — Marketing tactics and spending traps · Question 5 of 5

At checkout, a $4.99 "protection plan" box is already checked on Ben's $25 order. What should he do?

A. Uncheck it unless he decided he wants it
B. Leave it, since stores must check what customers need
C. Pay it, because it is under $5
D. Buy two to be safe

CORRECT ANSWER

A. Uncheck it unless he decided he wants it

Feedback (shown after answering)

Pre-checked add-ons rely on default bias; $4.99 is about 20% of a $25 order.

Why each other choice is wrong (misconception it represents)

B: Trusts defaults
C: Ignores that it is 20% of the order
D: Overreacts

Type: knowledge check · practical how-to

GO DEEPER 2 — Social influence and financial values · Question 1 of 5

Learn: Influencers are often paid to promote products and may earn money from each sale. Federal rules require disclosure of these relationships, but the incentive still shapes the message.

An influencer promotes a product with a discount code. Which fact matters MOST?

A. The influencer may be paid for each sale
B. The influencer has many followers
C. The video looks professional and well produced
D. The product is popular this week

CORRECT ANSWER

A. The influencer may be paid for each sale

Feedback (shown after answering)

A paid relationship is a reason to compare reviews and prices independently.

Why each other choice is wrong (misconception it represents)

B: Popularity is not evidence
C: Production quality is not evidence
D: Popularity is not evidence

Type: instruction

GO DEEPER 2 — Social influence and financial values · Question 2 of 5

Friends spend $80 on a dinner out each weekend. Tara's budget allows $30. Which choice best balances friendship and her budget?

A. Join every time and put the extra on a credit card
B. Skip all social events forever
C. Join for a lower-cost part or suggest a cheaper place
D. Cut her rent payment to afford it

CORRECT ANSWER

C. Join for a lower-cost part or suggest a cheaper place

Feedback (shown after answering)

Adapting the plan keeps both the friendships and the budget.

Why each other choice is wrong (misconception it represents)

A: Adds debt
B: Unrealistic
D: Cuts a need

Type: knowledge check

GO DEEPER 2 — Social influence and financial values · Question 3 of 5

Seeing friends' purchases online makes Eli feel he must buy similar things. What is this effect sometimes called?

A. Compound interest
B. Diversification
C. Amortization
D. Social comparison, or "keeping up with the Joneses"

CORRECT ANSWER

D. Social comparison, or "keeping up with the Joneses"

Feedback (shown after answering)

Comparing ourselves with others can push spending beyond our plans.

Why each other choice is wrong (misconception it represents)

A: Unrelated finance term
B: Unrelated investing term
C: Unrelated loan term

Type: knowledge check

GO DEEPER 2 — Social influence and financial values · Question 4 of 5

Which statement about money and values is MOST accurate?

A. More spending always leads to more happiness over time
B. Values have no effect on financial choices
C. Spending that matches your priorities satisfies more
D. Everyone should have the same priorities

CORRECT ANSWER

C. Spending that matches your priorities satisfies more

Feedback (shown after answering)

Aligning spending with personal priorities, not others' expectations, improves satisfaction.

Why each other choice is wrong (misconception it represents)

A: Overstates the link
B: Ignores values
D: Ignores differences

Type: knowledge check

GO DEEPER 2 — Social influence and financial values · Question 5 of 5

Tara writes her top three money priorities and checks big purchases against them. What does this help with?

A. Raising her credit limit so priorities are easier to afford
B. Avoiding all spending
C. Spending first and checking priorities later
D. Making choices that match her goals

CORRECT ANSWER

D. Making choices that match her goals

Feedback (shown after answering)

Written priorities act as criteria for decisions.

Why each other choice is wrong (misconception it represents)

A: Thinks more credit makes goals easier
B: Overstates
C: Reverses the order of planning

Type: knowledge check

SET 21 · Saving, Emergency Funds, and Interest

Setting savings goals

MAIN skill: Set specific savings goals and calculate the time or monthly amount needed to reach them

Outcome FL.SAVE.21 · National topic: Saving · NJSLS 9.1.12: PB

Learning target: Develop savings goals and plans to achieve them

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Why and how people save (5 questions)
  - Why: Goal math depends on understanding saving as setting money aside on purpose for later.
- B2 · Math link → G6-S52-M (Grade 6 6.EE.B.7): Solve one-step equations of the form $px = q$
  - Why: Monthly saving × months = goal is a one-step equation.
- B3 · Math link → G7-S31-M (Grade 7 7.EE.B.4.a): Solve word problems that lead to equations of the form $px + q = r$
  - Why: Goals with a starting balance lead to $px + q = r$.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Goals with a starting balance and a deadline (5 questions)
- Go Deeper 2: Balancing several goals (5 questions)

Practical skills beyond the standards: Writing SMART goals

Content status: stable

Answer key for this set: M-Q1 A, M-Q2 A, M-Q3 A, M-Q4 B, M-Q5 D, B1-Q1 C, B1-Q2 D, B1-Q3 D, B1-Q4 C, B1-Q5 A, F1-Q1 A, F1-Q2 D, F1-Q3 C, F1-Q4 C, F1-Q5 B, F2-Q1 C, F2-Q2 C, F2-Q3 D, F2-Q4 A, F2-Q5 D

MAIN — Set specific savings goals and calculate the time or monthly amount needed to reach them · Question 1 of 5

Learn: Effective goals are often written as SMART: Specific, Measurable, Achievable, Relevant, and Time-bound. "Save $1,200 for a laptop by June" names the amount, the purpose, and the deadline, so progress can be tracked.

Which savings goal is the most SPECIFIC and measurable?

A. Save $1,200 for a used laptop by next June
B. Save more money this year than I did last year
C. Become better at saving at some point soon
D. Try to stop spending so much on everything

CORRECT ANSWER

A. Save $1,200 for a used laptop by next June

Feedback (shown after answering)

It states an amount, a purpose, and a date.

Why each other choice is wrong (misconception it represents)

B: Not specific or measurable
C: No amount or date
D: Not a savings goal with an amount

Type: instruction

MAIN — Set specific savings goals and calculate the time or monthly amount needed to reach them · Question 2 of 5

Learn: Ignoring interest: months needed = goal ÷ monthly saving. Monthly saving needed = goal ÷ months available.

Dina saves $150 a month toward an $1,800 goal, starting from $0. How many months will it take (ignoring interest)?

A. 12 months
B. 120 months
C. 1,650 months
D. 10 months

CORRECT ANSWER

A. 12 months

Feedback (shown after answering)

$1,800 ÷ $150 = 12 months.

Recomputed independently by the build: 12

Why each other choice is wrong (misconception it represents)

B: Misplaces a decimal
C: Subtracts instead of dividing
D: Divides by 180

Type: instruction

MAIN — Set specific savings goals and calculate the time or monthly amount needed to reach them · Question 3 of 5

Raul wants $2,400 for a car down payment in 16 months. How much must he save each month (ignoring interest)?

A. $150
B. $200
C. $240
D. $38,400

CORRECT ANSWER

A. $150

Feedback (shown after answering)

$2,400 ÷ 16 = $150 per month.

Recomputed independently by the build: 150

Why each other choice is wrong (misconception it represents)

B: Divides by 12
C: Divides by 10
D: Multiplies

Type: knowledge check

MAIN — Set specific savings goals and calculate the time or monthly amount needed to reach them · Question 4 of 5

Learn: If you have a starting amount, subtract it first: monthly saving = (goal − amount saved) ÷ months. This is the equation p·m + start = goal solved for p.

Raul wants $2,400 for a car down payment in 16 months and already has $600 saved. How much must he save each month?

A. $37.50
B. $112.50
C. $150.00
D. $187.50

CORRECT ANSWER

B. $112.50

Feedback (shown after answering)

($2,400 − $600) ÷ 16 = $1,800 ÷ 16 = $112.50.

Recomputed independently by the build: 112.5

Why each other choice is wrong (misconception it represents)

A: Divides only the $600
C: Ignores the $600 already saved
D: Adds the $600 to the goal

Type: instruction

MAIN — Set specific savings goals and calculate the time or monthly amount needed to reach them · Question 5 of 5

Which goal is LONG-TERM?

A. Saving for a concert ticket next month
B. Saving for a phone in six months
C. Saving for a prom outfit this spring
D. Saving for retirement in 40 years

CORRECT ANSWER

D. Saving for retirement in 40 years

Feedback (shown after answering)

Long-term goals are many years away; short-term goals are within about a year.

Why each other choice is wrong (misconception it represents)

A: Short-term
B: Short-term
C: Short-term

Type: knowledge check

BACKWARD B1 · concept review — Why and how people save · Question 1 of 5

Learn: Saving means not spending part of your income now so you can use it later, for a goal, an emergency, or the future.

What is saving?

A. Spending money as soon as it is earned
B. Borrowing money to buy something now
C. Setting aside income now to use later
D. Paying a bill on time

CORRECT ANSWER

C. Setting aside income now to use later

Feedback (shown after answering)

Saving keeps part of today's income for later.

Why each other choice is wrong (misconception it represents)

A: Opposite of saving
B: Confuses saving with borrowing
D: Paying bills is spending

Type: instruction

BACKWARD B1 · concept review — Why and how people save · Question 2 of 5

Which is a GOOD reason to save?

A. To make your current paycheck larger
B. To avoid ever needing a budget
C. To lower your tax rate this year
D. To pay for a known future expense without borrowing

CORRECT ANSWER

D. To pay for a known future expense without borrowing

Feedback (shown after answering)

Saving lets you pay for goals without debt.

Why each other choice is wrong (misconception it represents)

A: Saving does not raise pay
B: Saving needs a plan
C: Not how ordinary saving works

Type: knowledge check

BACKWARD B1 · concept review — Why and how people save · Question 3 of 5

Kim saves $20 a week for 10 weeks. How much has she saved?

A. $2
B. $20
C. $30
D. $200

CORRECT ANSWER

D. $200

Feedback (shown after answering)

$20 × 10 = $200.

Recomputed independently by the build: 200

Why each other choice is wrong (misconception it represents)

A: Divides
B: Counts one week
C: Adds instead of multiplying

Type: knowledge check

BACKWARD B1 · concept review — Why and how people save · Question 4 of 5

Kim wants $300 and saves $20 a week. How many weeks will it take?

A. 6,000 weeks
B. 280 weeks
C. 15 weeks
D. 10 weeks

CORRECT ANSWER

C. 15 weeks

Feedback (shown after answering)

$300 ÷ $20 = 15 weeks.

Recomputed independently by the build: 15

Why each other choice is wrong (misconception it represents)

A: Multiplies
B: Subtracts
D: Divides by 30

Type: knowledge check

BACKWARD B1 · concept review — Why and how people save · Question 5 of 5

Which habit makes saving most consistent?

A. Saving a set amount each payday
B. Saving only when there is money left over at month end
C. Saving only in months with birthdays
D. Waiting until earning a higher salary

CORRECT ANSWER

A. Saving a set amount each payday

Feedback (shown after answering)

A set amount each payday turns saving into a routine.

Why each other choice is wrong (misconception it represents)

B: Often leaves nothing
C: Irregular
D: Delays saving

Type: knowledge check

GO DEEPER 1 — Goals with a starting balance and a deadline · Question 1 of 5

Learn: A savings plan with a starting amount is linear: total = start + (monthly amount × months). Set the total equal to the goal and solve.

Lia has $350 and saves $65 a month. Which equation finds the months m until she has $1,000?

A. 350 + 65m = 1,000
B. 65 + 350m = 1,000
C. 350m + 65m = 1,000
D. 65m = 1,000 + 350

CORRECT ANSWER

A. 350 + 65m = 1,000

Feedback (shown after answering)

Start $350 + $65 per month × m = $1,000.

Why each other choice is wrong (misconception it represents)

B: Swaps the rate and the start
C: Multiplies the start by m
D: Adds the start to the goal

Type: instruction

GO DEEPER 1 — Goals with a starting balance and a deadline · Question 2 of 5

Solve 350 + 65m = 1,000. After how many whole months will Lia reach at least $1,000?

A. 15 months
B. 9 months
C. 20 months
D. 10 months

CORRECT ANSWER

D. 10 months

Feedback (shown after answering)

65m = 650, so m = 10 months.

Recomputed independently by the build: 10

Why each other choice is wrong (misconception it represents)

A: Ignores the $350 start
B: Rounds down; she is still short
C: Arithmetic error

Type: knowledge check

GO DEEPER 1 — Goals with a starting balance and a deadline · Question 3 of 5

Lia has $350 and wants $1,000 in 8 months. How much must she save per month (nearest dollar, rounding up)?

A. $65
B. $81
C. $82
D. $125

CORRECT ANSWER

C. $82

Feedback (shown after answering)

($1,000 − $350) ÷ 8 = $81.25, so about $82 a month to be sure.
Recomputed independently by the build: 82

Why each other choice is wrong (misconception it represents)

A: Keeps her current amount
B: Rounds down and falls short
D: Ignores the starting balance

Type: knowledge check

GO DEEPER 1 — Goals with a starting balance and a deadline · Question 4 of 5

Sam's goal: $3,000 in 2 years. He has $600 and can save $90 a month. Will he make it?

A. Yes; he will have $3,000 exactly
B. Yes; he will have $2,760
C. No; he will have $2,760, which is $240 short
D. No; he will have only $2,160

CORRECT ANSWER

C. No; he will have $2,760, which is $240 short

Feedback (shown after answering)

$600 + $90 × 24 = $600 + $2,160 = $2,760, short by $240.

Recomputed independently by the build: 2760

Why each other choice is wrong (misconception it represents)

A: Arithmetic error
B: Says yes despite the shortfall
D: Forgets the starting balance

Type: knowledge check

GO DEEPER 1 — Goals with a starting balance and a deadline · Question 5 of 5

How much more per month would Sam need to close a $240 gap over 24 months?

A. $5
B. $10
C. $20
D. $240

CORRECT ANSWER

B. $10

Feedback (shown after answering)

$240 ÷ 24 = $10 more per month ($100 total).

Recomputed independently by the build: 10

Why each other choice is wrong (misconception it represents)

A: Uses 48 months
C: Uses 12 months
D: Puts it all in one month

Type: knowledge check

GO DEEPER 2 — Balancing several goals · Question 1 of 5

Learn: When there are several goals, rank them by importance and timing, then divide monthly savings among them. Emergency savings usually come first because they protect every other goal.

Ray can save $200 a month. Goals: emergency fund (most important), a $600 trip in 6 months, and a car in 3 years. Which plan best reflects his priorities?

A. $200 to the trip only, then everything else
B. $200 to the car only for 3 years
C. $100 emergency fund, $100 trip, car later
D. Nothing until he earns more

CORRECT ANSWER

C. $100 emergency fund, $100 trip, car later

Feedback (shown after answering)

$100 × 6 = $600 covers the trip on time while still building the emergency fund.

Why each other choice is wrong (misconception it represents)

A: Ignores his top priority
B: Ignores near-term goals
D: Delays all goals

Type: instruction

GO DEEPER 2 — Balancing several goals · Question 2 of 5

After the trip, Ray sends $150 a month to his car fund. How much will he have after 30 months?

A. $180
B. $1,800
C. $4,500
D. $6,000

CORRECT ANSWER

C. $4,500

Feedback (shown after answering)

$150 × 30 = $4,500.

Recomputed independently by the build: 4500

Why each other choice is wrong (misconception it represents)

A: Adds
B: Uses 12 months
D: Uses 40 months

Type: knowledge check

GO DEEPER 2 — Balancing several goals · Question 3 of 5

Why keep separate "buckets" or accounts for different goals?

A. Separate accounts always earn more interest
B. Banks require one account per goal
C. It lowers taxes on savings
D. It shows progress on each goal and avoids spending one goal's money on another

CORRECT ANSWER

D. It shows progress on each goal and avoids spending one goal's money on another

Feedback (shown after answering)

Labeling money by goal keeps plans clear.

Why each other choice is wrong (misconception it represents)

A: Invents a benefit
B: Invents a rule
C: Invents a tax effect

Type: knowledge check

GO DEEPER 2 — Balancing several goals · Question 4 of 5

Ray's goals, in priority order, are an emergency fund, a trip, and a car. He gets a $300 birthday gift. Which use matches his priorities?

A. Add it to the emergency fund first
B. Spend it all on wants right away
C. Add it to the car goal only
D. Leave it in his wallet for months

CORRECT ANSWER

A. Add it to the emergency fund first

Feedback (shown after answering)

Unexpected money can speed up the highest-priority goal.

Why each other choice is wrong (misconception it represents)

B: Ignores priorities
C: Skips the top priority
D: Unplanned

Type: knowledge check

GO DEEPER 2 — Balancing several goals · Question 5 of 5

Ray saves for several goals ranked by importance. If his income drops, which goal should he pause first?

A. The emergency fund
B. All goals equally
C. Rent
D. The least important, least urgent goal

CORRECT ANSWER

D. The least important, least urgent goal

Feedback (shown after answering)

Pausing lower-priority goals protects the most important ones.

Why each other choice is wrong (misconception it represents)

A: Pauses his safety net
B: Ignores priorities
C: Rent is a need, not a goal

Type: knowledge check

SET 22 · Saving, Emergency Funds, and Interest

Emergency funds

MAIN skill: Size, build, and use an emergency fund

Outcome FL.SAVE.22 · National topic: Saving · NJSLS 9.1.12: PB, RM

Learning target: Emergency savings: purpose, size, and where to keep them

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Expected and unexpected expenses (5 questions)
  Why: Knowing which costs are surprises explains why an emergency fund is separate from goal savings.
- B2 · Math link → G6-S19-M (Grade 6 6.NS.B.3): Multiply multi-digit decimals
  Why: Fund targets multiply monthly expenses by months.
- B3 · Math link → G6-S20-M (Grade 6 6.NS.B.3): Divide multi-digit decimals
  Why: Months covered divides the fund by monthly expenses.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Building the fund over time (5 questions)
- Go Deeper 2: Emergency fund or debt payoff? (5 questions)

Practical skills beyond the standards: Starter emergency fund; Choosing between saving and debt payoff

Content status: stable

Source: CFPB — An emergency fund is money set aside for unplanned expenses or financial emergencies; start small and build it over time. https://www.consumerfinance.gov/an-essential-guide-to-building-an-emergency-fund/

Answer key for this set: M-Q1 C, M-Q2 C, M-Q3 A, M-Q4 D, M-Q5 C, B1-Q1 A, B1-Q2 C, B1-Q3 A, B1-Q4 C, B1-Q5 D, F1-Q1 C, F1-Q2 D, F1-Q3 A, F1-Q4 C, F1-Q5 B, F2-Q1 A, F2-Q2 C, F2-Q3 B, F2-Q4 D, F2-Q5 C

MAIN — Size, build, and use an emergency fund · Question 1 of 5

Learn: An emergency fund is money saved for unexpected events: a lost job, a medical bill, a car repair. It helps you avoid high-cost borrowing when surprises happen. A common guideline is 3 to 6 months of essential expenses, built up gradually. Even a small fund helps.

What is an emergency fund for?

A. Planned purchases such as a vacation next summer
B. Investing in stocks for the highest return
C. Unexpected costs such as a car repair or a job loss
D. Paying for holiday gifts each December

CORRECT ANSWER

C. Unexpected costs such as a car repair or a job loss

Feedback (shown after answering)

Emergency funds cover unplanned needs; planned goals and investing belong elsewhere.

Why each other choice is wrong (misconception it represents)

A: Confuses emergencies with planned goals
B: Confuses emergency savings with investing
D: Predictable expense; belongs in a sinking fund

Type: instruction

MAIN — Size, build, and use an emergency fund · Question 2 of 5

Jo's essential expenses are $1,650 a month. What is a 3-month emergency fund target?

A. $550
B. $1,650
C. $4,950
D. $9,900

CORRECT ANSWER

C. $4,950

Feedback (shown after answering)

$1,650 × 3 = $4,950.

Recomputed independently by the build: 4950

Why each other choice is wrong (misconception it represents)

A: Divides by 3
B: Uses one month
D: Uses six months

Type: knowledge check

MAIN — Size, build, and use an emergency fund · Question 3 of 5

Learn: Emergency money must be safe and available quickly. Insured savings accounts keep the money stable and accessible. Investments can lose value right when you need them, and long-term CDs charge penalties for early withdrawal.

Where is the best place to keep an emergency fund?

A. An insured savings account she can reach quickly
B. A stock fund, because it grows faster on average
C. A 5-year CD with a large early-withdrawal penalty
D. Cash in a drawer at home

CORRECT ANSWER

A. An insured savings account she can reach quickly

Feedback (shown after answering)

Safety and quick access matter most for emergency money.

Why each other choice is wrong (misconception it represents)

B: Value can fall when needed
C: Hard to access without cost
D: Risk of theft or loss; no interest

Type: instruction

MAIN — Size, build, and use an emergency fund · Question 4 of 5

Which situation is an appropriate use of an emergency fund?

A. A sale on concert tickets that ends tonight
B. A planned spring break trip
C. A new phone because a friend got one
D. Replacing a broken refrigerator needed for food

CORRECT ANSWER

D. Replacing a broken refrigerator needed for food

Feedback (shown after answering)

An essential, unexpected need is a true emergency.

Why each other choice is wrong (misconception it represents)

A: A want, not an emergency
B: A planned goal
C: A want driven by comparison

Type: knowledge check

MAIN — Size, build, and use an emergency fund · Question 5 of 5

Jo has $3,000 saved and essential expenses of $1,200 a month. How many months could the fund cover?

A. 25 months
B. 0.4 months
C. 2.5 months
D. 4.2 months

CORRECT ANSWER

C. 2.5 months

Feedback (shown after answering)

$3,000 ÷ $1,200 = 2.5 months.

Recomputed independently by the build: 2.5

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
B: Divides the wrong way
D: Adds instead of dividing

Type: knowledge check

BACKWARD B1 · concept review — Expected and unexpected expenses · Question 1 of 5

Learn: Expected expenses are known in advance (rent, bills, registration). Unexpected expenses are surprises (repairs, medical costs, job loss).

Which expense is UNEXPECTED?

A. A dentist visit for a cracked tooth
B. Monthly rent
C. A yearly car registration
D. A phone bill

CORRECT ANSWER

A. A dentist visit for a cracked tooth

Feedback (shown after answering)

A cracked tooth is a surprise expense.

Why each other choice is wrong (misconception it represents)

B: Expected
C: Expected
D: Expected

Type: instruction

BACKWARD B1 · concept review — Expected and unexpected expenses · Question 2 of 5

How is an emergency fund different from a sinking fund?

A. It is for vacations instead of bills
B. It earns no interest
C. It is for unknown surprises, not a known future bill
D. It is borrowed money

CORRECT ANSWER

C. It is for unknown surprises, not a known future bill

Feedback (shown after answering)

Emergency funds handle surprises; sinking funds handle known costs.

Why each other choice is wrong (misconception it represents)

A: Confuses purposes
B: Not the difference
D: Confuses saving with borrowing

Type: knowledge check

BACKWARD B1 · concept review — Expected and unexpected expenses · Question 3 of 5

Without savings, how do many people pay for a surprise $500 bill?

A. By borrowing, often at high cost
B. By getting a free refund from the government
C. By skipping it with no consequence
D. With money that appears in their account

CORRECT ANSWER

A. By borrowing, often at high cost

Feedback (shown after answering)

No savings often means credit cards, payday loans, or late fees.

Why each other choice is wrong (misconception it represents)

B: Invents a source
C: Ignores consequences
D: Unrealistic

Type: knowledge check

BACKWARD B1 · concept review — Expected and unexpected expenses · Question 4 of 5

Learn: An emergency fund is cash set aside for surprises, so you do not have to borrow when one happens.

Mo has a $500 car repair and a $1,000 emergency fund. Which choice avoids paying interest on the repair?

A. Charging it to a credit card he cannot pay off for a year
B. Taking a payday loan
C. Paying the repair from his emergency fund
D. Skipping the repair and borrowing a car

CORRECT ANSWER

C. Paying the repair from his emergency fund

Feedback (shown after answering)

Using savings for the repair avoids interest; then he rebuilds the fund.

Why each other choice is wrong (misconception it represents)

A: Adds interest
B: Very high cost
D: Avoids the problem, not the cost

Type: instruction

BACKWARD B1 · concept review — Expected and unexpected expenses · Question 5 of 5

Which is a reasonable FIRST emergency-fund target for a teen with a part-time job?

A. Six months of a full adult household's expenses
B. Nothing until age 30
C. Exactly $1 million
D. A starter amount such as $500

CORRECT ANSWER

D. A starter amount such as $500

Feedback (shown after answering)

Starting small builds the habit; the target grows with responsibilities.

Why each other choice is wrong (misconception it represents)

A: Unrealistic first step
B: Delays protection
C: Unrealistic

Type: knowledge check

GO DEEPER 1 — Building the fund over time · Question 1 of 5

Jo saves $275 a month toward a $4,950 target, starting from $0. How many months will it take?

A. 12 months
B. 16 months
C. 18 months
D. 20 months

CORRECT ANSWER

C. 18 months

Feedback (shown after answering)

$4,950 ÷ $275 = 18 months.

Recomputed independently by the build: 18

Why each other choice is wrong (misconception it represents)

A: Assumes one year
B: Arithmetic error
D: Arithmetic error

Type: knowledge check

GO DEEPER 1 — Building the fund over time · Question 2 of 5

Jo's emergency fund target is $4,950. She starts with a $1,500 tax refund and saves $275 a month. How many months of saving does she need (rounded up)?

A. 18 months
B. 12 months
C. 5 months
D. 13 months

CORRECT ANSWER

D. 13 months

Feedback (shown after answering)

($4,950 − $1,500) ÷ $275 ≈ 12.5, so 13 months.
Recomputed independently by the build: 13

Why each other choice is wrong (misconception it represents)

A: Ignores the refund
B: Rounds down and falls short
C: Divides only the refund

Type: knowledge check

GO DEEPER 1 — Building the fund over time · Question 3 of 5

Jo used $800 from her emergency fund for a car repair. What should she do next?

A. Rebuild the fund with regular deposits
B. Leave it lower permanently
C. Borrow $800 to refill it at once
D. Stop paying her other bills

CORRECT ANSWER

A. Rebuild the fund with regular deposits

Feedback (shown after answering)

Rebuilding restores protection for the next surprise.

Why each other choice is wrong (misconception it represents)

B: Leaves her exposed
C: Uses debt to fill savings
D: Cuts needs

Type: knowledge check · practical how-to

GO DEEPER 1 — Building the fund over time · Question 4 of 5

Which automatic setup best builds an emergency fund?

A. Keeping the fund in checking with everyday money
B. Moving money only when she remembers
C. A recurring transfer on payday to a separate savings account
D. Linking the fund to a debit card for shopping

CORRECT ANSWER

C. A recurring transfer on payday to a separate savings account

Feedback (shown after answering)

Automatic transfers to a separate account build the fund consistently.

Why each other choice is wrong (misconception it represents)

A: Easy to spend
B: Inconsistent
D: Encourages spending it

Type: knowledge check · practical how-to

GO DEEPER 1 — Building the fund over time · Question 5 of 5

Jo's fund earns 4% a year. If it stays near $4,950 for a year, about how much interest does it earn?

A. $19.80
B. $198
C. $1,980
D. $5,148

CORRECT ANSWER

B. $198

Feedback (shown after answering)

$4,950 × 0.04 = $198. Safety, not return, is the main job, but interest still helps.

Recomputed independently by the build: 198

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Uses 40%
D: Gives the balance

Type: knowledge check

GO DEEPER 2 — Emergency fund or debt payoff? · Question 1 of 5

Learn: High-interest debt grows quickly, but with no savings at all, the next surprise goes back on the card. A common approach: keep a small starter emergency fund, then put extra money toward high-interest debt, then build the full fund.

Kyle has $1,000 saved and a $2,000 credit card balance at 24% APR. Many planners suggest which approach?

A. Keep a small starter fund while paying down the card aggressively
B. Spend the $1,000 on wants, then pay minimums
C. Never pay the card until the fund reaches six months
D. Close the savings account and stop saving

CORRECT ANSWER

A. Keep a small starter fund while paying down the card aggressively

Feedback (shown after answering)

A starter fund prevents new debt while extra payments shrink costly debt.

Why each other choice is wrong (misconception it represents)

B: Ignores both goals
C: Lets expensive debt grow
D: Removes protection

Type: instruction

GO DEEPER 2 — Emergency fund or debt payoff? · Question 2 of 5

Interest on $2,000 at 24% for one year (simple estimate) is how much?

A. $48
B. $240
C. $480
D. $2,480

CORRECT ANSWER

C. $480

Feedback (shown after answering)

$2,000 × 0.24 = $480.

Recomputed independently by the build: 480

Why each other choice is wrong (misconception it represents)

A: Uses 2.4%
B: Uses 12%
D: Gives the balance

Type: knowledge check

GO DEEPER 2 — Emergency fund or debt payoff? · Question 3 of 5

Savings earn 4% while the card charges 24%. Moving $500 from savings to the card saves about how much per year in net interest?

A. $20
B. $100
C. $120
D. $140

CORRECT ANSWER

B. $100

Feedback (shown after answering)

Card interest avoided: $500 × 0.24 = $120. Savings interest lost: $500 × 0.04 = $20. Net: $100.
Recomputed independently by the build: 100

Why each other choice is wrong (misconception it represents)

A: Gives only the savings interest
C: Ignores interest lost on savings
D: Adds the two amounts

Type: knowledge check

GO DEEPER 2 — Emergency fund or debt payoff? · Question 4 of 5

Why might someone still keep a few hundred dollars in savings while paying debt?

A. Because savings accounts require it by law
B. Because card interest stops when you have savings
C. Because debt does not cost anything
D. So a small surprise does not go back on the card

CORRECT ANSWER

D. So a small surprise does not go back on the card

Feedback (shown after answering)

A small cushion breaks the cycle of new debt.

Why each other choice is wrong (misconception it represents)

A: Invents a rule
B: Invents an effect
C: Ignores interest

Type: knowledge check

GO DEEPER 2 — Emergency fund or debt payoff? · Question 5 of 5

Kyle has paid off his credit card, which had taken $150 a month in payments. His emergency fund is still small. What is a sensible next step?

A. Increase spending by the payment amount
B. Open three new cards
C. Send the former card payments to build the full emergency fund
D. Stop budgeting

CORRECT ANSWER

C. Send the former card payments to build the full emergency fund

Feedback (shown after answering)

Redirecting the payment amount builds savings quickly.

Why each other choice is wrong (misconception it represents)

A: Loses momentum
B: Adds risk
D: Abandons the plan

Type: knowledge check

SET 23 · Saving, Emergency Funds, and Interest

Simple interest

MAIN skill: Calculate simple interest and the resulting balance

Outcome FL.SAVE.23 · National topic: Saving · NJSLS 9.1.12: PB, CDM

Learning target: Calculate interest earned on savings (simple interest)

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Principal, interest, and balance (5 questions)
  Why: Interest problems fail when students confuse principal, interest, and balance.
- B2 · Math link → G7-S10-M (Grade 7 7.RP.A.3): Find simple interest
  Why: This set applies the Grade 7 simple interest skill.
- B3 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Interest for one year is a percent of the principal.
- B4 · Math link → G6-S19-M (Grade 6 6.NS.B.3): Multiply multi-digit decimals
  Why: I = Prt multiplies three factors, including a decimal rate.
- B5 · Math link → G6-S44-M (Grade 6 6.EE.A.2.c): Evaluate expressions and formulas for given values
  Why: Simple interest substitutes values into a formula.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Solving the interest formula for any variable (5 questions)
- Go Deeper 2: Simple interest in borrowing (5 questions)

Practical skills beyond the standards: Solving I = Prt for any variable

Content status: stable

Answer key for this set: M-Q1 B, M-Q2 D, M-Q3 B, M-Q4 B, M-Q5 C, B1-Q1 C, B1-Q2 A, B1-Q3 B, B1-Q4 A, B1-Q5 D, F1-Q1 C, F1-Q2 C, F1-Q3 A, F1-Q4 B, F1-Q5 B, F2-Q1 C, F2-Q2 C, F2-Q3 D, F2-Q4 D, F2-Q5 C

MAIN — Calculate simple interest and the resulting balance · Question 1 of 5

Learn: Simple interest is calculated using I = Prt, where P is the principal (the starting amount), r is the annual interest rate written as a decimal, and t is the time in years.

A savings account contains $2,400 and earns 5% simple annual interest. How much INTEREST will the account earn over three years?

A. $120
B. $360
C. $2,520
D. $3,600

CORRECT ANSWER

B. $360

Feedback (shown after answering)

I = 2,400 × 0.05 × 3 = $360.

Recomputed independently by the build: 360

Why each other choice is wrong (misconception it represents)

A: Calculates one year of interest only
C: Adds one year of interest to the principal
D: Uses an incorrect rate or multiplication

Type: instruction

MAIN — Calculate simple interest and the resulting balance · Question 2 of 5

Learn: Interest is only the amount earned. The balance is the principal plus the interest: A = P + I.

A savings account starts with $2,400 and earns 5% simple annual interest for 3 years. What is the BALANCE at the end?

A. $360
B. $2,405
C. $2,520
D. $2,760

CORRECT ANSWER

D. $2,760

Feedback (shown after answering)

$2,400 + $360 = $2,760.

Recomputed independently by the build: 2760

Why each other choice is wrong (misconception it represents)

A: Gives the interest, not the balance
B: Adds the rate as dollars
C: Adds only one year of interest

Type: instruction

MAIN — Calculate simple interest and the resulting balance · Question 3 of 5

Learn: Time in I = Prt must be in years. Convert months to years by dividing by 12: 6 months = 0.5 year.

$1,800 earns 4% simple interest for 6 months. How much interest is earned?

A. $7.20
B. $36
C. $72
D. $432

CORRECT ANSWER

B. $36

Feedback (shown after answering)

I = 1,800 × 0.04 × 0.5 = $36.

Recomputed independently by the build: 36

Why each other choice is wrong (misconception it represents)

A: Uses 0.4%
C: Uses a full year
D: Uses 6 years

Type: instruction

MAIN — Calculate simple interest and the resulting balance · Question 4 of 5

Learn: Solve I = Prt for the rate: r = I ÷ (P × t). Then write the decimal as a percent.

$5,000 earned $600 of simple interest in 3 years. What was the annual rate?

A. 0.4%
B. 4%
C. 12%
D. 25%

CORRECT ANSWER

B. 4%

Feedback (shown after answering)

r = 600 ÷ (5,000 × 3) = 0.04 = 4%.

Recomputed independently by the build: 4

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Forgets to divide by the years
D: Divides the wrong way

Type: instruction

MAIN — Calculate simple interest and the resulting balance · Question 5 of 5

In I = Prt, which quantity is the principal for a $1,500 deposit that earns $90 of interest?

A. $90
B. $1,410
C. $1,500
D. $1,590

CORRECT ANSWER

C. $1,500

Feedback (shown after answering)

The principal is the starting amount, $1,500. The interest is $90, and the balance is $1,590.

Recomputed independently by the build: 1500

Why each other choice is wrong (misconception it represents)

A: Confuses interest with principal
B: Subtracts the interest
D: Confuses balance with principal

Type: knowledge check

BACKWARD B1 · concept review — Principal, interest, and balance · Question 1 of 5

Learn: The principal is the original amount deposited or borrowed. Interest is the extra money earned (or charged). The balance is principal plus interest.

Ana deposits $300. A year later she has $309. Which amount is the PRINCIPAL?

A. $3
B. $9
C. $300
D. $309

CORRECT ANSWER

C. $300

Feedback (shown after answering)

The principal is the original $300.

Why each other choice is wrong (misconception it represents)

A: Confuses the rate with principal
B: Confuses interest with principal
D: Confuses balance with principal

Type: instruction

BACKWARD B1 · concept review — Principal, interest, and balance · Question 2 of 5

Ana deposits $300, and a year later she has $309. How much INTEREST did she earn?

A. $9
B. $300
C. $309
D. $609

CORRECT ANSWER

A. $9

Feedback (shown after answering)

$309 − $300 = $9 of interest.

Recomputed independently by the build: 9

Why each other choice is wrong (misconception it represents)

B: Gives the principal
C: Gives the balance
D: Adds the amounts

Type: knowledge check

BACKWARD B1 · concept review — Principal, interest, and balance · Question 3 of 5

Ana earned $9 of interest on a $300 deposit in one year. What percent of the principal was the interest?

A. 0.03%
B. 3%
C. 9%
D. 97%

CORRECT ANSWER

B. 3%

Feedback (shown after answering)

$9 ÷ $300 = 0.03 = 3%.

Recomputed independently by the build: 3

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Uses dollars as a percent
D: Gives the remaining part

Type: knowledge check

BACKWARD B1 · concept review — Principal, interest, and balance · Question 4 of 5

Which word describes the amount owed or saved after interest is added?

A. Balance
B. Principal
C. Rate
D. Term

CORRECT ANSWER

A. Balance

Feedback (shown after answering)

The balance is the total after interest.

Why each other choice is wrong (misconception it represents)

B: The starting amount
C: The percent
D: The length of time

Type: knowledge check

BACKWARD B1 · concept review — Principal, interest, and balance · Question 5 of 5

Learn: For a borrower, interest is the cost of using the lender's money. Total repaid = principal + interest.

Leo borrows $1,000 and repays $1,080. What was the cost of borrowing?

A. $1,080 of interest
B. $1,000 of interest
C. $0, because he repaid it
D. $80 of interest

CORRECT ANSWER

D. $80 of interest

Feedback (shown after answering)

$1,080 − $1,000 = $80 of interest.

Recomputed independently by the build: 80

Why each other choice is wrong (misconception it represents)

A: Treats the repayment as interest
B: Treats principal as interest
C: Ignores interest

Type: instruction

GO DEEPER 1 — Solving the interest formula for any variable · Question 1 of 5

Learn: The formula I = Prt can be solved for any variable: P = I ÷ (rt), r = I ÷ (Pt), t = I ÷ (Pr).

How much must be deposited at 5% simple interest to earn $200 in 2 years?

A. $20
B. $400
C. $2,000
D. $4,000

CORRECT ANSWER

C. $2,000

Feedback (shown after answering)

P = 200 ÷ (0.05 × 2) = $2,000.

Recomputed independently by the build: 2000

Why each other choice is wrong (misconception it represents)

A: Multiplies instead of dividing
B: Divides by 0.5
D: Uses 1 year

Type: instruction

GO DEEPER 1 — Solving the interest formula for any variable · Question 2 of 5

How long will it take $3,000 at 6% simple interest to earn $450?

A. 25 years
B. 0.4 years
C. 2.5 years
D. 1.5 years

CORRECT ANSWER

C. 2.5 years

Feedback (shown after answering)

t = 450 ÷ (3,000 × 0.06) = 450 ÷ 180 = 2.5 years.

Recomputed independently by the build: 2.5

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
B: Divides the wrong way
D: Arithmetic error

Type: knowledge check

GO DEEPER 1 — Solving the interest formula for any variable · Question 3 of 5

Which rearrangement of I = Prt correctly gives t?

A. t = I / (Pr)
B. t = IPr
C. t = Pr / I
D. t = I − Pr

CORRECT ANSWER

A. t = I / (Pr)

Feedback (shown after answering)

Divide both sides by Pr: t = I / (Pr).

Why each other choice is wrong (misconception it represents)

B: Multiplies instead of dividing
C: Inverts the expression
D: Subtracts instead of dividing

Type: knowledge check

GO DEEPER 1 — Solving the interest formula for any variable · Question 4 of 5

$4,000 at 3.5% simple interest earns how much in 18 months?

A. $140
B. $210
C. $252
D. $2,520

CORRECT ANSWER

B. $210

Feedback (shown after answering)

t = 18/12 = 1.5. I = 4,000 × 0.035 × 1.5 = $210.

Recomputed independently by the build: 210

Why each other choice is wrong (misconception it represents)

A: Uses 1 year
C: Uses 1.8 years
D: Uses 18 years

Type: knowledge check

GO DEEPER 1 — Solving the interest formula for any variable · Question 5 of 5

A loan of $800 at 9% simple interest is repaid after 8 months. What is the total repaid?

A. $48
B. $848
C. $857.60
D. $872

CORRECT ANSWER

B. $848

Feedback (shown after answering)

I = 800 × 0.09 × (8/12) = $48. Total: $848.

Recomputed independently by the build: 848

Why each other choice is wrong (misconception it represents)

A: Gives only the interest
C: Uses 0.8 year
D: Uses 1 year

Type: knowledge check

GO DEEPER 2 — Simple interest in borrowing · Question 1 of 5

Learn: Some loans charge simple interest on the original principal. For borrowers, I = Prt is the cost of the loan.

A friend's family business offers Tim a $1,200 loan at 6% simple interest for 2 years. How much interest will Tim pay?

A. $14.40
B. $72
C. $144
D. $1,344

CORRECT ANSWER

C. $144

Feedback (shown after answering)

1,200 × 0.06 × 2 = $144.

Recomputed independently by the build: 144

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
B: Uses one year
D: Gives total repaid

Type: instruction

GO DEEPER 2 — Simple interest in borrowing · Question 2 of 5

Tim owes $1,344 in total ($1,200 borrowed plus $144 interest). If he repays it in 24 equal monthly payments, what is each payment?

A. $6
B. $50
C. $56
D. $112

CORRECT ANSWER

C. $56

Feedback (shown after answering)

$1,344 ÷ 24 = $56.

Recomputed independently by the build: 56

Why each other choice is wrong (misconception it represents)

A: Divides only the interest
B: Ignores interest
D: Uses 12 payments

Type: knowledge check

GO DEEPER 2 — Simple interest in borrowing · Question 3 of 5

Two loans of $1,000 for 1 year: Loan A charges 8% simple interest; Loan B charges a flat $95 fee. Which costs less, and by how much?

A. Loan B, by $15
B. Loan A, by $95
C. They cost the same
D. Loan A, by $15

CORRECT ANSWER

D. Loan A, by $15

Feedback (shown after answering)

Loan A: $1,000 × 0.08 = $80. Loan B: $95. A is cheaper by $15.
Recomputed independently by the build: 15

Why each other choice is wrong (misconception it represents)

A: Reverses the comparison
B: Ignores Loan A's interest
C: Does not compute

Type: knowledge check

GO DEEPER 2 — Simple interest in borrowing · Question 4 of 5

Why do lenders charge interest?

A. Because the law requires every loan to charge 10%
B. To cover the borrower's taxes
C. Because money loses value only for lenders
D. To be paid for lending money and taking the risk of not being repaid

CORRECT ANSWER

D. To be paid for lending money and taking the risk of not being repaid

Feedback (shown after answering)

Interest compensates lenders for the use of their money, for inflation, and for default risk.

Why each other choice is wrong (misconception it represents)

A: Invents a law
B: Invents a purpose
C: Misstates the idea

Type: knowledge check

GO DEEPER 2 — Simple interest in borrowing · Question 5 of 5

Which borrower is likely to be offered a LOWER interest rate?

A. One who has missed several payments
B. One who applies for many loans at once
C. One with a strong record of repaying debts on time
D. One with no income to repay

CORRECT ANSWER

C. One with a strong record of repaying debts on time

Feedback (shown after answering)

Lower risk to the lender usually means a lower rate.

Why each other choice is wrong (misconception it represents)

A: Higher risk
B: Signals risk
D: Higher risk

Type: knowledge check

SET 24 · Saving, Emergency Funds, and Interest

Compound interest

MAIN skill: Calculate compound interest and compare it with simple interest

Outcome FL.SAVE.24 · National topic: Saving · NJSLS 9.1.12: PB, FI

Learning target: Compound interest: calculate and explain how interest compounds

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Interest on interest (5 questions)
  Why: Compound interest makes sense only after students see that added interest becomes part of the balance.
- B2 · Math link → G6-S40-M (Grade 6 6.EE.A.1): Evaluate numerical expressions with whole-number exponents
  Why: A = P(1 + r)^t requires evaluating a power.
- B3 · Math link → G5-S01-M (Grade 5 5.OA.A.1): Evaluate expressions that use parentheses
  Why: The order of operations matters: compute 1 + r first, then the power, then multiply.
- B4 · Math link → ALG1-S55-M (Algebra 1 HSF-LE.A.1.c): Recognize situations in which a quantity grows or decays by a constant percent rate per unit interval
  Why: Compound interest is growth by a constant percent per year.
- B5 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Each year's interest is a percent of the balance.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Reading an exponential growth model (5 questions)
- Go Deeper 2: Working backward: present value (5 questions)

Practical skills beyond the standards: Present value of a savings goal

Content status: stable

Answer key for this set: M-Q1 C, M-Q2 B, M-Q3 A, M-Q4 D, M-Q5 A, B1-Q1 C, B1-Q2 B, B1-Q3 C, B1-Q4 B, B1-Q5 A, F1-Q1 D, F1-Q2 D, F1-Q3 D, F1-Q4 A, F1-Q5 C, F2-Q1 B, F2-Q2 C, F2-Q3 D, F2-Q4 A, F2-Q5 A

MAIN — Calculate compound interest and compare it with simple interest · Question 1 of 5

Learn: When interest is compounded annually, interest is calculated on the current balance, including previously earned interest. For a constant annual rate, A = P(1 + r)^t.

$1,000 earns 10% annually, compounded once per year. Assuming the rate stays constant and there are no deposits or withdrawals, what is the balance after two years?

A. $1,100
B. $1,200
C. $1,210
D. $1,220

CORRECT ANSWER

C. $1,210

Feedback (shown after answering)

A = 1,000(1.10)^2 = 1,000 × 1.21 = $1,210. Year 1 adds $100; year 2 adds 10% of $1,100 = $110.

Recomputed independently by the build: 1210

Why each other choice is wrong (misconception it represents)

A: Applies one year of interest only
B: Uses simple interest
D: Adds 10% of $1,200 in year two

Type: instruction

MAIN — Calculate compound interest and compare it with simple interest · Question 2 of 5

Learn: With compounding, each year's interest is figured on the balance at the start of that year. Year 1 interest is added to the principal, so year 2 interest is larger.

$500 is deposited at 4% interest compounded annually. How much interest is earned in the SECOND year?

A. $20.00
B. $20.80
C. $40.80
D. $540.80

CORRECT ANSWER

B. $20.80

Feedback (shown after answering)

Year 1: $500 × 0.04 = $20, balance $520. Year 2: $520 × 0.04 = $20.80.

Recomputed independently by the build: 20.8

Why each other choice is wrong (misconception it represents)

A: Uses simple interest on the original $500
C: Gives total interest for two years
D: Gives the balance after two years

Type: instruction

MAIN — Calculate compound interest and compare it with simple interest · Question 3 of 5

Learn: Simple interest is figured only on the principal: I = Prt. Compound interest is figured on the growing balance: A = P(1 + r)^t, and interest = A − P. The gap between them grows over time.

$5,000 earns 4% per year for 3 years. How much MORE interest does annual compounding earn than simple interest?

A. $24.32
B. $200.00
C. $600.00
D. $624.32

CORRECT ANSWER

A. $24.32

Feedback (shown after answering)

Simple: 5,000 × 0.04 × 3 = $600. Compound: 5,000(1.04)^3 = $5,624.32, so $624.32 of interest. Difference: $24.32.

Recomputed independently by the build: 24.32

Why each other choice is wrong (misconception it represents)

B: Gives one year of simple interest
C: Gives the simple interest
D: Gives the compound interest, not the difference

Type: instruction

MAIN — Calculate compound interest and compare it with simple interest · Question 4 of 5

Learn: To use A = P(1 + r)^t: write the rate as a decimal, add 1, raise to the number of years first (exponents before multiplication), then multiply by P.

$2,000 is invested at 6% compounded annually for 10 years. What is the balance (nearest cent)?

A. $2,120.00
B. $3,200.00
C. $3,378.96
D. $3,581.70

CORRECT ANSWER

D. $3,581.70

Feedback (shown after answering)

A = 2,000(1.06)^10 ≈ 2,000 × 1.790848 = $3,581.70.

Recomputed independently by the build: 3581.695393

Why each other choice is wrong (misconception it represents)

A: Uses one year
B: Uses simple interest
C: Uses 9 years

Type: instruction

MAIN — Calculate compound interest and compare it with simple interest · Question 5 of 5

Two accounts both start with $1,000 at 5% for 20 years. One pays simple interest; one compounds annually. Why does the compound account end higher?

A. It earns interest on earlier interest as well as on the principal
B. Its stated rate is really higher than 5%, which the bank does not show
C. Simple interest accounts charge fees that reduce the balance
D. Compounding adds a bonus deposit each year

CORRECT ANSWER

A. It earns interest on earlier interest as well as on the principal

Feedback (shown after answering)

Same rate, same time: compounding wins because interest itself earns interest.

Why each other choice is wrong (misconception it represents)

B: Thinks the rate differs
C: Invents fees
D: Invents a deposit

Type: knowledge check

BACKWARD B1 · concept review — Interest on interest · Question 1 of 5

Learn: After interest is added, the balance = old balance + interest. That new balance is what earns interest next year when interest compounds.

$100 earns 10% interest for one year. What is the balance after one year?

A. $10
B. $100
C. $110
D. $1,000

CORRECT ANSWER

C. $110

Feedback (shown after answering)

$100 + $10 = $110.

Recomputed independently by the build: 110

Why each other choice is wrong (misconception it represents)

A: Gives the interest only
B: Ignores the interest
D: Multiplies by 10

Type: instruction

BACKWARD B1 · concept review — Interest on interest · Question 2 of 5

Learn: With compound interest, the rate applies to the whole current balance, including interest already earned.

$100 earns 10% interest and grows to $110 after year one. In year two, the $110 earns 10% again. How much interest is earned in year two?

A. $10
B. $11
C. $21
D. $121

CORRECT ANSWER

B. $11

Feedback (shown after answering)

$110 × 0.10 = $11.

Recomputed independently by the build: 11

Why each other choice is wrong (misconception it represents)

A: Uses the original $100
C: Adds both years' interest
D: Gives the new balance

Type: instruction

BACKWARD B1 · concept review — Interest on interest · Question 3 of 5

Learn: Simple interest: interest on the principal only, the same dollar amount each year. Compound interest: interest on the principal plus accumulated interest, growing each year.

Which statement describes COMPOUND interest?

A. Interest is earned only on the original deposit
B. Interest is paid only when the account is closed
C. Interest is earned on the principal and on interest already added
D. Interest is the same dollar amount every year, figured on the deposit

CORRECT ANSWER

C. Interest is earned on the principal and on interest already added

Feedback (shown after answering)

Compound interest earns "interest on interest."

Why each other choice is wrong (misconception it represents)

A: Describes simple interest
B: Confuses compounding with payout timing
D: Describes simple interest

Type: instruction

BACKWARD B1 · concept review — Interest on interest · Question 4 of 5

Learn: Increasing an amount by r% is the same as multiplying it by (1 + r), with r as a decimal. Adding 5% means multiplying by 1.05.

Multiplying by 1.05 is the same as adding what percent?

A. 0.05%
B. 5%
C. 50%
D. 105%

CORRECT ANSWER

B. 5%

Feedback (shown after answering)

× 1.05 = original + 5% of the original.

Recomputed independently by the build: 5

Why each other choice is wrong (misconception it represents)

A: Misreads the decimal
C: Misreads the decimal
D: Treats the multiplier as the percent

Type: instruction

BACKWARD B1 · concept review — Interest on interest · Question 5 of 5

Which expression gives $800 after 3 years at 5% compounded annually?

A. 800(1.05)^3
B. 800 × 0.05 × 3
C. 800 + 1.05 × 3
D. 800(0.05)^3

CORRECT ANSWER

A. 800(1.05)^3

Feedback (shown after answering)

Multiply by the growth factor 1.05 once per year: 800(1.05)^3.

Why each other choice is wrong (misconception it represents)

B: Gives simple interest only
C: Adds instead of multiplying
D: Uses the rate instead of 1 + rate

Type: knowledge check

GO DEEPER 1 — Reading an exponential growth model · Question 1 of 5

Learn: In A = P(1 + r)^t, P is the starting amount and (1 + r) is the growth factor per period. A factor of 1.05 means each year's balance is 105% of the year before, a 5% increase.

An account balance is modeled by A = 1,500(1.05)^t, where t is years. What does 1.05 tell you?

A. The balance grows $1.05 each year
B. The balance grows 105% each year
C. The account pays a $1,500 bonus every 5 years
D. The balance grows 5% each year

CORRECT ANSWER

D. The balance grows 5% each year

Feedback (shown after answering)

1.05 = 1 + 0.05, so the balance grows 5% per year.

Why each other choice is wrong (misconception it represents)

A: Reads the factor as dollars
B: Reads the factor as the rate
C: Misreads the parameters

Type: instruction

GO DEEPER 1 — Reading an exponential growth model · Question 2 of 5

Learn: In an exponential model A = P(1 + r)^t, the value when t = 0 is P, because any number raised to the power 0 equals 1.

In A = 1,500(1.05)^t, what does 1,500 represent?

A. The interest earned each year
B. The balance after 5 years
C. The maximum balance allowed
D. The starting balance

CORRECT ANSWER

D. The starting balance

Feedback (shown after answering)

At t = 0, A = 1,500(1) = 1,500, the starting balance.

Why each other choice is wrong (misconception it represents)

A: Confuses the start with interest
B: Confuses the start with a later value
C: Invents a limit

Type: instruction

GO DEEPER 1 — Reading an exponential growth model · Question 3 of 5

Using A = 1,500(1.05)^t, what is the balance after 4 years (nearest cent)?

A. $1,575.00
B. $1,736.44
C. $1,800.00
D. $1,823.26

CORRECT ANSWER

D. $1,823.26

Feedback (shown after answering)

1,500 × 1.05^4 = 1,500 × 1.21550625 = $1,823.26.

Recomputed independently by the build: 1823.259375

Why each other choice is wrong (misconception it represents)

A: Uses one year
B: Uses three years
C: Uses simple interest

Type: knowledge check

GO DEEPER 1 — Reading an exponential growth model · Question 4 of 5

Which model shows a balance that starts at $600 and grows 3% per year?

A. A = 600(1.03)^t
B. A = 600(0.03)^t
C. A = 600 + 1.03t
D. A = 3(600)^t

CORRECT ANSWER

A. A = 600(1.03)^t

Feedback (shown after answering)

Start 600, growth factor 1 + 0.03 = 1.03.

Why each other choice is wrong (misconception it represents)

B: Uses the rate as the factor
C: Uses a linear model
D: Swaps the roles

Type: knowledge check

GO DEEPER 1 — Reading an exponential growth model · Question 5 of 5

A savings balance doubled from $800 to $1,600 over some years. Which type of growth model fits a fixed annual compound rate?

A. Linear: the balance adds the same number of dollars every single year
B. Quadratic: the balance follows a parabola
C. Exponential: the balance multiplies by the same factor each year
D. Constant: the balance never changes

CORRECT ANSWER

C. Exponential: the balance multiplies by the same factor each year

Feedback (shown after answering)

Compound interest multiplies by a constant factor each period: exponential growth.

Why each other choice is wrong (misconception it represents)

A: Describes simple interest
B: Wrong model family
D: Ignores growth

Type: knowledge check

GO DEEPER 2 — Working backward: present value · Question 1 of 5

Learn: Present value is how much money today grows to a target amount later. Solve A = P(1 + r)^t for P: P = A ÷ (1 + r)^t.

Kim wants $10,000 in 5 years. Her account earns 5% compounded annually. How much must she deposit today (nearest cent)?

A. $7,500.00
B. $7,835.26
C. $9,500.00
D. $12,762.82

CORRECT ANSWER

B. $7,835.26

Feedback (shown after answering)

P = 10,000 ÷ 1.05^5 = 10,000 ÷ 1.2762816 ≈ $7,835.26.

Recomputed independently by the build: 7835.261665

Why each other choice is wrong (misconception it represents)

A: Uses simple interest
C: Subtracts one year of interest
D: Grows $10,000 forward instead of discounting

Type: instruction

GO DEEPER 2 — Working backward: present value · Question 2 of 5

Learn: To find the deposit needed today, divide the future amount by the growth factor raised to the number of years: P = A ÷ (1 + r)^t.

Which expression gives the deposit needed today to have $5,000 in 3 years at 4% compounded annually?

A. 5,000 × (1.04)^3
B. 5,000 − 0.04 × 3
C. 5,000 ÷ (1.04)^3
D. 5,000 ÷ (0.04)^3

CORRECT ANSWER

C. 5,000 ÷ (1.04)^3

Feedback (shown after answering)

Dividing by (1.04)^3 undoes three years of 4% growth.

Why each other choice is wrong (misconception it represents)

A: Grows forward instead of discounting
B: Subtracts a percent
D: Uses the rate instead of 1 + rate

Type: instruction

GO DEEPER 2 — Working backward: present value · Question 3 of 5

Learn: Money deposited today earns interest, and the interest compounds, so a smaller amount today can grow into a larger amount later.

Why is the deposit needed today SMALLER than the future goal?

A. Banks add a bonus to every goal
B. Inflation automatically adds extra money to savings accounts each year
C. The goal amount shrinks every year
D. Interest will make up the difference over time

CORRECT ANSWER

D. Interest will make up the difference over time

Feedback (shown after answering)

Compound growth turns a smaller deposit into the larger future amount.

Why each other choice is wrong (misconception it represents)

A: Invents a bonus
B: Misunderstands inflation
C: Reverses the idea

Type: instruction

GO DEEPER 2 — Working backward: present value · Question 4 of 5

Learn: In P = A ÷ (1 + r)^t, a higher rate makes the denominator larger.

If the rate were higher than 5%, how would the deposit needed today for a $10,000 goal in 5 years change?

A. It would be smaller
B. It would be larger
C. It would stay the same
D. It would equal $10,000

CORRECT ANSWER

A. It would be smaller

Feedback (shown after answering)

Faster growth means less money is needed today.

Why each other choice is wrong (misconception it represents)

B: Reverses the effect
C: Ignores the rate
D: Ignores interest

Type: instruction

GO DEEPER 2 — Working backward: present value · Question 5 of 5

Jay can deposit $4,000 today at 6% compounded annually. Will he reach $5,000 within 4 years?

A. Yes; 4,000(1.06)^4 ≈ $5,049.91
B. No; 4,000(1.06)^4 ≈ $4,960
C. No; he will have exactly $4,960
D. Yes; he will have $5,600

CORRECT ANSWER

A. Yes; 4,000(1.06)^4 ≈ $5,049.91

Feedback (shown after answering)

1.06^4 ≈ 1.262477, so 4,000 × 1.262477 ≈ $5,049.91, just over $5,000.

Recomputed independently by the build: 5049.90784

Why each other choice is wrong (misconception it represents)

B: Arithmetic error
C: Uses simple interest
D: Uses 10% per year

Type: knowledge check

SET 25 · Saving, Emergency Funds, and Interest

Compounding frequency and APY

MAIN skill: Calculate balances with monthly, quarterly, or daily compounding and use APY to compare accounts

Outcome FL.SAVE.25 · National topic: Saving · NJSLS 9.1.12: FI, PB

Learning target: Compare savings options using APY and compounding

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Rates per year and per period (5 questions)
  - Why: Compounding-frequency problems require splitting an annual rate into a per-period rate.
- B2 · Math link → G6-S40-M (Grade 6 6.EE.A.1): Evaluate numerical expressions with whole-number exponents
  - Why: Compound interest formulas raise a growth factor to a power.
- B3 · Math link → ALG1-S46-M (Algebra 1 HSF-IF.C.8.b): Use the properties of exponents to interpret growth and decay rates
  - Why: APY compares yearly growth factors from different compounding periods.
- B4 · Math link → G6-S20-M (Grade 6 6.NS.B.3): Divide multi-digit decimals
  - Why: Periodic rates divide the annual rate by the number of periods.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: How much does compounding frequency matter? (5 questions)
- Go Deeper 2: Promotional and variable rates (5 questions)

Practical skills beyond the standards: Evaluating promotional savings rates

Content status: stable

Answer key for this set: M-Q1 C, M-Q2 C, M-Q3 C, M-Q4 D, M-Q5 C, B1-Q1 A, B1-Q2 B, B1-Q3 D, B1-Q4 A, B1-Q5 D, F1-Q1 C, F1-Q2 A, F1-Q3 C, F1-Q4 D, F1-Q5 A, F2-Q1 C, F2-Q2 C, F2-Q3 B, F2-Q4 A, F2-Q5 D

MAIN — Calculate balances with monthly, quarterly, or daily compounding and use APY to compare accounts · Question 1 of 5

Learn: When interest compounds n times per year, each period uses the rate r/n, and there are n·t periods: A = P(1 + r/n)^(nt). Monthly: n = 12. Quarterly: n = 4. Daily: n = 365.

$1,000 is deposited at 6% annual interest compounded monthly. What is the balance after 1 year (nearest cent)?

A. $1,005.00
B. $1,060.00
C. $1,061.68
D. $2,012.20

CORRECT ANSWER

C. $1,061.68

Feedback (shown after answering)

Monthly rate: 0.06 ÷ 12 = 0.005. A = 1,000(1.005)^12 ≈ $1,061.68.

Recomputed independently by the build: 1061.677812

Why each other choice is wrong (misconception it represents)

A: Applies one month only
B: Uses annual compounding
D: Uses 6% per month

Type: instruction

MAIN — Calculate balances with monthly, quarterly, or daily compounding and use APY to compare accounts · Question 2 of 5

Learn: APY (annual percentage yield) is the actual percent growth in one year including compounding: APY = (1 + r/n)^n − 1. Banks must show APY so savers can compare accounts with different compounding.

An account pays 6% compounded monthly. What is its APY (nearest hundredth of a percent)?

A. 0.50%
B. 6.00%
C. 6.17%
D. 72.00%

CORRECT ANSWER

C. 6.17%

Feedback (shown after answering)

(1.005)^12 − 1 ≈ 0.061678 = 6.17%.

Recomputed independently by the build: 6.167781

Why each other choice is wrong (misconception it represents)

A: Gives the monthly rate
B: Ignores compounding
D: Multiplies the rate by 12

Type: instruction

MAIN — Calculate balances with monthly, quarterly, or daily compounding and use APY to compare accounts · Question 3 of 5

Learn: A slightly lower rate compounded more often can produce a higher yield. Compare accounts by APY, not by the stated rate.

Account A pays 4.9% compounded daily. Account B pays 5.0% compounded once a year. Which earns more in a year?

A. Account B, because 5.0% is higher than 4.9%
B. They earn exactly the same
C. Account A: its APY is about 5.02%
D. Account B, because daily compounding lowers the yield

CORRECT ANSWER

C. Account A: its APY is about 5.02%

Feedback (shown after answering)

A: (1 + 0.049/365)^365 − 1 ≈ 5.02%. B: 5.00%. Account A earns slightly more.

Why each other choice is wrong (misconception it represents)

A: Compares rates without compounding
B: Assumes compounding cancels the difference
D: Misunderstands compounding

Type: instruction

MAIN — Calculate balances with monthly, quarterly, or daily compounding and use APY to compare accounts · Question 4 of 5

$2,000 earns 4% annual interest compounded quarterly for 2 years. What is the balance (nearest cent)?

A. $2,020.00
B. $2,160.00
C. $2,163.20
D. $2,165.71

CORRECT ANSWER

D. $2,165.71

Feedback (shown after answering)

Quarterly rate 0.04 ÷ 4 = 0.01; periods 4 × 2 = 8. A = 2,000(1.01)^8 ≈ $2,165.71.
Recomputed independently by the build: 2165.713411

Why each other choice is wrong (misconception it represents)

A: Applies one quarter only
B: Uses simple interest
C: Uses annual compounding

Type: knowledge check

MAIN — Calculate balances with monthly, quarterly, or daily compounding and use APY to compare accounts · Question 5 of 5

In A = P(1 + r/n)^(nt), what is n for interest compounded quarterly?

A. 0.25
B. 3
C. 4
D. 12

CORRECT ANSWER

C. 4

Feedback (shown after answering)

Quarterly means 4 times a year, so n = 4.

Recomputed independently by the build: 4

Why each other choice is wrong (misconception it represents)

A: Uses the fraction of a year
B: Uses months in a quarter
D: Uses monthly compounding

Type: knowledge check

BACKWARD B1 · concept review — Rates per year and per period · Question 1 of 5

Learn: A stated annual rate is split evenly across compounding periods: periodic rate = annual rate ÷ number of periods per year.

An annual rate of 6% is compounded monthly. What rate applies each month?

A. 0.5%
B. 2%
C. 6%
D. 72%

CORRECT ANSWER

A. 0.5%

Feedback (shown after answering)

6% ÷ 12 = 0.5% per month.

Recomputed independently by the build: 0.5

Why each other choice is wrong (misconception it represents)

B: Divides by 3
C: Uses the annual rate
D: Multiplies by 12

Type: instruction

BACKWARD B1 · concept review — Rates per year and per period · Question 2 of 5

Learn: Quarterly means four periods per year: periodic rate = annual rate ÷ 4.

An annual rate of 8% is compounded quarterly. What is the quarterly rate?

A. 0.67%
B. 2%
C. 8%
D. 32%

CORRECT ANSWER

B. 2%

Feedback (shown after answering)

8% ÷ 4 = 2% per quarter.

Recomputed independently by the build: 2

Why each other choice is wrong (misconception it represents)

A: Divides by 12
C: Uses the annual rate
D: Multiplies by 4

Type: instruction

BACKWARD B1 · concept review — Rates per year and per period · Question 3 of 5

Learn: Total periods = periods per year × years.

How many compounding periods are in 3 years of monthly compounding?

A. 3
B. 12
C. 15
D. 36

CORRECT ANSWER

D. 36

Feedback (shown after answering)

12 × 3 = 36.

Recomputed independently by the build: 36

Why each other choice is wrong (misconception it represents)

A: Counts years
B: Counts one year
C: Adds 12 + 3

Type: instruction

BACKWARD B1 · concept review — Rates per year and per period · Question 4 of 5

Learn: To write a percent as a decimal, divide by 100.

Write 0.5% as a decimal.

A. 0.005
B. 0.05
C. 0.5
D. 5

CORRECT ANSWER

A. 0.005

Feedback (shown after answering)

0.5 ÷ 100 = 0.005.

Recomputed independently by the build: 0.005

Why each other choice is wrong (misconception it represents)

B: Moves the decimal one place too few
C: Does not convert
D: Moves the wrong way

Type: instruction

BACKWARD B1 · concept review — Rates per year and per period · Question 5 of 5

Which compounds MORE often: daily or monthly?

A. Monthly
B. They are the same
C. Neither compounds
D. Daily

CORRECT ANSWER

D. Daily

Feedback (shown after answering)

Daily = 365 times per year; monthly = 12.

Why each other choice is wrong (misconception it represents)

A: Reverses frequency
B: Ignores frequency
C: Misunderstands compounding

Type: knowledge check

GO DEEPER 1 — How much does compounding frequency matter? · Question 1 of 5

Learn: Compounding more often adds a little more interest, because interest starts earning interest sooner. The gain from annual to monthly is noticeable; from monthly to daily it is tiny.

$10,000 earns 5% for one year. Compounded annually, the balance is $10,500. Compounded monthly, it is about $10,511.62. Compounded daily, it is about $10,512.67. What pattern do these show?

A. Daily compounding doubles the interest
B. Compounding frequency makes no difference at all to the year-end balance
C. More frequent compounding helps, but by smaller amounts each step
D. Monthly compounding earns less than annual

CORRECT ANSWER

C. More frequent compounding helps, but by smaller amounts each step

Feedback (shown after answering)

Annual → monthly adds $11.62; monthly → daily adds only $1.05.

Why each other choice is wrong (misconception it represents)

A: Overstates the effect
B: Ignores the small gains
D: Misreads the numbers

Type: instruction

GO DEEPER 1 — How much does compounding frequency matter? · Question 2 of 5

Learn: A 1-percentage-point difference in rate changes yearly interest far more than switching between monthly and daily compounding.

Comparing savings accounts, which factor usually matters MORE than compounding frequency?

A. The interest rate itself
B. Whether interest compounds daily or monthly
C. The number of branches in other states
D. The day of the month interest posts

CORRECT ANSWER

A. The interest rate itself

Feedback (shown after answering)

At 5% vs 4%, the rate difference is about $100 a year on $10,000; frequency differences are often a few dollars.

Why each other choice is wrong (misconception it represents)

B: Overweights a small effect
C: Rarely affects earnings
D: Minor effect

Type: instruction

GO DEEPER 1 — How much does compounding frequency matter? · Question 3 of 5

Learn: At annual compounding, one year of interest is principal × rate.

How much more does $10,000 earn in one year at 5% compounded annually than at 4% compounded annually?

A. $1
B. $10
C. $100
D. $1,000

CORRECT ANSWER

C. $100

Feedback (shown after answering)

$500 − $400 = $100.

Recomputed independently by the build: 100

Why each other choice is wrong (misconception it represents)

A: Uses 0.01%
B: Uses 0.1%
D: Uses 10%

Type: instruction

GO DEEPER 1 — How much does compounding frequency matter? · Question 4 of 5

Learn: APY already includes the effect of compounding, so the higher APY earns more, whatever the compounding frequency.

A bank advertises 4.88% APY compounded daily. Another advertises 4.90% APY compounded monthly. Which pays more?

A. The 4.88% APY account, because daily compounding is better
B. They pay exactly the same
C. It cannot be determined from APY
D. The 4.90% APY account

CORRECT ANSWER

D. The 4.90% APY account

Feedback (shown after answering)

APY already includes compounding; 4.90% > 4.88%.

Why each other choice is wrong (misconception it represents)

A: Double-counts compounding
B: Ignores the APY difference
C: Misunderstands APY

Type: instruction

GO DEEPER 1 — How much does compounding frequency matter? · Question 5 of 5

Learn: Fees subtract from what an account earns. On small balances, a monthly fee can wipe out most of the interest.

An account with a $5 monthly fee pays 4.50% APY. About how much does $2,000 earn in a year after fees?

A. $30
B. $60
C. $90
D. $150

CORRECT ANSWER

A. $30

Feedback (shown after answering)

Interest: $2,000 × 0.045 = $90. Fees: $5 × 12 = $60. Net: $30.

Recomputed independently by the build: 30

Why each other choice is wrong (misconception it represents)

B: Gives only the fees
C: Ignores fees
D: Adds fees

Type: instruction

GO DEEPER 2 — Promotional and variable rates · Question 1 of 5

Learn: A promotional ("teaser") rate applies only for a limited time, then drops to the regular rate. Estimate interest for each period separately.

A bank offers 5.25% APY for the first 3 months, then the regular 1.00% APY. On $4,000, about how much interest is earned in the first year (simple estimate by period)?

A. $40.00
B. $52.50
C. $82.50
D. $210.00

CORRECT ANSWER

C. $82.50

Feedback (shown after answering)

First 3 months: 4,000 × 0.0525 × 0.25 = $52.50. Next 9 months: 4,000 × 0.01 × 0.75 = $30. Total ≈ $82.50.

Recomputed independently by the build: 82.5

Why each other choice is wrong (misconception it represents)

A: Uses 1% for the whole year
B: Counts only the promotional months
D: Uses 5.25% for the whole year

Type: instruction

GO DEEPER 2 — Promotional and variable rates · Question 2 of 5

Learn: Promotional rates are advertised prominently, but the rate after the promotion decides what you earn over a longer time.

Which question should Ana ask about a "limited-time" savings rate?

A. Is the rate higher than my checking account's?
B. Can I open the account online?
C. What rate applies after the promotion ends?
D. Is this rate guaranteed for as long as I keep the account?

CORRECT ANSWER

C. What rate applies after the promotion ends?

Feedback (shown after answering)

The post-promotion rate determines long-term earnings.

Why each other choice is wrong (misconception it represents)

A: Compares with the wrong account
B: Focuses on convenience, not the rate
D: Assumes promotional rates last forever

Type: instruction · practical how-to

GO DEEPER 2 — Promotional and variable rates · Question 3 of 5

Learn: When a rate changes partway through the year, figure the interest for each part of the year separately.

A savings account's variable rate drops from 4% to 3% after six months. On $6,000, about how much interest is earned that year?

A. $180
B. $210
C. $240
D. $420

CORRECT ANSWER

B. $210

Feedback (shown after answering)

6,000 × 0.04 × 0.5 = $120; 6,000 × 0.03 × 0.5 = $90; total ≈ $210.

Recomputed independently by the build: 210

Why each other choice is wrong (misconception it represents)

A: Uses 3% for the whole year
C: Uses 4% for the whole year
D: Adds both full-year amounts

Type: instruction

GO DEEPER 2 — Promotional and variable rates · Question 4 of 5

Learn: Savings rates tend to follow market interest rates, which change with economic conditions and Federal Reserve policy.

Why might a bank lower its savings rate?

A. Market interest rates fell
B. A customer deposited too much
C. The account was opened online
D. Federal law requires yearly cuts

CORRECT ANSWER

A. Market interest rates fell

Feedback (shown after answering)

Banks adjust variable rates as market rates change.

Why each other choice is wrong (misconception it represents)

B: Not how rates are set
C: Not a reason for changes
D: Invents a law

Type: instruction

GO DEEPER 2 — Promotional and variable rates · Question 5 of 5

Learn: Savings products differ: regular savings and money market accounts usually have variable rates that can change at any time; a certificate of deposit (CD) usually keeps a fixed rate until it matures, in exchange for leaving the money in place.

Which product LOCKS a savings rate for a set term?

A. A regular savings account
B. A money market account
C. A checking account
D. A certificate of deposit

CORRECT ANSWER

D. A certificate of deposit

Feedback (shown after answering)

CDs usually have a fixed rate for their term.

Why each other choice is wrong (misconception it represents)

A: Usually variable
B: Usually variable
C: Usually little or no interest

Type: instruction

SET 26 · Saving, Emergency Funds, and Interest

Time, doubling, and the Rule of 72

MAIN skill: Estimate doubling time with the Rule of 72 and explain why starting early matters

Outcome FL.SAVE.26 · National topic: Saving · NJSLS 9.1.12: PB, FP

Learning target: Explain how time and compounding affect savings growth

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Doubling and repeated doubling (5 questions)
  Why: Doubling-time reasoning depends on understanding repeated multiplication by 2.
- B2 · Math link → G6-S20-M (Grade 6 6.NS.B.3): Divide multi-digit decimals
  Why: The Rule of 72 divides 72 by the rate (or by the years).
- B3 · Math link → G6-S40-M (Grade 6 6.EE.A.1): Evaluate numerical expressions with whole-number exponents
  Why: Repeated doubling is a power of 2.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Starting early (5 questions)
- Go Deeper 2: The cost of waiting (5 questions)

Practical skills beyond the standards: Rule of 72 estimates

Content status: stable

Answer key for this set: M-Q1 A, M-Q2 B, M-Q3 B, M-Q4 D, M-Q5 C, B1-Q1 C, B1-Q2 D, B1-Q3 C, B1-Q4 A, B1-Q5 D, F1-Q1 D, F1-Q2 C, F1-Q3 A, F1-Q4 C, F1-Q5 D, F2-Q1 C, F2-Q2 C, F2-Q3 D, F2-Q4 A, F2-Q5 A

MAIN — Estimate doubling time with the Rule of 72 and explain why starting early matters · Question 1 of 5

Learn: The Rule of 72 is a quick estimate: years to double ≈ 72 ÷ (annual interest rate as a percent). It works best for rates between about 4% and 12% and gives an approximation, not an exact answer.

Using the Rule of 72, about how long does it take money to double at 6% compounded annually?

A. 12 years
B. 6 years
C. 16.7 years
D. 4.3 years

CORRECT ANSWER

A. 12 years

Feedback (shown after answering)

72 ÷ 6 = 12 years.

Recomputed independently by the build: 12

Why each other choice is wrong (misconception it represents)

B: Uses the rate as the years
C: Uses 100 ÷ 6
D: Divides 72 by 6 then by 2.8

Type: instruction

MAIN — Estimate doubling time with the Rule of 72 and explain why starting early matters · Question 2 of 5

Learn: The Rule of 72 also works backward: rate ≈ 72 ÷ years to double.

About what annual rate would double money in 9 years, by the Rule of 72?

A. 0.125%
B. 8%
C. 9%
D. 81%

CORRECT ANSWER

B. 8%

Feedback (shown after answering)

72 ÷ 9 = 8%.

Recomputed independently by the build: 8

Why each other choice is wrong (misconception it represents)

A: Divides 9 by 72
C: Uses the years as the rate
D: Multiplies 9 by 9

Type: instruction

MAIN — Estimate doubling time with the Rule of 72 and explain why starting early matters · Question 3 of 5

Learn: Compound growth speeds up over time because each year's growth is a percent of a larger balance. The last decade can add more than all the earlier decades combined.

$5,000 grows at 7% compounded annually. How much MORE does it grow to after 40 years than after 30 years (nearest dollar)?

A. $3,500
B. $36,811
C. $38,061
D. $74,872

CORRECT ANSWER

B. $36,811

Feedback (shown after answering)

40 years: 5,000(1.07)^40 ≈ $74,872. 30 years: 5,000(1.07)^30 ≈ $38,061. Difference ≈ $36,811.

Recomputed independently by the build: 36811.013983

Why each other choice is wrong (misconception it represents)

A: Uses 10 years of simple interest
C: Gives the 30-year balance
D: Gives the 40-year balance

Type: instruction

MAIN — Estimate doubling time with the Rule of 72 and explain why starting early matters · Question 4 of 5

Learn: Each "doubling period" multiplies the balance by 2. Count the doubling periods in the time span, then double that many times.

Use the Rule of 72 to estimate what $1,000 grows to in 36 years at 8% compounded annually.

A. About $8,000
B. About $3,880
C. About $4,000
D. About $16,000

CORRECT ANSWER

D. About $16,000

Feedback (shown after answering)

72 ÷ 8 = 9 years per doubling; 36 ÷ 9 = 4 doublings: $1,000 → $2,000 → $4,000 → $8,000 → $16,000. (Exact: about $15,968.)

Why each other choice is wrong (misconception it represents)

A: Counts three doublings
B: Uses simple interest
C: Counts doublings as additions

Type: instruction

MAIN — Estimate doubling time with the Rule of 72 and explain why starting early matters · Question 5 of 5

Why is the Rule of 72 called an estimate?

A. It only works for simple interest
B. It gives the exact answer for every interest rate and every time period
C. It approximates the exact compound-interest result
D. It is a legal limit on interest rates

CORRECT ANSWER

C. It approximates the exact compound-interest result

Feedback (shown after answering)

It is a shortcut; the exact answer comes from A = P(1 + r)^t.

Why each other choice is wrong (misconception it represents)

A: Misunderstands the rule
B: Overstates its accuracy
D: Confuses it with a law

Type: knowledge check

BACKWARD B1 · concept review — Doubling and repeated doubling · Question 1 of 5

Learn: To double means to multiply by 2.

$500 doubles once. What is the new amount?

A. $250
B. $502
C. $1,000
D. $2,500

CORRECT ANSWER

C. $1,000

Feedback (shown after answering)

$500 × 2 = $1,000.

Recomputed independently by the build: 1000

Why each other choice is wrong (misconception it represents)

A: Halves
B: Adds 2
D: Multiplies by 5

Type: instruction

BACKWARD B1 · concept review — Doubling and repeated doubling · Question 2 of 5

Learn: Doubling three times multiplies by 2 × 2 × 2 = 2^3 = 8.

$500 doubles three times. What is the final amount?

A. $1,500
B. $2,000
C. $3,000
D. $4,000

CORRECT ANSWER

D. $4,000

Feedback (shown after answering)

$500 × 8 = $4,000.

Recomputed independently by the build: 4000

Why each other choice is wrong (misconception it represents)

A: Adds 500 three times
B: Doubles twice
C: Multiplies by 6

Type: instruction

BACKWARD B1 · concept review — Doubling and repeated doubling · Question 3 of 5

Learn: Number of doublings = total years ÷ years per doubling.

If money doubles every 10 years, how many times does it double in 30 years?

A. 30 times
B. 10 times
C. 3 times
D. 2 times

CORRECT ANSWER

C. 3 times

Feedback (shown after answering)

30 ÷ 10 = 3 doublings.

Recomputed independently by the build: 3

Why each other choice is wrong (misconception it represents)

A: Counts years
B: Counts years per doubling
D: Arithmetic error

Type: instruction

BACKWARD B1 · concept review — Doubling and repeated doubling · Question 4 of 5

Learn: Steady additions grow by the same dollar amount each year (linear growth). Doubling multiplies the amount (exponential growth). Exponential growth starts slowly but eventually passes linear growth.

Starting with $100, which is larger after 30 years: adding $100 each year, or doubling every 10 years?

A. Adding $100 a year: $3,100 vs $800
B. Doubling every 10 years: $800 vs $3,100
C. They are equal at $3,100
D. Doubling every 10 years: $3,200 vs $3,100

CORRECT ANSWER

A. Adding $100 a year: $3,100 vs $800

Feedback (shown after answering)

Adding: $100 + 30 × $100 = $3,100. Doubling: $100 × 2^3 = $800. Over a longer time doubling wins: after 60 years, $6,400 vs $6,100.

Why each other choice is wrong (misconception it represents)

B: Assumes doubling always wins
C: Arithmetic error
D: Counts five doublings instead of three

Type: instruction

BACKWARD B1 · concept review — Doubling and repeated doubling · Question 5 of 5

Which statement about compound growth is TRUE?

A. Growth is fastest in the first year
B. Growth is the same number of dollars every year
C. Growth stops after 10 years
D. Growth is faster in later years because the balance is larger

CORRECT ANSWER

D. Growth is faster in later years because the balance is larger

Feedback (shown after answering)

Each year adds a percent of a larger balance, so dollar growth speeds up.

Why each other choice is wrong (misconception it represents)

A: Reverses the pattern
B: Describes simple interest
C: Invents a limit

Type: knowledge check

GO DEEPER 1 — Starting early · Question 1 of 5

Learn: Starting early gives money more years to compound. Someone who saves for a few early years can end up with more than someone who saves much longer but starts later. (These examples assume a steady 7% return; real investment returns vary and are not guaranteed.)

Saver A invests $2,000 a year from age 25 to 34 (10 years), then stops. Saver B invests $2,000 a year from 35 to 64 (30 years). Both earn 7% a year. By 65, A has about $210,000 and B about $189,000. How much did each CONTRIBUTE?

A. A: $210,000; B: $189,000
B. A: $60,000; B: $20,000
C. Both: $40,000
D. A: $20,000; B: $60,000

CORRECT ANSWER

D. A: $20,000; B: $60,000

Feedback (shown after answering)

A: 10 × $2,000 = $20,000. B: 30 × $2,000 = $60,000.

Why each other choice is wrong (misconception it represents)

A: Confuses balances with contributions
B: Swaps the savers
C: Averages the contributions

Type: instruction

GO DEEPER 1 — Starting early · Question 2 of 5

Learn: Compounding rewards time. Money invested earlier has more years for its earnings to earn more.

Saver A contributed $20,000 and ended with about $210,000. Saver B contributed $60,000 and ended with about $189,000. Why did A end with more?

A. A earned a higher rate
B. B paid higher taxes
C. A's money had more years to compound
D. A contributed more money in total than B did

CORRECT ANSWER

C. A's money had more years to compound

Feedback (shown after answering)

Same rate, but A's dollars compounded for 30–40 years.

Why each other choice is wrong (misconception it represents)

A: Both earned the same assumed rate
B: Not in the example
D: A contributed less

Type: instruction

GO DEEPER 1 — Starting early · Question 3 of 5

Saver A contributed $20,000 and ended with about $210,000. About how much of A's $210,000 came from growth rather than contributions?

A. About $190,000
B. About $20,000
C. About $210,000
D. About $230,000

CORRECT ANSWER

A. About $190,000

Feedback (shown after answering)

$210,000 − $20,000 ≈ $190,000 of growth.
Recomputed independently by the build: 190000

Why each other choice is wrong (misconception it represents)

B: Gives contributions
C: Gives the total
D: Adds instead of subtracting

Type: knowledge check

GO DEEPER 1 — Starting early · Question 4 of 5

Learn: At about 7%, money doubles roughly every 72 ÷ 7 ≈ 10.3 years. Number of doublings = years ÷ doubling time; growth factor = 2^(doublings). Keep the doublings unrounded until the end.

A 17-year-old with a summer job wonders whether saving $500 now matters. Using the Rule of 72 at 7% a year, about what does $500 grow to in 48 years (nearest hundred)?

A. $500
B. $2,200
C. $12,700
D. $16,000

CORRECT ANSWER

C. $12,700

Feedback (shown after answering)

48 × 7 ÷ 72 ≈ 4.667 doublings; 2^4.667 ≈ 25.40; $500 × 25.40 ≈ $12,699, about $12,700. (Exact annual compounding: $500 × 1.07^48 ≈ $12,864.45, about $12,900.)

Recomputed independently by the build: 12700

Why each other choice is wrong (misconception it represents)

A: Ignores growth
B: Uses simple interest: $500 + $500 × 0.07 × 48 = $2,180
D: Rounds up to 5 whole doublings before multiplying

Type: instruction

GO DEEPER 1 — Starting early · Question 5 of 5

Which assumption in "start early" examples should a careful reader remember?

A. Returns are guaranteed by the government
B. Every year earns exactly 7%, so results are certain
C. Starting early never matters
D. Real investment returns vary and are not guaranteed

CORRECT ANSWER

D. Real investment returns vary and are not guaranteed

Feedback (shown after answering)

The lesson about time holds, but actual yearly returns can be higher, lower, or negative.

Why each other choice is wrong (misconception it represents)

A: Overstates protection
B: Treats an average as certain
C: Rejects the main lesson

Type: knowledge check

GO DEEPER 2 — The cost of waiting · Question 1 of 5

Learn: Years to double ≈ 72 ÷ rate. Number of doublings = years invested ÷ years per doubling.

$1,000 invested at 6% for 36 years doubles about how many times (Rule of 72)?

A. 6 times
B. 2 times
C. 3 times
D. 12 times

CORRECT ANSWER

C. 3 times

Feedback (shown after answering)

72 ÷ 6 = 12 years per doubling; 36 ÷ 12 = 3 doublings.

Recomputed independently by the build: 3

Why each other choice is wrong (misconception it represents)

A: Uses 36 ÷ 6
B: Arithmetic error
D: Gives years per doubling

Type: instruction

GO DEEPER 2 — The cost of waiting · Question 2 of 5

Learn: At a given rate, one fewer doubling period at the end means one fewer doubling: the final balance is about half as large.

$1,000 invested at 6% doubles about every 12 years. Waiting 12 years to invest it, with a fixed retirement date, means ending with about…

A. the same amount
B. twice as much
C. half as much
D. 12% less

CORRECT ANSWER

C. half as much

Feedback (shown after answering)

Losing one doubling period cuts the result by about half.

Why each other choice is wrong (misconception it represents)

A: Ignores lost compounding
B: Reverses the effect
D: Uses the years as a percent

Type: instruction

GO DEEPER 2 — The cost of waiting · Question 3 of 5

$1,000 grows at 6% for 36 years to about $8,000. If Jen invests the $1,000 at 6% but waits 12 years, so it grows for 24 years, about how much will she have?

A. About $8,000
B. About $2,000
C. About $7,000
D. About $4,000

CORRECT ANSWER

D. About $4,000

Feedback (shown after answering)

24 years ÷ 12 = 2 doublings: $1,000 → $2,000 → $4,000.

Why each other choice is wrong (misconception it represents)

A: Ignores the delay
B: Removes two doublings
C: Subtracts 12% of the total

Type: knowledge check

GO DEEPER 2 — The cost of waiting · Question 4 of 5

Learn: Savers cannot control market returns, inflation, or interest rates. They can control when they start, how much they save, and how consistently they save.

Which factor does a young saver control MOST?

A. How early and how consistently they save
B. The stock market's yearly return
C. The inflation rate
D. Interest rates set by the Federal Reserve

CORRECT ANSWER

A. How early and how consistently they save

Feedback (shown after answering)

Time and consistency are within the saver's control.

Why each other choice is wrong (misconception it represents)

B: Not controllable
C: Not controllable
D: Not controllable

Type: instruction

GO DEEPER 2 — The cost of waiting · Question 5 of 5

Two friends each save $100 a month. One starts at 22, the other at 32. Both stop at 65 and earn the same rate. Which statement is TRUE?

A. The earlier saver will very likely end with much more
B. They will end with the same amount
C. The later saver will end with more
D. Saving monthly removes the effect of starting time completely

CORRECT ANSWER

A. The earlier saver will very likely end with much more

Feedback (shown after answering)

Ten extra years of contributions and compounding produce a much larger balance.

Why each other choice is wrong (misconception it represents)

B: Ignores time
C: Reverses the effect
D: Misunderstands compounding

Type: knowledge check

SET 27 · Saving, Emergency Funds, and Interest

Savings options: high-yield savings, CDs, and money market accounts

MAIN skill: Choose a savings product by safety, liquidity, and return

Outcome FL.SAVE.27 · National topic: Saving · NJSLS 9.1.12: FI

Learning target: Compare savings products: CDs, money market accounts, and Treasury securities

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Liquidity: how quickly money can be used (5 questions)
  - Why: Choosing a savings product depends on trading access (liquidity) against return.
- B2 · Math link → G7-S10-M (Grade 7 7.RP.A.3): Find simple interest
  - Why: CD interest and penalties use simple interest over part of a year.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: CD ladders (5 questions)
- Go Deeper 2: U.S. Treasury savings options (5 questions)

Practical skills beyond the standards: Building a CD ladder; Buying Treasuries on TreasuryDirect

Content status: time-sensitive

Source: FDIC — Deposit insurance covers deposit products such as CDs and money market deposit accounts; it does not cover money market mutual funds or other investments. https://www.fdic.gov/resources/deposit-insurance/understanding-deposit-insurance

Source: TreasuryDirect (I bonds) — I bonds must be held at least 12 months; if cashed before 5 years, the last 3 months of interest are lost. (This page does not cover Treasury bill rules.) https://www.treasurydirect.gov/savings-bonds/i-bonds/

Source: TreasuryDirect (Buying savings bonds) — New electronic savings bonds (Series EE and I) are bought through TreasuryDirect; marketable Treasury bills, notes, and bonds can also be bought through banks and brokers. https://www.treasurydirect.gov/savings-bonds/buy-a-bond/

Answer key for this set: M-Q1 D, M-Q2 C, M-Q3 C, M-Q4 D, M-Q5 C, B1-Q1 A, B1-Q2 C, B1-Q3 D, B1-Q4 A, B1-Q5 B, F1-Q1 A, F1-Q2 C, F1-Q3 C, F1-Q4 C, F1-Q5 D, F2-Q1 B, F2-Q2 B, F2-Q3 A, F2-Q4 C, F2-Q5 D

MAIN — Choose a savings product by safety, liquidity, and return · Question 1 of 5

Learn: A certificate of deposit (CD) is a bank or credit union deposit that you agree to leave for a set term, such as 6 months or 5 years. In return, it usually pays a fixed rate. Taking money out before the term ends usually costs an early-withdrawal penalty. CDs are insured deposits up to the legal limit.

What is a certificate of deposit (CD)?

A. A stock that pays the same fixed dividend to owners every month
B. A checking account with free checks
C. A loan that a bank gives to students
D. A deposit left for a set term at a usually fixed rate

CORRECT ANSWER

D. A deposit left for a set term at a usually fixed rate

Feedback (shown after answering)

A CD is a time deposit with a set term and usually a fixed rate.

Why each other choice is wrong (misconception it represents)

A: Confuses a CD with a stock
B: Confuses a CD with checking
C: Confuses a CD with a loan

Type: instruction

MAIN — Choose a savings product by safety, liquidity, and return · Question 2 of 5

Learn: Early-withdrawal penalties are often stated as a number of days or months of interest. Penalty ≈ principal × rate × (days ÷ 365).

Max's $5,000 CD pays 4.5% simple interest. The penalty for early withdrawal is 90 days of interest. About how much is the penalty (use 365 days in a year)?

A. $4.50
B. $18.49
C. $55.48
D. $225.00

CORRECT ANSWER

C. $55.48

Feedback (shown after answering)

5,000 × 0.045 × 90/365 ≈ $55.48.

Recomputed independently by the build: 55.479452

Why each other choice is wrong (misconception it represents)

A: Misreads the rate
B: Uses 30 days
D: Uses a full year of interest

Type: instruction

MAIN — Choose a savings product by safety, liquidity, and return · Question 3 of 5

Learn: A money market deposit account is a bank deposit, insured up to the legal limit. A money market fund is a mutual fund that invests in short-term debt. It aims to keep a stable value but is not FDIC insured and can, rarely, lose value.

Which statement about a money market DEPOSIT account (at a bank) and a money market FUND (at a brokerage) is TRUE?

A. Both are FDIC insured
B. Only the fund is FDIC insured
C. Only the deposit account is FDIC insured
D. Neither can ever lose value, because both are offered by banks

CORRECT ANSWER

C. Only the deposit account is FDIC insured

Feedback (shown after answering)

The bank account is a deposit (insured); the fund is an investment (not FDIC insured).

Why each other choice is wrong (misconception it represents)

A: Thinks the similar names mean the same protection
B: Reverses the facts
D: Overstates the safety of the fund

Type: instruction

MAIN — Choose a savings product by safety, liquidity, and return · Question 4 of 5

Learn: Match the product to when you need the money. Money needed on a known date can go in a CD whose term ends by that date. Money you may need any time belongs in a savings account.

Lily will need $3,000 for college fees in exactly 12 months, and she will not touch it before then. Which choice fits best?

A. A 5-year CD with a large early-withdrawal penalty
B. A stock fund, for the highest possible return
C. Her checking account, which pays no interest
D. A 12-month CD at an insured bank

CORRECT ANSWER

D. A 12-month CD at an insured bank

Feedback (shown after answering)

A 12-month CD matches the timeline and keeps the money safe.

Why each other choice is wrong (misconception it represents)

A: Term too long
B: Value can fall right before she needs it
C: Earns nothing

Type: instruction

MAIN — Choose a savings product by safety, liquidity, and return · Question 5 of 5

Which choice keeps emergency money BOTH safe and quickly available?

A. A 3-year CD that charges an early-withdrawal penalty
B. A collectible card collection
C. A high-yield savings account at an insured bank
D. A stock index fund

CORRECT ANSWER

C. A high-yield savings account at an insured bank

Feedback (shown after answering)

Insured savings combine safety with quick access (liquidity).

Why each other choice is wrong (misconception it represents)

A: Penalty to access
B: Hard to sell at a known price
D: Value can drop when needed

Type: knowledge check

BACKWARD B1 · concept review — Liquidity: how quickly money can be used · Question 1 of 5

Learn: Liquidity describes how easily and quickly something can be turned into cash you can spend, without losing value. Cash and checking are very liquid; a house is not.

What does "liquidity" mean in personal finance?

A. How quickly money can be used without losing value
B. How much interest an account pays each year, as a percent
C. How much water a bank uses
D. How large an account balance is

CORRECT ANSWER

A. How quickly money can be used without losing value

Feedback (shown after answering)

Liquidity = quick access without loss of value.

Why each other choice is wrong (misconception it represents)

B: Confuses liquidity with return
C: Literal misreading
D: Confuses liquidity with size

Type: instruction

BACKWARD B1 · concept review — Liquidity: how quickly money can be used · Question 2 of 5

Learn: Checking account money can be spent today. Selling a house or car, or ending a CD early, takes time or costs money.

Which is MOST liquid?

A. A house
B. A 5-year certificate of deposit
C. Money in a checking account
D. A car

CORRECT ANSWER

C. Money in a checking account

Feedback (shown after answering)

Checking money is available immediately.

Why each other choice is wrong (misconception it represents)

A: Takes time to sell
B: Penalty to withdraw early
D: Takes time to sell; value uncertain

Type: instruction

BACKWARD B1 · concept review — Liquidity: how quickly money can be used · Question 3 of 5

Learn: Savers usually earn more for accepting less liquidity, such as locking money in a CD for a longer term.

Why do longer-term CDs often pay higher rates than savings accounts?

A. They are not insured
B. Banks are required to pay more on CDs by law
C. CD rates change every day
D. You give up access to the money for longer

CORRECT ANSWER

D. You give up access to the money for longer

Feedback (shown after answering)

Less liquidity is usually rewarded with a higher rate.

Why each other choice is wrong (misconception it represents)

A: CDs are insured deposits
B: Invents a law
C: Most CD rates are fixed

Type: instruction

BACKWARD B1 · concept review — Liquidity: how quickly money can be used · Question 4 of 5

Which money should be kept the MOST liquid?

A. An emergency fund
B. Savings for retirement in 40 years
C. A college fund for a newborn
D. Money for a house in 10 years

CORRECT ANSWER

A. An emergency fund

Feedback (shown after answering)

Emergency money must be available on short notice.

Why each other choice is wrong (misconception it represents)

B: Long horizon
C: Long horizon
D: Long horizon

Type: knowledge check

BACKWARD B1 · concept review — Liquidity: how quickly money can be used · Question 5 of 5

A 2-year CD pays 4%; a savings account pays 3.5%. On $1,000 for one year, about how much more does the CD earn?

A. $0.50
B. $5
C. $40
D. $75

CORRECT ANSWER

B. $5

Feedback (shown after answering)

$40 − $35 = $5 more, in exchange for less access.

Recomputed independently by the build: 5

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Gives the CD's interest
D: Adds both

Type: knowledge check

GO DEEPER 1 — CD ladders · Question 1 of 5

Learn: A CD ladder spreads money across CDs with different maturity dates. One CD matures each year, giving regular access to part of the money, and maturing CDs can be reinvested at current rates.

Rosa splits $4,000 into four CDs of $1,000 each, maturing in 1, 2, 3, and 4 years. What is this strategy called?

A. A CD ladder
B. A CD pyramid scheme
C. A savings sweep
D. A money market account

CORRECT ANSWER

A. A CD ladder

Feedback (shown after answering)

Staggered maturities form a "ladder."

Why each other choice is wrong (misconception it represents)

B: Confuses with fraud
C: Different product feature
D: Confuses CD ladders with a variable-rate account

Type: instruction

GO DEEPER 1 — CD ladders · Question 2 of 5

Learn: In a CD ladder, one CD (one "rung") matures each year.

In a 4-rung ladder of $1,000 CDs maturing in years 1–4, how much becomes available each year?

A. $0
B. $250
C. $1,000
D. $4,000

CORRECT ANSWER

C. $1,000

Feedback (shown after answering)

One $1,000 CD matures each year (plus its interest).

Recomputed independently by the build: 1000

Why each other choice is wrong (misconception it represents)

A: Assumes nothing matures until year 4
B: Divides the rung again
D: Assumes all mature together

Type: instruction

GO DEEPER 1 — CD ladders · Question 3 of 5

Rosa's ladder pays 3.8%, 4.0%, 4.1%, and 4.2% on $1,000 each. What is the total interest in the first year (simple interest)?

A. $40.25
B. $152
C. $161
D. $168

CORRECT ANSWER

C. $161

Feedback (shown after answering)

$38 + $40 + $41 + $42 = $161.

Recomputed independently by the build: 161

Why each other choice is wrong (misconception it represents)

A: Averages the rates as dollars
B: Uses 3.8% for all
D: Uses 4.2% for all

Type: knowledge check

GO DEEPER 1 — CD ladders · Question 4 of 5

Why might a ladder be better than putting all $4,000 in one 4-year CD?

A. A ladder always pays the highest possible rate on every single dollar
B. A ladder has no insurance
C. Part of the money becomes available every year without penalty
D. A ladder avoids all taxes

CORRECT ANSWER

C. Part of the money becomes available every year without penalty

Feedback (shown after answering)

Ladders balance higher long-term rates with yearly access.

Why each other choice is wrong (misconception it represents)

A: Overpromises
B: False
D: False

Type: knowledge check

GO DEEPER 1 — CD ladders · Question 5 of 5

When the 1-year CD matures, rates have risen. What does a typical ladder strategy do?

A. Withdraw it and close the ladder
B. Reinvest it for 1 year only, forever
C. Break the other CDs early so all the money can be reinvested
D. Reinvest it in a new 4-year CD at the higher rate

CORRECT ANSWER

D. Reinvest it in a new 4-year CD at the higher rate

Feedback (shown after answering)

Rolling each maturing CD into the longest rung keeps the ladder going and captures new rates.

Why each other choice is wrong (misconception it represents)

A: Abandons the plan
B: Ladder stays short
C: Pays penalties

Type: knowledge check

GO DEEPER 2 — U.S. Treasury savings options · Question 1 of 5

Learn: Treasury bills are short-term loans to the U.S. government. They are sold at a discount, a price below face value, and pay the full face value at maturity. The difference is the earnings. Treasury securities are backed by the U.S. government.

A $1,000 Treasury bill (T-bill) is bought for $975 and pays $1,000 when it matures. How much does the buyer earn?

A. $2.50
B. $25
C. $975
D. $1,000

CORRECT ANSWER

B. $25

Feedback (shown after answering)

$1,000 − $975 = $25.

Recomputed independently by the build: 25

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Gives the price
D: Gives the face value

Type: instruction

GO DEEPER 2 — U.S. Treasury savings options · Question 2 of 5

Learn: The return as a percent of what you paid = earnings ÷ price × 100.

A T-bill bought for $975 pays $1,000 at maturity, earning $25. What percent of the purchase price is that (nearest hundredth)?

A. 2.50%
B. 2.56%
C. 25.00%
D. 97.50%

CORRECT ANSWER

B. 2.56%

Feedback (shown after answering)

$25 ÷ $975 ≈ 0.02564 = 2.56%.

Recomputed independently by the build: 2.564103

Why each other choice is wrong (misconception it represents)

A: Divides by face value
C: Misplaces the decimal
D: Gives price as a percent of face

Type: instruction

GO DEEPER 2 — U.S. Treasury savings options · Question 3 of 5

Learn: I bonds are U.S. savings bonds whose rate includes an inflation adjustment that changes every six months. They must be held at least 12 months, and cashing them in before 5 years costs the last 3 months of interest.

Series I savings bonds have a rate that adjusts with inflation. What is the main purpose of that feature?

A. To help savings keep up with rising prices
B. To guarantee the bond doubles in value every single year
C. To make the bond a stock investment
D. To avoid any holding period

CORRECT ANSWER

A. To help savings keep up with rising prices

Feedback (shown after answering)

The inflation-adjusted rate helps protect purchasing power.

Why each other choice is wrong (misconception it represents)

B: Overpromises
C: Misclassifies
D: Ignores holding rules

Type: instruction · rule as of TreasuryDirect rules as of 2026

GO DEEPER 2 — U.S. Treasury savings options · Question 4 of 5

Learn: I bond rules: they cannot be cashed during the first 12 months, and cashing them in before 5 years forfeits the last 3 months of interest.

Under the rules described for I bonds, what happens if one is cashed after 2 years?

A. All interest is lost
B. Nothing; there is never a penalty
C. The last 3 months of interest are lost
D. It cannot be cashed until it reaches its 30-year final maturity

CORRECT ANSWER

C. The last 3 months of interest are lost

Feedback (shown after answering)

Before 5 years, the last 3 months of interest are forfeited.

Why each other choice is wrong (misconception it represents)

A: Overstates the penalty
B: Ignores the rule
D: Confuses with final maturity

Type: instruction · rule as of TreasuryDirect rules as of 2026

GO DEEPER 2 — U.S. Treasury savings options · Question 5 of 5

Learn: Individuals can buy marketable Treasury bills, notes, and bonds directly from the U.S. Treasury on its TreasuryDirect website or through a bank or broker. New electronic savings bonds (Series I and EE) are sold through TreasuryDirect.

Where can individuals buy Treasury securities directly from the government?

A. Any social media marketplace
B. A bank's certificate of deposit counter only
C. The FDIC's website
D. TreasuryDirect.gov

CORRECT ANSWER

D. TreasuryDirect.gov

Feedback (shown after answering)

TreasuryDirect is the Treasury's official site for buying securities directly.

Why each other choice is wrong (misconception it represents)

A: Unsafe
B: Confuses Treasuries with bank CDs
C: Confuses deposit insurance with Treasury sales

Type: instruction · practical how-to

SET 28 · Interest, Borrowing, and Debt

Borrowing basics: principal, interest, term, and collateral

MAIN skill: Explain the parts of a loan and compare secured and unsecured borrowing

Outcome FL.DEBT.28 · National topic: Managing Credit · NJSLS 9.1.12: CDM

Learning target: Explain the costs and benefits of borrowing and the parts of a loan

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Principal versus interest (5 questions)
  - Why: Every loan question depends on separating the amount borrowed from the cost of borrowing.
- B2 · Math link → G6-S17-M (Grade 6 6.NS.B.3): Subtract multi-digit decimals
  - Why: Interest is the difference between the total repaid and the principal.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Cosigning and shared responsibility (5 questions)
- Go Deeper 2: Is this loan worth it? (5 questions)

Practical skills beyond the standards: Cosigning risks

Content status: stable

Answer key for this set: M-Q1 C, M-Q2 B, M-Q3 D, M-Q4 A, M-Q5 C, B1-Q1 A, B1-Q2 D, B1-Q3 A, B1-Q4 D, B1-Q5 C, F1-Q1 C, F1-Q2 A, F1-Q3 D, F1-Q4 C, F1-Q5 D, F2-Q1 D, F2-Q2 D, F2-Q3 C, F2-Q4 D, F2-Q5 A

MAIN — Explain the parts of a loan and compare secured and unsecured borrowing · Question 1 of 5

Learn: Every loan has a principal (the amount borrowed), interest (the cost of borrowing), and a term (how long you have to repay). Total repaid = principal + interest (+ any fees).

Lena borrows $6,000 for 3 years and will repay $6,840 in total. Which amount is the PRINCIPAL?

A. $840
B. $2,280
C. $6,000
D. $6,840

CORRECT ANSWER

C. $6,000

Feedback (shown after answering)

The principal is the amount borrowed: $6,000. Interest is $840.

Recomputed independently by the build: 6000

Why each other choice is wrong (misconception it represents)

A: Confuses interest with principal
B: Divides the total by 3
D: Confuses the total repaid with principal

Type: instruction

MAIN — Explain the parts of a loan and compare secured and unsecured borrowing · Question 2 of 5

Learn: The cost of borrowing is everything you repay beyond the amount you borrowed.

For the same kind of loan, Lena borrows $6,000 and repays $6,840 in total over 3 years. What did borrowing cost her?

A. $280
B. $840
C. $6,000
D. $6,840

CORRECT ANSWER

B. $840

Feedback (shown after answering)

$6,840 − $6,000 = $840 of interest.

Recomputed independently by the build: 840

Why each other choice is wrong (misconception it represents)

A: Gives one year of interest
C: Treats the principal as cost
D: Treats the whole repayment as cost

Type: instruction

MAIN — Explain the parts of a loan and compare secured and unsecured borrowing · Question 3 of 5

Learn: Collateral is property a borrower pledges to a lender. A secured loan is backed by collateral (a car for an auto loan, a home for a mortgage); if the borrower does not repay, the lender can take it. An unsecured loan has no collateral, so lenders usually charge more.

Which loan is SECURED?

A. A credit card with no collateral
B. A personal loan approved based only on the borrower's income
C. A student loan with no collateral
D. An auto loan where the lender can repossess the car

CORRECT ANSWER

D. An auto loan where the lender can repossess the car

Feedback (shown after answering)

The car is collateral for an auto loan, so it is secured.

Why each other choice is wrong (misconception it represents)

A: Unsecured
B: Unsecured
C: Unsecured

Type: instruction

MAIN — Explain the parts of a loan and compare secured and unsecured borrowing · Question 4 of 5

Learn: Interest rates reflect risk. When a lender cannot take property to recover a loan, it faces more risk of loss and usually charges a higher rate.

Why do unsecured loans usually have HIGHER interest rates than secured loans?

A. The lender has no collateral to take if unpaid
B. Unsecured loans are always for larger amounts
C. Secured loans are interest-free by law
D. Unsecured lenders must pay extra taxes

CORRECT ANSWER

A. The lender has no collateral to take if unpaid

Feedback (shown after answering)

More risk for the lender means a higher rate.

Why each other choice is wrong (misconception it represents)

B: Confuses size with risk
C: Invents a rule
D: Invents a tax

Type: instruction

MAIN — Explain the parts of a loan and compare secured and unsecured borrowing · Question 5 of 5

Which choice is generally a BETTER use of borrowing?

A. A loan for a vacation that will be paid off over five years
B. A cash advance to buy concert tickets
C. A modest loan for training that raises future earnings
D. A loan to cover gambling losses

CORRECT ANSWER

C. A modest loan for training that raises future earnings

Feedback (shown after answering)

Borrowing that builds income or lasting value can be worthwhile; borrowing for short-lived wants usually costs more than it is worth.

Why each other choice is wrong (misconception it represents)

A: Long-term debt for a short-term want
B: Expensive debt for a want
D: Debt that does not create value

Type: knowledge check

BACKWARD B1 · concept review — Principal versus interest · Question 1 of 5

Learn: Principal is the amount borrowed. Interest is the extra amount paid for borrowing. Total repaid = principal + interest.

Jay borrows $500 from a credit union and repays $530. Which is the INTEREST?

A. $30
B. $500
C. $530
D. $1,030

CORRECT ANSWER

A. $30

Feedback (shown after answering)

$530 − $500 = $30.

Recomputed independently by the build: 30

Why each other choice is wrong (misconception it represents)

B: Gives the principal
C: Gives the total repaid
D: Adds the amounts

Type: instruction

BACKWARD B1 · concept review — Principal versus interest · Question 2 of 5

Learn: Total repaid = principal + interest.

A loan has a principal of $2,000 and total interest of $240. What is the total repaid?

A. $240
B. $1,760
C. $2,000
D. $2,240

CORRECT ANSWER

D. $2,240

Feedback (shown after answering)

$2,000 + $240 = $2,240.

Recomputed independently by the build: 2240

Why each other choice is wrong (misconception it represents)

A: Gives the interest
B: Subtracts interest
C: Gives the principal

Type: instruction

BACKWARD B1 · concept review — Principal versus interest · Question 3 of 5

Learn: The term of a loan is how long the borrower has to repay it, such as 36 months.

Which word means "the length of time to repay a loan"?

A. Term
B. Principal
C. Collateral
D. Interest

CORRECT ANSWER

A. Term

Feedback (shown after answering)

The term is the repayment period.

Why each other choice is wrong (misconception it represents)

B: Amount borrowed
C: Property pledged
D: Cost of borrowing

Type: instruction

BACKWARD B1 · concept review — Principal versus interest · Question 4 of 5

From a BORROWER'S point of view, what is interest?

A. Money the bank pays the borrower each month on the loan
B. Part of the amount borrowed
C. A government tax on loans
D. The price paid for using someone else's money

CORRECT ANSWER

D. The price paid for using someone else's money

Feedback (shown after answering)

Borrowers pay interest to lenders.

Why each other choice is wrong (misconception it represents)

A: Saver's view reversed
B: Confuses with principal
C: Confuses with tax

Type: knowledge check

BACKWARD B1 · concept review — Principal versus interest · Question 5 of 5

Two loans of $1,000 have the same term. Loan A costs $90 in interest; Loan B costs $150. Which is cheaper?

A. Loan B, because it charges more interest
B. They are equal because the principal is the same
C. Loan A
D. It cannot be told without knowing the lenders' names

CORRECT ANSWER

C. Loan A

Feedback (shown after answering)

Same principal and term: lower interest means a cheaper loan.

Why each other choice is wrong (misconception it represents)

A: Reverses cheaper and more expensive
B: Ignores interest
D: Irrelevant information

Type: knowledge check

GO DEEPER 1 — Cosigning and shared responsibility · Question 1 of 5

Learn: A cosigner signs a loan along with the borrower and promises to repay it if the borrower does not. The debt can appear on the cosigner's credit report, and late payments can hurt the cosigner's credit.

Maya's older brother asks her to cosign his car loan. What does cosigning mean?

A. Maya is only a reference with no responsibility
B. Maya becomes the owner of the car
C. Maya is legally responsible for the debt if he does not pay
D. Maya pays only if she later signs a second agreement to do so

CORRECT ANSWER

C. Maya is legally responsible for the debt if he does not pay

Feedback (shown after answering)

A cosigner is fully responsible for the debt if the borrower does not pay.

Why each other choice is wrong (misconception it represents)

A: Underestimates the commitment
B: Confuses cosigning with ownership
D: Thinks the obligation is optional

Type: instruction

GO DEEPER 1 — Cosigning and shared responsibility · Question 2 of 5

Learn: When a cosigned loan goes unpaid, the lender can collect from the cosigner, and the missed payments can be reported on the cosigner's credit report too.

Maya cosigned her brother's car loan. He misses three payments. What can happen to Maya?

A. Her credit can be harmed and the lender can ask her to pay
B. Nothing happens to her, because the car is in her brother's name
C. She automatically owns the car
D. Only her brother's credit is affected

CORRECT ANSWER

A. Her credit can be harmed and the lender can ask her to pay

Feedback (shown after answering)

The cosigner is responsible for payments, and late payments can show up on her credit report.

Why each other choice is wrong (misconception it represents)

B: Ignores cosigner liability
C: Confuses liability with ownership
D: Ignores reporting to the cosigner

Type: instruction

GO DEEPER 1 — Cosigning and shared responsibility · Question 3 of 5

Learn: Financial counselors suggest cosigning only if you could and would repay the whole loan yourself.

Before cosigning, which question is MOST important for Maya to ask herself?

A. Will my brother be grateful to me for helping him out?
B. Will the loan show up only on my brother's credit report?
C. Can I remove my name later whenever I want?
D. Could I afford to make every payment myself?

CORRECT ANSWER

D. Could I afford to make every payment myself?

Feedback (shown after answering)

Only cosign a debt you could repay yourself.

Why each other choice is wrong (misconception it represents)

A: Emotional reason
B: Believes cosigning does not affect the cosigner's credit
C: Assumes a cosigner can leave the loan at will

Type: instruction · practical how-to

GO DEEPER 1 — Cosigning and shared responsibility · Question 4 of 5

Learn: If the borrower stops paying, the lender can collect each scheduled payment from the cosigner.

A cosigned $15,000 loan has payments of $300 a month. If the borrower stops paying, how much would the cosigner owe over the next year?

A. $300
B. $1,500
C. $3,600
D. $15,000

CORRECT ANSWER

C. $3,600

Feedback (shown after answering)

$300 × 12 = $3,600 in payments for the year.

Recomputed independently by the build: 3600

Why each other choice is wrong (misconception it represents)

A: Counts one month
B: Uses 5 months
D: Assumes the full balance is due at once

Type: instruction

GO DEEPER 1 — Cosigning and shared responsibility · Question 5 of 5

What is a safer way for Maya to help her brother than cosigning?

A. Lend him her debit card PIN
B. Cosign two smaller loans for him instead of one large loan
C. Take out a cash advance for him
D. Help him build credit or save for a larger down payment

CORRECT ANSWER

D. Help him build credit or save for a larger down payment

Feedback (shown after answering)

Helping him qualify on his own avoids putting her credit at risk.

Why each other choice is wrong (misconception it represents)

A: Unsafe
B: Doubles the risk
C: Expensive debt

Type: knowledge check

GO DEEPER 2 — Is this loan worth it? · Question 1 of 5

Learn: One way to judge a loan is to compare its total cost with the benefit it creates, such as higher income.

A $3,000 loan for a welding certificate costs $360 in interest. The certificate raises Dan's pay by $4 an hour for 2,000 hours a year. What is the extra pay in the first year?

A. $360
B. $3,000
C. $4,000
D. $8,000

CORRECT ANSWER

D. $8,000

Feedback (shown after answering)

$4 × 2,000 = $8,000, far more than the $360 of interest.

Recomputed independently by the build: 8000

Why each other choice is wrong (misconception it represents)

A: Gives the interest
B: Gives the loan
C: Uses 1,000 hours

Type: instruction

GO DEEPER 2 — Is this loan worth it? · Question 2 of 5

Learn: When you borrow to pay for something, its true cost is the price plus the interest and fees.

A $2,000 vacation is paid with a 24% loan over 2 years, costing about $540 in interest. What is the trip's total cost?

A. $540
B. $2,000
C. $2,480
D. $2,540

CORRECT ANSWER

D. $2,540

Feedback (shown after answering)

$2,000 + $540 = $2,540.

Recomputed independently by the build: 2540

Why each other choice is wrong (misconception it represents)

A: Gives only interest
B: Ignores interest
C: Uses 24% of $2,000

Type: instruction

GO DEEPER 2 — Is this loan worth it? · Question 3 of 5

Which question best tests whether a purchase should be financed?

A. Is the monthly payment smaller than my current phone bill?
B. Does the store offer instant approval?
C. Will it be worth more than its total cost by payoff?
D. Will my friends think it is cool?

CORRECT ANSWER

C. Will it be worth more than its total cost by payoff?

Feedback (shown after answering)

Comparing lasting value with total cost avoids paying long after the benefit is gone.

Why each other choice is wrong (misconception it represents)

A: Focuses only on payment size
B: Speed is not value
D: Social pressure

Type: knowledge check

GO DEEPER 2 — Is this loan worth it? · Question 4 of 5

Learn: Advertisements often emphasize a low monthly payment. Multiply the payment by the number of payments to find the total.

A store says, "Only $49 a month!" for a $1,200 laptop over 36 months. What is the total paid?

A. $49
B. $1,200
C. $1,470
D. $1,764

CORRECT ANSWER

D. $1,764

Feedback (shown after answering)

$49 × 36 = $1,764, which is $564 more than the price.

Recomputed independently by the build: 1764

Why each other choice is wrong (misconception it represents)

A: Gives one payment
B: Ignores financing costs
C: Uses 30 months

Type: instruction

GO DEEPER 2 — Is this loan worth it? · Question 5 of 5

Which is generally the cheapest way to buy a $300 bike you need for work?

A. Saving for it over a few months and paying cash
B. Rent-to-own at $15 a week for a year
C. A payday loan
D. A credit card that is paid off slowly over three years

CORRECT ANSWER

A. Saving for it over a few months and paying cash

Feedback (shown after answering)

Paying cash from savings avoids interest and fees entirely.

Why each other choice is wrong (misconception it represents)

B: Very expensive
C: Very expensive
D: Adds interest

Type: knowledge check

SET 29 · Interest, Borrowing, and Debt

APR and periodic interest rates

MAIN skill: Interpret APR and convert it to monthly and daily periodic rates

Outcome FL.DEBT.29 · National topic: Managing Credit · NJSLS 9.1.12: CDM

Learning target: Explain APR and how interest rates and fees affect the cost of credit

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Rates over different time periods (5 questions)
  Why: Students who confuse yearly and monthly rates overstate or understate interest by a factor of 12.
- B2 · Math link → G6-S20-M (Grade 6 6.NS.B.3): Divide multi-digit decimals
  Why: Periodic rates divide the APR by 12 or 365.
- B3 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Interest for a period is a percent of the balance.
- B4 · Math link → G7-S01-M (Grade 7 7.RP.A.1): Compute unit rates associated with ratios of fractions
  Why: A periodic rate is a rate per unit of time.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: APR versus APY and effective cost (5 questions)
- Go Deeper 2: Reading a loan disclosure (5 questions)

Practical skills beyond the standards: Reading a Truth in Lending disclosure

Content status: time-sensitive

Source: CFPB (Truth in Lending, Regulation Z) — Lenders must disclose the APR and finance charge; APR expresses the yearly cost of credit, including certain fees. https://www.consumerfinance.gov/rules-policy/regulations/1026/

Source: CFPB (Interest rate vs. APR) — The interest rate is the cost of borrowing the principal; the APR also includes certain fees, so payment math uses the note interest rate, and APR equals that rate only when there are no other finance charges.
https://www.consumerfinance.gov/ask-cfpb/what-is-the-difference-between-a-loan-interest-rate-and-the-apr-en-733/

Answer key for this set: M-Q1 B, M-Q2 A, M-Q3 A, M-Q4 B, M-Q5 C, B1-Q1 D, B1-Q2 B, B1-Q3 D, B1-Q4 A, B1-Q5 D, F1-Q1 D, F1-Q2 C, F1-Q3 A, F1-Q4 D, F1-Q5 C, F2-Q1 C, F2-Q2 C, F2-Q3 C, F2-Q4 A, F2-Q5 C

MAIN — Interpret APR and convert it to monthly and daily periodic rates · Question 1 of 5

Learn: APR (annual percentage rate) is the yearly cost of credit as a percent. For a loan, it includes the interest rate plus certain fees, so it can be higher than the loan's interest rate. For a credit card, the APR is the yearly interest rate, and the card charges a periodic rate: monthly periodic rate = APR ÷ 12.

A credit card has an 18% APR. If interest is charged monthly, what is the monthly periodic rate?

A. 0.049%
B. 1.5%
C. 18%
D. 216%

CORRECT ANSWER

B. 1.5%

Feedback (shown after answering)

18% ÷ 12 = 1.5% per month.

Recomputed independently by the build: 1.5

Why each other choice is wrong (misconception it represents)

A: Uses a daily rate
C: Confuses APR with a monthly rate
D: Multiplies by 12

Type: instruction

MAIN — Interpret APR and convert it to monthly and daily periodic rates · Question 2 of 5

Learn: Many credit cards use a daily periodic rate = APR ÷ 365 (some use 360). Interest is figured each day on the balance.

A credit card has a 21.9% APR and charges interest daily. What is the daily periodic rate (use 365 days; nearest thousandth of a percent)?

A. 0.060%
B. 0.600%
C. 1.825%
D. 21.900%

CORRECT ANSWER

A. 0.060%

Feedback (shown after answering)

21.9% ÷ 365 = 0.060% per day.

Recomputed independently by the build: 0.06

Why each other choice is wrong (misconception it represents)

B: Misplaces the decimal
C: Uses a monthly rate
D: Confuses APR with a daily rate

Type: instruction

MAIN — Interpret APR and convert it to monthly and daily periodic rates · Question 3 of 5

Learn: Comparing loans by interest rate alone can mislead, because fees add to the cost. APR includes the interest rate and certain fees, which makes it the better number for comparing loans of the same term.

Two $5,000 loans for one year. Each borrower gets the full $5,000 at the start and repays everything at the end of the year. Loan A: 9% interest plus a $150 fee paid at the end. Loan B: 10% interest and no fee. Which has the lower total cost?

A. Loan B: $500 vs $600
B. Loan A: $450 vs $500
C. They cost the same
D. Loan A, because 9% is lower

CORRECT ANSWER

A. Loan B: $500 vs $600

Feedback (shown after answering)

A: $5,000 × 0.09 + $150 = $600. B: $5,000 × 0.10 = $500. B costs less.

Recomputed independently by the build: 500

Why each other choice is wrong (misconception it represents)

B: Ignores Loan A's fee
C: Does not compute
D: Compares rates only

Type: instruction

MAIN — Interpret APR and convert it to monthly and daily periodic rates · Question 4 of 5

Learn: Interest for one period = balance × periodic rate.

A $1,200 balance has a monthly periodic rate of 2%. How much interest is charged for one month?

A. $2.40
B. $24
C. $240
D. $288

CORRECT ANSWER

B. $24

Feedback (shown after answering)

$1,200 × 0.02 = $24.

Recomputed independently by the build: 24

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Uses 20%
D: Uses 24% for a year

Type: instruction

MAIN — Interpret APR and convert it to monthly and daily periodic rates · Question 5 of 5

Which statement about APR is TRUE?

A. It is the monthly payment amount
B. It is set by law, so it is the same at every lender
C. It states the yearly cost of credit as a percent
D. It is the amount still owed on the loan

CORRECT ANSWER

C. It states the yearly cost of credit as a percent

Feedback (shown after answering)

APR expresses the yearly cost of credit, so it helps compare offers.

Why each other choice is wrong (misconception it represents)

A: Confuses a rate with a payment
B: Invents a rule
D: Confuses a rate with a balance

Type: knowledge check

BACKWARD B1 · concept review — Rates over different time periods · Question 1 of 5

Learn: A year has 12 months. A yearly rate spread evenly across months is the yearly rate ÷ 12.

A rate is "per year." How is it changed to a rate "per month"?

A. Multiply by 12
B. Divide by 52
C. Leave it the same
D. Divide by 12

CORRECT ANSWER

D. Divide by 12

Feedback (shown after answering)

Yearly ÷ 12 = monthly.

Why each other choice is wrong (misconception it represents)

A: Reverses the conversion
B: Uses weeks
C: Ignores the conversion

Type: instruction

BACKWARD B1 · concept review — Rates over different time periods · Question 2 of 5

Learn: Monthly rate = yearly rate ÷ 12.

A rate of 12% per year equals what rate per month?

A. 0.12%
B. 1%
C. 12%
D. 144%

CORRECT ANSWER

B. 1%

Feedback (shown after answering)

12% ÷ 12 = 1%.

Recomputed independently by the build: 1

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Does not convert
D: Multiplies

Type: instruction

BACKWARD B1 · concept review — Rates over different time periods · Question 3 of 5

Learn: Simple yearly rate = monthly rate × 12.

A monthly rate is 1.5%. What is the equivalent simple yearly rate?

A. 0.125%
B. 1.5%
C. 15%
D. 18%

CORRECT ANSWER

D. 18%

Feedback (shown after answering)

1.5% × 12 = 18%.

Recomputed independently by the build: 18

Why each other choice is wrong (misconception it represents)

A: Divides instead of multiplying
B: Does not convert
C: Multiplies by 10

Type: instruction

BACKWARD B1 · concept review — Rates over different time periods · Question 4 of 5

Learn: To compare rates, put them in the same time unit first.

Which is LARGER: 2% per month or 20% per year?

A. 2% per month (24% per year)
B. 20% per year
C. They are equal
D. It cannot be compared

CORRECT ANSWER

A. 2% per month (24% per year)

Feedback (shown after answering)

2% × 12 = 24% per year, more than 20%.

Why each other choice is wrong (misconception it represents)

B: Compares unlike units
C: Does not convert
D: Gives up

Type: instruction

BACKWARD B1 · concept review — Rates over different time periods · Question 5 of 5

Learn: APR expresses the cost of credit for one full year as a percent, so loans can be compared on the same yearly basis.

What does the "A" in APR stand for?

A. Average
B. Adjusted
C. Approved
D. Annual

CORRECT ANSWER

D. Annual

Feedback (shown after answering)

APR = annual percentage rate.

Why each other choice is wrong (misconception it represents)

A: Confuses the time period with an average
B: Confuses APR with an adjustable rate
C: Confuses the rate with loan approval

Type: instruction

GO DEEPER 1 — APR versus APY and effective cost · Question 1 of 5

Learn: A stated annual rate is a simple yearly figure: monthly rate × 12. If interest is added each month and then charged interest, the effective annual rate (like APY for savings) is higher: (1 + monthly rate)^12 − 1.

A loan charges 1.5% per month, compounded monthly. What is the effective annual rate (nearest tenth of a percent)?

A. 1.5%
B. 16.5%
C. 18.0%
D. 19.6%

CORRECT ANSWER

D. 19.6%

Feedback (shown after answering)

(1.015)^12 − 1 ≈ 0.1956 → 19.6%.

Recomputed independently by the build: 19.561817

Why each other choice is wrong (misconception it represents)

A: Uses the monthly rate
B: Subtracts instead of compounding
C: Uses the simple annual rate

Type: instruction

GO DEEPER 1 — APR versus APY and effective cost · Question 2 of 5

Learn: APR is a yearly rate that includes certain fees but leaves out the effect of compounding. APY (or the effective annual rate) includes compounding, so it is higher than the stated rate whenever interest compounds more than once a year. Federal rules require savings to show APY and loans to show APR.

Savings accounts advertise APY, while loans advertise APR. Why might a lender prefer to advertise APR?

A. APR is always higher than APY
B. APR includes all possible fees, making it look higher
C. APR leaves out compounding, so it looks lower
D. APR is used only for savings

CORRECT ANSWER

C. APR leaves out compounding, so it looks lower

Feedback (shown after answering)

The effective cost with compounding is higher than the stated APR.

Why each other choice is wrong (misconception it represents)

A: Reverses the relationship
B: Misreads the incentive
D: Reverses usage

Type: instruction

GO DEEPER 1 — APR versus APY and effective cost · Question 3 of 5

Learn: With compounding, interest is charged on interest already added. The effective annual rate = (1 + APR ÷ n)^n − 1, where n is the number of compounding periods in a year.

A credit card has a 24% APR (its daily periodic rate × 365; the card charges no other finance charges) with daily compounding. Is the effective annual rate higher or lower than 24%?

A. Higher
B. Lower
C. Exactly 24%
D. It depends on the credit limit

CORRECT ANSWER

A. Higher

Feedback (shown after answering)

Compounding makes the effective rate a bit above 24% (about 27%).

Why each other choice is wrong (misconception it represents)

B: Reverses the effect of compounding
C: Ignores compounding
D: Confuses limit with rate

Type: instruction

GO DEEPER 1 — APR versus APY and effective cost · Question 4 of 5

Learn: The APR of a loan includes the interest rate and certain fees, so loans with the same term can be compared by APR.

Which number should Ali use to compare two personal loans with the same term but different fees?

A. Only the advertised interest rate
B. Only the monthly payment, ignoring the term
C. The lender's customer rating
D. The APR of each loan

CORRECT ANSWER

D. The APR of each loan

Feedback (shown after answering)

For loans of the same term, APR captures both rate and certain fees.

Why each other choice is wrong (misconception it represents)

A: Misses fees
B: Incomplete
C: Not a cost measure

Type: instruction · practical how-to

GO DEEPER 1 — APR versus APY and effective cost · Question 5 of 5

Learn: For a simple one-year loan where all of the money is received at the start and everything is repaid at the end, APR = (interest + fees) ÷ amount borrowed × 100. For loans repaid monthly, or with fees taken out of the loan up front, APR needs a fuller calculation.

A $1,000 loan for one year: the borrower receives the full $1,000 at the start and repays it at the end of the year, with 5% interest and a $50 fee also paid at the end. What is its APR?

A. 1.05%
B. 5%
C. 10%
D. 50%

CORRECT ANSWER

C. 10%

Feedback (shown after answering)

($50 interest + $50 fee) ÷ $1,000 = 10%.

Recomputed independently by the build: 10

Why each other choice is wrong (misconception it represents)

A: Misreads the rate
B: Ignores the fee
D: Uses the fee as a percent

Type: instruction

GO DEEPER 2 — Reading a loan disclosure · Question 1 of 5

Learn: The Truth in Lending Act requires lenders to show key terms before you sign: the APR, the finance charge (the dollar cost of credit), the amount financed, and the total of payments.

A Truth in Lending disclosure shows: Amount financed $8,000; Finance charge $1,620; Total of payments $9,620. What is the finance charge?

A. The full amount of money borrowed: $8,000
B. The total paid: $9,620
C. The dollar cost of the credit: $1,620
D. The monthly payment

CORRECT ANSWER

C. The dollar cost of the credit: $1,620

Feedback (shown after answering)

The finance charge is the total dollar cost of credit.

Recomputed independently by the build: 1620

Why each other choice is wrong (misconception it represents)

A: Confuses with the amount financed
B: Confuses with total of payments
D: Not shown here

Type: instruction

GO DEEPER 2 — Reading a loan disclosure · Question 2 of 5

Learn: When payments are equal, each payment = total of payments ÷ number of payments.

A loan disclosure shows: Amount financed $8,000; Total of payments $9,620; 48 monthly payments. What is each payment (nearest cent)?

A. $33.75
B. $166.67
C. $200.42
D. $240.50

CORRECT ANSWER

C. $200.42

Feedback (shown after answering)

$9,620 ÷ 48 ≈ $200.42.

Recomputed independently by the build: 200.416667

Why each other choice is wrong (misconception it represents)

A: Divides the finance charge
B: Divides the amount financed
D: Uses 40 payments

Type: instruction

GO DEEPER 2 — Reading a loan disclosure · Question 3 of 5

Learn: Comparing the finance charge with the amount financed shows how much the credit costs relative to the amount borrowed.

Amount financed $8,000; finance charge $1,620. The finance charge is what percent of the amount financed (nearest tenth)?

A. 2.0%
B. 16.8%
C. 20.3%
D. 120.3%

CORRECT ANSWER

C. 20.3%

Feedback (shown after answering)

$1,620 ÷ $8,000 = 0.2025 → 20.3% of the amount borrowed, spread over 4 years.

Recomputed independently by the build: 20.25

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
B: Divides by the total of payments
D: Adds 100%

Type: instruction

GO DEEPER 2 — Reading a loan disclosure · Question 4 of 5

Learn: Federal law (the Truth in Lending Act) requires the disclosure so borrowers see the cost of credit in a standard form.

Why must lenders give this disclosure BEFORE you sign?

A. So you can compare offers and understand the cost
B. So the lender can raise the rate later without telling you
C. Because the IRS requires it for taxes
D. So you can skip reading the contract

CORRECT ANSWER

A. So you can compare offers and understand the cost

Feedback (shown after answering)

Standard disclosures make costs comparable across lenders.

Why each other choice is wrong (misconception it represents)

B: Misreads the purpose
C: Wrong agency
D: Misreads the purpose

Type: instruction

GO DEEPER 2 — Reading a loan disclosure · Question 5 of 5

Learn: A Truth in Lending disclosure lists the APR, finance charge, amount financed, total of payments, and payment schedule.

Which disclosure item is the best single number for comparing loans with the same term?

A. Monthly payment
B. Amount financed
C. APR
D. Total of payments

CORRECT ANSWER

C. APR

Feedback (shown after answering)

APR summarizes the yearly cost of credit.

Why each other choice is wrong (misconception it represents)

A: Payment depends on amount and term, not just the cost of credit
B: Not the cost of credit
D: Depends on the amount borrowed, so it misleads across loan sizes

Type: instruction

SET 30 · Interest, Borrowing, and Debt

Installment loans: payments and total cost

MAIN skill: Use loan payments to find total cost, and compare loan terms

Outcome FL.DEBT.30 · National topic: Managing Credit · NJSLS 9.1.12: CDM

Learning target: Calculate the total cost of an installment loan and compare loan terms

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Payments add up to the total cost (5 questions)
  Why: Total-cost problems require multiplying payments by the number of payments and separating principal from interest.
- B2 · Math link → G5-S22-M (Grade 5 5.NBT.B.7): Solve real-world problems with decimal operations
  Why: Total cost multiplies a decimal payment by many months.
- B3 · Math link → G7-S25-M (Grade 7 7.NS.A.3): Solve real-world problems with the four operations on rational numbers
  Why: Comparing loans subtracts and multiplies money amounts.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: The loan payment formula (5 questions)
- Go Deeper 2: Shopping for an installment loan (5 questions)

Practical skills beyond the standards: Comparing dealer and credit union financing

Content status: stable

Source: CFPB (Interest rate vs. APR) — The interest rate is the cost of borrowing the principal; the APR also includes certain fees, so payment math uses the note interest rate, and APR equals that rate only when there are no other finance charges.
https://www.consumerfinance.gov/ask-cfpb/what-is-the-difference-between-a-loan-interest-rate-and-the-apr-en-733/

Answer key for this set: M-Q1 D, M-Q2 C, M-Q3 C, M-Q4 D, M-Q5 D, B1-Q1 D, B1-Q2 A, B1-Q3 C, B1-Q4 C, B1-Q5 B, F1-Q1 B, F1-Q2 C, F1-Q3 C, F1-Q4 A, F1-Q5 A, F2-Q1 A, F2-Q2 C, F2-Q3 D, F2-Q4 C, F2-Q5 A

MAIN — Use loan payments to find total cost, and compare loan terms · Question 1 of 5

Learn: An installment loan is repaid in equal scheduled payments, such as monthly car or personal loan payments. Total paid = payment × number of payments. Total interest = total paid − amount borrowed.

A $12,000 car loan at 6% interest (APR 6%; no other finance charges) for 5 years has a monthly payment of $231.99. What is the total of all payments?

A. $2,783.88
B. $12,000.00
C. $12,720.00
D. $13,919.40

CORRECT ANSWER

D. $13,919.40

Feedback (shown after answering)

$231.99 × 60 = $13,919.40.

Recomputed independently by the build: 13919.4

Why each other choice is wrong (misconception it represents)

A: Multiplies by 12 only
B: Ignores interest
C: Adds one year of 6% interest

Type: instruction

MAIN — Use loan payments to find total cost, and compare loan terms · Question 2 of 5

A $12,000 loan is repaid with 60 payments of $231.99. How much interest is paid in total?

A. $231.99
B. $720.00
C. $1,919.40
D. $13,919.40

CORRECT ANSWER

C. $1,919.40

Feedback (shown after answering)

$13,919.40 − $12,000 = $1,919.40.

Recomputed independently by the build: 1919.4

Why each other choice is wrong (misconception it represents)

A: Gives one payment
B: Uses one year of 6% interest
D: Gives total paid

Type: knowledge check

MAIN — Use loan payments to find total cost, and compare loan terms · Question 3 of 5

Learn: A longer term lowers the monthly payment but usually raises the total interest, because the balance is outstanding longer.

$15,000 at 7% interest (APR 7%; no other finance charges): a 36-month loan has payments of $463.16; a 72-month loan has payments of $255.74. How much MORE interest does the 72-month loan cost?

A. $207.42
B. $1,673.76
C. $1,739.52
D. $3,413.28

CORRECT ANSWER

C. $1,739.52

Feedback (shown after answering)

36 months: $463.16 × 36 = $16,673.76 → $1,673.76 interest. 72 months: $255.74 × 72 = $18,413.28 → $3,413.28 interest. Difference: $1,739.52.

Recomputed independently by the build: 1739.52

Why each other choice is wrong (misconception it represents)

A: Compares monthly payments
B: Gives the 36-month interest
D: Gives the 72-month interest

Type: instruction

MAIN — Use loan payments to find total cost, and compare loan terms · Question 4 of 5

A 72-month car loan costs more total interest than a 36-month loan for the same amount. Why might someone choose the 72-month loan anyway?

A. It always has a lower total cost because payments are smaller
B. It pays off the car sooner
C. It has no interest
D. Its lower monthly payment fits a tight budget

CORRECT ANSWER

D. Its lower monthly payment fits a tight budget

Feedback (shown after answering)

The trade-off: lower payments now, more total interest.

Why each other choice is wrong (misconception it represents)

A: Contradicts the numbers
B: Reverses the term
C: False

Type: knowledge check

MAIN — Use loan payments to find total cost, and compare loan terms · Question 5 of 5

Two loans have the same amount and term. Loan X has a 5% APR; Loan Y has an 8% APR. Which has the lower monthly payment?

A. Loan Y
B. They have equal payments
C. It depends on the down payment only
D. Loan X

CORRECT ANSWER

D. Loan X

Feedback (shown after answering)

With the same amount and term, a lower APR means lower payments and lower total interest.

Why each other choice is wrong (misconception it represents)

A: Reverses rate and payment
B: Ignores the rate
C: Ignores the rate

Type: knowledge check

BACKWARD B1 · concept review — Payments add up to the total cost · Question 1 of 5

Learn: Equal payments: total paid = payment × number of payments.

A loan has 24 payments of $100. What is the total of payments?

A. $100
B. $124
C. $240
D. $2,400

CORRECT ANSWER

D. $2,400

Feedback (shown after answering)

$100 × 24 = $2,400.

Recomputed independently by the build: 2400

Why each other choice is wrong (misconception it represents)

A: One payment
B: Adds
C: Uses 2.4

Type: instruction

BACKWARD B1 · concept review — Payments add up to the total cost · Question 2 of 5

Learn: Interest = total paid − amount borrowed.

If a borrower took $2,000 and pays $2,400 in total, what was the interest?

A. $400
B. $2,000
C. $2,400
D. $4,400

CORRECT ANSWER

A. $400

Feedback (shown after answering)

$2,400 − $2,000 = $400.

Recomputed independently by the build: 400

Why each other choice is wrong (misconception it represents)

B: Principal
C: Total paid
D: Adds

Type: instruction

BACKWARD B1 · concept review — Payments add up to the total cost · Question 3 of 5

Learn: Monthly payments over t years: 12 × t payments.

How many monthly payments are in a 5-year loan?

A. 5
B. 52
C. 60
D. 120

CORRECT ANSWER

C. 60

Feedback (shown after answering)

12 × 5 = 60.

Recomputed independently by the build: 60

Why each other choice is wrong (misconception it represents)

A: Counts years
B: Uses weeks
D: Doubles

Type: instruction

BACKWARD B1 · concept review — Payments add up to the total cost · Question 4 of 5

Learn: Spreading the same loan over more months makes each payment smaller.

Which term gives LOWER monthly payments for the same loan amount and rate?

A. A shorter term
B. Neither; terms do not affect payments
C. A longer term
D. A term with a higher APR

CORRECT ANSWER

C. A longer term

Feedback (shown after answering)

More months → smaller payments (but more interest).

Why each other choice is wrong (misconception it represents)

A: Reverses the effect
B: Ignores the effect
D: Raises payments

Type: instruction

BACKWARD B1 · concept review — Payments add up to the total cost · Question 5 of 5

A $600 phone is paid in 12 payments of $55. How much more than the price is paid?

A. $55
B. $60
C. $600
D. $660

CORRECT ANSWER

B. $60

Feedback (shown after answering)

12 × $55 = $660; $660 − $600 = $60.

Recomputed independently by the build: 60

Why each other choice is wrong (misconception it represents)

A: One payment
C: Price
D: Total paid

Type: knowledge check

GO DEEPER 1 — The loan payment formula · Question 1 of 5

Learn: The standard loan payment formula uses the monthly interest rate r = annual interest rate ÷ 12 (as a decimal) and the number of monthly payments n. Use the loan's interest rate, not an APR that includes fees.

The monthly payment on a loan is M = P · r ÷ (1 − (1 + r)^(−n)), where r is the monthly rate and n is the number of payments. For $10,000 at 6% interest (APR 6%; no other finance charges) for 60 months, what is r?

A. 0.0001
B. 0.005
C. 0.06
D. 0.5

CORRECT ANSWER

B. 0.005

Feedback (shown after answering)

6% ÷ 12 = 0.5% = 0.005.

Recomputed independently by the build: 0.005

Why each other choice is wrong (misconception it represents)

A: Divides by 60
C: Uses the annual rate
D: Uses the percent as a decimal

Type: instruction

GO DEEPER 1 — The loan payment formula · Question 2 of 5

Learn: Evaluate the formula with a calculator: compute (1 + r)^(−n) first, then the denominator, then multiply P by r and divide.

Using M = P · r ÷ (1 − (1 + r)^(−n)) with P = $10,000, r = 0.005, and n = 60, what is the monthly payment (nearest cent)?

A. $50.00
B. $166.67
C. $193.33
D. $216.67

CORRECT ANSWER

C. $193.33

Feedback (shown after answering)

(1.005)^(−60) ≈ 0.741372; 1 − 0.741372 = 0.258628; 10,000 × 0.005 ÷ 0.258628 ≈ $193.33.

Recomputed independently by the build: 193.328015

Why each other choice is wrong (misconception it represents)

A: Gives the first month's interest
B: Ignores interest
D: Adds simple interest for one year to each payment

Type: instruction

GO DEEPER 1 — The loan payment formula · Question 3 of 5

Learn: Total interest = payment × number of payments − amount borrowed.

An $8,000 loan at 5% interest (APR 5%; no other finance charges) for 48 months has a payment of $184.23. What is the total interest?

A. $184.23
B. $400.00
C. $843.04
D. $1,600.00

CORRECT ANSWER

C. $843.04

Feedback (shown after answering)

$184.23 × 48 = $8,843.04; − $8,000 = $843.04.

Recomputed independently by the build: 843.04

Why each other choice is wrong (misconception it represents)

A: Gives one payment
B: Uses one year of 5% interest
D: Uses 4 years of simple interest

Type: instruction

GO DEEPER 1 — The loan payment formula · Question 4 of 5

Learn: With no interest, payments simply divide the principal evenly: P ÷ n.

$5,000 at 10% interest (APR 10%; no other finance charges) for 24 months: the payment is $230.72. If the APR were 0%, what would the payment be (nearest cent)?

A. $208.33
B. $230.72
C. $250.00
D. $5,000.00

CORRECT ANSWER

A. $208.33

Feedback (shown after answering)

$5,000 ÷ 24 ≈ $208.33.

Recomputed independently by the build: 208.333333

Why each other choice is wrong (misconception it represents)

B: Ignores the change
C: Divides by 20
D: Gives the principal

Type: instruction

GO DEEPER 1 — The loan payment formula · Question 5 of 5

Learn: A quick check: a loan payment must be more than the principal divided by the number of payments, because interest is added.

A loan payment calculator shows $405.53 for $20,000 at 8% interest (APR 8%; no other finance charges) over 60 months. Which check shows the result is reasonable?

A. It is a bit more than $20,000 ÷ 60 = $333.33
B. It is less than $20,000 ÷ 60
C. It equals 8% of $20,000
D. It is exactly double $20,000 ÷ 60

CORRECT ANSWER

A. It is a bit more than $20,000 ÷ 60 = $333.33

Feedback (shown after answering)

$405.53 > $333.33, as expected when interest is charged.

Why each other choice is wrong (misconception it represents)

B: Payments cannot be below principal ÷ months
C: Confuses with one year of interest
D: No reason to double

Type: instruction

GO DEEPER 2 — Shopping for an installment loan · Question 1 of 5

Learn: Getting a loan offer from a bank or credit union before shopping gives you a benchmark. If the dealer offers a better rate, you can take it; if not, you have an alternative.

Before visiting a car dealer, Rosa gets a preapproved loan offer from her credit union. Why is this useful?

A. She can compare it with the dealer's financing offer
B. It locks the car's price
C. It guarantees the lowest possible rate at every dealer anywhere
D. It removes the need to read the contract

CORRECT ANSWER

A. She can compare it with the dealer's financing offer

Feedback (shown after answering)

A preapproval gives her a rate to compare against the dealer's offer.

Why each other choice is wrong (misconception it represents)

B: Preapproval does not set the price
C: Overstates
D: Unsafe

Type: instruction · practical how-to

GO DEEPER 2 — Shopping for an installment loan · Question 2 of 5

Learn: Any monthly payment can be reached by stretching the term, which hides the extra interest. Negotiate the price first, then compare financing by APR and total cost.

A dealer says, "What monthly payment do you want?" What risk does focusing on the payment create?

A. The car gets cheaper
B. The APR must drop by law when the loan term gets longer
C. The term can be stretched, raising total interest
D. There is no risk

CORRECT ANSWER

C. The term can be stretched, raising total interest

Feedback (shown after answering)

Lower payments from a longer term can cost much more in total.

Why each other choice is wrong (misconception it represents)

A: Misreads the risk
B: Invents a law
D: Ignores the trade-off

Type: instruction

GO DEEPER 2 — Shopping for an installment loan · Question 3 of 5

Learn: To compare offers with different terms, compute each total of payments: payment × number of payments.

Offer 1: 4.9% interest for 48 months, payment $230. Offer 2: 6.9% interest for 60 months, payment $198. Neither has other finance charges, so each APR equals its rate. Which costs less in total?

A. Offer 2: $11,880 vs $11,040
B. Offer 2, because its payment is lower
C. They cost exactly the same
D. Offer 1: $11,040 vs $11,880

CORRECT ANSWER

D. Offer 1: $11,040 vs $11,880

Feedback (shown after answering)

Offer 1: $230 × 48 = $11,040. Offer 2: $198 × 60 = $11,880.

Recomputed independently by the build: 11040

Why each other choice is wrong (misconception it represents)

A: Swaps the totals
B: Compares payments only
C: Does not compute

Type: instruction

GO DEEPER 2 — Shopping for an installment loan · Question 4 of 5

Learn: Some loans charge a fee for paying them off early (a prepayment penalty). Choosing a loan without one lets you save interest by paying it down faster.

Which loan feature lets a borrower pay off early without a penalty?

A. A balloon payment
B. A variable rate
C. No prepayment penalty
D. An extended warranty on the car

CORRECT ANSWER

C. No prepayment penalty

Feedback (shown after answering)

Without a prepayment penalty, extra payments save interest at no cost.

Why each other choice is wrong (misconception it represents)

A: Large final payment
B: Rate can change
D: Not a loan feature

Type: instruction

GO DEEPER 2 — Shopping for an installment loan · Question 5 of 5

Learn: A balloon loan has small regular payments followed by a very large final payment. Borrowers who cannot pay the balloon may need to refinance or sell.

A loan has a "balloon payment." What does that mean?

A. A large lump sum is due at the end
B. Payments get smaller and smaller each month
C. The loan has no interest
D. The lender sends a gift

CORRECT ANSWER

A. A large lump sum is due at the end

Feedback (shown after answering)

A balloon is a big final payment that must be planned for.

Why each other choice is wrong (misconception it represents)

B: Misreads the term
C: Misreads the term
D: Literal misreading

Type: instruction

SET 31 · Interest, Borrowing, and Debt

How loan payments pay down a balance: amortization

MAIN skill: Split a loan payment into interest and principal and follow the balance

Outcome FL.DEBT.31 · National topic: Managing Credit · NJSLS 9.1.12: CDM

Learning target: Explain how loan payments are applied to interest and principal (amortization)

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Interest is charged on the balance still owed (5 questions)
  - Why: Amortization depends on recalculating interest on the remaining balance each month.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  - Why: Each month's interest is a percent of the remaining balance.
- B3 · Math link → G7-S29-M (Grade 7 7.EE.B.3): Solve multistep problems with positive and negative rational numbers in any form
  - Why: Amortization repeats multiply, subtract, and update steps.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Extra payments (5 questions)
- Go Deeper 2: Reading an amortization schedule (5 questions)

Practical skills beyond the standards: Directing extra payments to principal

Content status: stable

Source: CFPB (Interest rate vs. APR) — The interest rate is the cost of borrowing the principal; the APR also includes certain fees, so payment math uses the note interest rate, and APR equals that rate only when there are no other finance charges.
https://www.consumerfinance.gov/ask-cfpb/what-is-the-difference-between-a-loan-interest-rate-and-the-apr-en-733/

Answer key for this set: M-Q1 A, M-Q2 D, M-Q3 B, M-Q4 C, M-Q5 A, B1-Q1 B, B1-Q2 B, B1-Q3 B, B1-Q4 D, B1-Q5 B, F1-Q1 B, F1-Q2 A, F1-Q3 D, F1-Q4 B, F1-Q5 C, F2-Q1 B, F2-Q2 C, F2-Q3 B, F2-Q4 C, F2-Q5 C

MAIN — Split a loan payment into interest and principal and follow the balance · Question 1 of 5

Learn: Amortization is paying off a loan with regular payments. Each payment first covers that month's interest (balance × monthly rate); the rest reduces the principal. The interest share is largest at the start and shrinks as the balance falls, so more of each later payment goes to principal. (On a long loan, such as a 30-year mortgage, early payments are mostly interest.)

Dev has a $10,000 loan at 6% interest (APR 6%; no other finance charges) with a $193.33 monthly payment. How much of the FIRST payment is interest?

A. $50.00
B. $143.33
C. $193.33
D. $600.00

CORRECT ANSWER

A. $50.00

Feedback (shown after answering)

Monthly rate 0.06 ÷ 12 = 0.005. Interest: $10,000 × 0.005 = $50.00.

Recomputed independently by the build: 50

Why each other choice is wrong (misconception it represents)

B: Gives the principal part
C: Treats the whole payment as interest
D: Uses a full year

Type: instruction

MAIN — Split a loan payment into interest and principal and follow the balance · Question 2 of 5

Learn: Principal paid = payment − interest. New balance = old balance − principal paid.

Dev's loan balance is $10,000. His first payment of $193.33 includes $50.00 of interest. How much reduces the principal, and what is the new balance?

A. $193.33; $9,806.67
B. $50.00; $9,950.00
C. $143.33; $10,143.33
D. $143.33; $9,856.67

CORRECT ANSWER

D. $143.33; $9,856.67

Feedback (shown after answering)

$193.33 − $50.00 = $143.33. $10,000 − $143.33 = $9,856.67.

Recomputed independently by the build: 143.33

Why each other choice is wrong (misconception it represents)

A: Treats the whole payment as principal
B: Treats the interest as principal
C: Adds instead of subtracting

Type: instruction

MAIN — Split a loan payment into interest and principal and follow the balance · Question 3 of 5

Learn: Each month, interest is charged on the balance that remains after the previous payment.

Dev's balance after one payment is $9,856.67 at 6% interest (0.5% per month; no other finance charges). How much interest is in the SECOND payment (nearest cent)?

A. $48.57
B. $49.28
C. $50.00
D. $143.33

CORRECT ANSWER

B. $49.28

Feedback (shown after answering)

$9,856.67 × 0.005 ≈ $49.28. As the balance falls, interest falls and more of each payment goes to principal.

Recomputed independently by the build: 49.28335

Why each other choice is wrong (misconception it represents)

A: Arithmetic error
C: Uses the original balance
D: Gives the first principal part

Type: instruction

MAIN — Split a loan payment into interest and principal and follow the balance · Question 4 of 5

Learn: In an amortizing loan, each payment's interest is figured on a balance that keeps shrinking.

Over the life of an amortizing loan with equal payments, how does the INTEREST part of each payment change?

A. It gets larger over time
B. It stays the same every month
C. It gets smaller over time
D. It is zero until the last year

CORRECT ANSWER

C. It gets smaller over time

Feedback (shown after answering)

Interest is figured on a shrinking balance, so the interest part falls and the principal part rises.

Why each other choice is wrong (misconception it represents)

A: Reverses the pattern
B: Confuses with the payment amount
D: Misunderstands amortization

Type: instruction

MAIN — Split a loan payment into interest and principal and follow the balance · Question 5 of 5

Learn: An amortization schedule lists each payment's interest part, principal part, and remaining balance. Interest is always figured on the balance still owed.

An amortization schedule shows payment 1: interest $50.00, principal $143.33. What will the LAST payment of the loan be mostly?

A. Principal
B. Interest
C. Fees
D. Taxes

CORRECT ANSWER

A. Principal

Feedback (shown after answering)

By the end, the balance is small, so almost all of the payment is principal.

Why each other choice is wrong (misconception it represents)

B: Reverses the pattern
C: Not part of the schedule
D: Not part of a loan payment

Type: instruction

BACKWARD B1 · concept review — Interest is charged on the balance still owed · Question 1 of 5

Learn: One month's interest = balance × monthly rate.

A $2,000 balance has a monthly rate of 1%. What is one month's interest?

A. $2
B. $20
C. $200
D. $2,020

CORRECT ANSWER

B. $20

Feedback (shown after answering)

$2,000 × 0.01 = $20.

Recomputed independently by the build: 20

Why each other choice is wrong (misconception it represents)

A: Uses 0.1%
C: Uses 10%
D: Gives the new balance

Type: instruction

BACKWARD B1 · concept review — Interest is charged on the balance still owed · Question 2 of 5

Learn: Interest is charged only on what you still owe.

After paying down the balance to $1,500, what is one month's interest at 1%?

A. $1.50
B. $15
C. $20
D. $150

CORRECT ANSWER

B. $15

Feedback (shown after answering)

$1,500 × 0.01 = $15.

Recomputed independently by the build: 15

Why each other choice is wrong (misconception it represents)

A: Uses 0.1%
C: Uses the old balance
D: Uses 10%

Type: instruction

BACKWARD B1 · concept review — Interest is charged on the balance still owed · Question 3 of 5

Learn: Payment = interest part + principal part.

A $100 payment includes $20 of interest. How much reduces the balance?

A. $20
B. $80
C. $100
D. $120

CORRECT ANSWER

B. $80

Feedback (shown after answering)

$100 − $20 = $80.

Recomputed independently by the build: 80

Why each other choice is wrong (misconception it represents)

A: Gives the interest
C: Ignores interest
D: Adds

Type: instruction

BACKWARD B1 · concept review — Interest is charged on the balance still owed · Question 4 of 5

Which payment pays off a loan faster?

A. A smaller payment
B. Paying the same amount later in the month
C. Skipping a payment
D. A larger payment

CORRECT ANSWER

D. A larger payment

Feedback (shown after answering)

Extra principal lowers the balance and future interest.

Why each other choice is wrong (misconception it represents)

A: Reverses the effect
B: Timing alone does not change much
C: Adds interest and fees

Type: knowledge check

BACKWARD B1 · concept review — Interest is charged on the balance still owed · Question 5 of 5

Learn: New balance = old balance + interest − payment.

What is the balance after a $500 balance gets $5 of interest and a $105 payment?

A. $390
B. $400
C. $500
D. $610

CORRECT ANSWER

B. $400

Feedback (shown after answering)

$500 + $5 − $105 = $400.

Recomputed independently by the build: 400

Why each other choice is wrong (misconception it represents)

A: Subtracts the interest twice
C: Ignores the payment
D: Adds the payment

Type: instruction

GO DEEPER 1 — Extra payments · Question 1 of 5

Learn: An extra payment goes straight to principal. That lowers the balance, so every later month's interest is a little smaller, and the loan ends sooner.

Dev adds $50 extra to principal in month 1 of his $10,000 loan at 0.5% per month. How much interest does this save in month 2?

A. $0.00
B. $0.25
C. $2.50
D. $50.00

CORRECT ANSWER

B. $0.25

Feedback (shown after answering)

$50 × 0.005 = $0.25 less interest in month 2, and similar savings every month after.

Recomputed independently by the build: 0.25

Why each other choice is wrong (misconception it represents)

A: Thinks extra payments save nothing
C: Uses 5%
D: Treats the extra payment as interest saved

Type: instruction

GO DEEPER 1 — Extra payments · Question 2 of 5

Learn: Extra payments on principal reduce the balance faster than the schedule, so later payments carry less interest.

On an amortizing loan with no prepayment penalty, what happens to the loan when extra principal is paid each month?

A. It is paid off sooner, and total interest falls
B. The required monthly payment goes up automatically
C. The interest rate rises
D. Nothing changes

CORRECT ANSWER

A. It is paid off sooner, and total interest falls

Feedback (shown after answering)

Lower balance → less interest → earlier payoff.

Why each other choice is wrong (misconception it represents)

B: Misunderstands
C: Misunderstands
D: Ignores principal reduction

Type: instruction

GO DEEPER 1 — Extra payments · Question 3 of 5

Learn: Some lenders apply extra money to future payments unless told otherwise. Telling them to apply it to principal reduces the balance right away.

When making an extra payment, what instruction should a borrower give the lender?

A. Apply it to next month's interest only
B. Hold it as a credit for fees
C. Refund it at the end of the year
D. Apply the extra amount to principal

CORRECT ANSWER

D. Apply the extra amount to principal

Feedback (shown after answering)

Directing it to principal ensures the balance and future interest fall.

Why each other choice is wrong (misconception it represents)

A: May not reduce principal
B: Does not reduce the balance
C: Defeats the purpose

Type: instruction · practical how-to

GO DEEPER 1 — Extra payments · Question 4 of 5

Dev rounds his $193.33 payment up to $200 each month. How much extra principal does he pay in a year?

A. $6.67
B. $80.04
C. $120.00
D. $2,400.00

CORRECT ANSWER

B. $80.04

Feedback (shown after answering)

$200 − $193.33 = $6.67 extra per month × 12 = $80.04.
Recomputed independently by the build: 80.04

Why each other choice is wrong (misconception it represents)

A: Counts one month
C: Uses $10 extra
D: Gives total yearly payments

Type: knowledge check

GO DEEPER 1 — Extra payments · Question 5 of 5

Learn: The earlier principal is reduced, the more months of interest are avoided.

Which statement about extra payments is TRUE for most amortizing loans with no prepayment penalty?

A. Extra payments only help in the final year
B. Extra payments increase the total interest paid on the loan
C. Extra dollars paid early save more than late ones
D. Extra payments are not allowed

CORRECT ANSWER

C. Extra dollars paid early save more than late ones

Feedback (shown after answering)

Early extra principal avoids interest for many more months.

Why each other choice is wrong (misconception it represents)

A: Reverses the effect
B: Reverses the effect
D: Overgeneralizes

Type: instruction

GO DEEPER 2 — Reading an amortization schedule · Question 1 of 5

Learn: Each row of an amortization schedule shows the payment, its interest part, its principal part, and the balance after the payment.

Row 12 of a schedule shows: payment $193.33, interest $44.22, principal $149.11, balance $8,694.98. How much of payment 12 reduced the debt?

A. $44.22
B. $149.11
C. $193.33
D. $8,694.98

CORRECT ANSWER

B. $149.11

Feedback (shown after answering)

The principal part, $149.11, reduced the debt.

Recomputed independently by the build: 149.11

Why each other choice is wrong (misconception it represents)

A: Gives the interest
C: Gives the whole payment
D: Gives the balance

Type: instruction

GO DEEPER 2 — Reading an amortization schedule · Question 2 of 5

Learn: Balance before payment = balance after payment + principal part.

A schedule row shows: interest $44.22, principal $149.11, balance $8,694.98 after the payment. What was the balance before that payment?

A. $8,545.87
B. $8,738.20
C. $8,844.09
D. $8,888.31

CORRECT ANSWER

C. $8,844.09

Feedback (shown after answering)

$8,694.98 + $149.11 = $8,844.09.

Recomputed independently by the build: 8844.09

Why each other choice is wrong (misconception it represents)

A: Subtracts instead of adding
B: Adds the interest instead
D: Adds the whole payment

Type: instruction

GO DEEPER 2 — Reading an amortization schedule · Question 3 of 5

Learn: Monthly rate = interest for the month ÷ balance.

A schedule shows interest of $44.22 on a balance of $8,844.09 for one month. What monthly rate is that (nearest tenth of a percent)?

A. 0.05%
B. 0.5%
C. 5%
D. 6%

CORRECT ANSWER

B. 0.5%

Feedback (shown after answering)

$44.22 ÷ $8,844.09 ≈ 0.005 = 0.5% (a 6% annual interest rate ÷ 12).

Recomputed independently by the build: 0.499995

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Misplaces the decimal
D: Gives the APR

Type: instruction

GO DEEPER 2 — Reading an amortization schedule · Question 4 of 5

Learn: Over the full life of a loan, the principal parts of all payments add up to the amount borrowed.

In a 60-payment schedule for $10,000 at 6% interest (APR 6%; no other finance charges), the total of the interest column is about $1,599.80. What is the total of the principal column?

A. $1,599.80
B. $8,400.20
C. $10,000.00
D. $11,599.80

CORRECT ANSWER

C. $10,000.00

Feedback (shown after answering)

The principal parts repay exactly the amount borrowed.

Recomputed independently by the build: 10000

Why each other choice is wrong (misconception it represents)

A: Gives interest
B: Subtracts interest from principal
D: Gives total payments

Type: instruction

GO DEEPER 2 — Reading an amortization schedule · Question 5 of 5

Learn: "Front-loaded" means more of something comes at the beginning.

Which schedule feature shows that a loan is "front-loaded" with interest?

A. The balance rises each month
B. Every payment has an equal amount of interest in it
C. Interest parts are largest in the first payments
D. The last payment is all interest

CORRECT ANSWER

C. Interest parts are largest in the first payments

Feedback (shown after answering)

Early balances are largest, so early payments contain the most interest.

Why each other choice is wrong (misconception it represents)

A: Not true for amortizing loans
B: Not true
D: Reverses the pattern

Type: instruction

SET 32 · Interest, Borrowing, and Debt

High-cost credit: payday loans, title loans, rent-to-own, and buy now, pay later

MAIN skill: Calculate and compare the true cost of high-cost credit and identify safer alternatives

Outcome FL.DEBT.32 · National topic: Managing Credit · NJSLS 9.1.12: CDM, FI
Learning target: Compare the costs of high-cost and alternative financial services

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Fees as a cost of borrowing (5 questions)
  Why: High-cost credit hides its price in fees; students must see a fee as part of the cost of borrowing.
- B2 · Math link → G7-S65-M (Grade 7 7.RP.A.3): Find a percent fee and the total with the fee
  Why: High-cost credit charges fees that are percents of the amount borrowed.
- B3 · Math link → G7-S07-M (Grade 7 7.RP.A.3): Solve multistep ratio problems
  Why: Converting a two-week fee into a yearly rate scales a ratio.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Comparing high-cost options with safer ones (5 questions)
- Go Deeper 2: Why people use high-cost credit, and how to respond (5 questions)

Practical skills beyond the standards: Converting fees to APR; Asking creditors for payment plans

Content status: time-sensitive

Source: CFPB — A typical two-week payday loan with a $15 per $100 fee equals an APR of almost 400%.
https://www.consumerfinance.gov/ask-cfpb/what-is-a-payday-loan-en-1567/
Source: CFPB — Car title loans use the vehicle as collateral; borrowers who cannot repay can lose the car.
https://www.consumerfinance.gov/ask-cfpb/what-is-a-car-title-loan-en-831/

Answer key for this set: M-Q1 D, M-Q2 A, M-Q3 C, M-Q4 D, M-Q5 C, B1-Q1 A, B1-Q2 B, B1-Q3 D, B1-Q4 D, B1-Q5 C, F1-Q1 A, F1-Q2 B, F1-Q3 A, F1-Q4 C, F1-Q5 D, F2-Q1 A, F2-Q2 D, F2-Q3 B, F2-Q4 C, F2-Q5 A

MAIN — Calculate and compare the true cost of high-cost credit and identify safer alternatives · Question 1 of 5

Learn: Payday loans are small, short-term loans, often due on your next payday, with a flat fee. Converting the fee to an APR shows the true yearly cost: APR = (fee ÷ amount borrowed) × (365 ÷ days) × 100.

A payday lender charges a $45 fee to borrow $300 for 14 days. What is the APR (nearest whole percent)?

A. 15%
B. 26%
C. 45%
D. 391%

CORRECT ANSWER

D. 391%

Feedback (shown after answering)

(45 ÷ 300) × (365 ÷ 14) × 100 = 0.15 × 26.07 × 100 ≈ 391%.

Recomputed independently by the build: 391.071429

Why each other choice is wrong (misconception it represents)

A: Gives the fee as a percent of the loan for two weeks
B: Counts the number of two-week periods
C: Uses the fee as a percent

Type: instruction

MAIN — Calculate and compare the true cost of high-cost credit and identify safer alternatives · Question 2 of 5

Learn: A rollover (or renewal) pays only the fee and extends the loan, so the original amount is still owed. Repeated rollovers can cost more than the original loan.

Instead of repaying, Kim "rolls over" a $300 payday loan four times, paying a $45 fee each time. How much has she paid in fees, and how much does she still owe?

A. $180 in fees; still owes $300
B. $45 in fees; owes nothing
C. $180 in fees; owes nothing
D. $300 in fees; owes $45

CORRECT ANSWER

A. $180 in fees; still owes $300

Feedback (shown after answering)

4 × $45 = $180 in fees, and the $300 principal is still due.

Recomputed independently by the build: 180

Why each other choice is wrong (misconception it represents)

B: Thinks one fee repays the loan
C: Thinks fees reduce the principal
D: Swaps fees and principal

Type: instruction

MAIN — Calculate and compare the true cost of high-cost credit and identify safer alternatives · Question 3 of 5

Learn: Rent-to-own lets you use an item while making weekly or monthly payments; you own it only after all payments. The total paid is often far more than the store price.

A rent-to-own store offers a TV for $25 a week for 78 weeks. The same TV sells for $600. How much more does rent-to-own cost?

A. $25
B. $600
C. $1,350
D. $1,950

CORRECT ANSWER

C. $1,350

Feedback (shown after answering)

$25 × 78 = $1,950; $1,950 − $600 = $1,350 more.

Recomputed independently by the build: 1350

Why each other choice is wrong (misconception it represents)

A: Gives one payment
B: Gives the retail price
D: Gives the total paid

Type: instruction

MAIN — Calculate and compare the true cost of high-cost credit and identify safer alternatives · Question 4 of 5

Learn: A car title loan is a short-term loan that uses your vehicle as collateral. Fees are high, and if you cannot repay, the lender can repossess the car you may need to get to work.

A car title loan lends Ray $1,000 using his car as collateral, with a 25% monthly fee. What is the biggest risk?

A. The lender pays his insurance while he owes money
B. His credit score will automatically rise
C. The lender will pay off his car loan
D. He could lose the car if he cannot repay

CORRECT ANSWER

D. He could lose the car if he cannot repay

Feedback (shown after answering)

The car is collateral; losing it can also cost him his job transportation.

Why each other choice is wrong (misconception it represents)

A: Invents a benefit
B: Misreads the product
C: Misreads the product

Type: instruction

MAIN — Calculate and compare the true cost of high-cost credit and identify safer alternatives · Question 5 of 5

Learn: Buy now, pay later plans let you split a purchase into a few installments, often with no interest if paid on time. Late fees can apply, several plans at once can be hard to track, and spending can creep up.

Buy now, pay later (BNPL) splits a $200 purchase into 4 payments of $50 every two weeks with no interest. Jo misses two payments and is charged a $7 late fee each time. What does the purchase cost her?

A. $200
B. $207
C. $214
D. $228

CORRECT ANSWER

C. $214

Feedback (shown after answering)

$200 + 2 × $7 = $214.

Recomputed independently by the build: 214

Why each other choice is wrong (misconception it represents)

A: Ignores late fees
B: Counts one late fee
D: Charges four late fees

Type: instruction

BACKWARD B1 · concept review — Fees as a cost of borrowing · Question 1 of 5

Learn: Fees are part of the cost of borrowing, just like interest. Total repaid = amount borrowed + interest + fees.

A lender charges a $20 fee to borrow $100 for one month. What is the cost of borrowing?

A. $20
B. $100
C. $120
D. $0, because it is a fee not interest

CORRECT ANSWER

A. $20

Feedback (shown after answering)

The $20 fee is the cost of borrowing.

Recomputed independently by the build: 20

Why each other choice is wrong (misconception it represents)

B: Gives the principal
C: Gives the total repaid
D: Thinks fees are not a cost

Type: instruction

BACKWARD B1 · concept review — Fees as a cost of borrowing · Question 2 of 5

Learn: Fee as a percent = fee ÷ amount borrowed × 100.

The $20 fee on a $100 one-month loan is what percent of the amount borrowed?

A. 2%
B. 20%
C. 80%
D. 120%

CORRECT ANSWER

B. 20%

Feedback (shown after answering)

$20 ÷ $100 = 20% for one month.

Recomputed independently by the build: 20

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Subtracts
D: Uses the total repaid

Type: instruction

BACKWARD B1 · concept review — Fees as a cost of borrowing · Question 3 of 5

Learn: A simple yearly rate is the monthly rate × 12.

A short-term loan costs 20% of the amount borrowed per month. If that monthly cost continued all year, about what yearly rate would it be (simple, not compounded)?

A. 12%
B. 20%
C. 32%
D. 240%

CORRECT ANSWER

D. 240%

Feedback (shown after answering)

20% × 12 = 240% per year.

Recomputed independently by the build: 240

Why each other choice is wrong (misconception it represents)

A: Uses months as percent
B: Does not annualize
C: Adds 12

Type: instruction

BACKWARD B1 · concept review — Fees as a cost of borrowing · Question 4 of 5

Learn: Credit unions, some banks, and employers offer small-dollar loans or paycheck advances at much lower cost than payday lenders. Asking a creditor for more time or using savings also avoids high fees.

Which is a lower-cost alternative to a payday loan for a $200 emergency?

A. A second payday loan to pay the first
B. A car title loan
C. A rent-to-own purchase
D. A small loan from a credit union

CORRECT ANSWER

D. A small loan from a credit union

Feedback (shown after answering)

Small credit union loans usually cost far less than payday loans.

Why each other choice is wrong (misconception it represents)

A: Adds cost
B: High cost and risk to the car
C: High cost

Type: instruction

BACKWARD B1 · concept review — Fees as a cost of borrowing · Question 5 of 5

Why are payday loans easy to get but costly?

A. They are free for all first-time borrowers in every state
B. The government pays the fees
C. They require little checking but charge very high fees
D. They lower your other bills

CORRECT ANSWER

C. They require little checking but charge very high fees

Feedback (shown after answering)

Easy approval comes with very high fees that can trap borrowers in repeat loans.

Why each other choice is wrong (misconception it represents)

A: Overgeneralizes
B: Invents a payer
D: Misreads the product

Type: knowledge check

GO DEEPER 1 — Comparing high-cost options with safer ones · Question 1 of 5

Learn: Comparing the dollar cost of each option over the same time shows how much a lower APR saves.

Option 1: payday loan, $45 fee for $300 for 2 weeks. Option 2: credit union small loan, $300 at 28% APR for 2 weeks (simple interest). About how much does Option 2 cost?

A. $3.22
B. $32.20
C. $45.00
D. $84.00

CORRECT ANSWER

A. $3.22

Feedback (shown after answering)

$300 × 0.28 × (14 ÷ 365) ≈ $3.22, compared with a $45 payday fee.

Recomputed independently by the build: 3.221918

Why each other choice is wrong (misconception it represents)

B: Misplaces the decimal
C: Uses the payday fee
D: Uses a full year at 28%

Type: instruction

GO DEEPER 1 — Comparing high-cost options with safer ones · Question 2 of 5

Learn: A pawn loan uses an item, such as jewelry, as collateral. If the loan is not repaid, the shop keeps and sells the item. Monthly fees add up quickly.

A borrower takes a $500 pawn loan with a $60 monthly fee and repays after 3 months. What is the total cost of the loan?

A. $60
B. $180
C. $560
D. $680

CORRECT ANSWER

B. $180

Feedback (shown after answering)

3 × $60 = $180.

Recomputed independently by the build: 180

Why each other choice is wrong (misconception it represents)

A: Counts one month
C: Gives one month's total
D: Gives total repaid

Type: instruction

GO DEEPER 1 — Comparing high-cost options with safer ones · Question 3 of 5

Learn: Most payday loans cover regular expenses or small emergencies. Building even a small savings cushion breaks the cycle.

Which question helps someone avoid needing a payday loan next time?

A. How can I build a small emergency fund?
B. Which payday lender has the nicest store?
C. How can I find a lender that checks nothing?
D. How many payday loans can I have at once?

CORRECT ANSWER

A. How can I build a small emergency fund?

Feedback (shown after answering)

Even a small fund replaces the need for high-cost credit.

Why each other choice is wrong (misconception it represents)

B: Does not reduce need
C: Seeks riskier credit
D: Increases risk

Type: instruction · practical how-to

GO DEEPER 1 — Comparing high-cost options with safer ones · Question 4 of 5

Learn: "Loan stacking" means having several buy now, pay later plans at once. Payments on different schedules are easy to forget.

Jo has four BNPL plans with payments due on different dates. What is the main risk?

A. BNPL plans always charge 30% interest on every purchase
B. BNPL plans raise her credit score with each purchase
C. Losing track and missing payments, adding fees
D. BNPL purchases cannot be returned

CORRECT ANSWER

C. Losing track and missing payments, adding fees

Feedback (shown after answering)

Several plans at once make it easy to overspend and miss payments.

Why each other choice is wrong (misconception it represents)

A: Overgeneralizes
B: Assumes BNPL always builds credit
D: Confuses payment plans with store return rules

Type: instruction

GO DEEPER 1 — Comparing high-cost options with safer ones · Question 5 of 5

Learn: With an installment loan, you own the item when you buy it and repay the lender. With rent-to-own, the store keeps ownership while you make rental payments.

Which feature makes rent-to-own different from a regular purchase on an installment loan?

A. You own the item immediately
B. There is no cost beyond the store's regular price
C. The item is always new
D. You do not own the item until the final payment

CORRECT ANSWER

D. You do not own the item until the final payment

Feedback (shown after answering)

Miss a payment and the store can take the item back, even after many payments.

Why each other choice is wrong (misconception it represents)

A: Describes a purchase
B: Ignores fees
C: Not guaranteed

Type: instruction

GO DEEPER 2 — Why people use high-cost credit, and how to respond · Question 1 of 5

Learn: Lack of savings, poor access to bank credit, and urgent bills push people toward high-cost credit. Understanding the reasons helps identify better alternatives.

Why do many people turn to payday loans?

A. They need cash quickly and lack savings or other credit
B. Payday loans are usually cheaper than small credit union loans
C. Payday loans improve credit scores with each loan
D. Payday loans have low fees when paid on time

CORRECT ANSWER

A. They need cash quickly and lack savings or other credit

Feedback (shown after answering)

Urgency and lack of alternatives drive payday borrowing.

Why each other choice is wrong (misconception it represents)

B: Assumes fast cash is low cost
C: Assumes payday lenders report to credit bureaus
D: Misses that the fee itself is a very high APR

Type: instruction

GO DEEPER 2 — Why people use high-cost credit, and how to respond · Question 2 of 5

Learn: Many creditors, including utilities, offer payment plans or hardship programs. Asking costs nothing and can avoid fees.

Ella cannot pay a $150 electric bill on time. Which step should she try BEFORE high-cost credit?

A. Take a title loan on her car
B. Ignore the bill until it goes to collections
C. Take three BNPL plans for groceries
D. Call the utility to ask for a payment plan

CORRECT ANSWER

D. Call the utility to ask for a payment plan

Feedback (shown after answering)

Creditors often have payment plans that cost far less than high-cost loans.

Why each other choice is wrong (misconception it represents)

A: High cost and risk
B: Damages credit
C: Shifts debt

Type: instruction · practical how-to

GO DEEPER 2 — Why people use high-cost credit, and how to respond · Question 3 of 5

Learn: Some employers and apps offer earned-wage access or paycheck advances for a small fee. Compare the dollar cost with other options.

An employer offers a paycheck advance of $200 with a $5 fee, repaid from the next paycheck. Compared with a $30 payday fee, how much does it save?

A. $5
B. $25
C. $30
D. $200

CORRECT ANSWER

B. $25

Feedback (shown after answering)

$30 − $5 = $25 saved.

Recomputed independently by the build: 25

Why each other choice is wrong (misconception it represents)

A: Gives the advance fee
C: Gives the payday fee
D: Gives the advance amount

Type: instruction

GO DEEPER 2 — Why people use high-cost credit, and how to respond · Question 4 of 5

Learn: States set many of the rules for payday and other small-dollar loans, including rate caps and outright bans.

Which statement about state rules on payday loans is MOST accurate?

A. Every state allows unlimited payday fees
B. Payday loans are illegal everywhere
C. Rules differ by state, and some ban them
D. Only the federal government sets payday rules

CORRECT ANSWER

C. Rules differ by state, and some ban them

Feedback (shown after answering)

Some states cap rates or prohibit payday loans; rules vary, so check your state's regulator.

Why each other choice is wrong (misconception it represents)

A: Overgeneralizes
B: Overgeneralizes
D: Ignores states

Type: instruction

GO DEEPER 2 — Why people use high-cost credit, and how to respond · Question 5 of 5

Learn: Unlicensed online lenders and scammers may ask for bank logins to drain accounts. Check that a lender is licensed in your state.

Online "instant cash" sites ask for your bank login to approve a loan. What is the safest response?

A. Never share bank logins with a lender
B. Share it, since approval apps are encrypted
C. Share it, then change the password after the loan arrives
D. Share your PIN instead of the password

CORRECT ANSWER

A. Never share bank logins with a lender

Feedback (shown after answering)

Bank logins give full account access; never share them with a lender.

Why each other choice is wrong (misconception it represents)

B: Trusts encryption claims; a login gives full account access
C: Damage can happen before the password is changed
D: A PIN is just as sensitive as a password

Type: instruction · practical how-to

SET 33 · Interest, Borrowing, and Debt

Debt-to-income and repayment strategies

MAIN skill: Calculate debt-to-income ratio and choose a debt repayment strategy

Outcome FL.DEBT.33 · National topic: Managing Credit · NJSLS 9.1.12: CDM

Learning target: Evaluate debt load with DTI and choose debt repayment strategies

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Ratios and percents of income (5 questions)
  Why: DTI is a ratio of payments to income expressed as a percent.
- B2 · Math link → G6-S01-M (Grade 6 6.RP.A.1): Write a ratio that describes the relationship between two quantities
  Why: DTI is a ratio of debt payments to income.
- B3 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: DTI limits are percents of income.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Avalanche or snowball in practice (5 questions)
- Go Deeper 2: Consolidation and refinancing debt (5 questions)

Practical skills beyond the standards: Debt inventory and payoff plans

Content status: stable

Answer key for this set: M-Q1 C, M-Q2 C, M-Q3 D, M-Q4 B, M-Q5 B, B1-Q1 D, B1-Q2 D, B1-Q3 A, B1-Q4 C, B1-Q5 A, F1-Q1 C, F1-Q2 D, F1-Q3 C, F1-Q4 B, F1-Q5 A, F2-Q1 B, F2-Q2 D, F2-Q3 B, F2-Q4 C, F2-Q5 D

MAIN — Calculate debt-to-income ratio and choose a debt repayment strategy · Question 1 of 5

Learn: Debt-to-income ratio (DTI) compares monthly debt payments with gross monthly income: DTI = total monthly debt payments ÷ gross monthly income × 100. Lenders use DTI to judge whether a borrower can handle more debt.

Amir's gross monthly income is $4,000. His monthly debt payments are a $350 car loan, a $250 student loan, and a $100 credit card minimum. What is his debt-to-income ratio?

A. 5.7%
B. 10.0%
C. 17.5%
D. 7,000%

CORRECT ANSWER

C. 17.5%

Feedback (shown after answering)

$350 + $250 + $100 = $700. $700 ÷ $4,000 = 0.175 = 17.5%.

Recomputed independently by the build: 17.5

Why each other choice is wrong (misconception it represents)

A: Divides income by debt
B: Leaves out the car loan
D: Multiplies instead of dividing

Type: instruction

MAIN — Calculate debt-to-income ratio and choose a debt repayment strategy · Question 2 of 5

Learn: Two common payoff strategies: the avalanche method pays minimums on all debts and puts extra money toward the highest interest rate first (saving the most interest); the snowball method puts extra toward the smallest balance first (quick wins that build motivation).

Debts: Card A $1,200 at 24% APR; Card B $400 at 18% APR; Loan C $3,000 at 7% APR. Under the AVALANCHE method, which debt gets extra payments first?

A. Card B (smallest balance)
B. Loan C (largest balance)
C. Card A (highest APR)
D. All three equally

CORRECT ANSWER

C. Card A (highest APR)

Feedback (shown after answering)

Avalanche targets the highest APR: Card A at 24%.

Why each other choice is wrong (misconception it represents)

A: Describes the snowball method
B: Targets the largest balance
D: No strategy

Type: instruction

MAIN — Calculate debt-to-income ratio and choose a debt repayment strategy · Question 3 of 5

Learn: The snowball method pays minimums on all debts and puts every extra dollar toward the smallest balance first.

Three debts: (Card A $1,200 at 24%; Card B $400 at 18%; Loan C $3,000 at 7%), which debt does the SNOWBALL method pay off first?

A. Card A (highest APR)
B. Loan C (lowest APR)
C. Loan C (largest balance)
D. Card B (smallest balance)

CORRECT ANSWER

D. Card B (smallest balance)

Feedback (shown after answering)

The snowball method pays the smallest balance first: Card B ($400).

Why each other choice is wrong (misconception it represents)

A: Describes the avalanche method
B: Targets the lowest rate
C: Targets the largest balance

Type: instruction

MAIN — Calculate debt-to-income ratio and choose a debt repayment strategy · Question 4 of 5

Learn: Paying down a higher-rate debt removes more interest each month: interest avoided ≈ amount × (APR ÷ 12).

In one month, how much more interest does $200 of extra payment save on a 24% APR card than on a 7% APR loan (monthly rate = APR ÷ 12)?

A. $1.17
B. $2.83
C. $4.00
D. $34.00

CORRECT ANSWER

B. $2.83

Feedback (shown after answering)

Card: $200 × 0.02 = $4.00. Loan: $200 × 0.07 ÷ 12 ≈ $1.17. Difference ≈ $2.83 per month, and it continues every month.

Recomputed independently by the build: 2.833333

Why each other choice is wrong (misconception it represents)

A: Gives only the loan savings
C: Gives only the card savings
D: Uses yearly amounts

Type: instruction

MAIN — Calculate debt-to-income ratio and choose a debt repayment strategy · Question 5 of 5

A lender prefers DTI below 36%. Amir earns $4,000 gross monthly and already pays $700 in debts. What is the most in additional monthly debt payments he could take on and stay at or below 36%?

A. $700
B. $740
C. $1,440
D. $2,560

CORRECT ANSWER

B. $740

Feedback (shown after answering)

36% of $4,000 = $1,440. $1,440 − $700 = $740.
Recomputed independently by the build: 740

Why each other choice is wrong (misconception it represents)

A: Gives existing debt
C: Ignores existing debt
D: Gives income minus 36%

Type: knowledge check

BACKWARD B1 · concept review — Ratios and percents of income · Question 1 of 5

Learn: A ratio compares two quantities. Payments to income = payments ÷ income.

Monthly debt payments are $500 and income is $2,500. What is the ratio of payments to income, as a fraction in simplest form?

A. 5/1
B. 1/25
C. 2/5
D. 1/5

CORRECT ANSWER

D. 1/5

Feedback (shown after answering)

500/2,500 = 1/5.

Why each other choice is wrong (misconception it represents)

A: Inverts the ratio
B: Divides by 12500
C: Arithmetic error

Type: instruction

BACKWARD B1 · concept review — Ratios and percents of income · Question 2 of 5

Learn: To write a fraction as a percent, divide, then multiply by 100.

Write 1/5 as a percent.

A. 0.2%
B. 5%
C. 15%
D. 20%

CORRECT ANSWER

D. 20%

Feedback (shown after answering)

1 ÷ 5 = 0.2 = 20%.

Recomputed independently by the build: 20

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
B: Uses the denominator
C: Arithmetic error

Type: instruction

BACKWARD B1 · concept review — Ratios and percents of income · Question 3 of 5

Learn: Lenders usually calculate DTI with gross (before-tax) monthly income.

Which income should be used for DTI as lenders usually figure it?

A. Gross monthly income
B. Net income after a vacation
C. Yearly income divided by 52
D. Only bonus income

CORRECT ANSWER

A. Gross monthly income

Feedback (shown after answering)

DTI uses gross monthly income.

Why each other choice is wrong (misconception it represents)

B: Not a standard
C: Weekly, not monthly
D: Incomplete

Type: instruction

BACKWARD B1 · concept review — Ratios and percents of income · Question 4 of 5

Learn: DTI counts payments on debts (loans, credit cards, mortgages or rent in some calculations), not everyday expenses like food.

Which counts as a monthly DEBT payment for DTI?

A. A grocery bill
B. A monthly cell phone bill
C. A student loan payment
D. A movie ticket

CORRECT ANSWER

C. A student loan payment

Feedback (shown after answering)

Loan payments count; everyday expenses usually do not.

Why each other choice is wrong (misconception it represents)

A: Living expense, not debt
B: Usually not counted as debt
D: Spending

Type: instruction

BACKWARD B1 · concept review — Ratios and percents of income · Question 5 of 5

If DTI goes from 15% to 40%, what has happened?

A. A larger share of income now goes to debt payments
B. Income has doubled
C. Debt has been paid off, freeing up more of the income
D. Nothing important

CORRECT ANSWER

A. A larger share of income now goes to debt payments

Feedback (shown after answering)

A higher DTI means more of each dollar is committed to debt.

Why each other choice is wrong (misconception it represents)

B: Misreads the change
C: Reverses the change
D: Ignores the risk

Type: knowledge check

GO DEEPER 1 — Avalanche or snowball in practice · Question 1 of 5

Learn: Avalanche targets the highest rate first; snowball targets the smallest balance first. Sometimes the highest-rate debt is also the smallest, so both choose the same first target.

Lee has $300 a month for debts beyond minimums. Debts: $500 at 22%, $2,000 at 22%, $800 at 10%. His avalanche method breaks ties in rate by choosing the smaller balance. Which first target is the same under both avalanche and snowball?

A. Both pay the $2,000 debt at 22% first
B. Both pay the $800 debt first
C. Both pay the $500 debt at 22% first
D. They disagree on every debt

CORRECT ANSWER

C. Both pay the $500 debt at 22% first

Feedback (shown after answering)

The $500 debt is the smallest AND tied for the highest rate; with ties broken by smaller balance, both methods start there.

Why each other choice is wrong (misconception it represents)

A: Not smallest, ties on APR
B: Not highest APR
D: Misses the overlap

Type: instruction

GO DEEPER 1 — Avalanche or snowball in practice · Question 2 of 5

Learn: Research on behavior suggests quick wins can help people stick with a plan. The best method is one you will actually follow.

Which reason might lead someone to choose the snowball method even though it can cost more interest?

A. It always saves the most interest
B. Lenders charge lower rates to people who use it
C. It lowers the interest rates on the other debts automatically
D. Paying off small debts quickly keeps them motivated

CORRECT ANSWER

D. Paying off small debts quickly keeps them motivated

Feedback (shown after answering)

Motivation from early payoffs can matter as much as the math.

Why each other choice is wrong (misconception it represents)

A: Confuses snowball with avalanche
B: Believes payoff order changes lender rates
C: Believes paying one debt changes others' rates

Type: instruction

GO DEEPER 1 — Avalanche or snowball in practice · Question 3 of 5

Learn: The "rollover" step: when one debt is paid off, its payment is added to the next target, so payments grow like a snowball.

After Card B ($400) is paid off, Lee rolls its $40 minimum plus his $200 extra into the next debt. How much now goes to the next debt each month beyond its own minimum?

A. $40
B. $200
C. $240
D. $440

CORRECT ANSWER

C. $240

Feedback (shown after answering)

$200 + $40 = $240 extra.

Recomputed independently by the build: 240

Why each other choice is wrong (misconception it represents)

A: Ignores the extra
B: Ignores the freed minimum
D: Adds the old balance

Type: instruction

GO DEEPER 1 — Avalanche or snowball in practice · Question 4 of 5

Learn: The interest saved by paying one debt instead of another is about the amount × the difference in rates.

Two $1,000 debts: one at 25% APR, one at 5% APR. Paying the 25% debt first instead of the 5% debt avoids roughly how much interest per year on that $1,000?

A. $50
B. $200
C. $250
D. $300

CORRECT ANSWER

B. $200

Feedback (shown after answering)

$1,000 × (0.25 − 0.05) = $200 per year.

Recomputed independently by the build: 200

Why each other choice is wrong (misconception it represents)

A: Gives the low-rate interest only
C: Gives the high-rate interest only
D: Adds the two

Type: instruction

GO DEEPER 1 — Avalanche or snowball in practice · Question 5 of 5

Learn: A debt inventory, a list of every debt with its balance, rate, and minimum payment, is the starting point for any payoff plan.

Which step should come BEFORE choosing a payoff method?

A. Listing each debt's balance, rate, and minimum
B. Opening a new credit card
C. Skipping minimum payments on the smallest debts for a while
D. Closing all savings accounts

CORRECT ANSWER

A. Listing each debt's balance, rate, and minimum

Feedback (shown after answering)

You cannot choose a target without knowing balances, rates, and minimums.

Why each other choice is wrong (misconception it represents)

B: Adds debt
C: Causes fees and damage
D: Removes cushion

Type: instruction · practical how-to

GO DEEPER 2 — Consolidation and refinancing debt · Question 1 of 5

Learn: Debt consolidation combines several debts into one new loan, ideally at a lower rate. It can lower interest and simplify payments, but only if the new rate is lower and new debt is not added.

Pia combines $6,000 of credit card debt at 23% APR into a personal loan at 11% interest with no other finance charges. About how much interest does this save in the first year (simple estimate on the full balance)?

A. $660
B. $720
C. $1,380
D. $2,040

CORRECT ANSWER

B. $720

Feedback (shown after answering)

$6,000 × (0.23 − 0.11) = $720.

Recomputed independently by the build: 720

Why each other choice is wrong (misconception it represents)

A: Gives the loan interest
C: Gives the card interest
D: Adds both

Type: instruction

GO DEEPER 2 — Consolidation and refinancing debt · Question 2 of 5

Learn: Consolidation moves debt; it does not change spending habits.

After consolidating, Pia keeps using her credit cards and builds new balances. What happens?

A. The loan pays the new card debt automatically
B. Her rate on the cards drops to 11%
C. Her total debt goes down
D. She ends up with the loan AND new card debt

CORRECT ANSWER

D. She ends up with the loan AND new card debt

Feedback (shown after answering)

Without changing spending, consolidation can lead to more total debt.

Why each other choice is wrong (misconception it represents)

A: Misunderstands consolidation
B: Rates do not transfer
C: Debt rises

Type: instruction

GO DEEPER 2 — Consolidation and refinancing debt · Question 3 of 5

Learn: An origination fee is a one-time charge for making a loan, often a percent of the loan amount. It adds to the cost and should be included in comparisons.

A consolidation loan has a 5% origination fee on $6,000. How much is the fee?

A. $30
B. $300
C. $3,000
D. $6,300

CORRECT ANSWER

B. $300

Feedback (shown after answering)

$6,000 × 0.05 = $300.

Recomputed independently by the build: 300

Why each other choice is wrong (misconception it represents)

A: Uses 0.5%
C: Uses 50%
D: Gives the total

Type: instruction

GO DEEPER 2 — Consolidation and refinancing debt · Question 4 of 5

Learn: Debt relief companies that sell services by phone generally cannot charge fees until they actually settle or reduce a debt. Up-front fee demands are a warning sign.

Which consolidation offer should raise suspicion?

A. A credit union loan with a stated APR and no prepayment penalty
B. A bank personal loan with a clear fee schedule
C. A company that wants large fees up front to "settle" debts
D. A nonprofit credit counselor offering a free budget review

CORRECT ANSWER

C. A company that wants large fees up front to "settle" debts

Feedback (shown after answering)

Up-front fees for debt settlement are a red flag.

Why each other choice is wrong (misconception it represents)

A: Legitimate
B: Legitimate
D: Legitimate

Type: instruction

GO DEEPER 2 — Consolidation and refinancing debt · Question 5 of 5

Learn: Nonprofit credit counseling agencies can review your budget and debts and may offer debt management plans.

Where can someone get free or low-cost help making a debt plan?

A. A payday lender
B. An anonymous social media account offering tips
C. A rent-to-own store
D. A nonprofit credit counseling agency

CORRECT ANSWER

D. A nonprofit credit counseling agency

Feedback (shown after answering)

Reputable nonprofit credit counselors help with budgets and debt plans.

Why each other choice is wrong (misconception it represents)

A: Conflict of interest
B: Unreliable
C: Conflict of interest

Type: instruction · practical how-to

SET 34 · Interest, Borrowing, and Debt

When debt goes wrong: late payments, collections, and bankruptcy

MAIN skill: Explain the consequences of missed payments and the rights of consumers with debt in collection

Outcome FL.DEBT.34 · National topic: Managing Credit · NJSLS 9.1.12: CDM, CP
Learning target: Consequences of not repaying debt; consumer protections in debt collection

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Due dates, late fees, and minimum payments (5 questions)
  Why: Students must know what a due date and late fee are before reasoning about collections and credit damage.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Comparing fees and payments uses percents.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Dealing with debt collectors (5 questions)
- Go Deeper 2: Long-term consequences and recovery (5 questions)

Practical skills beyond the standards: Responding to a debt collector; Recognizing credit repair scams

Content status: time-sensitive

Source: CFPB (Regulation F, 12 CFR 1006.34) — Debt collectors must provide validation information; a consumer who disputes the debt in writing within the 30-day validation period (which starts on receipt of the validation information) can make the collector pause collection until it sends verification. https://www.consumerfinance.gov/rules-policy/regulations/1006/34/

Source: CFPB — Most negative information stays on credit reports for 7 years; some bankruptcies for up to 10 years. https://www.consumerfinance.gov/ask-cfpb/how-long-does-negative-information-remain-on-my-credit-report-en-323/

Source: CFPB (Regulation Z, 12 CFR 1026.52(b)) — A credit card late fee cannot exceed the minimum payment that was due. https://www.consumerfinance.gov/rules-policy/regulations/1026/52/

Answer key for this set: M-Q1 A, M-Q2 C, M-Q3 D, M-Q4 A, M-Q5 C, B1-Q1 A, B1-Q2 D, B1-Q3 C, B1-Q4 C, B1-Q5 C, F1-Q1 D, F1-Q2 A, F1-Q3 A, F1-Q4 C, F1-Q5 D, F2-Q1 A, F2-Q2 D, F2-Q3 C, F2-Q4 D, F2-Q5 C

MAIN — Explain the consequences of missed payments and the rights of consumers with debt in collection · Question 1 of 5

Learn: Consequences of a missed payment build over time. Right after the due date, the issuer can charge a late fee. Once a payment is 30 or more days past due, it can be reported to credit bureaus. Debts left unpaid for months can go to collectors or court.

Ana misses a credit card payment by 10 days. Which consequence is MOST likely first?

A. A fee for paying late
B. Immediate arrest
C. Her wages are garnished the next day
D. A 30-day late mark on her credit report

CORRECT ANSWER

A. A fee for paying late

Feedback (shown after answering)

At 10 days late, a late fee is the likely consequence; credit reporting generally starts at 30+ days late.

Why each other choice is wrong (misconception it represents)

B: Debt is not a crime
C: Garnishment requires a court judgment
D: A payment is not reported late until it is 30 or more days past due

Type: instruction

MAIN — Explain the consequences of missed payments and the rights of consumers with debt in collection · Question 2 of 5

Learn: Under federal law, most negative items stay on credit reports for 7 years. Some bankruptcies can stay for up to 10 years. Positive information can stay longer.

A 30-day late payment was reported in March 2020. Under the usual rule for negative items, about when should it drop off Ana's credit report?

A. Around March 2021
B. Around March 2030
C. Around March 2027
D. Never; late payments stay forever

CORRECT ANSWER

C. Around March 2027

Feedback (shown after answering)

2020 + 7 = 2027.

Recomputed independently by the build: 2027

Why each other choice is wrong (misconception it represents)

A: Uses 1 year
B: Uses the 10-year bankruptcy period for every item
D: Overstates

Type: instruction · rule as of FCRA reporting periods as of 2026

MAIN — Explain the consequences of missed payments and the rights of consumers with debt in collection · Question 3 of 5

Learn: The Fair Debt Collection Practices Act gives consumers rights: collectors must provide validation information about the debt, consumers can dispute it, and collectors may not harass, threaten, or lie.

A debt collector calls about an old debt Sam does not recognize. What right does he have?

A. To have the whole debt erased simply by asking for that
B. To make the collector pay him for the call
C. None; collectors can say anything
D. To dispute the debt and receive validation information

CORRECT ANSWER

D. To dispute the debt and receive validation information

Feedback (shown after answering)

He can dispute the debt; the collector must provide information validating it.

Why each other choice is wrong (misconception it represents)

A: Overstates the right
B: Invents a right
C: Ignores the law

Type: instruction

MAIN — Explain the consequences of missed payments and the rights of consumers with debt in collection · Question 4 of 5

Learn: Collectors may not threaten arrest or legal action they cannot or do not intend to take.

A collector threatens to have Rina arrested over a $400 credit card debt. What is true?

A. This threat is illegal; debt is not a crime
B. She must pay immediately or go to jail
C. Collectors may say anything to get paid
D. Arrest is a normal step for unpaid debts over $300

CORRECT ANSWER

A. This threat is illegal; debt is not a crime

Feedback (shown after answering)

Threatening arrest for ordinary debt is a prohibited practice. She can report it to the CFPB.

Why each other choice is wrong (misconception it represents)

B: False threat
C: Ignores FDCPA
D: Invents a rule

Type: instruction

MAIN — Explain the consequences of missed payments and the rights of consumers with debt in collection · Question 5 of 5

Learn: Bankruptcy is a federal court process. Chapter 7 can discharge many debts, sometimes after selling some assets; Chapter 13 sets a repayment plan, usually over 3–5 years. Some debts, such as most student loans and child support, are hard or impossible to discharge.

What is bankruptcy?

A. A free way to cancel all debts with no consequences
B. A payment plan arranged by a debt collector
C. A court process to erase or reorganize debts
D. A credit score below 500

CORRECT ANSWER

C. A court process to erase or reorganize debts

Feedback (shown after answering)

Bankruptcy is a serious legal option of last resort with lasting credit effects.

Why each other choice is wrong (misconception it represents)

A: Ignores consequences
B: Confuses bankruptcy with a repayment plan
D: Confuses a legal process with a credit rating

Type: instruction

BACKWARD B1 · concept review — Due dates, late fees, and minimum payments · Question 1 of 5

Learn: A due date is the deadline for a payment. Paying after it can bring a late fee and, if very late, other consequences.

A bill says "Due June 15." Ali pays on June 18. What usually happens?

A. He may be charged a late fee
B. Nothing, because three days is close enough
C. The bill is cancelled
D. He earns interest

CORRECT ANSWER

A. He may be charged a late fee

Feedback (shown after answering)

Paying after the due date can trigger a late fee.

Why each other choice is wrong (misconception it represents)

B: Ignores late fees
C: Unrealistic
D: Reverses the effect

Type: instruction

BACKWARD B1 · concept review — Due dates, late fees, and minimum payments · Question 2 of 5

Learn: The minimum payment is the smallest amount that keeps an account in good standing that month. It does not pay off the balance.

A card's minimum payment is $35 on a $900 balance. If Ali pays $35, what happens to the rest?

A. It is forgiven
B. It is paid by the card company
C. It must be paid separately in cash at a bank branch
D. It carries over and can be charged interest

CORRECT ANSWER

D. It carries over and can be charged interest

Feedback (shown after answering)

The remaining $865 carries over, often with interest.

Why each other choice is wrong (misconception it represents)

A: Misunderstands minimums
B: Misunderstands minimums
C: Invents a rule

Type: instruction

BACKWARD B1 · concept review — Due dates, late fees, and minimum payments · Question 3 of 5

Which habit best prevents missed payments?

A. Paying only when reminded by a collector
B. Waiting for paper bills only
C. Autopay for at least the minimum
D. Paying whatever is left at month end

CORRECT ANSWER

C. Autopay for at least the minimum

Feedback (shown after answering)

Autopay for at least the minimum, plus extra when possible, prevents late payments.

Why each other choice is wrong (misconception it represents)

A: Too late
B: Bills can be lost
D: May miss the due date

Type: knowledge check · practical how-to

BACKWARD B1 · concept review — Due dates, late fees, and minimum payments · Question 4 of 5

Learn: Compare a fee with the payment: fee ÷ payment × 100. Federal rules cap a credit card late fee at the amount of the minimum payment that was missed.

A card charges a $20 late fee when a $25 minimum payment is missed. The fee equals what percent of the minimum payment?

A. 20%
B. 45%
C. 80%
D. 125%

CORRECT ANSWER

C. 80%

Feedback (shown after answering)

$20 ÷ $25 = 0.8 = 80%.

Recomputed independently by the build: 80

Why each other choice is wrong (misconception it represents)

A: Uses the fee as a percent
B: Adds the amounts
D: Divides the wrong way

Type: instruction

BACKWARD B1 · concept review — Due dates, late fees, and minimum payments · Question 5 of 5

If you know you will miss a payment, what should you do first?

A. Ignore all calls and letters until the problem passes
B. Open a new card to pay it
C. Contact the lender to ask about options
D. Change your phone number

CORRECT ANSWER

C. Contact the lender to ask about options

Feedback (shown after answering)

Lenders may offer hardship plans or new due dates if contacted early.

Why each other choice is wrong (misconception it represents)

A: Makes things worse
B: Adds debt
D: Avoidance

Type: knowledge check · practical how-to

GO DEEPER 1 — Dealing with debt collectors · Question 1 of 5

Learn: Consumers can tell a debt collector in writing to stop contacting them. The collector may then contact them only to confirm or to say it will take a specific action, such as filing a lawsuit. The debt itself still exists.

Sam wants a collector to stop calling. Under federal rules, what can he do?

A. Nothing; calls cannot be stopped
B. Pay a fee to stop the calls
C. Ask his bank to block the debt from being collected
D. Ask in writing that it stop contacting him

CORRECT ANSWER

D. Ask in writing that it stop contacting him

Feedback (shown after answering)

A written request stops most contact, though the debt remains and the collector may still sue.

Why each other choice is wrong (misconception it represents)

A: Ignores the right
B: Invents a fee
C: Banks cannot erase debts

Type: instruction · practical how-to

GO DEEPER 1 — Dealing with debt collectors · Question 2 of 5

Learn: After a collector first contacts you, it must send validation information. If you dispute the debt in writing within the validation period (generally 30 days), the collector must pause collection until it verifies the debt.

Sam receives a debt validation notice on May 1 and believes the amount is wrong. By about when should he send a written dispute so the collector must verify the debt before continuing?

A. By about May 31
B. By May 4
C. By about November 1
D. Any time, since there is no deadline

CORRECT ANSWER

A. By about May 31

Feedback (shown after answering)

About 30 days from May 1 is May 31.

Why each other choice is wrong (misconception it represents)

B: Uses 3 days
C: Uses 6 months
D: Ignores the window

Type: instruction · practical how-to · rule as of Regulation F as of 2026

GO DEEPER 1 — Dealing with debt collectors · Question 3 of 5

Learn: Collectors may contact you to collect, but federal law bans harassment, threats, false statements, and unfair practices.

Which collector behavior is prohibited?

A. Calling repeatedly to harass
B. Sending a letter with the amount owed
C. Calling during normal hours to ask for payment
D. Offering a payment plan

CORRECT ANSWER

A. Calling repeatedly to harass

Feedback (shown after answering)

Harassment, such as repeated calls meant to annoy, is prohibited.

Why each other choice is wrong (misconception it represents)

B: Allowed
C: Allowed
D: Allowed

Type: instruction

GO DEEPER 1 — Dealing with debt collectors · Question 4 of 5

Learn: The CFPB and state attorneys general accept complaints about debt collection.

Where can someone report a collector who breaks the rules?

A. The collector's own sales and marketing team
B. A social media influencer
C. The CFPB or the state attorney general
D. The IRS

CORRECT ANSWER

C. The CFPB or the state attorney general

Feedback (shown after answering)

The CFPB and state attorneys general handle these complaints.

Why each other choice is wrong (misconception it represents)

A: Conflict of interest
B: Not an authority
D: Wrong agency

Type: instruction · practical how-to

GO DEEPER 1 — Dealing with debt collectors · Question 5 of 5

Learn: A settlement is an agreement to pay less than the full balance. Get the terms in writing before paying, and keep proof of payment.

A collector offers to settle a $2,000 debt for $1,200. What should Sam get before paying?

A. Nothing; a phone promise is enough
B. A promise over the phone only
C. A new credit card from the collector
D. The settlement agreement in writing

CORRECT ANSWER

D. The settlement agreement in writing

Feedback (shown after answering)

A written agreement protects against later claims for the rest.

Why each other choice is wrong (misconception it represents)

A: Unprotected
B: Spoken promises are hard to prove
C: Adds debt

Type: instruction · practical how-to

GO DEEPER 2 — Long-term consequences and recovery · Question 1 of 5

Learn: Most negative items can stay on a credit report for about 7 years. For a collection account, the period is measured from the original delinquency that led to it; selling the debt to a collector does not restart the clock.

Sam's account first became delinquent 3 years ago and later went to collections. Under the usual 7-year rule, measured from that original delinquency, about how many more years will it typically stay on his credit report?

A. About 4 years
B. 7 years
C. 10 years
D. 0 years

CORRECT ANSWER

A. About 4 years

Feedback (shown after answering)

About 7 − 3 = 4 more years (an approximation under the 7-year rule).

Recomputed independently by the build: 4

Why each other choice is wrong (misconception it represents)

B: Restarts the clock when the debt goes to a collector
C: Uses the bankruptcy period
D: Thinks it is already gone

Type: instruction

GO DEEPER 2 — Long-term consequences and recovery · Question 2 of 5

Learn: The impact of old negative items fades over time, especially when new on-time payments build a better record.

Which action usually helps a credit report recover over time?

A. Opening many new cards at once
B. Ignoring all mail from creditors
C. Paying a company to erase accurate negatives
D. Making every new payment on time

CORRECT ANSWER

D. Making every new payment on time

Feedback (shown after answering)

Recent on-time payments gradually outweigh older problems.

Why each other choice is wrong (misconception it represents)

A: Can hurt
B: Makes it worse
C: Accurate information cannot be removed for a fee

Type: instruction

GO DEEPER 2 — Long-term consequences and recovery · Question 3 of 5

Learn: You can dispute inaccurate information for free. Accurate negative information generally can stay for the time the law allows. You have no right to demand its removal, and no paid service can guarantee it, although a creditor may sometimes choose to update or remove an item.

A company promises to remove ACCURATE, current negative information from a credit report for $500. What should a consumer know?

A. Paying more guarantees removal
B. It is the only way to fix credit
C. No one can legally force removal of accurate information
D. The credit bureaus require consumers to buy this service

CORRECT ANSWER

C. No one can legally force removal of accurate information

Feedback (shown after answering)

Credit repair companies cannot legally force accurate items off a report; disputing errors is free.

Why each other choice is wrong (misconception it represents)

A: Believes payment buys deletion
B: Ignores free disputes and time
D: Invents a requirement

Type: instruction

GO DEEPER 2 — Long-term consequences and recovery · Question 4 of 5

Learn: A statute of limitations limits how long a creditor can sue over a debt. It varies by state, and in some states a payment can restart the clock.

In some states, making a small payment on a very old debt can do what?

A. Erase the debt entirely
B. Guarantee a perfect credit score
C. Make the debt illegal to collect from that point on
D. Restart the time limit for a lawsuit on that debt

CORRECT ANSWER

D. Restart the time limit for a lawsuit on that debt

Feedback (shown after answering)

Before paying an old debt, learn your state's rules on the statute of limitations.

Why each other choice is wrong (misconception it represents)

A: False
B: False
C: False

Type: instruction

GO DEEPER 2 — Long-term consequences and recovery · Question 5 of 5

Learn: Chapter 13 bankruptcy reorganizes debts: a person with regular income repays creditors through a court-approved plan.

Which statement about Chapter 13 bankruptcy is TRUE?

A. It erases every debt instantly
B. It is the same as a debt management plan from a counselor
C. It sets a court-approved repayment plan, often 3–5 years
D. It has no effect on credit

CORRECT ANSWER

C. It sets a court-approved repayment plan, often 3–5 years

Feedback (shown after answering)

Chapter 13 reorganizes debts into a repayment plan, usually 3–5 years.

Why each other choice is wrong (misconception it represents)

A: Overstates
B: Different process
D: False

Type: instruction

SET 35 · Credit Cards and Credit Scores

What a credit card is

MAIN skill: Explain how a credit card works: credit limit, revolving balance, and grace period

Outcome FL.CREDIT.35 · National topic: Managing Credit · NJSLS 9.1.12: CDM

Learning target: Explain how credit cards work: credit limits, revolving balances, grace periods, and APR

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Credit versus debit (5 questions)
  - Why: The most common credit card misconception is treating credit as one's own money.
- B2 · Math link → G6-S17-M (Grade 6 6.NS.B.3): Subtract multi-digit decimals
  - Why: Available credit subtracts the balance from the limit.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: What is APR on a credit card? (5 questions)
- Go Deeper 2: Cash advances (5 questions)

Practical skills beyond the standards: Choosing a card by how you will use it

Content status: time-sensitive

Source: CFPB (Credit card key terms) — Explains APR, grace period, minimum payment, and other card terms; statements show a minimum payment warning. https://www.consumerfinance.gov/consumer-tools/credit-cards/answers/key-terms/

Source: CFPB (Regulation Z, 12 CFR 1026.51) — A card applicant under 21 must show independent income or assets enough to make the required payments, or have a cosigner or joint applicant who is 21 or older and able to pay (if the issuer allows it). https://www.consumerfinance.gov/rules-policy/regulations/1026/51/

Source: CFPB (Credit card grace period) — A grace period, if the card offers one, lets you avoid interest on new purchases by paying the full statement balance by the due date; it usually does not apply to cash advances. https://www.consumerfinance.gov/ask-cfpb/what-is-a-grace-period-for-a-credit-card-en-47/

Answer key for this set: M-Q1 A, M-Q2 B, M-Q3 C, M-Q4 D, M-Q5 A, B1-Q1 A, B1-Q2 D, B1-Q3 C, B1-Q4 C, B1-Q5 D, F1-Q1 B, F1-Q2 A, F1-Q3 D, F1-Q4 C, F1-Q5 B, F2-Q1 A, F2-Q2 B, F2-Q3 B, F2-Q4 C, F2-Q5 D

MAIN — Explain how a credit card works: credit limit, revolving balance, and grace period · Question 1 of 5

Learn: A credit card lets you borrow up to a credit limit to make purchases. The card issuer pays the store, and you owe the issuer. Each month you get a statement and can pay the full balance or a smaller amount (at least the minimum). Any unpaid balance "revolves" to the next month, usually with interest.

Leo uses a credit card to buy a $90 jacket. What happens to his money right away?

A. Nothing yet; he now owes the card issuer $90
B. $90 leaves his checking account immediately, as with a debit card
C. The store waits to be paid until Leo pays his bill
D. The jacket is free if he pays the minimum each month

CORRECT ANSWER

A. Nothing yet; he now owes the card issuer $90

Feedback (shown after answering)

The issuer paid the store; Leo now owes the issuer $90.

Why each other choice is wrong (misconception it represents)

B: Confuses credit with debit
C: Misunderstands who pays the store
D: Misunderstands repayment

Type: instruction

MAIN — Explain how a credit card works: credit limit, revolving balance, and grace period · Question 2 of 5

Learn: The credit limit is the most you can owe on the card at one time. Available credit = credit limit − current balance.

Mia's card has a $1,500 credit limit and a $620 balance. How much more can she charge?

A. $620
B. $880
C. $1,500
D. $2,120

CORRECT ANSWER

B. $880

Feedback (shown after answering)

$1,500 − $620 = $880 of available credit.

Recomputed independently by the build: 880

Why each other choice is wrong (misconception it represents)

A: Gives the balance
C: Ignores the current balance
D: Adds the balance to the limit

Type: instruction

MAIN — Explain how a credit card works: credit limit, revolving balance, and grace period · Question 3 of 5

Learn: Most cards offer a grace period on purchases: if you pay the full statement balance by the due date, you are not charged interest on those purchases. Grace periods usually do not apply to cash advances. The law requires statements to be sent at least 21 days before the due date. Carrying a balance usually ends the grace period until the card is paid in full again.

Ben's card offers a grace period on purchases. He makes only purchases (no cash advances or balance transfers) and pays the full statement balance by the due date every month. How much interest does he pay on purchases?

A. The full APR on every purchase
B. Half the APR, because he pays on time
C. $0
D. $25 a month, the minimum payment

CORRECT ANSWER

C. $0

Feedback (shown after answering)

With a purchase grace period and full, on-time payment, no purchase interest is charged.

Recomputed independently by the build: 0

Why each other choice is wrong (misconception it represents)

A: Ignores the grace period
B: Invents a rule
D: Confuses the minimum payment with interest

Type: instruction

MAIN — Explain how a credit card works: credit limit, revolving balance, and grace period · Question 4 of 5

Learn: Credit comes in two main forms. Installment credit (car loans, student loans) is one amount repaid in fixed payments. Revolving credit (credit cards, lines of credit) can be used again and again up to a limit, with payments that change with the balance.

Which statement describes "revolving" credit?

A. You borrow one fixed amount and repay it on a schedule
B. You can only use it once, then the account closes
C. The balance is paid automatically by the bank
D. You can borrow, repay, and borrow again up to a limit

CORRECT ANSWER

D. You can borrow, repay, and borrow again up to a limit

Feedback (shown after answering)

Credit cards are revolving: available credit returns as you repay.

Why each other choice is wrong (misconception it represents)

A: Describes an installment loan
B: Misunderstands
C: Misunderstands

Type: instruction

MAIN — Explain how a credit card works: credit limit, revolving balance, and grace period · Question 5 of 5

Learn: The Credit CARD Act says applicants under 21 must show independent income or assets enough to make the minimum payments, or have a cosigner or joint applicant who is at least 21 and able to pay, if the issuer allows that.

Jada is 19, has no income, and has no savings or other assets of her own. She applies for a credit card. Under federal law, what does she need?

A. A cosigner or joint applicant 21 or older
B. Only a school ID, because students get automatic approval
C. Nothing; anyone over 18 must be approved
D. A parent's permission slip signed at school

CORRECT ANSWER

A. A cosigner or joint applicant 21 or older

Feedback (shown after answering)

With no independent income or assets, she needs a qualified cosigner or joint applicant 21 or older (where the issuer allows one).

Why each other choice is wrong (misconception it represents)

B: Invents a rule
C: Ignores the rule
D: Invents a process

Type: instruction

BACKWARD B1 · concept review — Credit versus debit · Question 1 of 5

Learn: A debit card takes money from your own account. A credit card borrows money you must repay.

With a DEBIT card, where does the money come from?

A. The cardholder's own bank account
B. A loan from the card issuer, repaid next month
C. The store's savings account
D. The government

CORRECT ANSWER

A. The cardholder's own bank account

Feedback (shown after answering)

Debit spends money already in your account.

Why each other choice is wrong (misconception it represents)

B: Describes credit
C: Misunderstands
D: Misunderstands

Type: instruction

BACKWARD B1 · concept review — Credit versus debit · Question 2 of 5

Learn: Every credit card purchase is borrowing. The amount is added to your card balance, which you owe the card issuer.

With a CREDIT card, what does the cardholder create with each purchase?

A. A deposit into savings
B. A gift from the store
C. A reduction in their bank balance right away
D. A debt owed to the card issuer

CORRECT ANSWER

D. A debt owed to the card issuer

Feedback (shown after answering)

Each credit purchase adds to what you owe.

Why each other choice is wrong (misconception it represents)

A: Reverses the effect
B: Misunderstands
C: Describes debit

Type: instruction

BACKWARD B1 · concept review — Credit versus debit · Question 3 of 5

Learn: A credit limit is a borrowing maximum, not money you own.

Sam's credit limit is $2,000. Does that mean he has $2,000 of his own money?

A. Yes; the limit is deposited into his account
B. Yes, but only on weekends
C. No; it is the most he can borrow
D. No; it is the minimum he must spend

CORRECT ANSWER

C. No; it is the most he can borrow

Feedback (shown after answering)

The limit is borrowing capacity that must be repaid.

Why each other choice is wrong (misconception it represents)

A: Confuses credit with cash
B: Invents a rule
D: Misreads "limit"

Type: instruction

BACKWARD B1 · concept review — Credit versus debit · Question 4 of 5

Learn: Interest is charged on borrowed money that is not repaid on time.

Which payment method can lead to paying INTEREST if the bill is not paid in full?

A. A debit card
B. Cash
C. A credit card
D. A prepaid gift card

CORRECT ANSWER

C. A credit card

Feedback (shown after answering)

Unpaid credit card balances can be charged interest.

Why each other choice is wrong (misconception it represents)

A: No interest; it spends your own money
B: No interest
D: No interest

Type: instruction

BACKWARD B1 · concept review — Credit versus debit · Question 5 of 5

Learn: Federal law caps your liability for unauthorized credit card charges at $50. Debit card limits depend on how fast you report a problem.

Which card typically has STRONGER federal protection against unauthorized charges?

A. A debit card
B. A store gift card
C. A library card
D. A credit card

CORRECT ANSWER

D. A credit card

Feedback (shown after answering)

Credit cards have a $50 cap; debit card protection depends on how quickly you report.

Why each other choice is wrong (misconception it represents)

A: Weaker, timing-dependent limits
B: Often little protection
C: Not a payment card

Type: instruction

GO DEEPER 1 — What is APR on a credit card? · Question 1 of 5

Learn: A credit card's APR is its yearly interest rate. Interest for about a month ≈ balance × (APR ÷ 12). (Many cards actually figure interest daily.)

A card has a 24% purchase APR. If Kai carries a $500 balance for a whole month, about how much interest is charged (monthly rate = APR ÷ 12)?

A. $1
B. $10
C. $24
D. $120

CORRECT ANSWER

B. $10

Feedback (shown after answering)

$500 × 0.24 ÷ 12 = $10.

Recomputed independently by the build: 10

Why each other choice is wrong (misconception it represents)

A: Uses 0.2%
C: Uses the APR as dollars
D: Uses the full year

Type: instruction

GO DEEPER 1 — What is APR on a credit card? · Question 2 of 5

Learn: Cards can have different APRs for purchases, cash advances, and balance transfers, plus a penalty APR that can apply after a late payment, often 60 days late for existing balances.

A card lists several APRs: purchase APR 21.99%, cash advance APR 29.99%, penalty APR 29.99%. When does the PENALTY APR usually apply?

A. After a serious late payment
B. On every purchase made on weekends
C. Only on balance transfers made in the first month
D. Never; it is only shown for decoration

CORRECT ANSWER

A. After a serious late payment

Feedback (shown after answering)

The penalty APR applies after late payments, as described in the agreement.

Why each other choice is wrong (misconception it represents)

B: Invents a rule
C: Confuses with other APRs
D: Ignores it

Type: instruction

GO DEEPER 1 — What is APR on a credit card? · Question 3 of 5

Learn: The best card depends on how you use it. If you keep a purchase grace period by always paying in full on time, the APR rarely matters, but fees do.

Two cards, both with a grace period on purchases: Card A 18% APR, $0 annual fee; Card B 15% APR, $95 annual fee. Ana uses the card only for purchases and pays the full statement balance on time every month. Which costs her less?

A. Card B, because 15% is lower than 18%
B. They cost the same
C. Card B, because annual fees are refunded
D. Card A, because she pays no interest

CORRECT ANSWER

D. Card A, because she pays no interest

Feedback (shown after answering)

Paying in full on time means no purchase interest, so the $95 fee is the only cost difference.

Why each other choice is wrong (misconception it represents)

A: Ignores that she pays no interest
B: Ignores the fee
C: Invents refunds

Type: instruction

GO DEEPER 1 — What is APR on a credit card? · Question 4 of 5

Learn: Under the Credit CARD Act, issuers generally must give 45 days' notice before a significant change such as a higher APR on new purchases.

Maya's card issuer plans to raise the APR on new purchases starting July 1. Under the CARD Act, by about when must she receive notice?

A. By June 24
B. By June 30
C. By about May 17
D. Notice is not required before the change

CORRECT ANSWER

C. By about May 17

Feedback (shown after answering)

45 days before July 1 is May 17.

Why each other choice is wrong (misconception it represents)

A: Uses 7 days
B: Uses 1 day
D: Ignores the CARD Act

Type: instruction · rule as of CARD Act rules as of 2026

GO DEEPER 1 — What is APR on a credit card? · Question 5 of 5

Learn: Daily interest = balance × (APR ÷ 365).

A 24% APR card charges interest daily on a $500 balance. About what is the daily interest (APR ÷ 365)?

A. $0.03
B. $0.33
C. $3.29
D. $10.00

CORRECT ANSWER

B. $0.33

Feedback (shown after answering)

$500 × 0.24 ÷ 365 ≈ $0.33 per day.

Recomputed independently by the build: 0.328767

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Misplaces the decimal
D: Gives monthly interest

Type: instruction

GO DEEPER 2 — Cash advances · Question 1 of 5

Learn: A cash advance means using your credit card to get cash (at an ATM or bank). It is borrowing. Cash advances usually have a fee, a higher APR, and no grace period: interest starts right away.

A cash advance is...

A. borrowing cash against your credit card
B. withdrawing your own savings with a debit card
C. a free bonus paid by the card issuer
D. a refund of a returned purchase

CORRECT ANSWER

A. borrowing cash against your credit card

Feedback (shown after answering)

A cash advance is a loan of cash from your card issuer.

Why each other choice is wrong (misconception it represents)

B: Confuses credit with debit
C: Misunderstands
D: Misunderstands

Type: instruction

GO DEEPER 2 — Cash advances · Question 2 of 5

Learn: Cash advance fees are often the larger of a percent of the amount or a minimum dollar amount.

Tom takes a $200 cash advance. The fee is 5% (minimum $10). What is the fee?

A. $5
B. $10
C. $20
D. $200

CORRECT ANSWER

B. $10

Feedback (shown after answering)

5% of $200 = $10, which equals the $10 minimum, so the fee is $10.

Recomputed independently by the build: 10

Why each other choice is wrong (misconception it represents)

A: Uses 5 dollars
C: Uses 10%
D: Gives the advance

Type: instruction

GO DEEPER 2 — Cash advances · Question 3 of 5

Learn: Interest on a cash advance starts the day it is taken. Interest ≈ amount × (APR ÷ 365) × days.

A $400 cash advance has a 5% fee and a 29.99% APR with no grace period. About how much interest accrues in 30 days (daily rate = APR ÷ 365)?

A. $0
B. $9.86
C. $20.00
D. $119.96

CORRECT ANSWER

B. $9.86

Feedback (shown after answering)

$400 × 0.2999 ÷ 365 × 30 ≈ $9.86, plus the $20 fee.

Recomputed independently by the build: 9.859726

Why each other choice is wrong (misconception it represents)

A: Assumes a grace period
C: Gives the fee
D: Uses a full year

Type: instruction

GO DEEPER 2 — Cash advances · Question 4 of 5

Learn: The total cost of a cash advance includes both the fee and the interest.

Tom's $400 cash advance cost a $20 fee plus about $9.86 of interest after 30 days. What was the total cost?

A. $9.86
B. $20.00
C. $29.86
D. $429.86

CORRECT ANSWER

C. $29.86

Feedback (shown after answering)

$20 + $9.86 = $29.86.

Recomputed independently by the build: 29.86

Why each other choice is wrong (misconception it represents)

A: Leaves out the fee
B: Leaves out interest
D: Gives the total owed

Type: instruction

GO DEEPER 2 — Cash advances · Question 5 of 5

Which is usually a cheaper way to get $100 cash quickly than a credit card cash advance?

A. Taking a cash advance on two cards instead of one
B. A payday loan
C. A title loan
D. Withdrawing from your own savings or checking

CORRECT ANSWER

D. Withdrawing from your own savings or checking

Feedback (shown after answering)

Using your own money avoids fees and interest.

Why each other choice is wrong (misconception it represents)

A: Doubles fees
B: Usually far more expensive
C: Usually far more expensive

Type: knowledge check

SET 36 · Credit Cards and Credit Scores

Reading a credit card statement

MAIN skill: Read a credit card statement and decide how much to pay and when

Outcome FL.CREDIT.36 · National topic: Managing Credit · NJSLS 9.1.12: CDM

Learning target: Read a credit card statement and explain the cost of making only minimum payments

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Due dates, balances, and payments on a bill (5 questions)
  Why: Reading a statement requires telling apart the balance, the minimum, and the due date.
- B2 · Math link → G6-S17-M (Grade 6 6.NS.B.3): Subtract multi-digit decimals
  Why: Carried balances subtract payments from the statement balance.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Disputing a credit card billing error (5 questions)
- Go Deeper 2: Statement dates and payment timing (5 questions)

Practical skills beyond the standards: Reading a card statement line by line; Disputing a billing error

Content status: time-sensitive

Source: CFPB (Credit card key terms) — Explains APR, grace period, minimum payment, and other card terms; statements show a minimum payment warning. https://www.consumerfinance.gov/consumer-tools/credit-cards/answers/key-terms/

Source: CFPB (Credit card grace period) — A grace period, if the card offers one, lets you avoid interest on new purchases by paying the full statement balance by the due date; it usually does not apply to cash advances. https://www.consumerfinance.gov/ask-cfpb/what-is-a-grace-period-for-a-credit-card-en-47/

Answer key for this set: M-Q1 C, M-Q2 B, M-Q3 A, M-Q4 A, M-Q5 C, B1-Q1 A, B1-Q2 C, B1-Q3 C, B1-Q4 B, B1-Q5 D, F1-Q1 A, F1-Q2 D, F1-Q3 C, F1-Q4 C, F1-Q5 D, F2-Q1 A, F2-Q2 A, F2-Q3 D, F2-Q4 C, F2-Q5 D

MAIN — Read a credit card statement and decide how much to pay and when · Question 1 of 5

Learn: A credit card statement lists the previous balance, payments, new purchases, fees, interest, the new (statement) balance, the minimum payment, and the due date. Paying the full statement balance by the due date avoids interest on purchases (the grace period).

Credit card statement (closing date May 20): Previous balance $640.00 | Payments −$640.00 | Purchases +$412.75 | Fees $0.00 | Interest charged $0.00 | New balance $412.75 (purchases only; no cash advances) | Minimum payment due $25.00 | Payment due date June 15 | Purchase APR 22.99% | Grace period on purchases: yes, when the statement balance is paid in full by the due date

How much must Rosa pay by June 15 to avoid ANY interest on these purchases?

A. $25.00
B. $387.75
C. $412.75
D. $640.00

CORRECT ANSWER

C. $412.75

Feedback (shown after answering)

Paying the full new balance, $412.75, by June 15 keeps the grace period.

Recomputed independently by the build: 412.75

Why each other choice is wrong (misconception it represents)

A: Pays only the minimum
B: Subtracts the minimum
D: Uses the previous balance

Type: instruction · practical how-to

MAIN — Read a credit card statement and decide how much to pay and when · Question 2 of 5

Learn: The minimum payment due is the smallest amount that avoids a late fee that month. Paying only the minimum leaves the rest of the balance owed, and interest is charged on it.

Credit card statement (closing date May 20): Previous balance $640.00 | Payments −$640.00 | Purchases +$412.75 | Fees $0.00 | Interest charged $0.00 | New balance $412.75 (purchases only; no cash advances) | Minimum payment due $25.00 | Payment due date June 15 | Purchase APR 22.99% | Grace period on purchases: yes, when the statement balance is paid in full by the due date

What is the LEAST Rosa can pay by June 15 and keep her account in good standing?

A. $0.00
B. $25.00
C. $412.75
D. $640.00

CORRECT ANSWER

B. $25.00

Feedback (shown after answering)

The minimum payment due is $25.00; paying only that leaves $387.75 to carry over with interest.

Recomputed independently by the build: 25

Why each other choice is wrong (misconception it represents)

A: Thinks no payment is needed
C: Gives the full balance
D: Uses the previous balance

Type: instruction

MAIN — Read a credit card statement and decide how much to pay and when · Question 3 of 5

Credit card statement (closing date May 20): Previous balance $640.00 | Payments −$640.00 | Purchases +$412.75 | Fees $0.00 | Interest charged $0.00 | New balance $412.75 (purchases only; no cash advances) | Minimum payment due $25.00 | Payment due date June 15 | Purchase APR 22.99% | Grace period on purchases: yes, when the statement balance is paid in full by the due date

If Rosa pays only the $25 minimum, what balance carries into next month before interest?

A. $387.75
B. $412.75
C. $437.75
D. $615.00

CORRECT ANSWER

A. $387.75

Feedback (shown after answering)

$412.75 − $25.00 = $387.75, which will then be charged interest.

Recomputed independently by the build: 387.75

Why each other choice is wrong (misconception it represents)

B: Ignores the payment
C: Adds the payment
D: Subtracts from the previous balance

Type: knowledge check

MAIN — Read a credit card statement and decide how much to pay and when · Question 4 of 5

Learn: When the previous statement balance was paid in full by its due date, new purchases usually get a grace period, so no purchase interest appears on the next statement.

Credit card statement (closing date May 20): Previous balance $640.00 | Payments −$640.00 | Purchases +$412.75 | Fees $0.00 | Interest charged $0.00 | New balance $412.75 (purchases only; no cash advances) | Minimum payment due $25.00 | Payment due date June 15 | Purchase APR 22.99% | Grace period on purchases: yes, when the statement balance is paid in full by the due date

The statement shows "Interest charged $0.00." Why?

A. Paying the last balance in full kept the grace period
B. Her card has no interest rate at all
C. Interest is only charged in June
D. The card issuer forgot to add this month's interest charge

CORRECT ANSWER

A. Paying the last balance in full kept the grace period

Feedback (shown after answering)

Paying the full $640 previous balance kept the grace period.

Why each other choice is wrong (misconception it represents)

B: Contradicts the 22.99% APR
C: Invents a rule
D: Assumes an error

Type: instruction

MAIN — Read a credit card statement and decide how much to pay and when · Question 5 of 5

Learn: Federal law requires statements to show how long it would take to pay off the balance making only minimum payments, and the total cost, compared with a payment that pays it off in 3 years.

A statement's "minimum payment warning" says paying only the minimum will take 9 years and cost $2,100 in total on a $1,000 balance. What does this tell the cardholder?

A. The minimum payment is always the best choice
B. The remaining balance will be forgiven after 9 years
C. The minimum route costs far more and takes longer
D. The interest rate will drop to 0%

CORRECT ANSWER

C. The minimum route costs far more and takes longer

Feedback (shown after answering)

$2,100 total for a $1,000 balance means $1,100 in interest.

Why each other choice is wrong (misconception it represents)

A: Misreads the warning
B: Misreads the warning
D: Misreads the warning

Type: instruction

BACKWARD B1 · concept review — Due dates, balances, and payments on a bill · Question 1 of 5

Learn: The due date is the deadline for the payment. Paying after it can bring late fees and other consequences.

On a bill, what is the "due date"?

A. The deadline to make a payment
B. The date the purchase was made
C. The date the card expires
D. The day interest is waived forever

CORRECT ANSWER

A. The deadline to make a payment

Feedback (shown after answering)

The due date is the payment deadline.

Why each other choice is wrong (misconception it represents)

B: Confuses with transaction date
C: Confuses with expiration
D: Invents a meaning

Type: instruction

BACKWARD B1 · concept review — Due dates, balances, and payments on a bill · Question 2 of 5

Learn: The balance is the total owed. Paying the full balance clears the debt.

A bill shows a balance of $300 and a minimum payment of $25. Which payment pays it off?

A. $25
B. $275
C. $300
D. $325

CORRECT ANSWER

C. $300

Feedback (shown after answering)

Paying $300 clears the balance.

Recomputed independently by the build: 300

Why each other choice is wrong (misconception it represents)

A: Pays only the minimum
B: Subtracts the minimum
D: Adds the minimum

Type: instruction

BACKWARD B1 · concept review — Due dates, balances, and payments on a bill · Question 3 of 5

Learn: The new balance (statement balance) is everything owed as of the closing date.

Which number on a statement is the total amount owed at closing?

A. The minimum payment due this month
B. The credit limit
C. The new (statement) balance
D. The APR

CORRECT ANSWER

C. The new (statement) balance

Feedback (shown after answering)

The statement balance is the total owed.

Why each other choice is wrong (misconception it represents)

A: Smallest required payment
B: Borrowing maximum
D: Interest rate

Type: instruction

BACKWARD B1 · concept review — Due dates, balances, and payments on a bill · Question 4 of 5

A $412.75 balance is paid with $100. What remains?

A. $100.00
B. $312.75
C. $412.75
D. $512.75

CORRECT ANSWER

B. $312.75

Feedback (shown after answering)

$412.75 − $100 = $312.75.

Recomputed independently by the build: 312.75

Why each other choice is wrong (misconception it represents)

A: Gives the payment
C: Ignores the payment
D: Adds

Type: knowledge check

BACKWARD B1 · concept review — Due dates, balances, and payments on a bill · Question 5 of 5

Why read every line of a card statement?

A. Because statements are entertainment
B. Because reading lowers the APR
C. Because the minimum payment changes once you read it
D. To catch errors, unauthorized charges, and fees

CORRECT ANSWER

D. To catch errors, unauthorized charges, and fees

Feedback (shown after answering)

Checking each charge catches mistakes and fraud early.

Why each other choice is wrong (misconception it represents)

A: Misreads the purpose
B: Invents an effect
C: Invents an effect

Type: knowledge check · practical how-to

GO DEEPER 1 — Disputing a credit card billing error · Question 1 of 5

Learn: The Fair Credit Billing Act lets you dispute billing errors on credit card statements, such as charges for goods not received, returned items not credited, or wrong amounts. Send a written dispute within 60 days after the statement with the error was sent.

Ana sees a $59 charge on her card statement for an item she returned. Under the Fair Credit Billing Act, how long does she generally have to dispute it in writing?

A. 60 days after the statement was sent
B. Within 2 business days after the purchase
C. 1 year after the purchase
D. There is no time limit

CORRECT ANSWER

A. 60 days after the statement was sent

Feedback (shown after answering)

Write to the issuer within 60 days after the statement with the error was sent.

Recomputed independently by the build: 60

Why each other choice is wrong (misconception it represents)

B: Uses a debit-card lost-card rule
C: Too long
D: Ignores the deadline

Type: instruction · rule as of FCBA as of 2026

GO DEEPER 1 — Disputing a credit card billing error · Question 2 of 5

Learn: During a billing dispute, you can withhold payment of the disputed amount (and related charges) but must pay the undisputed part of the bill.

While Ana's $59 billing dispute is investigated, what must she pay?

A. Nothing at all on the whole account until it is settled
B. The disputed $59 first
C. A $59 dispute fee
D. The rest of the bill, but not the disputed $59

CORRECT ANSWER

D. The rest of the bill, but not the disputed $59

Feedback (shown after answering)

She pays undisputed amounts; the disputed charge is on hold during the investigation.

Why each other choice is wrong (misconception it represents)

A: Overstates the protection
B: Reverses the rule
C: Invents a fee

Type: instruction

GO DEEPER 1 — Disputing a credit card billing error · Question 3 of 5

Learn: Your statement lists where to send billing questions. A written dispute to that address protects your rights under the Fair Credit Billing Act.

Where should Ana send a billing-error dispute?

A. To the store's social media page
B. To the IRS
C. The issuer's billing-inquiries address
D. To the three credit bureaus, but not the issuer

CORRECT ANSWER

C. The issuer's billing-inquiries address

Feedback (shown after answering)

Written disputes go to the issuer's billing-inquiries address.

Why each other choice is wrong (misconception it represents)

A: Not a formal dispute
B: Wrong agency
D: Disputes billing with the issuer

Type: instruction · practical how-to

GO DEEPER 1 — Disputing a credit card billing error · Question 4 of 5

Which situation is a billing error Ana can dispute?

A. She regrets buying a jacket she wore
B. She forgot she made a purchase but did make it
C. She was charged twice for one purchase
D. She wishes the APR were lower

CORRECT ANSWER

C. She was charged twice for one purchase

Feedback (shown after answering)

Duplicate charges, wrong amounts, and items not delivered are billing errors.

Why each other choice is wrong (misconception it represents)

A: Buyer's remorse is not an error
B: Not an error
D: Not a billing error

Type: knowledge check

GO DEEPER 1 — Disputing a credit card billing error · Question 5 of 5

Learn: For unauthorized credit card charges, federal law caps your liability at $50. Many issuers offer $0 liability as a policy.

A fraudulent $300 charge appears on Ana's credit card. Under federal law, what is the most she can be held responsible for?

A. $300
B. $500
C. $0 in every case by law
D. $50

CORRECT ANSWER

D. $50

Feedback (shown after answering)

Federal law caps credit card liability for unauthorized charges at $50.

Recomputed independently by the build: 50

Why each other choice is wrong (misconception it represents)

A: Ignores the cap
B: Uses a debit card limit
C: Confuses voluntary policies with law

Type: instruction

GO DEEPER 2 — Statement dates and payment timing · Question 1 of 5

Learn: The closing date ends a billing cycle. Purchases after the closing date appear on the next statement.

A statement closes May 20, and payment is due June 15. Rosa makes a $200 purchase on May 22. On which statement will it first appear?

A. The statement that closes June 20
B. The statement that closed May 20
C. It will never appear
D. A separate bill mailed the next day

CORRECT ANSWER

A. The statement that closes June 20

Feedback (shown after answering)

Purchases after May 20 go on the next cycle's statement.

Why each other choice is wrong (misconception it represents)

B: Purchase came after closing
C: Misunderstands
D: Invents a process

Type: instruction

GO DEEPER 2 — Statement dates and payment timing · Question 2 of 5

Learn: The legal minimum time between mailing a statement and its due date is 21 days.

How many days are there from a May 20 closing date to a June 15 due date?

A. 26 days
B. 21 days
C. 15 days
D. 31 days

CORRECT ANSWER

A. 26 days

Feedback (shown after answering)

11 days left in May (21–31) + 15 days in June = 26 days.

Recomputed independently by the build: 26

Why each other choice is wrong (misconception it represents)

B: Uses the legal minimum
C: Subtracts the dates incorrectly
D: Counts a whole month

Type: instruction

GO DEEPER 2 — Statement dates and payment timing · Question 3 of 5

Learn: A payment counts when the issuer receives it. Paying a few days early avoids late fees from processing delays.

Rosa's payment is due June 15. Her bank says online payments take 1–2 business days to arrive. When should she pay to be safe?

A. On June 16
B. Exactly at 11:59 p.m. on June 15, the last minute
C. Any time in June
D. A few business days before June 15

CORRECT ANSWER

D. A few business days before June 15

Feedback (shown after answering)

Paying a few business days early makes sure it arrives on time.

Why each other choice is wrong (misconception it represents)

A: Late
B: Risky
C: May be late

Type: instruction · practical how-to

GO DEEPER 2 — Statement dates and payment timing · Question 4 of 5

Learn: Most card issuers let you set autopay for the minimum, a fixed amount, or the full statement balance. Autopay lowers the risk of a late payment, but it still depends on enough money in the account and the payment going through, so check statements each month.

Leo has enough money in checking each month and wants the best chance of never paying a late fee or purchase interest. Which autopay setting fits best?

A. Autopay for the minimum payment only, every month
B. Autopay for $10 a month
C. Autopay for the full statement balance
D. No autopay, paying when remembered

CORRECT ANSWER

C. Autopay for the full statement balance

Feedback (shown after answering)

Autopaying the full statement balance, with enough money in the account, avoids late fees and keeps the purchase grace period. Still watch for a failed payment.

Why each other choice is wrong (misconception it represents)

A: Avoids late fees but not interest
B: May be below the minimum
D: Risks late payments

Type: instruction · practical how-to

GO DEEPER 2 — Statement dates and payment timing · Question 5 of 5

Learn: The grace period on new purchases usually applies only when the previous statement balance was paid in full.

If Rosa pays $300 toward a $412.75 statement balance, what happens to the grace period on new purchases?

A. It stays the same, since she paid more than the minimum
B. It doubles
C. It applies only to purchases over $100
D. It is usually lost until she pays a full balance again

CORRECT ANSWER

D. It is usually lost until she pays a full balance again

Feedback (shown after answering)

Carrying any balance usually ends the grace period, so new purchases can start accruing interest.

Why each other choice is wrong (misconception it represents)

A: Misunderstands the grace period
B: Invents a rule
C: Invents a rule

Type: instruction

SET 37 · Credit Cards and Credit Scores

How credit card interest is calculated

MAIN skill: Calculate credit card interest using the daily periodic rate and the average daily balance

Outcome FL.CREDIT.37 · National topic: Managing Credit · NJSLS 9.1.12: CDM

Learning target: Calculate credit card interest and explain how payment timing affects it

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Weighted averages and daily rates (5 questions)
  Why: Average daily balance is a weighted average; students who average only the listed balances get it wrong.
- B2 · Math link → G6-S77-M (Grade 6 6.SP.B.5.c): Find the mean of a data set
  Why: Average daily balance is a (weighted) mean of daily balances.
- B3 · Math link → G6-S20-M (Grade 6 6.NS.B.3): Divide multi-digit decimals
  Why: The daily periodic rate divides the APR by 365.
- B4 · Math link → G6-S19-M (Grade 6 6.NS.B.3): Multiply multi-digit decimals
  Why: Interest multiplies the ADB, the daily rate, and the days.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Interest on a carried balance, month after month (5 questions)
- Go Deeper 2: How payments are applied to different APRs (5 questions)

Practical skills beyond the standards: Average daily balance calculation

Content status: time-sensitive

Source: CFPB (Credit card key terms) — Explains APR, grace period, minimum payment, and other card terms; statements show a minimum payment warning. https://www.consumerfinance.gov/consumer-tools/credit-cards/answers/key-terms/

Source: CFPB (Credit card grace period) — A grace period, if the card offers one, lets you avoid interest on new purchases by paying the full statement balance by the due date; it usually does not apply to cash advances. https://www.consumerfinance.gov/ask-cfpb/what-is-a-grace-period-for-a-credit-card-en-47/

Answer key for this set: M-Q1 A, M-Q2 B, M-Q3 B, M-Q4 A, M-Q5 A, B1-Q1 C, B1-Q2 B, B1-Q3 A, B1-Q4 C, B1-Q5 A, F1-Q1 B, F1-Q2 C, F1-Q3 D, F1-Q4 C, F1-Q5 C, F2-Q1 D, F2-Q2 C, F2-Q3 D, F2-Q4 B, F2-Q5 C

MAIN — Calculate credit card interest using the daily periodic rate and the average daily balance · Question 1 of 5

Learn: Most credit cards charge interest using a daily periodic rate (DPR): DPR = APR ÷ 365. Interest for a billing cycle ≈ average daily balance × DPR × number of days in the cycle.

A card has a 21.9% APR. What is the daily periodic rate (APR ÷ 365) as a percent?

A. 0.06%
B. 0.6%
C. 1.825%
D. 21.9%

CORRECT ANSWER

A. 0.06%

Feedback (shown after answering)

21.9% ÷ 365 = 0.06% per day.

Recomputed independently by the build: 0.06

Why each other choice is wrong (misconception it represents)

B: Misplaces the decimal
C: Uses the monthly rate
D: Uses the APR

Type: instruction

MAIN — Calculate credit card interest using the daily periodic rate and the average daily balance · Question 2 of 5

Learn: The average daily balance (ADB) is the sum of each day's balance divided by the number of days in the cycle. When balances last different numbers of days, weight each balance by its days.

In a 30-day cycle, a card balance is $500 for 10 days, $800 for 10 days (after a $300 purchase), and $600 for 10 days (after a $200 payment). What is the average daily balance?

A. $600.00
B. $633.33
C. $650.00
D. $1,900.00

CORRECT ANSWER

B. $633.33

Feedback (shown after answering)

(500 × 10 + 800 × 10 + 600 × 10) ÷ 30 = 19,000 ÷ 30 ≈ $633.33.

Recomputed independently by the build: 633.333333

Why each other choice is wrong (misconception it represents)

A: Uses the ending balance
C: Averages the three balances as if weighted equally by events
D: Adds the balances

Type: instruction

MAIN — Calculate credit card interest using the daily periodic rate and the average daily balance · Question 3 of 5

Learn: Interest for a billing cycle = average daily balance × (APR ÷ 365) × days in the cycle.

Using an average daily balance of $633.33, a 21.9% APR, and a 30-day cycle, what is the interest charge (nearest cent)?

A. $0.38
B. $11.40
C. $11.56
D. $138.70

CORRECT ANSWER

B. $11.40

Feedback (shown after answering)

633.33 × (0.219 ÷ 365) × 30 ≈ $11.40.

Recomputed independently by the build: 11.399994

Why each other choice is wrong (misconception it represents)

A: Uses one day
C: Uses 360 days instead of 365
D: Uses the full APR for a month

Type: instruction

MAIN — Calculate credit card interest using the daily periodic rate and the average daily balance · Question 4 of 5

Learn: With the average daily balance method, the balance on every day of the cycle counts, so the timing of payments and purchases matters.

A card figures interest on the average daily balance. In a 30-day cycle, Ivy carries a balance and makes a $200 payment. How would paying on day 11 instead of day 21 change that cycle's interest?

A. Lower it, because the balance is lower for more days
B. Raise it, because payments add interest
C. No change at all, because only the ending balance matters
D. Double it

CORRECT ANSWER

A. Lower it, because the balance is lower for more days

Feedback (shown after answering)

An earlier payment lowers the balance for 10 more days, lowering the average daily balance and the interest.

Why each other choice is wrong (misconception it represents)

B: Reverses the effect
C: Ignores the average daily balance
D: Invents an effect

Type: instruction

MAIN — Calculate credit card interest using the daily periodic rate and the average daily balance · Question 5 of 5

Which choice is the daily periodic rate for a 18.25% APR card?

A. 0.05%
B. 0.5%
C. 1.52%
D. 18.25%

CORRECT ANSWER

A. 0.05%

Feedback (shown after answering)

18.25% ÷ 365 = 0.05% per day.
Recomputed independently by the build: 0.05

Why each other choice is wrong (misconception it represents)

B: Misplaces the decimal
C: Uses the monthly rate
D: Uses the APR

Type: knowledge check

BACKWARD B1 · concept review — Weighted averages and daily rates · Question 1 of 5

Learn: A weighted average multiplies each value by how long it lasts, adds, then divides by the total time.

A balance is $100 for 20 days and $400 for 10 days. Which calculation gives the average daily balance over 30 days?

A. (100 + 400) ÷ 2
B. (100 + 400) ÷ 30
C. (100 × 20 + 400 × 10) ÷ 30
D. 100 × 20 + 400 × 10

CORRECT ANSWER

C. (100 × 20 + 400 × 10) ÷ 30

Feedback (shown after answering)

Weight by days: (2,000 + 4,000) ÷ 30 = $200.

Why each other choice is wrong (misconception it represents)

A: Ignores days
B: Ignores days
D: Forgets to divide

Type: instruction

BACKWARD B1 · concept review — Weighted averages and daily rates · Question 2 of 5

Learn: Average daily balance = (balance × days, added for each period) ÷ total days.

What is the average daily balance in that example (a balance of $100 for 20 days and $400 for 10 days)?

A. $16.67
B. $200
C. $250
D. $6,000

CORRECT ANSWER

B. $200

Feedback (shown after answering)

6,000 ÷ 30 = $200.

Recomputed independently by the build: 200

Why each other choice is wrong (misconception it represents)

A: Divides by 360
C: Simple average
D: Forgets to divide

Type: instruction

BACKWARD B1 · concept review — Weighted averages and daily rates · Question 3 of 5

Learn: Daily rate = APR ÷ 365.

An APR of 36.5% is how much per day (APR ÷ 365)?

A. 0.1%
B. 1%
C. 3.04%
D. 36.5%

CORRECT ANSWER

A. 0.1%

Feedback (shown after answering)

36.5% ÷ 365 = 0.1%.

Recomputed independently by the build: 0.1

Why each other choice is wrong (misconception it represents)

B: Misplaces the decimal
C: Uses monthly
D: Uses the APR

Type: instruction

BACKWARD B1 · concept review — Weighted averages and daily rates · Question 4 of 5

Learn: Interest = balance × daily rate × days.

A balance of $1,000 at 0.1% per day for 30 days earns about how much interest (simple)?

A. $1
B. $3
C. $30
D. $300

CORRECT ANSWER

C. $30

Feedback (shown after answering)

$1,000 × 0.001 × 30 = $30.

Recomputed independently by the build: 30

Why each other choice is wrong (misconception it represents)

A: Uses one day
B: Misplaces the decimal
D: Uses 1%

Type: instruction

BACKWARD B1 · concept review — Weighted averages and daily rates · Question 5 of 5

Which lowers a cycle's interest the MOST, if the amount is the same?

A. Paying early in the cycle
B. Paying on the last day of the cycle
C. Making purchases early in the cycle
D. Paying after the due date

CORRECT ANSWER

A. Paying early in the cycle

Feedback (shown after answering)

Earlier payments reduce the balance for more days.

Why each other choice is wrong (misconception it represents)

B: Less effect
C: Raises ADB
D: Adds fees

Type: knowledge check

GO DEEPER 1 — Interest on a carried balance, month after month · Question 1 of 5

Learn: When a balance is carried and not paid, interest is added to the balance, and next month interest is charged on the larger balance (compounding).

Ivy carries $1,000 at 24% APR and makes no payments or purchases. About how much interest is added after one month (APR ÷ 12)?

A. $2
B. $20
C. $24
D. $240

CORRECT ANSWER

B. $20

Feedback (shown after answering)

$1,000 × 0.02 = $20, making the balance $1,020.

Recomputed independently by the build: 20

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Uses the APR as dollars
D: Uses a full year

Type: instruction

GO DEEPER 1 — Interest on a carried balance, month after month · Question 2 of 5

Learn: With monthly compounding, each month's interest is figured on the balance including earlier interest.

Ivy carries $1,000 at 2% per month with no payments or purchases. What is the balance after two months of compounding?

A. $1,020.00
B. $1,040.00
C. $1,040.40
D. $1,480.00

CORRECT ANSWER

C. $1,040.40

Feedback (shown after answering)

$1,000 × 1.02^2 = $1,040.40.

Recomputed independently by the build: 1040.4

Why each other choice is wrong (misconception it represents)

A: One month
B: Uses simple interest
D: Uses 24% per month

Type: instruction

GO DEEPER 1 — Interest on a carried balance, month after month · Question 3 of 5

After 12 months at 2% per month with no payments, what is a $1,000 balance (nearest cent)?

A. $1,024.00
B. $1,200.00
C. $1,240.00
D. $1,268.24

CORRECT ANSWER

D. $1,268.24

Feedback (shown after answering)

$1,000 × 1.02^12 ≈ $1,268.24.

Recomputed independently by the build: 1268.241795

Why each other choice is wrong (misconception it represents)

A: Uses 0.2%
B: Uses 20%
C: Uses simple interest

Type: knowledge check

GO DEEPER 1 — Interest on a carried balance, month after month · Question 4 of 5

Learn: Effective annual rate = (1 + monthly rate)^12 − 1.

What effective annual rate does 2% per month compounded produce (nearest tenth of a percent)?

A. 2.0%
B. 24.0%
C. 26.8%
D. 28.0%

CORRECT ANSWER

C. 26.8%

Feedback (shown after answering)

1.02^12 − 1 ≈ 0.2682 → 26.8%.

Recomputed independently by the build: 26.824179

Why each other choice is wrong (misconception it represents)

A: Uses the monthly rate
B: Uses the APR
D: Arithmetic error

Type: instruction

GO DEEPER 1 — Interest on a carried balance, month after month · Question 5 of 5

Why does a carried credit card balance grow even without new purchases?

A. Card issuers add a monthly bonus
B. The credit limit grows
C. Interest is added and then charged interest itself
D. The APR rises a little every month under federal law

CORRECT ANSWER

C. Interest is added and then charged interest itself

Feedback (shown after answering)

Unpaid interest becomes part of the balance and earns more interest.

Why each other choice is wrong (misconception it represents)

A: Reverses who benefits
B: Confuses limit with balance
D: Invents a rule

Type: knowledge check

GO DEEPER 2 — How payments are applied to different APRs · Question 1 of 5

Learn: When a card has balances with different APRs, the Credit CARD Act requires issuers to apply payments above the minimum to the balance with the highest APR first. The minimum itself can be applied however the issuer chooses.

A card has $1,000 at a 0% promotional APR and $500 at a 22% purchase APR. Ella pays $300, of which $40 is the minimum. Under federal rules, where must the amount ABOVE the minimum go?

A. To the 0% balance first
B. Split evenly between both
C. To fees only
D. To the 22% balance first

CORRECT ANSWER

D. To the 22% balance first

Feedback (shown after answering)

The $260 above the minimum goes to the higher-APR balance first.

Why each other choice is wrong (misconception it represents)

A: Reverses the rule
B: Invents a rule
C: Misunderstands

Type: instruction

GO DEEPER 2 — How payments are applied to different APRs · Question 2 of 5

Learn: The issuer may apply the minimum payment as it chooses, but payments above the minimum must be applied to the highest-APR balance first (with some exceptions for deferred-interest balances near their end date).

Ella's card has $1,000 at a 0% promotional APR and $500 at a 22% purchase APR. She pays $300; her minimum payment is $40. Federal rules say any amount above the minimum must go to the highest-APR balance first. At least how much of her payment goes toward the 22% balance?

A. $40
B. $150
C. $260
D. $300

CORRECT ANSWER

C. $260

Feedback (shown after answering)

$300 − $40 = $260 must go to the highest-APR balance.

Recomputed independently by the build: 260

Why each other choice is wrong (misconception it represents)

A: Gives the minimum
B: Splits evenly
D: Ignores the minimum

Type: instruction

GO DEEPER 2 — How payments are applied to different APRs · Question 3 of 5

Why does this payment rule help cardholders?

A. It raises the promotional rate
B. It removes the minimum payment
C. It lets card issuers charge more interest on old balances
D. It reduces the most expensive balance first

CORRECT ANSWER

D. It reduces the most expensive balance first

Feedback (shown after answering)

Paying the highest-rate balance first lowers total interest.

Why each other choice is wrong (misconception it represents)

A: Misunderstands
B: Misunderstands
C: Reverses the effect

Type: knowledge check

GO DEEPER 2 — How payments are applied to different APRs · Question 4 of 5

Learn: Monthly interest on a carried balance ≈ balance × (APR ÷ 12).

Ella's $500 at 22% APR is paid off. About how much interest per month does that save compared with carrying it (APR ÷ 12)?

A. $0.92
B. $9.17
C. $22.00
D. $110.00

CORRECT ANSWER

B. $9.17

Feedback (shown after answering)

$500 × 0.22 ÷ 12 ≈ $9.17 per month.

Recomputed independently by the build: 9.166667

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Uses the APR as dollars
D: Uses a full year

Type: instruction

GO DEEPER 2 — How payments are applied to different APRs · Question 5 of 5

Which balance should a cardholder target first with extra payments, if allowed to choose?

A. The newest balance
B. The balance that is oldest, regardless of rate
C. The highest-APR balance
D. The 0% balance

CORRECT ANSWER

C. The highest-APR balance

Feedback (shown after answering)

Highest APR first minimizes interest (the avalanche idea).

Why each other choice is wrong (misconception it represents)

A: Not necessarily costly
B: Ignores the cost of each balance
D: Costs nothing now

Type: knowledge check

SET 38 · Credit Cards and Credit Scores

The minimum payment trap

MAIN skill: Compare the cost of paying the minimum with paying more each month

Outcome FL.CREDIT.38 · National topic: Managing Credit · NJSLS 9.1.12: CDM

Learning target: Explain the cost of paying only the minimum and plan to repay credit card debt

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: A payment is split between interest and balance (5 questions)
  Why: The trap makes sense only when students see how little of a minimum payment reduces the balance.
- B2 · Math link → G7-S29-M (Grade 7 7.EE.B.3): Solve multistep problems with positive and negative rational numbers in any form
  Why: Minimum payments combine percent, interest, and subtraction steps.
- B3 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Minimums and interest are percents of the balance.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Building a payoff plan (5 questions)
- Go Deeper 2: Credit card statement detective (5 questions)

Practical skills beyond the standards: Building a fixed-payment payoff plan

Content status: stable

Answer key for this set: M-Q1 D, M-Q2 B, M-Q3 A, M-Q4 C, M-Q5 A, B1-Q1 A, B1-Q2 C, B1-Q3 C, B1-Q4 D, B1-Q5 D, F1-Q1 B, F1-Q2 C, F1-Q3 C, F1-Q4 B, F1-Q5 A, F2-Q1 D, F2-Q2 C, F2-Q3 D, F2-Q4 A, F2-Q5 C

MAIN — Compare the cost of paying the minimum with paying more each month · Question 1 of 5

Learn: Many cards set the minimum payment as a small percent of the balance plus the month's interest, with a dollar floor such as $25. A small minimum keeps the account current but pays off the balance very slowly.

Kai owes $3,000 at 20% APR. His card's minimum payment is the greater of $25 or 1% of the balance plus that month's interest. What is his first minimum payment?

A. $25
B. $30
C. $50
D. $80

CORRECT ANSWER

D. $80

Feedback (shown after answering)

1% of $3,000 = $30; interest = $3,000 × 0.20 ÷ 12 = $50; $80 is more than $25, so the minimum is $80.

Recomputed independently by the build: 80

Why each other choice is wrong (misconception it represents)

A: Uses only the dollar floor
B: Leaves out interest
C: Leaves out the 1%

Type: instruction

MAIN — Compare the cost of paying the minimum with paying more each month · Question 2 of 5

Learn: Each payment first covers that month's interest; only the rest reduces the balance.

Of Kai's first $80 minimum payment on a $3,000 balance at 20% APR, how much actually reduces the balance?

A. $0
B. $30
C. $50
D. $80

CORRECT ANSWER

B. $30

Feedback (shown after answering)

$80 − $50 interest = $30 toward the balance.

Recomputed independently by the build: 30

Why each other choice is wrong (misconception it represents)

A: Thinks minimums never reduce the balance
C: Gives the interest
D: Treats the whole payment as principal

Type: instruction

MAIN — Compare the cost of paying the minimum with paying more each month · Question 3 of 5

Learn: Because minimum payments shrink as the balance shrinks (until they reach the dollar floor), paying only the minimum can take many years.

Kai owes $3,000 at 20% APR (interest figured monthly). His minimum is the greater of $25 or 1% of the balance plus that month's interest, and the last payment just clears the balance. Paying only the minimum, a computer model shows payoff takes 176 months and costs $6,983.44 in total. About how many years is that?

A. About 14.7 years
B. About 1.8 years
C. About 176 years
D. About 3 years

CORRECT ANSWER

A. About 14.7 years

Feedback (shown after answering)

176 ÷ 12 ≈ 14.7 years.

Recomputed independently by the build: 14.7

Why each other choice is wrong (misconception it represents)

B: Divides by 100
C: Uses months as years
D: Underestimates

Type: instruction

MAIN — Compare the cost of paying the minimum with paying more each month · Question 4 of 5

Learn: Paying a fixed amount above the minimum shortens payoff time and cuts total interest dramatically.

Kai owes $3,000 at 20% APR (interest figured monthly). Paying only the minimum (the greater of $25 or 1% of the balance plus interest), he pays $6,983.44 in total. Paying a fixed $150 a month instead, he pays $3,679.82. How much interest does the $150 plan save?

A. $679.82
B. $3,000.00
C. $3,303.62
D. $3,983.44

CORRECT ANSWER

C. $3,303.62

Feedback (shown after answering)

$6,983.44 − $3,679.82 = $3,303.62 of interest saved (payoff in 25 months instead of 176).

Recomputed independently by the build: 3303.62

Why each other choice is wrong (misconception it represents)

A: Gives the $150-plan interest
B: Gives the balance
D: Gives the minimum-plan interest

Type: instruction

MAIN — Compare the cost of paying the minimum with paying more each month · Question 5 of 5

Which statement about minimum payments is TRUE?

A. They avoid late fees but repay very slowly
B. They pay off the whole balance in about a year
C. They are the cheapest way to repay
D. They stop interest from being charged

CORRECT ANSWER

A. They avoid late fees but repay very slowly

Feedback (shown after answering)

Minimums keep the account current but stretch repayment out, which raises total interest.

Why each other choice is wrong (misconception it represents)

B: Overstates
C: Reverses
D: Misunderstands

Type: knowledge check

BACKWARD B1 · concept review — A payment is split between interest and balance · Question 1 of 5

Learn: Each payment first covers the month's interest. The remainder reduces what you owe.

A $40 payment includes $25 of interest. How much goes to the balance?

A. $15
B. $25
C. $40
D. $65

CORRECT ANSWER

A. $15

Feedback (shown after answering)

$40 − $25 = $15.

Recomputed independently by the build: 15

Why each other choice is wrong (misconception it represents)

B: Gives interest
C: Ignores interest
D: Adds

Type: instruction

BACKWARD B1 · concept review — A payment is split between interest and balance · Question 2 of 5

Learn: Monthly interest ≈ balance × APR ÷ 12.

A $2,000 balance at 18% APR. What is one month's interest (APR ÷ 12)?

A. $3
B. $18
C. $30
D. $360

CORRECT ANSWER

C. $30

Feedback (shown after answering)

$2,000 × 0.015 = $30.

Recomputed independently by the build: 30

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
B: Uses APR as dollars
D: Uses a full year

Type: instruction

BACKWARD B1 · concept review — A payment is split between interest and balance · Question 3 of 5

Learn: Paying only the interest leaves the principal unchanged.

If the payment equals the month's interest exactly, what happens to the balance?

A. It goes to zero
B. It is cut in half
C. It stays the same
D. It doubles

CORRECT ANSWER

C. It stays the same

Feedback (shown after answering)

All of the payment goes to interest, so the balance does not fall.

Why each other choice is wrong (misconception it represents)

A: Misunderstands
B: Misunderstands
D: Misunderstands

Type: instruction

BACKWARD B1 · concept review — A payment is split between interest and balance · Question 4 of 5

Which payment reduces a $1,000 balance the most if interest is $15 this month?

A. $15
B. $25
C. $50
D. $200

CORRECT ANSWER

D. $200

Feedback (shown after answering)

$200 − $15 = $185 toward principal, far more than the others.

Why each other choice is wrong (misconception it represents)

A: Interest only
B: Small
C: Smaller

Type: knowledge check

BACKWARD B1 · concept review — A payment is split between interest and balance · Question 5 of 5

Why do small minimum payments make repayment slow?

A. The card issuer ignores payments below a set amount
B. Balances are not reduced by law
C. Minimums are paid to the store
D. Most of each payment goes to interest

CORRECT ANSWER

D. Most of each payment goes to interest

Feedback (shown after answering)

When interest takes most of the payment, little is left to reduce the balance.

Why each other choice is wrong (misconception it represents)

A: Misunderstands
B: Invents a rule
C: Misunderstands

Type: knowledge check

GO DEEPER 1 — Building a payoff plan · Question 1 of 5

Learn: A fixed payment that is higher than the minimum sets a clear payoff date. Small increases in the payment can save a lot of interest.

A computer model shows $3,000 at 20% APR is paid off in 42 months at $100 a month (total paid $4,193.50) or 25 months at $150 a month (total paid $3,679.82). How much more interest does the $100 plan cost than the $150 plan?

A. $50.00
B. $513.68
C. $679.82
D. $1,193.50

CORRECT ANSWER

B. $513.68

Feedback (shown after answering)

$4,193.50 − $3,679.82 = $513.68.

Recomputed independently by the build: 513.68

Why each other choice is wrong (misconception it represents)

A: Compares payments
C: Gives the $150-plan interest
D: Gives the $100-plan interest

Type: instruction

GO DEEPER 1 — Building a payoff plan · Question 2 of 5

Learn: At 0% interest, payment = balance ÷ months.

Kai wants to pay off $1,200 at 0% APR in 8 months. What fixed monthly payment does he need?

A. $100
B. $120
C. $150
D. $9,600

CORRECT ANSWER

C. $150

Feedback (shown after answering)

$1,200 ÷ 8 = $150.

Recomputed independently by the build: 150

Why each other choice is wrong (misconception it represents)

A: Uses 12 months
B: Uses 10 months
D: Multiplies

Type: instruction

GO DEEPER 1 — Building a payoff plan · Question 3 of 5

Which step should come with a payoff plan to keep the balance from growing again?

A. Raise the credit limit
B. Open another card
C. Stop adding new charges to the card
D. Pay late some months to keep more cash on hand

CORRECT ANSWER

C. Stop adding new charges to the card

Feedback (shown after answering)

A plan works only if new charges stop.

Why each other choice is wrong (misconception it represents)

A: Encourages more charges
B: Adds risk
D: Adds fees

Type: knowledge check · practical how-to

GO DEEPER 1 — Building a payoff plan · Question 4 of 5

Learn: Statements show the total cost of a 3-year payoff plan alongside the cost of paying only the minimum.

A card's statement shows: "If you pay $106 each month, you will pay off the balance in 3 years and pay $3,816." The balance is $3,000. What is the interest under the 3-year plan?

A. $106
B. $816
C. $3,000
D. $3,816

CORRECT ANSWER

B. $816

Feedback (shown after answering)

$3,816 − $3,000 = $816.

Recomputed independently by the build: 816

Why each other choice is wrong (misconception it represents)

A: Gives one payment
C: Gives the balance
D: Gives the total

Type: instruction

GO DEEPER 1 — Building a payoff plan · Question 5 of 5

What is a sensible first move for someone with a large card balance and a small emergency fund?

A. Keep a small cushion and pay well above the minimum
B. Pay only the minimum forever
C. Spend the cushion on wants
D. Skip card payments for a few months to build savings

CORRECT ANSWER

A. Keep a small cushion and pay well above the minimum

Feedback (shown after answering)

A small cushion prevents new debt while larger payments shrink the balance.

Why each other choice is wrong (misconception it represents)

B: Maximizes interest
C: Removes protection
D: Fees and damage

Type: knowledge check

GO DEEPER 2 — Credit card statement detective · Question 1 of 5

Learn: On a statement, the interest charge is the cost of carrying a balance from the last cycle.

A statement shows: Previous balance $1,000; Payment −$50; Purchases +$120; Interest +$19; New balance $1,089. Which line shows the cost of carrying a balance?

A. Purchases +$120
B. Payment −$50
C. Previous balance $1,000
D. Interest +$19

CORRECT ANSWER

D. Interest +$19

Feedback (shown after answering)

The $19 interest charge is the cost of carrying the balance.

Recomputed independently by the build: 19

Why each other choice is wrong (misconception it represents)

A: New spending
B: Payment
C: Old debt

Type: instruction

GO DEEPER 2 — Credit card statement detective · Question 2 of 5

Learn: New balance = previous balance − payments + purchases + fees + interest.

Check the statement: $1,000 − $50 + $120 + $19 = ?

A. $931
B. $1,069
C. $1,089
D. $1,189

CORRECT ANSWER

C. $1,089

Feedback (shown after answering)

$1,000 − $50 + $120 + $19 = $1,089.

Recomputed independently by the build: 1089

Why each other choice is wrong (misconception it represents)

A: Subtracts purchases
B: Leaves out interest
D: Adds the payment

Type: instruction

GO DEEPER 2 — Credit card statement detective · Question 3 of 5

Learn: A balance grows whenever new charges plus interest are larger than payments.

On a statement with a previous balance of $1,000, a $50 payment, and $120 of new purchases, the balance rose to $1,089. What does this show?

A. The card issuer made an error in adding up the balance
B. Payments increase balances
C. The APR must be 0%
D. Payments are smaller than new charges plus interest

CORRECT ANSWER

D. Payments are smaller than new charges plus interest

Feedback (shown after answering)

New charges ($120) plus interest ($19) exceeded the $50 payment.

Why each other choice is wrong (misconception it represents)

A: Assumes error
B: Reverses
C: Contradicts the interest line

Type: instruction

GO DEEPER 2 — Credit card statement detective · Question 4 of 5

Learn: Fees charged in error are billing errors that can be disputed with the card issuer.

A statement line reads "Late fee $30" though the payment was on time according to the bank's records. What should the cardholder do?

A. Call the issuer and, if needed, dispute it in writing
B. Pay it and ignore it
C. Stop paying the card entirely until the fee is removed
D. Report it to the IRS

CORRECT ANSWER

A. Call the issuer and, if needed, dispute it in writing

Feedback (shown after answering)

Fees charged in error can be disputed as billing errors.

Why each other choice is wrong (misconception it represents)

B: Accepts an error
C: Makes it worse
D: Wrong agency

Type: instruction · practical how-to

GO DEEPER 2 — Credit card statement detective · Question 5 of 5

Learn: Refunds appear as credits that lower the balance.

Which statement line would show money returned for an item Ana sent back?

A. A new purchase
B. Interest charged on the remaining balance
C. A credit, shown with a minus sign
D. A fee

CORRECT ANSWER

C. A credit, shown with a minus sign

Feedback (shown after answering)

Returns appear as credits (negative amounts) that reduce the balance.

Why each other choice is wrong (misconception it represents)

A: Adds to balance
B: Adds to balance
D: Adds to balance

Type: instruction

SET 39 · Credit Cards and Credit Scores

Card fees, balance transfers, and promotional offers

MAIN skill: Calculate card fees and compare balance transfers, 0% APR offers, and deferred interest

Outcome FL.CREDIT.39 · National topic: Managing Credit · NJSLS 9.1.12: CDM
Learning target: Compare credit card fees and promotional offers

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Percent fees on balances (5 questions)
  Why: Card fees are mostly percents of an amount; computing them is the core skill.
- B2 · Math link → G7-S65-M (Grade 7 7.RP.A.3): Find a percent fee and the total with the fee
  Why: Transfer, cash advance, and foreign transaction fees are percent fees.
- B3 · Math link → G7-S07-M (Grade 7 7.RP.A.3): Solve multistep ratio problems
  Why: Comparing a transfer requires interest over months and a fee.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Deferred interest versus a true 0% intro APR (5 questions)
- Go Deeper 2: Using a balance transfer wisely (5 questions)

Practical skills beyond the standards: Balance transfer decision; Recognizing deferred interest

Content status: time-sensitive
Source: CFPB (Understanding special promotional financing offers) — With deferred interest, if the promotional balance is not paid in full by the end of the period, interest is charged back to the purchase date.
https://www.consumerfinance.gov/archive/blog/how-understand-special-promotional-financing-offers-credit-cards/

Answer key for this set: M-Q1 B, M-Q2 B, M-Q3 D, M-Q4 A, M-Q5 B, B1-Q1 B, B1-Q2 C, B1-Q3 A, B1-Q4 C, B1-Q5 D, F1-Q1 A, F1-Q2 D, F1-Q3 B, F1-Q4 A, F1-Q5 D, F2-Q1 B, F2-Q2 B, F2-Q3 C, F2-Q4 D, F2-Q5 C

MAIN — Calculate card fees and compare balance transfers, 0% APR offers, and deferred interest · Question 1 of 5

Learn: A balance transfer moves debt from one card to another, often to get a low promotional APR. Most transfers charge a fee, commonly 3% to 5% of the amount moved. The low rate lasts only for the promotional period.

Nia moves a $4,000 balance at 22% APR to a new card with 0% APR for 15 months and a 3% balance transfer fee. What is the fee?

A. $12
B. $120
C. $880
D. $1,200

CORRECT ANSWER

B. $120

Feedback (shown after answering)

$4,000 × 0.03 = $120.

Recomputed independently by the build: 120

Why each other choice is wrong (misconception it represents)

A: Uses 0.3%
C: Uses 22%
D: Uses 30%

Type: instruction